

AU Small Finance Bank Ltd. (AUBANK)

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To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter & Financial Year ended on March 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we submit herewith the transcript of the conference call held on Tuesday, April 25, 2023 for the Financial Results of the Bank for the Quarter & Financial Year ended on March 31, 2023.

In compliance of Regulation 46 of the Listing Regulations, the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports>.

This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Q4-FY23 Earnings
Conference Call "

April 25, 2023

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER, AU SMALL FINANCE

BANK

MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR , AU
SMALL FINANCE BANK

MR. DEEPAK JAIN – CHIEF RISK OFFICER , AU SMALL
FINANCE BANK

MR. YOGESH JAIN – CHIEF OF STAFF , AU SMALL
FINANCE BANK

MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER , AU
SMALL FINANCE BANK

MR. BHASKAR VITTAL KARKERA – CHIEF OF WHEELS ,
AU SMALL FINANCE BANK

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MR. RISHI DHARIWAL – GROUP HEAD LIABILITY , AU
SMALL FINANCE BANK

MR VIVEK TRIPATHI – HEAD OF COMMERCIAL
BANKING

MR. PRINCE TIWARI – HEAD (FIG & IR), AU SMALL
FINANCE BANK

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Moderator: Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q4 FY'23 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari – Head of FIG and IR. Thank you. And over to you, sir.

Prince Tiwari : Good evening, everyone and welcome to AU Small Finance Bank Earnings Call for the Fourth Quarter of FY'23. We thank you all for joining the call today.

The format for today's call will be very similar to last few quarters where we will start with Opening Remarks from Senior Management for the first 20 -25 minutes of the call and we'll follow that with 30 to 35 minutes of Questions and Answers from all the Analysts and Investors .

To start the call, we'll have our M .D. and CEO – Mr. Sanjay Agarwal , share his thoughts on FY23 Overall Performance and Outlook for the Bank . He will be followed by our ED – Mr. Uttam Tibrewal, who will share his thoughts on Operating Highlights for the Quarter and the Financial Year . Besides them, we also have few senior members of our management team on the call today to answer any questions that you may have .

For the benefit of everyone, and so that we can take everyone's questions, we would humbly request everyone to keep the number of questions per participant restricted to two and join back in the queue in case you have further questions.

With that , I will now request Mr .D. and CEO – Mr. Sanjay Agarwal to share his thoughts on the Bank Performance and Outlook.

Sanjay Agarwal : So, thanks, Prince . Hi, everyone. Good evening . Namaskar .

I'm very happy to speak to you on this call today as we recently celebrated 28 years of our existence, and six years of Banking. It has been an incredible journey, and a wonderful experience to build a Bank like AU. I met so many of you last year during the roadshow while raising capital, where we got tremendous support, affection , acceptance not only of our business model, but also for me as an individual.

Today, I'm happy to share that we have fulfilled all our promises made last year during the roadshow despite many headwinds like inflation -led high interest rate cycles, liquidity issues, and an unnecessary negative perception around us.

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We promised to grow our business around 30%. And our numbers speak like this : Our deposits grew by 32% , now standing at Rs.69,000 crores -plus. Our assets after securitization grew by 26% standing at Rs.59,000 crores , plus with pristine asset quality.

We delivered sustainable and superior ROAs and ROEs at 1.8 and 15.4 respectively, without

any one-off income from treasury or PSLC and of course, despite high interest rates . Our tech outlook remains very strong. Key highlights being upgrade of our core Banking system , enhancing data center capacity and scaling our digital propositions further with the launch of innovative product like credit cards and current account. We actually serve 38 lakh plus customers , 1,000 plus touch points in 21 states and 3 UTs by winning team of around 20,000 (Correct – 28,000) people My reappointment as M .D. and CEO and my colleague Uttam as executive director for full three year reinforces that we are working on the right path, the strong compliances , robust

governance

and sustainable business model. I'm really thankful for you for this.

The past couple of years have been personally trying for me as a season entrepreneur of 28 years as we have been the subject for numerous unfounded , unfavorable rumors causing unnecessary commotions and diversions I hope that now we can all move forward with focus on our performance. I would like to thank all my shareholders for their patience, unwavering support and being there with us through thick and thin .

Another feather in our cap is receiving of AD - I license on our foundation day. It not only completes our product offering to the existing customers, but will also help acquire newer segment of customers. I am thankful to the regulators for validating and strengthening the small finance bank platform by not only giving us the AD-1 license but also to another two SFB friends so that product offering at SFB platforms are complete and at par.

Coming to India :

We remain on a very different trajectory as a country of optimistic, determined and hardworking people. We at AU are very excited to participate in India story of 1.4 billion people, with economy expected to grow at 7% in the next 10 years by providing excellent product and services to build India.

With a market share of just 0.4% in both deposits and assets, the opportunities are immense, and sky is the limit.

Our business model is well settled . We will remain in identified market segments, like urban markets for garnering deposits, and for lending the core and the rural markets.

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Our focus is to build sustainable low cost granular deposit franchise, where the challenge as of now is around interest rates. But , we will continue to manage with strong emphasis on CASA and granular deposits, especially on a current account proposition. Last year, we grew current account deposits by 43%, bringing our CASA ratio to 38% and CASA plus retail deposit base at 69%. This helped contain our cost of money at similar level to last year at 5.96%.

In FY24, our margins may be impacted as the cost of money is higher and the peak is not over yet. Further , our loan book has been fixed rate, which also gets impacted in a rising interest rate scenario , although the share is coming down and now stands at 66% versus 74% a year ago . The share of Commercial Banking , Affordable Housing books are increasing which are important franchise business, but with lower yield. However, these businesses have lower credit cost and lower OPEX and thus has similar ROA as per our other retail businesses.

Further , our margins will be protected by continuous investment in strengthening current account propositions, transition banking, focus on data and its capabilities, automation of credit and process reengineering.

As we are investing to build capabilities, the cost-to-income level can be high. Moving ahead, we expect the advantage of scale to start kicking in , and by the year end, our investments in investor lending, video Banking, unsecured lending and cross sell will start positively impacting the P&L. There will be more pool of revenues from AD- 1 license, wealth product, etc. , Credit card business is also expected to break even in the next one year.

Further, we've brought our strength at the board level by injecting three independent directors last year , out of which, two are women directors. We are now 10 members strong board with eight independent directors.

But talk about my own focus area. I think very importantly, as a CEO, I'm very excited for my next tenure . My area of focus is to build brands, which will eventually help us in deepening trust in the entire ecosystem, strengthen our deposit franchise, invest in innovation, data first and digital culture with emphasis on understanding customer which we call UYC and to build a strong HR practices .

Tech and innovation remain my top focus areas. You know, I'm not a techie myself, but I'm investing a lot of my time these days in tech discussion with IT team partners and ecosystem stakeholders.

We are working across all aspects of technology, be it core technology stack digitization,

automation, data analytics and digital customer facing propositions.

This quarter, we made significant progress in strengthening our core technology stack. We upgraded our core Banking system to the latest version, and we are also upgrading capacity of our data centers.

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In Wheels business, which is the oldest one, we are implementing Salesforce's LOS along with underwriting tool by FICO to enable straight through processing of vehicle loans. When we started this journey from our oldest business, we envisage implementing similar processes for all the loans in the Bank.

Another step towards operational excellence is to automate processes using robotic process automation and AI.

I personally believe that in next 10 years, every Indian will have a digital footprint and that will generate large datasets. And as Banks are the golden source of data, those with capabilities to leverage data to personalize customer experience will stand as winners.

At AU, we're enhancing our understanding of customer through in-house and alternative source of data for the long-term vision to have a customer data as good and as vast as what Google has, keeping in view all required norms around privacy and data protection.

On the digital front, we continue to deliver innovative products and upgrade existing offerings.

We have recently launched a Digital Current Account / Proposition, Swipe Up Card, Credit Card Upgrade Program and Industry-First Offering around Bill Payments over Video Banking.

Our digital insurance and wealth proposition have also started gaining traction and this year we would further enhance and scale this and will be soon launching "Merchant App."

We are also enhancing our digital payment stack with more powerful propositions around UPI, BBPS, Fastag etc. So, we have been preparing ourselves to leverage the opportunities available through the emerging public digital infrastructure in India. We are live on the account aggregator. We are one of the first few Banks to be live on the OCEN platform and we are in discussion with ONDC team to implement innovative use case around digital commerce. We are also working with an RBI Innovation Hub Fintech to enable financial inclusion.

We remain on a journey to build one of the best tech-led retail Banking franchise for this country.

To execute our vision, we have strengthened our tech team, are working with leading global tech companies, be it Amazon, Salesforce, Accenture, Adobe, Oracle and NPCI etc., All these tech partners have been engaging well with us and I'm personally meeting their global leadership to further strengthen our relationship and to explore areas of innovation.

Another area of focus for me is to build strong HR practices because I feel people are the greatest asset. I'm happy to share that our senior team is quite stable with an average vintage of seven years, well balanced and is driving the business with a lot of passion, purpose and pace.

On the hiring front, we are seeing a great traction on people wanting to join us. Our recent HR practices are getting acknowledged, policies like menstrual leave for women employees and AU forever pass, is among the first in the industry inspired by a philosophy of Badlaav Humse Hai.

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I'm delighted to share with you that we have received a "Retail Banker International Asia Trailblazer Award" for our HR Practices, as just a "Great Place to Work," third in a row and are one of the top 25 organizations in the BFS

I segment.

Among the many awards that we received last year, the prime one is to be adjudged as the "Best Small Finance Bank of the Country" by Financial Express and Business Today. We are really humbled and grateful to all of you who have been a critical part of this journey.

In the end, I can assure you that we are more committed to build one of the finest institutions of the world. I believe that building a Bank may take at least 10 years to understand all the nuances of this platform.

I'm very happy to say that the way we have progressed in last six years despite so many real and unreal challenges that we face, navigated and sailed over. There's a time for consolidation to build a long inning. Like the batsman gets more confident with every passing over, similarly, we are getting more confident with every passing year at this Banking platform.

We continue to lay foundation of building a sustainable, well-governed, pan India Bank with a mindset of playing a long inning. We are building ourselves to take advantage of the India Opportunity over the next decade. We have figured out approach by offering the right product in the right market, deposits from urban, assets in core, offered by the right team, with the right tech, working on the right path, building practices and processes which are standardized, scalable and sustainable.

Thank you so much for listening to me . Let me hand over to Uttam for the “Operational Highlights.”

Uttam Tibrewal : Thank you, Sanjay. Namaskar and a very good evening to everyone I hope you all are in good health.

FY23 witnessed resurgence of demand across various Industries . The domestic consumption on the rise along with increased on-ground activity and a positive outlook for India's GDP growth . Our expectations of FY23 may remain well on track .

As we conclude Q4FY23 I am pleased to report that AU Small Finance Bank has delivered a consistently strong and stable performance across all our businesses throughout the quarter and also the entire fiscal year .

From build out of our digital properties to deposit growth to CASA growth and improve granularity in the consistent loan growth with ever strengthening asset quality , we have diligently focused on excelling in every aspect of our customer-centric business . Notably, we have managed to keep our gross NPA below Rs.1,000 crores thereby bringing down our GNPA to 1.66 % and net NPA to 0.42 % on the back of strong collection efforts , while still true to our philosophy of deep customer engagement and proactive problem solving ,

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Having recently completed our sixth year as a small finance bank and 28 years as an institution , I'm proud to say that we have built a winning team of over 28,000 plus employees , dedicated to transforming our organization into an institution that commands the components of regulators , the love and turf of its customers and the backing of its investors .

I am pleased to share that Bank customer base has grown to over 38 lakhs in FY23 representing a growth of 40 % over last fiscal year. During FY 23 we added 108 new touch points to expand our distribution to a total of 1,027 touch points and serving our customers physically from 711 unit locations across 21 states and 3 union territories .

Similarly , our digital distribution has also seen strong traction , with our AU0101 App saw 90 % growth in user base registration to 19 lakh customers , with more than 10 lakhs active users in March 2023 .

Our video Banking channel has evolved into a comprehensive and self-sufficient digital franchise offering 400-plus services and handling over 1,000 customers calls per day .

On the other hand , our acquisition of savings from customers via the video Banking channel grew 100% during the year with 2.9 lakh plus customers having over Rs.1,150 crores of deposits

and 15 % of customers also holding an additional product from the Bank .

I'm excited to inform you that we have started acquiring current accounts using video Banking starting April 2023 and we are confident to get a similar success on this journey too .

For credit cards , the journey of our sourcing through video Banking started in October 2022 . And in less than six months we issued over one lakh credit cards via this channel . Our overall credit card position now goes more than five lakh cards and a monthly issuance reached 50,000 plus cards and monthly spends reaching 1,000 crores in March 2023 .

Also, in line with our commitment to innovation and customer centricity , we introduced “Swipe Up,” an industry-first instant card upgrade program , featuring a digital compare and purchase journey .

On the merchant side , I am pleased to inform that we have reached the milestone of 10 lac UPI QR codes with UPI QR transactions doubling over the past year , reaching 40 lakhs in March '23, not only payments but our QR based lending solution has also seen a good start with close to 200 crores in merchant lending till Q4 FY23.

Also, in Q4FY23, we disbursed Rs. 146 crores in personal loans totally to total disbursement of Rs.804 crores till date , all through the AU0101 Digital Platform.

The success in digital acquisition and engagement is also attributed to the growth in brand awareness with over 31 crore s brand impressions and more than 1.6 crores website visits in Q4FY 23. Not only did the branch search volume increased by 30 % percent in the fiscal year but

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the website traffic has also grown by 2.7 times year-on-year with 50% lift in organic traffic , translating to growing brand affinity towards the Bank .

We have also witnessed 200% growth in number of digital customers reaching our website to explore products and enable services .

Moving on our business numbers – Despite micro uncertainty and significant competition in the deposit market , we have shown consistently strong performance in our deposit franchise throughout the year . In Q4FY23 the total deposits for the Bank were Rs.69,365 crores , a growth

of 32 % year-on-year, with the Bank having 25.6 lakh deposit customers as of March '23 compared to 19.8 lakh customers in the previous year , representing a growth of 28% year-on-year.

In this fiscal year, we have prioritized customer engagement and deepening to transition our customer's accounts to their primary accounts.

Our focus on customer satisfaction , better product proposition and continued engagement with the customers has led to an impressive 70% of current account and 57% of saving account customers regularly transacting with us . On an average , our transacting customers transact 33 transactions per month in savings account and 69 transactions in current account .

Similarly, our product per customer ratio improved to 1.61 for savings account customers (excluding Dormant and BSBDA account) and 2 product per customer for our current account customers .

We've also found that engaged customers generate a lift in average monthly balance by two to eight times than those who are not engaged .

As I have mentioned earlier , another important area of focus for us has been our current account deposits which have resulted in remarkable growth of 43 % year-on-year reaching Rs.3,680 crores on March '23 as compared to Rs.2,570 crores in March '22. This helped us optimize our cost of deposits for the full year .

The overall CASA deposits grew by 36% year -on-year from Rs.19,608 crores to Rs.26,660 crores, helping in improving our CASA ratio from 37.3% as on March '22 to Rs.38.4% as on March '23. The increase in CASA ratio is a remarkable achievement in an environment where there was notable competition for deposits across the Banking

system .

After the resounding success of our first premium Banking offering, AU Royale , we are excited to announce the launch of the "AU IVY" program , one of a kind product in the industry . This is an invite only to super HNI category product and we look forward to receive the same affection and acceptance from all .

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Our strategy of focusing on urban markets for liability products has been successful and we opened 58 new branches in urban and metro markets in FY23. We have already seen few branches which are less than one year old ramping up the deposits to Rs.50-100 crores , reflecting the positive response we have received from high quality retail customers in urban markets .

Our strategy of asset cross selling to our liability customers has proven effective in engaging our customers base and deepen the relationship . Cross sell of asset products to branch Banking customers increased by 25 % to Rs.2,500 crores in FY 23 compared to Rs.2,000 crores in FY'22.

Credit cards , personal loans and Business Banking are among the key assets for liability customers and we will keep ramping up our efforts here .

Gold loan is another area where we are focusing in branch Banking and currently offering this product from 50, (Correct - 350) locations . We are in the process of scaling up our gold loan business and we'll keep you updating as we progress.

On Bancassurance, our partnership with HDFC Life, ICICI Prudential, Future Generali, Aditya Birla, Care and Chola, has helped us to drive customer affinity and engage customers for life , general and health insurance . Through these partnerships , we sold and renewed over 5.9 lakhs insurance policies in FY23 for a premium upwards of Rs.640 crores .

Last year , we applied greater focus on wealth management and have completely digitalized our wealth journey , making it paperless and signatureless, resulting in a seamless and superior customer experience . As a result the number of customers having SIP has doubled from 23 ,000 to 56 ,900 in March '23. Consequently , our mutual fund AUM has increased by 62 % from Rs.103 crores in March '22 to Rs.167 crores in March '23.

We have also started distributing PMS offerings to serve our HNI customers through our partnership with Motilal Oswal Financial Services . We have acquired over 31,000 3 in 1 trading accounts taking the total number of such accounts to more than 90 ,000.

Now, let me turn to our asset business :

Starting with wheels, for Q4 FY23 the vehicle industry sold a total of 48 lakhs units, registering a year -on-year growth of 7%.

Coming to the full year , commercial vehicle segment saw a year -on-year growth of 27 % while tractor, personal vehicles and two wheeler segments also exhibited good growth registering growth of 19 % , 12% and 5 % respectively .

Keeping up these industry trends, we disbursed Rs. 3,716 crores , a 1.34 % increase from Q4FY22 with an IRR of 14.44 % marking a year -on-year increase of 101 bps .

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In addition, we achieve the highest quarterly disbursement for used vehicles financing at Rs.1,750 crores in Q4. Our average ticket size and disbursements was around 5.03 lakhs and around 3 lakhs at portfolio level excluding 2 wheelers.

As of 31st March '23 the total portfolio have reached to Rs. 22,833 crores through 8.43 lakh live loans, comprising 52% new vehicles, 36% used and refinance vehicles, 10% tractors and 2% two wheelers. The portfolio's commercial segment contributed to 46% while the personal segment contributed 44% and tractors contributed 10%. Our Wheels business asset quality further improved with gross NPA at 2.25%.

Moving on to our secured business loans:

In Q4FY23 we saw our highest ever quarterly disbursements of Rs.2,300 crores in SBL segment.

Yearly disbursements stood at Rs.6,717 crores

with year-on-year growth of 39%, with an average ticket size of 11.6 lakhs and across 60,000 loans. The total SBL portfolio stood at 19,509 crores, an annual increase of 18% with portfolio IRR of 15% and G NPA at 2.5% across 2.5 lakh live customers.

With the increasing number of MSMEs and rapid formalization in the sector, we believe the size of the pie will keep expanding. As AU has been serving the segment for last 15 years, we have built a sustainable business model to serve the majority of our customers in rural and semi-urban areas. We are well equipped to penetrate existing markets and venture into new ones.

Moving on to our home loan businesses:

As a relatively younger book, the portfolio of housing book grew by 63% year-on-year to Rs.4,283 crores across 42,400 loans, with an average ticket size of 11.81 lakhs and an IRR of 11.8%. In Q4FY23, we disbursed Rs.722 crores taking the total annual disbursement to Rs.2,200 crores. Currently, home loans are available at ~240 branches of the Bank and we have scope to expand coverage to all our touch points in due course to encourage retail cross sell. Our GNPA was stable at 0.33%. And it is noteworthy that much of our Affordable Housing book is also eligible for long term refinance from NHB.

Moving on to Commercial Banking:

Commercial Banking disbursed Rs. 2,848 crores in Q4FY23, of which Business Banking and Agri Banking accounted for 63% of business. The total Commercial Banking portfolio grew by 56% from FY22 reaching to Rs.13,006 crores and now accounts for 22% of Bank gross advances. Gross NPA of Commercial Banking has reduced from 0.84% as of 31st March 2022 to 0.38% as of 31st March 2023, which further validates our underwriting approach and customer selection.

The Business Banking portfolio reached Rs. 4,938 crores as of March 2023, showing a year-on-year growth of 70% with disbursements of Rs.1,005 crores during the quarter.

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The Agri Banking business reached Rs.3,964 crores portfolio mark, showing a year-on-year growth of 75% with disbursements of Rs.800 crores during the quarter. This growth was a result of several factors including expanding our footprints in new geographies, like Uttar Pradesh, East India and Southern markets. Newer product initiatives and increased synergies with branch Banking.

Furthermore, our NBFC funding book has reached Rs.2,551 crores mark showing a year-on-year growth of 25% with disbursement of 601 crores during the quarter. Our REG book has reached Rs.1,224 crores portfolio mark showing a year-on-year growth of 57%, with disbursement of Rs.442 crores during the quarter.

To sum up:

Looking ahead, the strong credit demand will keep the pressure on deposit rates, and we will need to manage our cost of funds, thus growing our current account business will remain a key focus. Our focus in liabilities business remains on acquiring low cost, granular individuals, small business and transacting customers and building a predictable, scalable and sustainable deposit franchise.

On our asset businesses:

Focus will be on bringing efficiency, productivity and automation & digitization and leveraging existing customer base through cross selling. We are grateful for the authorized dealer Category - I license granted by the regulator, which completes our suite of Banking products for CASA and Commercial Banking customers. We will now be able to offer Forex services for our existing customers as well as acquire new customers for cross border, trade, remittances and guarantees. Looking back at 28 years of our journey, I am reminded of a tree which starts with a simple seed, grows into a sapling and needs adequate nurturing and care before growing into a fully grown tree. In the past six years of our Banking journey, we have tried to lay a strong foundation to build a forever Bank. And our

our efforts towards offering customer focus services and products have become visible. We have successfully transformed into a primary Bank for a sizable part of our customer base, which is testified with growing active users on AU0101 and increase in customer transactions. We look forward to continuing this journey and serving our customers with even greater dedication and commitment in the years to come and I look forward to sharing more with you in the coming quarters.

Thank you. I am now handing over to moderator for taking the call forward. Please take good care.

Moderator: We will now begin the question-and-answer session. We have a first question from the line of Bhavesh Kanani from ASK Investment Managers. Please go ahead.

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Bhavesh Kanani : I have two questions. One, when we look at the ROA profile for this year, and when we think about the key trends likely next year, one would expect that NIM would be under a little bit of pressure, provisions which have been pretty low this year can be addressed for going up, and all the while we will continue to spend heavily on strengthening our franchisee. So, is it right to expect that the ROA for next year could be lower than where we've ended this year, your thoughts on this? And if you can help us understand the lower effective tax rate for this quarter?

Prince Tiwari : This is Prince here. So, maybe I'll start and then probably Sanjay ji can add. So, as you rightly said, for the last two years if you see, overall, our margins have actually expanded quite well.

And we have got the benefit of the tailwind on the cost of funds given the lower liquidity post-pandemic. And even as of today, as we have mentioned in the presentation, we have managed to maintain our overall cost of funds for the last financial year in FY23 at the same level of FY22. Of course, there will be some amount of catching up, that's going to happen with a lag, that's happening in the entire industry and that will happen with us as well. So, you're absolutely right, that there will be some amount of pickup in the cost of funds in the next financial year.

And you also mentioned rightly that we have also been using this tailwind to invest in our future capabilities and businesses. Like if you look at the entire tech investments that we have done, coming out of lower cost of funds or higher margins and lower credit cost, we have used that money to upfront invest in our capability. And we are now nearing somewhere near the end of that investment phase. Of course, we'll probably have next 12 to 18 months still to go. But the returns have also started crystallizing. So, by the end of this financial year, you will see us monetizing some of the key initiatives around video Banking, around our entire merchant lending, UPI QR code, or unsecured lending, personal loans, cross selling that we have been piloting, or even towards some amount of distribution capability around the insurance side as we have added some new partners. And then obviously, we have AD1 coming up. Of course, it'll take some time for us to implement it. But at least by the end of the year, we are hoping that we'll be live up and running. And there'll be some amount of benefits will start accruing. And then obviously, we have the credit card coming up sometime in FY25, when we're looking for the credit card business to break even. So, all in all, there are some of the investments that we had made during the last few years, which will start yielding positive results beginning end of FY24. So, honestly, while we may have some costs in check up, but we are not too worried around ROA trajectory, the ROA trajectory will definitely be maintained and probably you might see some positive impact by the end of FY25 for all the things that I mentioned. And even on the cost of funds, if you look at, currently we are in a pause

mode. We obviously saw very heavy or very strong march in terms of competitive intensity. But of course, we are beginning FY24 with slightly pause, regulators have put a pause on it, the 10-year yields if you look at they are at about 7.10. So, while there will be an intense pressure, as Uttam ji also said in his speech, we are looking to add current accounts, we are also trying to see how we can play with the mix, we securitized some of the portfolios last year to get advantage. So, keeping all of those factors in mind, will the margin be impacted? The answer is yes. Would it be really, really large? I would not really think so, I think it will be somewhere in the range of historically where we were between pre-COVID to now. And however the ROA trajectory definitely is not going to be compromised.

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Sanjay Agarwal: Bhavesh, my simple answer is this that NIM will get pressurized maybe around 30 bps- 40 bps in this year, because already we are starting our cost of money around 6.4 instead of 5.96, the cost of money for last whole year right. So, there will be a pressure on NIMs that is clearly there because it is not easy to also transfer the entire pressure on the borrowers because there is a lot much competition also there. But Banks are generally not meant to only build their profits from NIMs, we have the other pools. And like last year there was no pool income from PSLC or from

any kind of investment, right? But we should hope that there will be other pools like maybe insurance income can inch up this year, we'll have AD1, we'll start monetizing our QR business, next year it will be credit card. So, overall as Prince narrated that we would be able to save our ROA. I think the data is around 2%. If we earn 2% ROA in these few years of our journey, it will be good enough for us, but maybe around 1.8% to 2% range, we are hoping that we will reach that kind of ROA next year too.

Bhavesh Kanani: Just a small clarification on the effective tax rate being at 20%.

Vimal Jain: So, for effective tax rate. We have received one refund and assessment order in our favor in this quarter. So, that income has been considered here as a reversal of income tax. So, that's why this reduced tax rate.

Moderator: We have a next question from the line of Renish Bhuva from ICICI Securities. Please go ahead.

Renish Bhuva: Just two questions from my side. So, one is on the vehicle book, I mean, so, after a long, six, seven quarters, we have seen the absolute decline in the book despite there is an industry tailwind. So, just trying to get a sense what is happening there?

Prince Tiwari: Before Bhaskar ji answers, let me just clarify. The vehicle book hasn't really declined, in fact, it has gone up. But yes, we have also securitized some business this year, or this quarter. And because of that you are seeing in the absolute terms only on gross advances. If you look at the overall Wheels book, then the growth has been upwards of about 32%.

Sanjay Agarwal: You need to add these securitized book in the overall to figure out the growth.

Bhaskar V Karkera: Nothing changes on Wheels. It's just a matter of the securitized book. Otherwise, all products in the market that we have, the things that we do, we continue to do, and we continue to do the same strategy of balancing the product and the way the Bank needs it.

Renish Bhuva: So, let me put it this way. So, we have not lost our market share in Q4 in Wheels business?

Bhaskar V. Karkera: No, we've not lost market share.

Sanjay Agarwal: Rather, we would have gained, right, Bhaskar ji.

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Bhaskar V Karkera: Because used we do more. So, market share, when they talk about, they talk about the new vehicles over and then we play the game of that. So, that's the

reference point, but in and around the same market share.

Renish Bhuva: Secondly, again, continuation of what Bhavesh was trying to highlight is that in FY22, given the likely NIM trajectory, and also this year, the credit cost was lower, which should ideally normalize in FY 24. So, when we'll have two major components which should drive ROA lower, one would be in contraction and the credit cost normalizing. So, how confident we are that we'll be able to sort of sustain this 1.8% ROA in FY24 as well?

Sanjay Agarwal: My take on the credit card cost is a little different. I strongly believe that this year also we will have the benefit, because of the top asset quality around us. You're seeing how we are getting it now is, I think pre-COVID also is better than that, right, so 1.66% net NPAs 0.4%. And I think every day when we are going on the ground, we are seeing a lot much optimism around credit growth, credit compliance, repayment. So, I don't think that credit costs can surprise us in this year, or even get to the normal level. And, again, I want to say you that somehow, I'm able to figure out in last six years that sometimes some pool has helped you, some time the other factor helps you or sometimes there's negativity or some other things. So, this year, it may be because of NIM getting pressured, but it can be helped out because of a good asset quality, the other income from other pools like AD1, or maybe monetization of our QR, business, and all those things. So, it's mixed bag, and we need to carefully craft our journey. This year also to be very honest FY22-23, people were challenging us that we won't be able to give this kind of ROA, but in the end, we are able to deliver that, right. So, let's hope for best and see how the market also plays out in next maybe two quarters because there is a pause on interest rate as of now, right. And we are seeing it like bonds are coming down at 7.10 today. So, I think we need to believe more in hope and see we will play our inning well, that's our sense.

Moderator: We have a next question from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead.

Shubhranshu Mishra: Two questions. The first one is on the Wheels. If we can split the book into various asset classes of what comprises of how much proportion, what would be LCV, HCV, cars, tractors so on and so forth? The second question is on the initial comments Sanjay ji made about breakeven of the credit card business in FY25. This seems very aggressive compared to any other Bank in India, there is no Bank, which can claim a break even in credit card business in flat three years, generally takes around five to seven years, the largest of the Banks in India have done it in as much time. So, given the fact that you've pointed out the average credit limit, and the new to Bank customers and new to credit card customers, I think we are going very aggressive on those parameters to really have the breakeven faster and play to the gallery. Is that a fair comment to make on the credit card, if you can explain this?

Sanjay Agarwal: Should I answer you the latter one first. I hope you would have gone through our credit card presentation done to really explain our strategy around it. So, as you know we are more of a self - AU Small Finance Bank
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employed kind of lenders, and we know how to lend in core markets over the years. So, we are not playing to the galleries to be very honest, because credit card as a business is very lucrative, post our all digitization across country, and now it's a first product to be very honest for the payments, and the oldest one . That data which we are getting every month, and we have seen ... as you would have read on our presentation also, that our average spend is around now Rs.20,000 per card per month , 84% (correct - 93%) is active, we are giving aro

und 50% (correct - 36%)

cards to our existing customer base. And we haven't done so much of investment to be very honest if recovery happens in five to seven years. And I'm saying with a lot of responsibility that our credit card will become profitable in Q3 of FY25 based on our whole growth plan and the business plan in place. And Mayank and team is doing fantastic job. And adherence to the data is superb there, right? So, you can be touch with our IR team, they can be in touch with the Mayank and team and figure out our strategy there. But I'm absolutely confident that we are very rational there, we are very confident there , we are doing everything in the way we want to build our franchise, which is a sustainable, and which is to be forever. So , we don't have any room to make mistakes, to be very honest , right. So, I think there you will find us in maybe second or maybe third quarters in FY25 making us breakeven , right? So, this is the credit card comm entary. Bhaskar ji, can you comment on the Wheels data?

Bhaskar V Karkera : From a split point of view, that personal car is about 40%. We do a car t axi which is about 12%. Our truck, which is the heavy commercial, which you asked about is less than five, our LCV is around 4%, we do close to a tractor of 10% , we have 4% of construction equipment. So, this is how we get spread and we have over 2% of two wheelers . So, that's the stor y from the 2 to 22wheeler that we generally have as a split on the book today.

Sanjay Agarwal: One more data point, here. Just to comment on your play ing for the galleries, so this book is being handled and build by our ex-CRO , whose name is Mayank , right . And he does not belong to a business or does not belong to a particular kind of mindset, right , he belongs to a risk mindset. And he's building this business from last two and a half years. And he's strong in his credit compliance , strong in his overall approach to do this business. So, I hope he will make a surprise next year.

Shubhranshu Mishra: What is the total tech investment that we have done in credit cards, which is why it's breaking even so far ?

Prince Tiwari : So, we have given that details on our P&L slide, right. So, that comes to about for this particular year to about Rs.156 crores for the last quarter , that's a total investment, but of which 70% has been on credit cards, so that will be about Rs.100 crores. The re's also a corresponding income that we have shown in our other income breakup, which has also been about Rs.100 crore s. So, for the full year, I think we would have invested about 250 -odd crores on credit cards and we have a fee income of about Rs.100 crores against that. And of course, there's N II. Just to get into further details of this , may be a good idea for us to get you a meeting with Mayank to answer further questions specifically on credit cards. FYI, we have also given on slide number 31, specifically, the overall ROA impact of all our digital initiatives, including credit card.

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Moderator: We have a next question from the line of Ratik Gupta from Guardian Asset Management. Please go ahead.

Ratik Gupta : My question is on the breakup of the fixed and floating rate book. So, currently, as we have 66% in the floating rate, and assuming that the repo rate will remain the same, so do we hope that the fixed rate breakup will go high or do we have a projection on what will be the sort of breakup between the fixed and the floating rate book?

Prince Tiwari : What we have given and what we generally talk about is the mix on the overall asset level. So, you'd see we have like four broad businesses on the asset side. Of course, you have Wheels and SBL, which are predominantly fixed rate books, and then you have home loans and commercial vehicles, which are predominantly variable rate books, right. So, the overall com

position of these

books have already been given. And we broadly think that we'll probably try to maintain somewhere around this mix, where retail assets, which is home loans, plus SBL, plus Wheels would be anywhere around 60 % to 65% and probably Commercial Banking can be anywhere between 20% to 25% .

Sanjay Agarwal: I think what I'm able to understand your question is that how we will reduce our fixed rate book, right? So, I would say when once we started a Bank, right, 100% was fixed rate. Now, in six years we have reached 64% (correct - 66%) as fixed rate and 36% (correct - 34%) as our variable rate. And as our retail book largely from home loan and Commercial Banking is going up, I expect my fixed rate book to touch down nearly 50% in the next three years. So, there is no room that my fixed rate book will go up from here, because I'm able to build my Business Banking book, Agri Banking, NBFC, real estate, housing book, and all are actually growing faster than my fixed book, which is largely SBL and wheel. So, from here onwards, you will see a drop in our fixed rate ratio in asset very gradually, and in next three years, we'll touch down 50%, that's our overall assessment.

Ratik Gupta: Second question is on the borrowing and the deposit ratio. So, if you see the borrowing have reduced. So, are we looking forward to be reduced borrowings and focus on deposits for increasing our capital, the liability side?

Prince Tiwari: So, I think around the CD ratio, if you see obviously last quarter was very good on deposit growth. And to that extent, the CD ratio is currently at about 84. And which is basically, what is reflecting on the overall borrowing percentage lower. But historically, also, if you see our borrowings have always remained anywhere around 7% to 8%. And bulk of it is refinance. That gives us the –

Sanjay Agarwal: Long term without your CRR and SLR.

Prince Tiwari: It's part of our strategy of diversifying liability business, and the cost of funds, because refinance gives me that leverage in terms of a lower cost against our priority sector assets. At the same

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time, we don't have to maintain CRR and SLR on that book. So, you would see our borrowing somewhere around the ratios that we are, broadly.

Moderator: We have a next question from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: So, the question is on the fee income side. So, lot many levers now available be it in terms of the increasing contribution of credit card plus distribution and AD1 license would also help. So, where do we see fee income to assets settle, what would be maybe our aspirational ratio for fee income to assets and when do we expect to achieve that over ... how many years?

Prince Tiwari: If you see our entire other income or fee income ratio to assets, for the current year, it has been anywhere around 1.3%. And at a core other income, it has been about 1.4%. So, obviously, this was a year when we didn't have any one-off in terms of income, there was no treasury gains, there was no PSLC fee income, right. So, this is a pure and pure core operating fee income at about 1.4% of assets. Now, if you move forward from here, and for some of the levers that you talked about, definitely it should go up. Now, the question is, at what level and to what extent? We'll have to see honestly. As things materialize, but in a longer term, I don't think it should be any different from where most of the commercial Banks are today as we go.

Sanjay Agarwal: Just to add on to Prince narrative that I strongly believe that there is a change in insurance payout also from the recent circular from IRDA, right, so that will add up to the other income space. And we are also growing our insurance very well; last year, we done around Rs.600 crores premium, this year, we might be doing Rs.800

crores. We have started building a very wealthy

proposition also. It's a small start, but we got some kind of income from there also. Our trade income which is without AD1 license also we got some decent amount and is getting traction. AD1 will start kicking from Q3, Q4. It's difficult to ascertain as of now. In my opinion, it will take two to three years to really get to the real level of that income. But I think overall I would say that we as a Bank being an SFB we didn't have much options also in our initial years. But we are now settling down as a Bank and we are getting traction from everywhere, right? So, the fee income from our asset liability is stabilized. Insurance income will get more onto the balance sheet now. We're expecting wealth to settle down this year. We are expecting AD1 to settle down. Of course, our credit card income, all those things, the monetization of QR code business is around the corner now, something will start from this Q3, Q4, and definitely from next year, it will be coming up at a decent level on our balance sheet, and in next 18, 24 months, it will get a decent shape also. So, I think I think we need to be a little patient with us now. I think time has come where we'll start commenting very specifically, that how much percentage it will be on our balance sheet side. So, that's the overall sense we are getting internally.

Kunal Shah: Secondly, with respect to yield, maybe you highlighted in terms of 30, 40 bps pressure on NIMs, and if I have to look at it in terms of the cost of funds, given that now it's stabilizing, there will be some catch up. But given the pause in the rates, looking at the maturity of advances, how much could be the improvement on the yield side, which we could see, which was, I think,

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maybe we have not witnessed it over the last three quarters. So, just spending as it is and looking at the maturity, what could be the -?

Sanjay Agarwal : I think if you go and see our asset built up, the mix has changed a lot, like Commercial Banking book and housing book is now coming up the size. And there the yield is not high, actually, you need to play on NIM and of course, you need to play on ROA, right. Because there's a lower OPEX, there is a lower credit cost. So, I strongly believe that there is an incremental hike in our wheel business, we are able to pass on some kind of hike there, we are able to pass on some hike on our SBL business, there is some hike in even housing, even personal loan space. But because we are also building a book like Commercial Banking, in overall yield on book, it doesn't reflect, right. So, that is why there might be pressure on NIM because you will see that our cost of money going up and yields are not there on the overall asset. But you will see the lower OPEX and lower credit costs in times to come. So, there is a change in our business model also. And that's why I narrated in my speech that generally a bank takes 10 years to build, right and we have just done our six years without noises, right. So, I think in another four years, all these things will settle down and you will see that we are able to comment specifically on our NIMs and all those things, which is so essential for you people to forecast our future, right.

Kunal Shah: So, with change in mix, no repricing benefit at all from current level of 13.4% -odd in yields?

Prince Tiwari : I don't want to commend to be very honest, but 5-10 basis doesn't help us, so it wouldn't be like 30-40 bps.

Moderator: We have a next question from the line of Param Subramanian from Nomura. Please go ahead.

P Subramanian : So, I was looking at the slide 35, where we are showing the deposit mix split between individuals, corporates, etc., So, if you look at it quarter-on-quarter, there is an increase, five percentage points from government and

corporate while the individual deposits has come down. So, just wanted to understand how sticky is this deposit flow that we're seeing more on the bulk side from government and corporates?

Rishi Dhariwal : Across the year, the deposits between the government and retail have actually moved more towards retail. Only in the last quarter because, we continue to focus on getting more and more granular retail, so the composition between the individuals and corporate sort of looks a bit slightly lower than the Q3, and we managed to win a couple of good government deals. These are transacting accounts that we have, we won mandates from the government departments as well as businesses, where we have transacting accounts from them, and that is what has helped us to sort of get that number over there. So, these are not bulk deposits, but these are project accounts, where the transactions are happening through us. We registered on PFMS for a state government project. We registered on the PFMS for a central government project. We have the nodal account with us. So, even the government account money which is there actually are transacting accounts and it is a long term sticky relationship that we have over there.

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P Subramanian: Cost here is higher than what we see for the individual deposits?

Yogesh Jain: So, just to add this, government account on your question, cost is absolutely less actually than my individual or corporate because this is transacting account in saving, so, cost is lesser than my individual and this is what Rishi ji mentioned that this is a nodal account and in normal course of business, we get the se accounts from central or state governments. That is why you can see that government proportion is a little bit high. And in terms of corporate also these are very small corporates, these are not big corporates, again, a kind of Rs.5-10 crores kind of category, which we get a small corporate. So, otherwise, we are on course.

Prince Tiwari : If I can just add to that Param, like what Rishi was also articulating, if you look at a year-on-year trajectory, then it is exactly same rather, right. In fact, it has come down on the government side and corporate is 14% itself. So, as Rishi was saying, throughout the year, we have focused a lot on current account, we have focused a lot on savings account, and that has helped us to even manage the cost without necessarily looking for bulk deposits. But definitely in the last quarter, there was a competitive intensity, some amount of as Yogesh ji and Rishi ji mentioned, we did get some savings balance money in some of the transacting accounts that we won, and that's the impact.

P Subramanian: So, what I understand is mix will reverse back to something that we've seen in the last few quarters going ahead, right?

Prince Tiwari : Our endeavor will be to grow individual and retail money, which is what we have always talked about, and that's the ratio that we track, which is basically CASA plus retail, CASA plus retail for us is around 69%, that was same as last quarter at 69%, and in March '22, that was 67%.

P Subramanian: Sanjay sir if you could give some insight into how you're seeing loan growth going ahead, you closed this year at 26% - 27% on the gross advances side that you've reported, but going ahead, how you are seeing the demand environment and the growth outlook for AU say for the next

couple of years?

Sanjay Agarwal: As I narrated in my call that there is a lot much optimism in every sector, be it weel, be it SBL be it housing, be it Commercial Banking. I think it's not about how much really we can grow. The answer is we are looking at this how much we really want to grow. So, I think last year also we commented that we want to be in the range of 28% - 30% and that we achieved if you add on our asset sec

uritization, we are near to that rate only. And so we really want to build more on rationality, we really want to build more on sustainability and being in industry for so many years, I strongly believe that sometime the bad books are built in good times. So, I want to be really cautious here because deposits is also not available at will, right? We have to put lot much effort there. And as you're talking about that, whether we choose or we have a right to choose, it's not there, right. If government money is coming at a savings account, whether it's 3,000 or 4,000 or 2,000 crores, I need to pick up right. We being in a small finance bank, are early in our journey. So, we don't have choices. But in the end, if you see our overall data profile, which says AU Small Finance Bank

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that our CASA is 38%, our retail is 70(Correct -69%), our cost of money is around 5.95 (Correct -5.96%). And then of course, we are building lot much around digital, we are building a lot much around the other aspect. Then, holistically, you see the Bank going very strong, and then, of course, our overall asset rationality around growth, and then, of course, the asset quality. So, that makes me more comfortable that, we have the business model, which is sustainable, which is scalable, and that's the way we really want to be in this business.

Moderator: We have the next question from the line of Nitin Agarwal from Motilal Oswal. Please go ahead.

Nitin Agarwal: So, on the deposit side, we have done very well and you indicated that as an SFB, we have to take any good deposit that's coming our way. But the excess liquidity on the balance sheet is looking quite high. So, if you can quantify that number? And now looking at the potential margin compression, and also the SBU profitability showing that additional investments are not adding anything to ROA. So, what would be your approach on this point, like would we look to reduce this excess liquidity or will you continue to raise deposits at this space?

Sanjay Agarwal: I would say that whatever way we have done in last six years, whether it's our deposit built up strategy, asset built up strategy, the quality around it, the cost around it, the people around it, the tech around it, like I'm very happy to see that our credit card business becoming profitable next year. We already started monetizing our QR code business, we have already started building our video Banking as an option to branch Banking, right. So, I don't have a choice but not to invest to be very honest. Because we are looking to build this Bank for the next maybe 100 years, right? And tech is essential, whole tech innovation is essential. You will be left out. So, we need to invest with NPCI. We need to invest with Amazon, we need to invest with Salesforce, we need to invest with Visa and FICO right? Those are coming from everywhere now. So, I don't think that for a one year or two year to make my balance sheet very smarter, or my ROAs and ROEs very attractive, I should not do investment, right. So, we will keep doing investment because that's the need of the hour and that's the way the Bank should be built on. Because we are also earning very healthy ROE and ROA; our ROEs are in north of 15% in spite of raising so much of capital last year, right? And you will see that ROEs coming back maybe in next two years, whatever you expect. But I think then then it will be more sustainable because it will be tech-led ROEs and ROAs. So, that's one thing. Second, to the other question, because the excess liquidity, it will be temporarily parked, because of money we only got in last week, or maybe last two weeks of March and we already have deployed it. And again, we are not in a position that we had a lot many choices to say no, right? We say no to many things. But if deposit is coming in current account or dep

osit is coming in savings at 4.5% - 5%, then we need to accept, because we are a Banker on a street, which is available for customers to do Banking. So, I think there also the access is not hitting us so much, because optically on March it looks very heavy, but it's around 128%. But as of now when I am speaking into you on 25th of this month, it already got resolved. So, that's the sense. It's a very dynamic platform, very operational platform, many things we need to accept as we do our business on a regular course, but very confident and very excited that our six year has gone without much of disturbance around us, other than the AU Small Finance Bank

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perception right? And whether deposit franchise, asset franchise, digital franchise, our governance, overall aspect of Banking, we're ticking every box out of it.

Prince Tiwari: And just to add, one point like as was said obviously LCR has already normalized and for the

last quarter as well, we had reported the average LCR was 128%, right. And again, being a small finance bank, relatively newer Bank compared to some of the existing guys, we do have to keep some excess liquidity, I mean, the regulation requires us to keep 100%, there is some amount of board mandate as well given the kind of vintage that we have.

Vimal Jain: So, if you see the slide number 31, even that excess liquidity we are not losing money, so at least it's a slightly in positive side. So, we are keeping the excess liquidity for keeping our balance sheet strong and not losing any money.

Moderator: We have a next question from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: First question is on the SBL book. If I include the securitized book, that segment has grown about 7% QoQ which is a healthy number. What run rate do you expect for this growth in the near future?

Sanjay Agarwal: SBL book should grow in the range of 20% - 22% year-on-year, right, plus/minus 1% - 2% here and there because we have got a scale now, it's north of Rs. 20,000 crores. So, I think it will go around 20% - 22% range every year.

Ashlesh Sonje: Secondly, you mentioned that you're taken some hikes already on interest rates on the new regulations in both SBL and Wheels. Can you quantify roughly a weighted average number or something, the hike which you have taken on new origination?

Sanjay Agarwal: In the incremental capacity, you have data. Incrementally in one year term, how much incremental you have passed on to the borrowers?

Bhaskar V Karkera: Yes, if you look at the entire year, we have gone up by 80 bps over what it was last quarter of last year versus this quarter it's up by 1%. So, incrementally on a sequential YoY, but if we look at during the year we have passed on upwards of 80 basis in Wheels.

Sanjay Agarwal: SBL, we have largely remained in the same course.

Ashlesh Sonje: Any idea about what would be the sequential overall increase during fourth quarter in the Wheels segment?

Prince Tiwari: So, it's around 10-12 bps.

Moderator: We have a next question from the line of Pankaj Agarwal from Ambit Capital. Please go ahead.

Pankaj Agarwal: What's the reason behind more securitizing in this quarter?

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Sanjay Agarwal: Again, about optimizing your cost I think we have raised securitization at 100 bps lower than the cost of overall incremental money in March.

Pankaj Agarwal: So, at what rate the securitizing is happening right now?

Prince Tiwari: As we said, during the Q4, we securitized 3,000 crores, as we have disclosed and the average rate there would be about 100 bps lower than where we would normally raise term deposits. So, obviously, it gives you a longer term funding, which is matched, so, helps us to optimize our mix on the liability side, and also helps us

on the overall liability, how much growth that we can do and, focus on retail business rather than chasing deposits.

Pankaj Agarwal: The reason I'm asking is that any Bank who's buying this portfolio might be at least demanding 7% - 7.5%, right. So, you're saying that your incremental daily rates are more around 8% - 8.5%?

Prince Tiwari: So, this is more priority sector loans. Typically, you know that larger Banks are short on priority sector, and while there is a PSLC market, they always prefer buying the portfolio because it goes directly into their investment book and stays with them for next three years. So, to that extent, they are willing to pay a bit of a subsidized cost or a premium on that.

Moderator: We have a next question from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: So, firstly, how should we think about cost-to-income ratio in FY24 and beyond, will it remain at the same level?

Prince Tiwari: Maybe I'll start in, Sanjay ji can add. So, on the cost-to-income side, as you have seen that Q1, obviously, we went up to 65%. But, we have done well to manage the cost overall for the full year at about 63%, where we had initially talked about 60% to 63%. And, as we have been saying earlier in the call that there are many more profit pools, which are just around the corner. So, we have been investing, and that's part of the reason why our cost-to-income has been higher. So, this year, obviously, the cost-to-income should broadly be in the range at where we are. But as we move into FY25, and as I said, some of the investments start tapering off, and some of the revenue pool starts kicking in, including AD1, and credit cards and other things, hopefully, you will start seeing a gradual decline in cost-to-income for us.

Sanjay Agarwal: My take on the subject is that we are focusing more and more on this. But as you know we are investing a lot in our tech and our distribution and to build this Bank in a very sustainable and the kind of forever mindset, right. So, the best case for your own Excel would be that it would be 60%. But it won't go above 64%. So, I think that's the range. But ideally, we should be around 60% to 63%. That's the way I'm thinking. But it's too long a call, a full one year, right, we are just in April. So, anything can happen, but for your own calculation, it can be done like this.

Nidhesh Jain: Secondly, do we plan to scale up consumer loans, personal loans, Affordable Housing or any

other lending products over the next couple of years ?
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Sanjay Agarwal: Not really . I think we have done enough on our product side; we are running around 15 - 16 type of loans, starting from Wheels , then SBL and all those things. We want to focus on our unsecured book, but it has to come through credit card or we want to really see how our QR code business can build up that and also how our data analytics helps us to give a cross sell option to our existing customers. And all three are shaping up well. As I think Uttam told you that we have done 800 crores of disbursements in our cross sell PL book , we have done around 200 crores on our QR code business , we have done around 1,000correct - 1400) crores around credit card. So, all our shaping well, and I think we want to be really like that only for next couple of years and then we'll see how we want to progress there.

Moderator: We'll take a last question from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise : As we mature in our investments over the next 12, 18 months , and with the kind of credit quality that we've demonstrated over a large part of our history, what would you see as a steady state ROA as the business matures in the next three to five years, or will we be happy with the current range of 1.8 % to 2% just from a construct perspective

given that we have a large granular asset

book, liability franchise which is improving on the right side, and probably the curve of high investments will be over . So, just wanted to get Sanjay ji thoughts on that.

Sanjay Agarwal: I think a good question, and thank you for understanding us, because we are doing lot many investment to really build future, right? And if you ask me about my three to five time horizon, and if the interest rates doesn't go off the rack, right, and it remains in one range, I strongly believe that this kind of interest rates are not sustainable, right , for any kind of a country, so, it will come down . Because , ROA depends on NIMs and other incomes and credit costs, and all those things. So, I strongly believe in the next three to five years, the way we are building ourselves, and as of now will be complete in terms of our product offering once AD1 start coming in. So, anything north of 2% ROA, will be sustainable, because we do retail, right, and we do high yield assets, our cost of money can be managed, and you know that our ability to collect and manage our asset quality is always there , and by bringing lot many technology innovations, will manage our OPEX also. So, all will start kicking in from next year itself, right? So, for next two, three years, if things remain strong, we can surprise many people in terms of our performance . So, that's my sense. But anything above 2% is quite achievable given what we have done in the last six years.

Moderator: I now hand the conference over to the management for closing comments . Over to you.

Prince Tiwari : Thank you everyone for joining the call and for your questions and for all your support. Look forward to interacting more . In case you have any further questions , kindly reach out to the IR team? This is Prince signing off from A U management side. Thank you so much.

Moderator: On behalf of AU Small Finance Bank , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

Ref. No.: AUSFB/SEC/202 3-24/126

Date: July 27 , 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 958400, 974093, 974094 & 974095

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter ended on June 30 , 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ("Listing Regulations "), we submit herewith the transcript of the conference call held on Saturday , July 22 , 2023 for the Financial Results of AU Small Finance Bank Limited (" the Bank ") for the Quarter ended on June 30 , 202 3.

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above
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"AU Small Finance Bank Limited
Q1'FY24 Earnings Conference Call "
July 22, 2023

MANAGEMENT :
MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR
MR. DEEPAK JAIN – CHIEF RISK OFFICER
MR. YOGESH JAIN – CHIEF OPERATING OFFICER
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER
BHASKAR KARKERA – CHIEF OF WHEELS
RISHI DHARIWAL – GROUP HEAD LIABILITY
VIVEK TRIPATHI –HEAD OF COMMERCIAL BANKING
MAYANK MARKANDAY – HEAD OF CREDIT CARD
BUSINESS
MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS
AND FIG
MR. KUNAL KAKKAR – SENIOR VICE PRESIDENT -

INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to AU Small Finance Bank Q1 'FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations and F IG. Thank you and over to you, sir.

Prince Tiwari: Thank you, N eerav, and good evening everyone, and welcome to AU Small Finance Bank's earnings call for the first quarter of FY 24. We sincerely thank you all for joining on the weekend. The format for today's call will be very similar to what we have been doing for the last few quarters where we will start with an opening remarks from the senior management of the bank for about first 20 to 25 minutes, followed by a Q&A session of about 30 to 35 minutes for everyone who's present on the call.

To start the call, I'll now request our MD and CEO, Mr. Sanjay Agarwal, to share his thoughts on the overall performance of the bank and his outlook for the bank. He'll be followed by our ED, Mr. Uttam Tibrewal, who will share his thoughts on the operating highlights for the quarter. And besides them, we also have senior members of the management to answer any questions that you may have.

For the benefit of everyone, as is customary, I would request to keep your questions to two, and if needed, join back in the queue so that everyone can have a chance to ask the questions. With that, I'll now request Sanjay Ji to start today's call and share his thoughts for the bank's performance. Over to you, sir.

Sanjay Agarwal: Yes. Thank you, Prince. Good evening and namaskar. I extend my heartfelt appreciation for each of your presence today, given its weekend and a holiday. I'm delighted to address you all today and provide an update on the bank's first quarter performance and our vision for the future. Before going into the details, I want to express my gratitude for your unwavering support and confidence in our bank which continuously drives us to surpass boundaries. On the macro front, the global economy continued to face heightened uncertainty in the first quarter, amidst banking system fragility in certain countries, persisting geopolitical tensions, and moderating but elevated inflation. Despite these global headwinds, the Indian economy and the domestic financial systems remain resilient.

Most high frequency indicators show that India continues to be on the path of sustained growth. Inflation is moderating, current account deficit is narrowing, foreign exchange reserves are on rise, and the Indian financial system is robust. Rural economy has continued to recover government spendings and infrastructure capex programs. And the monsoon is likely to support the credit demand in rural and semi -urban areas. In whole, India is shining and poised for a sustained period of growth.

In this backdrop, let me share my thoughts on the first quarter performance. The quarter gone by was the 25th quarter of our banking journey and our performance remained consistent with the expected outcomes driven by our team's unwavering commitment. Our deposits grew by 27% on yearly basis, which is now at INR 63,315 crores. We started the financial year with excess liquidity and our LCR as on 31, March was 151%. On an average, we had 39% additional

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liquidity during the quarter than regulatory required. Our focus was to take advantage of this excess liquidity that we carried from last quarter, and we consciously chose to keep away from high-cost deposits and instead focus on retail and granular deposits.

Our retail term deposits increased by 8%, even though our overall deposits remained similar to last quarter. During the quarter, we have reduced our peak deposit rates by 25 basis point across savings and retail term deposits and continued to place strong emphasis on CASA retail deposits, particularly by enhancing our current account offerings. Going forward, we want to pivot our liability strategies more towards our products and services.

vices and our brand pull rather than interest rates alone.

Our cost of funds has increased by 29 basis points, reaching to 6.58% as deposits continued to re-price. On a year-on-year basis, our overall deposit cost has increased by 86 basis points since June '22. This is compared to a 250 basis points increase in system-wide interest rates during the same period. As we had previously communicated during our last year's fund raise, the impact of interest rate changes typically takes about 12 months to 18 months to fully manifest, and we are now in that cycle.

We're expecting the pace of increase to be gradual from hereon as bulk of the re-pricing is behind us. This increase in deposit costs and drag from higher liquidity impacted our margins by 38 basis points this quarter, but it remains within the guided range. We might experience a spill over of additional 10 basis points for the full year, compared to our earlier projection.

We have increased our disbursement yields by 29 basis points during this quarter, which will help our margins in the coming year. 66% of our loan book is fixed rate and 34% is floating rate. Our fixed-rate retail book will be advantageous once interest rates reversal start as we have seen in past cycles. We will be likely the beneficiaries on the margin front in the coming years, and we will look to maintain a mix of fixed to floating rate around similar levels now.

During the quarter, our asset growth was strong, growing at 7.6% on quarter-to-quarter basis. This was supported by surplus liquidity buffers and a strong credit demand. As we have maintained in the past, our asset growth will be deposit-led, and we will calibrate further to the extent we raise cost-effective retail deposits. Our focus on assets is to prioritize yields and the underwriting filters. You will hear more in this from Uttam.

Our asset quality trends continue to be within the range with gross NPA increasing by 10 bps quarter-to-quarter to reach 1.76%. Quarter 1 generally is a sluggish period due to seasonality, which is the case this quarter as well. And we expect that asset quality to remain within the range without any surprises.

Cost-to-income ratio for quarter 1 was 65% and our endeavour is to keep the full year cost-to-income around the range of FY 23. Cost-to-income ratio will remain under pressure as we continue to invest in credit cards and digital initiatives and also invest in building our transaction banking capability this year. The quarter saw us increasing our net profit at INR 387 crores, an

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increase of 44% year-on-year. The resulting ROA and ROE stood at 1.7% and 13.8% respectively. The bank remains well capitalized with our CRAR at 21.5%.

We continue to increase our distribution and have added 11 new touchpoints this quarter. In all, we plan to add 60+ new branches and touchpoints in the current financial year. We are continuously enhancing our tech ecosystem and digital properties. A lot of work is going on internally towards automation and digitization. We are working with global tech giants like Visa, Salesforce, NPCI, Oracle, Accenture and hope to build operational excellence and efficiency through tech in the coming years.

One particular project which I'm excited about is end-to-end digital journey for our vehicle business with the help of front-end solution from Salesforce and integrated with backend BRE from FICO. Once implemented successfully, in the first phase, it will help us in straight-through processing of our personal cars and two-wheeler loan disbursements.

Notably, our digital products continue to scale. The credit card business has now reached 6 lakhs+ live credit cards with monthly spend crossing around INR 1,250 crores in June '23. Additionally, we opened 49,000+ savings accounts via our video banking and AU 0101 in quarter 1.

Our outlook for

the future is to move towards our long-term vision. I sincerely hope that you had a chance to go through our recently released annual report for FY 22-23, themed on building a sustainable bank, which can last forever.

Further, as India prepares itself to become a \$10 trillion economy by 2035, we strongly believe that AU has an incredible opportunity to play a crucial role in this journey. We firmly believe that our first 10 years are very important in this forever journey, out of which we have already completed the first six years seamlessly. We have navigated the challenges with a positive mindset, focusing primarily on strengthening our core and growing with a purpose. A significant emphasis has been placed on building a robust foundation and driving content. A lot of leadership depth has been created, and implementation of a SBU framework has helped us strengthen our organization structure and efficiency.

Over the next four years, that is by 2027, when we complete 10 years as a bank, we are preparing ourselves by focusing on platform development, customer centricity, financial inclusion, innovation, and adopting a forward-looking approach. By this time, we hope to attain a significant size and scale, and grow our distribution, on-board a large customer base, establish

our brand, and strengthen trust of our all stakeholders.

Beyond 2027, we can leverage our size and scale, benefiting from a strong brand presence, nationwide distribution, advanced digital properties, tech-driven initiatives, and robust balance sheet. This combination will enhance the bank's relevance and create opportunities for sustained growth at a larger scale. Each and every aspect of this readiness is being looked into in detail, and we are preparing ourselves to be ready for the next phase.

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For me, personally, the focus is to continue strengthening our governance and compliance with a long-term outlook on productivity and efficiency, to prepare ourselves for the next phase of growth and to complete our platform buildout. You will see our initiatives around three key functions. First, consolidating our entire digital franchise and products under one umbrella. Second, buildout in our transaction banking business. And third, which is the most important, is about rural, impact, and inclusive banking.

We remain committed to our core purpose of financial inclusion and refining our products, policy, and processes to strengthen our focus on priority sector lending. As of June 2023, we continued to exceed the requirement of key SFB guidelines as mentioned in our presentation. However, as we grow, our priority sector requirement also increases. While we have a buffer in other categories, we are now concentrating on small and marginal farmers lending and creating a rural banking team to fund such farmers directly and through partnerships with farmer produce organizations and banking correspondents.

This quarter, we had to buy PSLC amounting to INR 860 crores in small and marginal farmer to meet the requirement in this subcategory and create buffers and I firmly believe that we don't have to buy anything more from our PSL requirement in this financial. Rather, we might have a surplus in other categories.

HR and brand buildout remain other key focus area. We're already working on many initiatives around becoming an employer of choice, not only for our employees but for the market at large. I firmly believe that a compelling story will unfold once we complete 10 years as a bank. By 2027, we envision a larger and stronger balance sheet with stable leadership and a well-tested matured platform. Our increased brand pull, and accelerated customer acquisition can provide us a large base for cross-sell and monetization, thereby bringing economic efficiencies. We're optimistic and seek your continued support as our track record speaks

volumes about delivering on our promises.

To conclude, for FY 24, efforts are underway to improve efficiency and productivity, as evidenced by the stable employee headcount in the last 18 months despite business growth. Asset quality is well managed within the range, and we do not anticipate any surprises in credit costs. Our endeavour is to align our profitability and return ratios within the range of FY '23.

Our various investment surplus -- investment avenues, including video banking, QR codes, wealth, credit card, etc., shall start yielding profitability from 2025 and will help us unlocking operating leverage. Our size will give us an advantage beyond 2027, and we are strategically preparing ourselves for that phase.

In closing, I stand before you today, not only as a CEO but as a custodian of your trust. I assure you that we will continue to push the boundaries of what is possible to create sustainable value and to deliver on our promises. Our path may be challenging, but I am confident that with your unwavering support, we will triumph.

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Thank you once again for joining us. Over to Uttam for operational highlights for this quarter.

Thank you.

Uttam Tibrewal: Thank you, Sanjay. Namaskar and good evening, everyone. Wish you an abundance of health and happiness. I will now share an update on all our businesses for the first quarter of the FY 23-24.

Despite the caution on global economic activity, our economy continues to exhibit resilience and has emerged as a beacon of growth with moderating inflation and strong momentum observed in various high-frequency indicators. The rural economy is also experiencing a positive trend and higher government spending and uptick in kharif sowing will provide momentum. Last quarter also saw worries around delayed monsoon and El Nino effect. However, the recent coverage and intensity of monsoon augurs well. We continue to remain watchful and agile moving forward.

The bank has demonstrated resilience while effectively navigating the higher interest rate and year-on-year liquidity challenges. Reinforcing our legacy of 28 years, we continue to focus on India's Bharat, the semi-urban and rural demographics of India, and continue towards the socioeconomic development of these geographies via impactful lending.

The bank continues to strengthen lending to small and marginal farmers, FPOs, small businesses, and social entrepreneurs in Bharat. The deposit book has largely got repriced, leading to some contraction in our net interest margins. However, this was well expected, and during the quarter, the bank was also able to increase its disbursement yield by 29 bps on a quarter-on-quarter basis. This may help us in the coming years to better manage our NIMs.

First, to start with an update on digital banking. Happy to share that this quarter, we launched one-of-a-kind digital journeys to acquire current account and corporate salary accounts via video banking that hold great promise for our future growth and scalability. We continue to leverage technology to enhance our customer experience and expand our reach in the digital banking space. Our reputation in digital banking has yielded promising outcomes with around 50,000 savings account customers acquired through AU 0101 digital platform, and video banking in Q1'FY24. Currently, the collective deposit balance of video banking portfolio exceeds INR 1,300 crores with a year-on-year growth of 82%.

We are excited by the growing digital adoption of AU 0101 platform. We now have nearly 21 lakh customers registered on AU 0101 app, a growth of 90% on a year-on-year basis. Also, 74% of these registered customers were active on AU 0101 in Q1 'FY24, a healthy indicator for engaged customers with the bank. Our digital acquisition efforts were complemented by several high engagement branded campaigns on digital and social

media platforms, helping to drive

82% higher traffic on our website year-on-year and demonstrating greater customer affinity and consideration towards the brand.

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To further strengthen our digital product portfolio, we introduced four key solutions: first, bill payments through video banking, allowing our customers, especially senior citizens, to pay utility bills at their convenience. Second, we have enabled UPI Lite on saving accounts, enabling seamless single-click transaction for small purchases. Third, we have launched reward programs, AU Rewards, for our liability customers, offering loyalty points for every banking transaction, thus strengthening customer engagement. Fourth, we have introduced digital agreements for lockers, making us a truly digital bank. We sincerely urge you to experience digital products and these solutions and share your valuable feedback.

Moving towards our liability franchise. As Sanjay mentioned, our overall deposits grew by 27% year-on-year to INR 69,315 crores. This was similar to our deposit base in March '23, as the bank chose to consume surplus liquidity buffers. However, on a quarter-on-quarter basis, our retail term deposits saw a growth of 8%.

During the quarter, we also reduced our peak deposit rates by 25 basis points across savings accounts and term deposits. In Q1 'FY24, our CASA deposit witnessed a year-on-year growth of 14%, reaching INR 24,286 crores compared to INR 21,216 crores in Q1 'FY23. The CASA ratio of Q1 'FY24 stands at 35%, compared to 38% as of March '23. As the CASA deposits saw outflow from our large transacting government saving accounts, which was a normal course of business. Our CASA + Retail TD mix remains steady, contributing 68% of our total deposits in this quarter.

Our Q1 customer acquisition for AU IVY, Royale, and Platinum constituted 36% of our total new savings account customers, excluding BSBDA on-boarded during Q1. And our higher variant current account acquisition was 49% of total current accounts sourced in Q1 'FY 24. This reflects our key strategic focus on acquisition of good quality and engaged customers to build a sustainable and granular liabilities franchise.

We have been focused on improving the product mix of our liabilities franchise with a comprehensive suite of value-added products, spanning payments, investments, and insurance to become primary banker to every customer. Cross-sell of asset products to branch banking customers grew by 29% year-on-year, with disbursements of INR 635 crores in Q1. Our PPC stands at 1.61% for savings account customers, excluding dormant and BSBDA accounts and two for current accounts, excluding dormant. Similarly, around 57% of savings and 68% of current accounts customers have actively transacted with us in Q1 'FY24.

The recent launch of our Rewards program should enhance early activation and engagement with our savings customers. One key initiative started last year was to build out our wealth proposition, helping us to engage more with our retail and urban customers and provide them complete bouquet of investment solutions. We have started to see some initial progress. Besides SIPs, mutual funds and 3-in-1 trading accounts, we are also onboarding customers on PMS and

AIF offerings. Our mutual fund AUM grew by 48% quarter -on-quarter to INR 247 crores in Q1.
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Moving to credit card business. Our credit card proposition continues to scale with 1.25 lakh cards issued in Q1, a 54% growth year -on-year. We have geared up acquisition through video banking and are pleased to share that we have issued more than 70,000 of these cards via video KYC in Q1. Overall, we have over 6 lakh live credit cards with monthly spends crossing INR 1,250 crores in June 2023. 69% of these source credit card customers are new to

bank, with 26%

comprising of new to credit card itself.

A quick update on personal loan business, which is completely driven through digital acquisition. We have disbursed INR 940 crores till date through a AU 0101 app and our website. On the UPI QR front, our over 10 lakh UPI QRs witnessed 17% quarterly growth in value of transactions. Our QR -based lending solutions for merchants has also seen a good start with close to INR 250 crores disbursed till Q1'FY24, all of which has been disbursed fully digitally on the AU 0101 platform.

Moving on to our assets franchise. During the quarter, credit demand remained strong with disbursements sustaining across product segments. Our total gross advance grew by 29% year -on-year and 8% quarter -on-quarter to reach INR 63,635 crores. Our GNPA saw an increase of 10 bps during the quarter, reaching 1.76%. This is quite a seasonal and a normalized phenomena for the first half of a financial year, and our long -term asset quality should remain range bound. Starting with wheels now. This quarter, the vehicle industry sold 53.61 lakh units, showing 4% growth year -on-year and 12% growth quarter -on-quarter. Strong quarterly growth was visible in the tractor and commercial vehicle segment with 33% and 22%, respectively. Keeping with industry trends, we disbursed INR 4,091 crores in Q1, a 10% growth quarter -on-quarter at an IRR of 14.66% and an increase of 22 bps sequentially. Our average ticket size remained around INR 5 lakhs on disbursements and INR 3.1 lakhs at total asset level, excluding two wheelers. As of 30, June 2023, the total loan portfolio gross of securitization of wheels stood at INR 24,441 crores through 8.82 lakh live loans, comprising of 60% new vehicles and 40% used. While the personal segment contributed 43%, the commercial vehicle segment and tractor segment contributed to 47% and 10%, respectively. Gross NPA stands at 2.2%, improved 13 bps on year -on-year basis.

Coming on to our housing finance business. We maintained a steady pace in this quarter. Our home loan business saw disbursement growth by 32% year -on-year to INR 572 crores and the total portfolio has now reached to INR 4,698 crores, comprising over 44,000 loans with an average ticket size of INR 11.71 lakhs and a portfolio yield of 11.7% with GNPA of 0.4%. At present, home loans are offered at 240 + branches of the bank through a plug -and-play model, and we may scale this distribution gradually as required. Notably, being an affordable housing book, much of our book is also eligible for long term refinance from NHB.

Moving on to our secured business loans. Our distinctive SBL business model focuses on providing loans for productive business purposes. While adopting a relationship -based approach, SBL business continues to see positive traction with disbursements at INR 1,407 crores in Q1, a AU Small Finance Bank Limited

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growth of 10% year -on-year. As on 30, June '23, our loan portfolio gross of securitization stands at INR 19,994 crores with portfolio yield of 15% across 1.86 lakh live customers. Our average ticket size stands at INR 10.4 lakhs across 2.31 lakh loan accounts, and our GNPA increased by 20 bps quarter -on-quarter to 2.7%.

Coming now to commercial banking. Commercial banking plays a vital role in building retail franchise for the bank and provides liability cross -sell opportunity along with general CASA book. The commercial banking portfolio grew by 57% year -on-year to reach portfolio of INR 13,461 crores as of June '23. In Q1'FY24, commercial banking disbursed a volume of INR 2,419 crores with two main businesses of Business Banking and Agri Banking accounting for 75% of the total disbursements.

GNPA for commercial banking stands at 0.2%. Gross advances for Business Banking stands at INR 5,510 crores with total fund base disbursed growing by 4% sequentially at INR 1,047 crores. The

growth in portfolios was driven by leveraging our branch network, yields from existing customers, and cross -sell to existing current account customers, Business Banking GNPA stands

at 0.2%.

This quarter, Agri Banking saw disbursement of INR 755 crores with total book crossing INR 4,335 crores portfolio mark. As on 30, June '23, Agri Banking has reached more than 81,000 small and marginal farmers via funding 191 FPOs, with total disbursements of INR 24.75 crores. Agri Banking GNPA stands at 0.4%.

To conclude, our efforts across branch expansion, product innovation, customer engagement, people capabilities, and continued digital innovations have positioned us to scale our business well. This year, our core resolve is to strengthen efficiencies across productivity, cost optimization and distribution through technology investments, while building a low-cost and sustainable deposit franchise.

We are actively working towards sustainably expanding the current account deposit book, leveraging our comprehensive merchant solutions, and the strong foundation of our SBL and Business Banking customer base. We have started the project to operationalize our AD -1 license and have received our SW IFT membership. We intend to build a tech-led comprehensive product suite for SMEs and individual customers in this space.

In the coming quarters, we are committed to providing accessible and inclusive financial services to reach the unreachable, foster financial literacy, promote entrepreneurship, and facilitate sustainable development. We continue to align our business objectives with the broader goal of driving positive impact and making a meaningful difference with purpose-driven banking for a stronger Bharat. We are optimistic about the opportunities that lie in our area of strength, that is the value of India. I'm eager to share more positive updates with you in the upcoming quarters. Till then, stay safe, stay healthy. Thank you.

Over to Prince for Q &A.

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Prince Tiwari: Thank you, Uttam Ji and thank you Sanjay Ji. Now, we can now open for questions and answers.

Moderator: Thank you very much. The first question is from the line of Renish from ICICI Securities. Please go ahead.

Renish: Sir, just one question on the deposit side. So, in Q1 'FY24, it seems that we have entirely exhausted the excess liquidity and incremental growth in Q1 was funded by this excess liquidity. At the same time, we have also cut our deposit rate. So, going ahead in absence of excess liquidity -plus the deposit rate cut, sir, what gives you the confidence that we'll be able to accelerate deposit mobilization in coming quarters?

Sanjay Agarwal: Yes. So, I think Rishi would give you more colour on this, but our sense is that we have come a long way. Our last four years CAGR on deposit growth is around 35% north to 35%, right? And we have built more or less on everything, whether it's about offering better rates, it's offering better products, services, but I think as we already commented that we want to have a deposit-led asset growth strategy more on table than anything else.

And we can't have only an interest rate as our only attraction towards depositors, right? We need to build around other things also. And we have built lot many things, from credit card, our wealth management practice, cross-selling options from insurance team and all those things, right?

So, idea is to be really try out to build deposit. I know it will remain tough for us. It's a high-interest regime scenario. Everybody is putting their best effort to build deposit. But I think as a team we are trying our best so that let's play on other things also and want to give our best try for maybe a quarter and two and then see how we really want to play a long inning. But we are putting lot much into this, and our key focus area is to really build

very granular, very sticky,

low-cost money, right. That's the first objective as a bank, right? So, I think it's an effort from our side, but let's see how we play our inning in the long run. Rishi, you want to really comment more on this?

Rishi Dhariwal: Yes Renish, Rishi Dhariwal here. So basically, it's like this that our journey has been to granularize our savings book and in any case, the overall share of the retail deposits in the overall liabilities of the bank. And to tell you some numbers, we have close to 120,000 Platinum family savings account, which is essentially the emerging, affluent kind of customers that we have acquired over the last 27 months, and incrementally for the last 12 months, two-thirds of the new acquisitions are Royale and Platinum savings account and we continue to ramp-up more these now also, right?

So, for example, in the foregone quarter, 72% of all the accounts acquired by the branch banking team are Royale, Platinum accounts, which are INR 25,000 and INR 1 lakh average balance family savings accounts, right? So, these are really emerging affluent customers where the ultimate rate offered by us is much lower on the savings side, right? And we've grown our distribution to 551 (552) branches over the last few years.

Our deposits are more diversified because we've built our channels on current account, enterprise salary, NR, TASC, and the IVY channel. And our expansion of geographical footprint from Mumbai to Guwahati and Jammu to Kochi actually gives us the capability and confidence to acquire customers across various segments from salaried, self-employed, small business owners, non-resident, TASC, HNI.

So, like what Sanjay said, it is a calibrated decision to reduce the premium on our deposits compared to mid-sized universal banks. And we have traversed the journey of gradually reducing the spread to other banks over the last six years. And I would believe that the current reduction is part of that journey. So, we will make our best efforts and make sure that this is something that we are able to deliver.

Renish: Right. So, Rishi, just to follow-up on that, so let's say the 25-basis point deposit rate cut in this quarter and flattish growth sequentially on deposits, ideally you are saying there is no strong correlation between rate cut and the, let's say, muted deposit on sequential basis. We will be able to make up in coming quarters with the product propositions.

Rishi Dhariwal: Yes, that is the effort that we are making.

Renish: Got it. Thank you, Rishi. And my second question is on the SBL. So, unlike other products, our lending rate in SBL is static at around 15%. And despite that, our let's say, sequential growth in this segment has been muted since last six months. So, in Q4, it was 2%, this quarter it is also 2.5%. Plus, this quarter, we have seen the gross NPA moving up in SBL. So, if you can just qualitatively tell us what is going on in this segment? Is there any stress building up or, let's say, customers are not ready to take any extra pain on the EMI side?

Vivek Tripathi: Yes, Renish, Vivek here. So, you've asked a couple of questions. One on the asset quality, it's more of a cyclic thing. We always have this uptick in the Q1 on the GNPA number, and that's nothing unusual about it. And historically this has been the case, right?

Second on the demand side, in the last quarter also, we've given some of the colours that this segment which caters to the marginal customer base, the end user of those customers and which had a K-shaped recovery post COVID. So, it's coming up well and the disbursement would grow, though we had a muted this thing, but the ground situation has pretty changed in terms of the demand and incrementally we would see the numbers coming back to the normal.

On the rate front, obviously, since we are operating on a ba

nk platform now, customer also has

expectation on the rate front and plus competitive pressure also from the smaller NBFCs, though we don't have a pan-India competition, but there is a competitive pressure in pockets around the franchisee.

Prince Tiwari: Renish, Prince here. Just to add, the overall NPA on the SBL segment, as Vivek said, obviously, it's more seasonal. But in any case, you'd note that it has only gone up by about 20 basis points, right? Obviously, we came out of a period where after COVID the NPLs were very elevated.

And it has since been considerably coming down and has now kind of settled. And from here

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onwards it's going to be, like what we have commented in the presentation as well, that's going to be range bound from here.

So, you typically start seeing first quarter, second quarter, probably some amount of slippages, and then a lot of recovery around the third and the fourth quarter when the cash flows improve at the ground level, right?

And on the overall growth front, I think, on a year-on-year basis, we have grown by about 18% in SBL. And I think adjusted for the first quarter, we are saying we, in any case, have guided that some of these matured businesses, which are around INR 20,000 + crores, which have historically we have got an advantage, we will grow somewhere between 20% to 25% only and not necessarily look at a very extraordinary growth here.

Moderator: Thank you. Next question is from the line of Nitin Aggarwal from Motilal Oswal Financial Service. Please go ahead.

Nitin Aggarwal: We appreciate the tough decision that bank has taken in building a strong and resilient bank, which can stand tall over the long term. So maybe a few questions. First, in the past, we've mentioned about the competitive pressures, which may be difficult to pass on higher rates in terms of the disbursement yield. But this quarter, we have a good 29 basis point increase in disbursement yields. So how do you see the trend going forward, which segments now we are seeing the better ability to pass on these rates?

Sanjay Agarwal: Yes, again my friend, I would only say that this is the tough environment because in a rising rate, and then two, intense competition for asset buildup. Every financial institution is making themselves accountable on the ground, right? So, it's not easy to really pass on everything, but the team has done a very good job in last one quarter that they are able to pass on around 30 bps. And I think incrementally, we will do better here, that's my sense. But overall, our 64% book is around fixed. So in this scenario, it looks very ugly. But in the longer run, when the interest rate cycles will again start reversing, then this book will start yielding you a gain, right? So, we need to be a little patient here, right? Because it's just a matter of 25 bps here and there, but we are trying our best, but we need to grow ourselves, we need to raise deposits, and it has to be deposit-led growth strategy. So again, as I narrated in my commentary that we are in our 7th year of banking, right, and it will take around whole 10 years to really understand every part of the banking, right, every minute thing about banking, and this is another of those phase where when interest rates are high, there is intense competition on the ground for both deposits and assets. How we as a team perform on the ground, it has to be more on the basis of hope. And we believe that the way we have built ourselves in the last 28 years, that should help us in terms of our product offering, TAT around it, customer affection towards us. So, I think that's the overall thing. Vivek or Bhaskar ji, you want to add on something around whole interest rate on your assets.

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Bhaskar Karkera: Yes. So, Nitin, Bhaskar here. On the wheels front, what we had done by design itself when the cost of funds started going up, we have this ability to fortunately have a product mix in store with us between new, used, tractor, two-wheeler. So, we have this entire product range, which helps us moderate our offerings accordingly so that we are able to give that balance and build a rate direction and that is something which has helped us. Fortunately, all the vehicle models also are doing decently well in the market, and having a vertical and having a position which is one where we have put ourselves correctly placed, we have been able to take advantage of that and that product mix is where we have been able to manage the yields on the wheels part. Yes, Vivek, go ahead.

Vivek Tripathi: Yes, Nitin, on the commercial assets side, we've already increased yields because obviously this was book which was a floating rate book. So, we already have seen that uptick by 100 bps from if you see Q1 last year and this Q1'FY24. Also incrementally, we're able to pass on the higher cost of fund to our borrower, and obviously since this asset is a floating rate asset, linked to the floating rate benchmark, so we're able to pass on the incremental cost so far.

Nitin Aggarwal: All right. Thank you. And the second question is on the AD -1 license, how do you see this contributing to the revenue and business growth over FY 25 once everything is in place? And what are the plans to apply for the universal banking license also?

Sanjay Agarwal: So, Nitin, again, work-in-progress. The capacity of AD -1 license creating a large pool is there, right, and we want to build in that way only, but it will take some time. I strongly believe that. Next year will be too early to comment that it will have a large income pool for us or revenue pool for us. But I think in three-year term, you will see it on a size and scale because we will service 360 degree around it, whether it's retail, whether wholesale, whether it's remittance, whether it's about credit and all those things. So, difficult to comment as of now that what it will have an impact on our P&L next year. But it will have the positive one only, right? It can't have negative one, right? It will add down to our overall revenue pool on our balance sheet, right. But on quantum we will only comment once we complete our whole overall build-up time and then overall. And what's your other question? Okay, so again, so I would say, so we are on the process right because we got that AD -1 license in April only, and we need to implement that first. Again, we have to showcase to the regulator that we can build it up to their expectations and can service the customer as a whole. In my opinion, after AD -1 license, we have now everything to offer for our customer in comparison to universal banks' offering, right? It is well-rounded now. Whatever we are not doing is our own choice. It's not being stopped by any regulation. So, for a customer, we are now, to be very honest, full-fledged bank in next one year. But internally, of course, there are certain things which everybody expects us to become universal, but I think, we are not in a hurry. Let's take things one-by-one, and let's see how we want to progress for next couple of years and then see how we want to go for the next level.

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Nitin Aggarwal: And just lastly, one data point on the incremental cost of funds. While we have not raised much deposits this quarter, but I just wanted say the cost of fund of 6.6% which we have reported for the quarter, where do you approximate the incremental cost of funds that is right now?

Prince Tiwari: Okay. So, Nitin, I think incremental disbursement yields and cost of funds actually we have stopped giving for the last couple of quarters as you know. But yes, you'll have to understand that or probably intuitively we have a CASA mix, a CA

SA ratio or cost of SA has been around

5.6% that you already know. And the savings accounts, because we have been focusing more on retail, and retail typically ends up coming in the higher slab, so which we have kept for two years to three years, which is around 7.75. So, you make an educated guess around the blended rate and that's where we would be.

Moderator: Thank you. Next question is from the line of Madhuchanda Dey from MC Pro. Please go ahead.

Madhuchanda Dey: Yes. So, I have a slightly long -term question. As you alluded to your completion of 10 -year journey in 2027, question is, in that journey, we are at 1.7% ROA now. Where do you see the ROA? Especially my question comes from the cost to income ratio trajectory. So where do we see ourselves in that journey by that time?

Sanjay Agarwal: So very, very long -term expectation around these things. But if you ask me because it is not only a combination of cost to income and all those things because interest rate cycles will also play a very important role in estimating all those. But I strongly believe that AU has remained in some of their last period in the last six years also around north of 2% ROA and ROE of around 16%. I strongly believe by building -up the entire revenue pool from credit card, QR codes, personal loan space, TBG, AD -I license, everything will become profitable in the next four years, right? We'll get a scale. Maybe we double our balance sheet in next four years, right? So, I think there everything will be very different in the sense that cost -to-income ratio can be around 55 - 56%. Our ROE can be north of 2% again. So, I think this is a journey, but don't hold me for this numbers, right?

But I'm saying because the entire other data point whether it's about the size of the balance sheet, whether it's about the overall distribution, the kind of investment we made over the years, like our credit card will become profitable from FY 24-25, right, or may become breakeven in next year.

Our TBG will get involved, it will have extra revenue pool, we'll have maybe around 10 million customers, so we'll have more options around cross -sell, around insurance, wealth and everything. So, what we have done in last six years is this that we have put everything in place now and that has given us more cost to income ratio.

But I think everything will get matured in next two to three years. So, I think the most important thing for us is that let's not be only one-sided bank who is only focused on ROE and ROA for next four years. Let's see holistically that AU will be coming up as a very formidable franchise for a customer, right. It serves them entire product range. So that's my sense. That's why I'm AU Small Finance Bank Limited

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saying, I think the quality and content will be very high in next four years and it eventually will lead us to a better ROA and ROEs, and for a sustainable future.

Madhuchanda Dey: I'm just repeating the questions which...

Moderator: We lost the participant. The next question is from the line of Shailesh Kanani from Centrum Broking Limited. Please go ahead.

Shailesh Kanani: Sir, I wanted to know what is the size of ECLGS in our book and how is it classified as of now? Is it standard or what is the amount of it?

Prince Tiwari: ECLGS?

Shailesh Kanani: Exposure, if any, in the book?

Prince Tiwari: Yes, it is about closer to INR 560 crores.

Shailesh Kanani: INR 560 crores. How is it classified in the book?

Prince Tiwari: Typically, the behaviour is very similar to the overall book. Bulk of it is standard, and there is some amount of, I think, NPA, underlying contract. Obviously, you know that ECLGS is guaranteed by the government. But on the underlying contract, it's very similar to the overall book behaviour.

Sanjay Agarwal: And we classify them as NPA.

Prince Tiwari: Yes, we do classify them as NPA, the moment it turns

NPA.

Sanjay Agarwal: Despite that it is guaranteed by government.

Prince Tiwari: Yes.

Moderator: Thank you. Next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Sorry, I joined in late and if the questions are repeated. But firstly, when we look at it in terms

of like the choice between margins and growth, and given that you highlighted that you have reduced fixed deposit rates and maybe the focus is on retail rather than the wholesale. But if that leads to some kind of a compromise on growth, would you do that just to sustain the margin somewhere around 5.5% to 5.7 %, or maybe would it dilute more given the competition?

Prince Tiwari: So, Kunal, hi. Prince here. So obviously, I think what we have as a philosophy or a strategy as a bank, what we had adopted is that we want to have a deposit -led asset growth, right? And within that deposit also we are very clear that we are focusing more around retail deposits, right? Our preference for current account is CASA + retail and granular deposits remain very very high.

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So, to that extent, obviously, first quarter, we had a lot of liquidity, we consumed that, and we grew very well. We saw that.

Even going forward also, I think when we have said that we'll be able to maintain margins in the range that you talked about, we have considered what kind of deposit growth we can do at this pricing.

And as Sanjay said, again, some time back is that what we are trying to do here is we are trying to see if we can compete on products and services instead of competing on interest rate alone on the deposit side. We'll see how it goes for the next couple of quarters and then we'll take a call. But all -in-all, we are very confident that we will be able to deliver the growth that we have talked about with this kind of margins.

Kunal Shah: Okay. So even though LCR is now down to almost like 119% if you look at year -end and if deposits doesn't come in, then still we are confident in terms of at least doing 25% + growth?

Prince Tiwari: Yes, I mean, at 119% also it's around 20% higher than where the regulatory is. Typically, we have our internal policies of keeping it around 110% +. So, we will definitely have enough and more room. Yogesh Ji, if you want to add anything?

Yogesh Jain: Additionally, we have non -SLR book, liquid book, which comes for liquidity. So, we have around INR 3,500 crores book which is non -SLR investment which is yielding more than the cost of funds. So that is also there other than this LCR.

Kunal Shah: Sure. And secondly in terms of credit costs. So now here also we have utilized the COVID buffer and what is left out is say relatively lower. And given the uptick in the slippages, how should one assume in terms of the credit cost trajectory because I think maybe this quarter had the advantage of utilization to the extent of almost INR50 -odd crores and INR15 -odd crores on this structure, but maybe if that gets over, then should we ideally see the credit cost also inching up?

Prince Tiwari: So, Kunal, again, there what we just talked about earlier that typically Q1 is a seasonally weak quarter, and to that extent slippages obviously are slightly higher, but we don't really see that playing out for the full year. So, for the full year, our credit cost guidance doesn't change very dramatically from where we were in FY '23.

Overall, whatever cash flows we are seeing on the ground, whatever customer feedbacks we are getting, I think continues to be quite positive. So, adjusting for the seasonality for the full year, our credit costs, we don't really see a material change in our credit cost.

Moderator: Thank you . Next question is from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal: Just couple of questions. One is in follow -up to last question o

f Kunal which he asked about INR

62 crores that we utilized this quarter. What would be your thought process of using this buffer

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that we've built -up over a period of time and then utilizing essentially in one quarter? What was the thought process for that?

Prince Tiwari: So, again, Prakhar, contingency, if you remember, we had created during a period when obviously a lot of uncertainty was there around the COVID period. And given that specific contingent event has gone through , I think, the advice that we have received, we have been utilizing that.

We don't really envisage given that we do a secured lending and our historical credit cost hasn't been especially loss -given default hasn't been very high, we have definitely, I think we already are at PCR 70+ if you see, whereas historically we used to keep it about 30% to 40%. So, enough buffer is already there in the balance sheet in terms of provisioning.

So, at this stage we don't really think that additional contingency provision is required. Of course, we have about INR40 crores of floating provisioning that we have created. And also, the fact

that the overall structure of the book itself, right, what we talked about last quarter as well, that incrementally the home loan and the commercial banking book, which are more better credit book that has gone up to almost 30% in the overall advances. So that obviously is expected to have further reduction in our slippages as well as the credit cost requirements.

Prakhar Agarwal: Okay. And what would be your normalized level of credit cost, not for FY24 but from a business model perspective, what should ideally be a normalized level of credit cost for the business that you have?

Sanjay Agarwal: So Prakhar, this is Sanjay this side. So, we run around seven, eight businesses now. We run vehicle business, which is more in retail, more in semi-urban areas. Then we run SBL, again, which is more of a semi-urban rural area, and then of course, housing loan, too, is like this, but we also run business banking, Agri banking, NBFC, REG book, which is more about urban customers with more of a balance sheet driven approach, and then we also want to build our PL and credit card business.

So, I think it's a mix of everything, but my sense is that FY '23 was one of the best year for the overall asset quality perspective. And from hereon there would be some normalization happening in next three to five years. But in next three to five years, our book composition will also get changed dramatically because as of now, commercial banking is only around 25%. But it may go up to 30%, 35% in times to come.

So, I think in the longer run, I still strongly believe that AU gross NPA should remain in the range of 1.5 to 1.75 % and our net NPA should remain around 0.5 to 0.6%. So, we need to build or a calculation around this, right? Ultimate credit cost, an entire book, should not exceed 0.5%. That's my overall sense.

Prince Tiwari: And, sorry, if I can just add the Prakhar. We continue to have additionally INR 100 crores on the restructured book as well, right? So that provision also continues to stay, which is over and above the provisioning –(PCR).

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Prakhar Agarwal: Sir, the basis of asking this was the fact that most of the other banks, if you ask them, they are in wake of the fact that they probably had to transition to Ind AS over a period of time. And given the profitability that we as a system are seeing through, most of the other banks have started to add in bits and pieces or at least maintain that. In that context, if we have to transition to Ind AS in FY '25, and we are using this buffer, so that probably creates a corridor of uncertainty at that point in time.

Sanjay Agarwal: No Prakhar, because we make our ECL every quarter, the ECL

calculation every quarter, and

need to submit to the regulator also. So, if you go by that whole calculation, it is more surplus for us than a negative for us, right? And in that sense only, as Prince already commented that our NCL are very low, right?

We are having around 75% is PCR coverage and we are having contingency provisions for restructured assets. We have one floating contingency reserve. So, I think overall we strongly believe that we have covered up everything and more than maybe double the requirement, right?

So that is why we are not going overly, overly conservative to build more buffers.

But if anything, which I strongly believe that next two years to three years there's no point for discussion around asset quality. It will remain under a range. That's the sense we are getting it. And also let's be very fair to everybody there and let's do whatever is required rather than become more conservatively, build more buffers, which we have done in the past. So, requirement if anything comes in future, then we'll see it. But as of now, I'm very strong that we will not require for next two to three years.

Prakhar Agarwal: Got it. And in terms of just one more question in terms of ROA. So, while this quarter as we have taken a large part of the knock-on margins, which probably highlighted in large call as well. Then how do you look at for the full year and what will be the improvement levers in ROAs?

Prince Tiwari: So, again, Prakhar, if you go back to our presentation, slide number seven, we have talked about the profitability and ROA and how we as a bank think that despite the challenges around the margins, we will be able to deliver profitability around similar ranges as last year, and again other income, the fee income on the credit cards, the entire third-party distribution, the wealth management that we are building in, some of these elements of our investments which we have been doing over the past few years will start kicking in. And that should support the other income profile and hopefully that should well cover up for the margin reduction that we have seen, or we are going to see.

And also, the fact that overall cost to income also I think we are trying to see if we can keep very similar to last year level, so some amount of cost to asset benefit can come in. So, let's see. I think as of, yet we are quite confident that we'll be able to maintain around similar levels. I

wouldn't say what exactly will be the percentage, but very closer to FY 23 levels is where we are targeting.

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Moderator: Thank you. Next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Just one question from my side. If I look at the slippage number for the quarter, which came in at around 2.2% on an annualized basis, I appreciate that this was a seasonally weak quarter when it comes to asset quality. But if I look at the previous year, we also reported a similar slippage of 2.2%, where about 30% of those slippages came from the restructured book. Given that we had a much lower restructured book now, would you say that there were any one-offs in the current quarter in terms of slippages?

Prince Tiwari: So even this quarter as well around, Ashlesh, very close to 30% has flown from restructured book of the forward slippages that has happened on a net basis.

Moderator: Thank you. Next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: So, I wanted to ask on the credit card business, what sort of credit cost are we building into the business model going ahead? Because generally, if you look at it for the large players, the credit cost in this business has been in the range of 5% to 6%. Now if you have a INR 2,000 crores book here, that looks like INR 100 crores to INR 120 crores of provisions on a run rate basis.

So

that can cause a delta to our credit costs going ahead. So, is that something we're building in or are we looking at lower credit cost from that business?

Mayank Markanday: Param, this is Mayank. I head the Credit Card business. So normally if you have seen, the 5% - 6% which you were talking about is 2% remains in the GNPA and the rest goes to the credit loss as write-offs. So similarly, most of the banks operate or card issuers operate in this trajectory only. So almost as of now we are quite low than this. But yes, as the business build up, because we'll do more of a NTB business. So, we are also thinking of keeping it in the same range.

Param Subramanian: Okay. So that would mean an uptick from the current book level, because last year you reported INR 150 crores of total credit cost and this year we are looking at similar credit costs. But going ahead, this is going to pick-up, right? From the credit card book itself it should mathematically just pick-up because of that?

Mayank Markanday: No, I don't think it will be a pick-up because if you see, INR 2,000 crores of book has already been built-up, and we have got a seasoning of 18 months on a book of around INR 700 -800 crores already.

Prince Tiwari: Yes, I think, Param, I think 1 important point to highlight there is this INR 2,000 crores is technically out of pocket, right? Not all of it is credit exposure because credit card, as you know, only the revolvers or people who have taken EMI have a credit risk attached. But it's almost 60% to 70% of the book pays on time, right? Sorry, Mayank, if you wanted to add.

Mayank Markanday: Yes, so Param, if you see only 5% of the book remains in 30 + buckets. Rest all is either current or they are just in the X days.

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Param Subramanian: Yes, but if I look at it, Mayank, so the book is up like more than 3.5x Y-o-Y, so if I look at the lagged NPA, so if your NPA is 1.6, but on a lag basis it's more like 5%, right? Is that not the ballpark correct number?

Mayank Markanday: No, this is not the correct number. The lag number is much lower than this.

Param Subramanian: Okay, fair enough. And when we're talking about the credit card business breaking event, so the lending yield here is also 13%. If you look at some of the larger players on a book basis, at least the lending yield looks higher at about 16 -17% at least. So, is that something that in your view needs to pick up when we're talking about this business breaking even in FY 25? Yes. That's it from me. Thanks.

Mayank Markanday: So, this is because our EMI book is yet to build-up, and we are in a process to getting it build up. We have seen the large issuers; their EMI books are pretty much in the range of 25% to 30% of the ENR. So, we are still at around 15% -odd. So, once we'll build up to that levels, you'll see our percentage interest margins going up.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Prince Tiwari for closing comments.

Prince Tiwari: Thank you, Nirav, and thank you, everyone, for dialling in today. And if you have any residual questions, you can always reach out to the IR team, and we'll be more than happy to provide the answers. Thank you for dialling in and on behalf of AU, have a good night and see you again

next quarter.

Moderator: Thank you very much.

Sanjay Agarwal: Thank you so much.

Moderator: Thank you. On behalf of AU Small Finance Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Call: Nov 2023

Ref. No.: AUSFB/SEC/2023 -24/229
Date: November 03 , 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 958400, 974093, 974094 & 974095

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Half Year ended on September 30, 2023

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Monday , October 30 , 2023 for the Financial Results of AU Small Finance Bank Limited (" the Bank ") for the Quarter and Half Year ended on September 30 , 2023.

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above
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"AU Small Finance Bank Limited
Q2'FY24 Earnings Conference Call "
October 30, 2023

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – AU SMALL FINANCE
BANK LIMITED
MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR – AU

SMALL FINANCE BANK LIMITED
MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS
& FIG – AU SMALL FINANCE BANK LIMITED
MR. GAURAV JAIN – PRESIDENT FINANCE &
STRATEGY - AU SMALL FINANCE BANK LIMITED
MR. DEEPAK JAIN – CHIEF RISK OFFICER - AU SMALL
FINANCE BANK LIMITED

AU Small Finance Bank Limited
October 30, 2023

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MR. YOGESH JAIN – CHIEF OPERATING OFFICER - AU
SMALL FINANCE BANK LIMITED
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER - AU
SMALL FINANCE BANK LIMITED
MR. VIVEK TRIPATHI – HEAD OF COMMERCIAL
BANKING - AU SMALL FINANCE BANK LIMITED
MR. BHASKAR KARKERA – HEAD OF RETAIL ASSETS –
AU SMALL FINANCE BANK LIMITED
MR. RISHI DHARIWAL – GROUP HEAD LIABILITY - AU
SMALL FINANCE BANK LIMITED
MR. MAYANK MARKANDAY – HEAD OF DIGITAL BANK
AU0101 - AU SMALL FINANCE BANK LIMITED
MR. KUNAL KAKKAR – SENIOR VP INVESTOR
RELATIONS - AU SMALL FINANCE BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to AU Small Finance Bank Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Prince Tiwari, Head, Investor Relations. Thank you and over to you, sir.

Prince Tiwari: Thank you, Michelle. And good morning, everyone. And welcome to AU Small Finance Bank's earnings call for the second quarter of FY24. We thank you all for joining the call early in the morning. As some of you may have seen, we made a major strategic announcement yesterday evening. And we appreciate that you all might want to hear from the management on the strategic thinking and the road ahead.

We thus have tweaked the format for today's call a bit. After providing you with brief commentary on the quarterly results, I'll invite our founder and MD and CEO, Mr. Sanjay Agrawal, to share his thoughts on the proposed merger and the way forward. In the interest of time, I have requested Uttamji to kindly skip his business highlights for the current quarter. And post Sanjayji's comment, we will straightaway jump into the Q&A session with the participating analysts and investors. Apart from Sanjayji and Uttamji, we also have a few senior
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members of our management team on the call today to answer any questions that you may have. With that, let me start by sharing some of the key operating highlights for the quarter. The overall operating environment for the quarter continued to remain challenging with uncertainties around geopolitics, interest rates, and inflation. We all know about it. While India looks quite good, the overall festive demands hold s, and consumption in the rural and urban looks quite okay, supported by government capex. However, on the liability side, we continue to see competitive pressure amidst tight liquidity and higher inflation, leading to higher interest rates and persistent interest rates. In this backdrop, our second quarter performance remained consistent with t he expected outcomes, and we are navigating the headwinds quite deftly. Some key highlights for the quarter, we onboarded 3.6 lakh new customers during the quarter, and our total customer base has now reached around 44

lakh lakh customers.

We have crossed a landmark of INR75,000 crores in deposits and INR1 lakh crore in asset book or balance sheet size, if you include securitized book. On our overall deposits, it grew by 30% year-on-year basis and 9% quarter-on-quarter basis, supported by a CASA growth of 6% on a quarter-on-quarter basis. However, as I talked about, due to tight liquidity and higher pressure on the interest rates, a good credit off take, there is pressure in CASA mobilization, and our CASA ratio is down by 4% since March 23.

We are navigating the challenges and focusing on optimizing the liquidity and managing the cost of funds. We'll continue to lay strong emphasis on CASA and retail deposits.

its. And one key

thing we have changed is during the quarter, we have created a new banking unit called Swadesh Banking to maximize organizational effectiveness and focus on the upcoming semi-urban and rural areas to unlock the potential.

During the quarter, our peak deposit rates increased by 25 basis points across savings and term deposits, taking our FD rate to 8%, the peak FD rate for non-senior citizens to 8.5% and peak savings account bucket at seven quarter. Consequently, there was an impact on the cost of fund, which increased by about 12 bps from the last quarter, reaching to 6.7%. On an average cost of fund for the first half of the year was 6.64, which is 87 bps more than the September 22. While our costs have gone up, our overall yields have remained flat.

And this obviously has some pressure on margins. But what we would like to emphasize is that this flattishness in the yield is more structural in nature as we move towards lower credit cost businesses and better risk profiles customers. Our NIM for the quarter was 5.5% and 5.6% for the first half of the year. Now, this changing mix where we are moving towards lower yielding franchise businesses like business banking, agri-banking, home loans, will continue to put pressure on margins. As I said, it's structural. However, these businesses are also better credit quality and offer savings in terms of credit cost and opex vis-a-vis our traditional businesses of Wheels and MBL (erstwhile SBL).

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On the overall NIM, we continue to remain within our guided range for this particular year. Our advances growth for the quarter stood at 2% and on a year-on-year basis, we grew about 24%. However, we did securitize INR2,922 crores of loan assets during the quarter.

Gross of securitization, the loan book growth stands at 5% on a quarter-on-quarter basis. 63% of our loan books is now fixed rate and 37% is floating. So, our fixed rate retail book will be advantageous once the interest rate cycle turns.

A key thing to note is that we continue to see uptick in our disbursement yields. After increasing our disbursement yields by about 28 basis points last quarter, our disbursement yields have gone up by 27 basis points in the current quarter as well. Taking the total disbursement yields up by 41 basis points for half year compared to FY23.

The wheels business which saw disbursement about INR3,689 crores, the disbursement IRR was upwards of 15% at 15.06%, an increase of 77 basis points on a year-on-year basis and 40 bps sequentially. This is expected to help the margins in the coming years as our lower yielding book created during pandemic in some of these businesses starts receding. Additionally, we have expanded our traditional MBL (SBL) business to add newer products like business loans for micro-entrepreneurs in rural and semi-urban areas offering cash flow-backed loans without collateral and under the government guarantee program.

We have also rebranded our SBL function as micro-business loan as is synonymous with the growing requirements across MSMEs. The asset quality trends continue to remain normal and within the range. While during the quarter, the gross NPA increased by 15 basis points to reach 1.91%. Almost 8 bps of this increase can be attributed to the base effect due to higher securitization volumes of INR2,922 crores during the quarter.

We assure you that this is our feedback from the ground. There is absolutely no pocket of stress in any particular segment or sector and the increase in GNPA and consequent credit cost can solely be attributed to seasonality and we hope to see a strong performance in the last quarter of this financial year as has been the case over the last 20 years. Our quarterly slippage ratio has remained similar to last few quarters at about 2%.

However, as we exhaust our contingency buffers

which was created during the COVID time,

our credit cost has started to get normalized. We have a conservative policy in our unsecured lending where we provide 100% on 180-day past due. So some amount of increased credit cost is on account of write-off from credit card book as well as that book grows and as is expected in

the normal course of business.

The PCR on the overall book continues to be at 73% including technical write-off and banks still have about INR 96 crores of additional provisioning or provisioning in the form of contingency and standard restructured assets. In a nutshell, we expect the asset quality to remain within our range with no specific pocket of stress or any early warning signals. So far with recovery expected in the second half of the year.

Coming to our cost to income, our overall cost to income for the quarter was 61%, down by 4% from Q2 and we continue to focus on efficiency. Our cost to income ratios remains a key

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monitorable and for the full year, we expect to land somewhere very similar to last financial year. Our NII growth for the quarter was 15% on a Y-o-Y basis and that's net profit increase to INR402 crores, an increase of 17% on a Y-o-Y basis.

The resulting ROA and ROE stood at 1.7 and 13.9% respectively. The bank remains well capitalized with a capital adequacy ratio of 22.4%. The core PPOP growth, a key measure which has been monitored by analysts and has been one of the biggest concerns has surged to 28% on a year-on-year basis and 20% on a quarter-on-quarter basis. And this is supported by other income from credit card and distribution of third-party products and we believe that this is structural in nature and not a one-off.

To prepare ourselves for our next phase of growth, we have also reorganized ourselves into five businesses group which will support the existing SBU structure. The first one is Urban Branch Banking which will focus on catering to urban affluent market and customers. Second, as I said, Swadesh Banking which is clubbed with government and wholesale deposits which will focus on rural banking, financial inclusion and impact banking strategy.

Small and marginal farmer lending and financial and digital inclusion has been embedded along with the Swadesh Banking. The third large group which we have formed now is Retail Asset Group which continues to have our key retail lending businesses which is wheels, micro-business loans and home loans as they are all mapped under one umbrella for building synergies and leveraging benefits as they share similar geographies, customer profiles and behavior.

Fourth is Commercial Banking which continues to operate four lending books across business banking, agribanking, real estate and NBFC lending.

And we are expecting that with the operationalization of our AD1 license by the end of this financial year, trade and transaction banking will be the newest addition to this group. The last but not the least is the Digital Banking Group where all the digital businesses initiatives of the bank like credit cards, UPI credit cards, QR codes, merchant lending, personal loans, video banking, AU0101 have been brought under one umbrella and one leadership to align strategy and bring synergy under the leadership of Mayank. Notably, our digital products continue to scale.

Our credit card business has now reached 7 lakh plus live credit cards with monthly expense of INR1,350 crores. Additionally, we opened 54,000 savings accounts via video banking. We went live with our wheels origination lending system in collaboration with Salesforce and FICO and so far in the initial phase, our STP rates on the card loans have gone to about 30% and decline rates have reduced by 50%.

In line with our philosophy of badla av humse hai, we did launch our new brand campaign "Soch Badlo Aur Bank Bhi", featuring our brand

ambassador, Ms. Kiara Advani. This campaign was strategically designed to align our objectives of catering to evolving aspirations of our customers and role of women in financial decision making.

We also announced our partnerships with Max Life Insurance, Bajaj Alliance Insurance, Bajaj Alliance Life Insurance, Star Health Insurance as bank assurance partner to further strengthen

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bank's third party products offering to its customers. After the super success of IV Premium League Banking Program, we have introduced Zenith Plus Credit Card, a super premium metal credit card program offering luxury and convenience, accompanied by a range of exclusive benefits.

We also, on the world sustainability day, the bank became one of the few first banks in India to launch a green fixed deposit fully compliant with the RBI's latest framework on green deposits. And this had been assured by CRISIL. We request all of you to kindly open green deposits and make your contribution to the environment. So, all in all, we continue to focus on executing on

our strategy for March 27 by emphasizing on building a brand by providing complete suite of products and gaining trust of all our stakeholders.

Our latest announcement is a step in this direction and will make us complete as a retail bank across products, geographies and customer segments. To talk more about our announcement, I now invite our founder and MD and CEO, Mr. Sanjay Agarwal, to share his thoughts on the merger announcement.

Sanjay Agarwal: Thank you, Prince. Good morning, friends. And thanks for joining us early in the morning. Prince has already spoken about last quarter's performance. I strongly believe we remain on course in our business in terms of deposit growth, asset growth, people and technology. And are putting our best foot forward to handle challenges, uncertainties due to macroeconomic environment.

Now, I would speak about the transformative merger we announced last night. As an institution, we have come a long way from our humble background of being NBFC to becoming the largest small finance bank in the country. Throughout our journey, we have believed in our vision of becoming one of the world's most trusted retail bank and have been governed by our dharmas, which are a true reflection of who we are and what we stand for.

Another institution which started its journey in a similar fashion and has built up, ground up, is Fincare small finance bank. Fincare has witnessed remarkable growth while pursuing an inclusive business model and created immense impact on lives of millions of people at the bottom of the pyramid. I'm absolutely delightful and thrilled to announce the coming together of these two strong, established and well-governed SFB franchise with a common charter of promoting financial inclusion.

This is just not a merger of two entities. It is a union of shared values, common goals and a vision for the future. This is an all-stock merger with Fincare small finance bank merging into AU small finance bank and shares will be issued to all Fincare small finance bank shareholders as per the agreed share swap ratio.

The merged entity will have around 2,300 touch points serving over 98 lakh customers through 43,000 plus employees. I want to share my thoughts on why this merger makes a lot of sense for our bank and what capability it would bring to the AU franchise. First foremost reason is around Fincare's extremely strong and experienced management team led by Rajiv. The team has been AU Small Finance Bank Limited

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around for many years since Fincare's NBFC days and has shown remarkable resilience while building the business from grounds up.

Fincare team have a deep understanding of the MFI segment along with a strong connect on the ground, a trait which we share and value very highly. This

has helped them face multiple industry level challenges over the last few years.

Second point is around the complimentary nature of business both in terms of geography and the product. The addition of Fincare's touch point would accelerate build out of our pan India distribution network through doubling of touch points from 1,000 plus to now 2,300 across 25 states and UTs. This would significantly increase our presence in South where 49% of Fincare's touch points are located and add significant presence in Tamil Nadu, Karnataka, Andhra and Telangana along with UP and Bihar.

Post merger, over time we would convert Fincare's smaller MFI focused branches into AU asset centers and expand product offerings. Merger would help diversify our product portfolio with access to rural, impact and inclusion focused MFI business and gold loans. Let me first admit that I had a different view on MFI business previously.

However, the industry has proven its resilience over economic cycles. It has emerged stronger with reforms and regulation and having faced multiple challenges over the years. So, promoting financial inclusion by catering to unserved and underserved segments of society is our key objective as an SFB.

Lending to small and marginal farmers was a gap in our offering. Merger with Fincare would provide us this capability. Merging with an MFI on a bank platform made more sense from our perspective given common regulatory and compliance requirements.

Fincare is a well-governed bank with a strong board and marquee private equity investors. MFI has grown at a CAGR of 32% over the last year, last 10 years actually. With a strong, India's strong and widespread economic growth and I believe that industry is poised for a sustainable growth and profitable nation. Hence, we took this decision.

Finally, in my opinion, Fincare is one of the most experienced MFI in the country with a strong collection expertise and ability to sustainably grow the business. Post-merger, MFI would be 8% of our balance sheet and we would intend to keep it around 10% of our balance sheet going forward.

We have also looked through our cyclic profitability and credit cost in the sector and we believe MFI can sustainably produce ROI of 3.2% on a through -the-cycle basis with credit cost of 2.5% to 3%. We will provision the business conservatively on through -the-cycle basis. Along with MFI capability, we also benefit from Fincare's gold loan capability which has a gross advances of INR1,100 crores and gain further scale in HL & micro business loan.

The merger also brings multiple synergy opportunities from funding cost and scale -driven cost synergies over time. This is not a cost -cutting but benefit that accrue from scale and reduction in future hiring requirements. Fincare has a strong IT team of 200 people and has developed in - AU Small Finance Bank Limited

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house development capabilities around process digitization.

This would further add to our tech capabilities and complement our strong customer -facing applications. Finally, I think Fincare's size is ideal in terms of integration, neither too small nor too big to integrate. Rajiv will be appointed Deputy CEO of AU SFB post -merger. He will continue to lead the Fincare unit within AU.

Additionally, he will jointly lead the IT and digital unit of AU SFB along with me to ensure smooth IT integration post -merger. Detailed plan of operational integration would be worked out post -completion of merger.

We have onboarded A on to help us with the HR aspect of integration too. As always with M&A, there could be some challenges as we integrate the two businesses, but I feel there are more knowns than unknowns. So in the end, I just want to assure you that we 'll make everything in terms of a better integration, a smooth transition, so that we emerge as a very strong franchise in the coming years. And also I

want to assure that we are absolutely on course and remain confident of delivering our March 27th strategic agenda.

Thank you so much. Good to go, Prince.

Prince Tiwari: Yes. So Michelle, we can now open the call for question and answers.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. We'll take the first question from the line of Bhavik Dave from Nippon India Mutual Fund. Please go ahead.

Bhavik Dave: Sir, two questions. One is on the merger. And sir, you alluded to the thought process behind this. If I just wanted to understand a little more on how would you think about this merger, how long you evaluate it? And also, sir, because there is a size where in we are like trying to build up our deposit and we 're growing very healthy at 25%. Was there in the journey, isn 't it too early to get into a merger? It takes time.

Maybe the deal is really good in terms of size and geographical opportunity and the product that bring in and with the management team is so strong. But doesn 't it like derail the process that the way we were going about since over the last 3, 4 years and having 20,000 more people, very different culture maybe. How do you think about it and now unsecured becomes a reasonably large part of our business versus the way we used to run a more secured franchise. How do you think about it?

And second question is, sir, on the competitive intensity -- on our main business. And when we look at this quarter, the yields have remained quite stagnant, and we have like delivered a reasonable size balance sheet over the last 3, 4 quarters as well. So is there a competitive intensity that is leading to yield not getting fast on to the customer? Or if you can just throw some light on what's happening on the yield front, wherein your margins are like down to 1.5%? So these two questions, one on AU and second on merger.

Sanjay Agarwal: Yes, Bhavik, let me answer the first one. So as you know that we are -- in my opinion, we are - one of that franchise which has become lot much stable, lot much confident in last, what now, AU Small Finance Bank Limited

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6 years. You know that our overall deposit franchise or asset franchise or digital franchise, overall governance, everything remains in shape, and I'm very happy the way we have built ourselves in the last 6 years.

And there will be, in my opinion, in my journey of the entrepreneurship, we can't time yourself. It is about the availability. It is about the opportunity of that time, which we need to understand and decide. And as you know, that the overall objective of at SFB is also to create an impact in the overall customer across segments.

And we were missing the micro finance as a subject from last maybe now 28 years. You know that I had my own stand around the MFI business and, of course, the overall unsecured piece, but we need to evolve our self, we need to understand the risk around it. And we have seen that

through cycles, the last 10 years, the MFI business has cost of around maybe 3% kind of credit cost, including the one-off events every 5-years.

So, I think if you understand that, we being a bank franchise, we have a cost advantage, you know, Fincare is more of a south-based franchise, we are more of a northwest franchise. So, it's complement, right? So, it's complement in terms of geography, complement in terms of product. It's nothing overlapping. And as I already commented that, you know, size is amazing. Because the size of Fincare is around, what, 20% of us.

So, I think if this is the way I want to sum up that, it is one of the most – I am very excited and thrilled because it will add on to our product range, it will add on to our geographies, you know, it is well-governed, it is bank, you know, and we as a team also have to learn how to do all this kind of integration, all these kind of challenges, how y

ou should manage these kind of challenges, the communication and everything.

So, and you know that, what we have already done over the years, should give you people a confidence that this team has the ability to manage this kind of transaction also. And, of course, we haven't took lot much time to decide this, I started – we all started understanding this business from last maybe two quarters. And I think I should give my team and the Fincare team and entire people who handle this transaction so swiftly and so smoothly that we are able to announce in this month only. So, that is there.

But I think I would say that a lot much around operation data we share, but I am absolutely sure that, you know, AU team will deliver along with the Fincare team maybe next six months an amazing franchise which can last forever. And so that is there. Of course, the overall competitive space remains, I would say, more challenging in a terms that, of course, there is a huge credit demand there, but there is an intense competition around deposit franchise.

Every bank is looking to build their own, and we as a bank are also in the same course. We are also putting our best foot forward to raise money at a decent rate, but sometimes, market doesn't allow you. But I think in terms of our product, offering, communication, customer focus, ability, so that is there.

So, I think it's a testing time for us. And I strongly believe that we will sail through it. You know, there would be some couple of more quarter challenge, but in the long term, I strongly believe AU Small Finance Bank Limited

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that we are in the course of our March '27 agenda where we believe that our first 10 years should be very noise-free.

We should remain focused on our execution. We should remain on course in terms of achieving everything in terms of asset growth, asset quality, digital, digital franchise. So, overall, I'm very happy the way we are building us. There are little hiccups, but we should manage it because it is beyond our control.

Bhavik Dave: Right. on yield front, we've not been able to price the asset higher. So my question was more on that. Is there a competitive intensity too high? Or are we going towards better quality customers. In fact, in to yield dropping. I see every segment yields have increased on a Y-o-Y basis, but the overall yields tend to not increase. So just on that perspective, it you can through some light.

Prince Tiwari: So, Bhavik, Prince here. Again, what you are seeing today on an overall basis, like as I said in the call as well, in the opening remarks as well, that we have been able to increase the disbursement yields in some of the core businesses. The vehicles have gone up by 77 basis points over the last year.

Similarly, in the SBL also, while we have not really been able to increase the disbursement yields, but the profile is changing. But I think fundamentally what you have to appreciate is the structure of the business. The commercial, the overall business construct is changing a bit and which we have articulated in earlier calls as well.

If you go back to March '22, our overall lower yielding businesses, which we are calling commercial banking and home loans, which yield about 11% -11.5%, that used to be about 23%. As on date, as in September, it has now reached to about 31%. And consequently, there is a mixed change that's happening in the business.

The higher yielding businesses of Wheels and SBL or MBL are coming down, whereas home loans and commercial banking has gone up. But we have also articulated in slide 30 of Q4 FY '23 that the lower yield doesn't necessarily mean a lower ROA. The credit cost in these businesses is much, much lower. The opex in these businesses are much, much lower. And to that extent, if my retail business gives me a ROA of about 3.8% on an advances basis, the commercial banking also gives u

s about a 3.3% ROA and which is already there.

One last thing I'd like to articulate is even within the existing businesses like in Wheels, our personal car segments have gone up. In MBL, our ticket sizes have gone up post -COVID. So earlier, if you look at March 20 -21 data, more than 10 lakhs ticket size loans used to be about 56%. And that's a lower yielding book compared to less than 10 lakhs, where you have more options to price better. This book we have now increased in the new disbursements as on March of 23. 71% is more than 10 lakhs ticket size, and lesser than 10 lakhs is only ~30%.

So what we also realized during COVID is the vulnerability of the customer who is over leveraged and has a smaller business tends to be more risky as compared to, people who have a higher borrowing and thus have a more settled business. So I think structurally, you will find that our credit cost, which used to be about, 80 basis points to 1% through the cycle, will now

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probably stabilize at about 50 to 60 basis points as we move forward.

—So while we might not be able to increase the overall cost, yields, but definitely there's a saving in the credit cost. Last point that I will make on that is also the wheels and SBL, mostly wheels. Some of the business that we created during the pandemic time because there was abundant liquidity, and that business did get created at — because we were very cautious, the credit filters were too tight.

We did create a business which was slightly lower yielding as compared to historically where we have been. And that book is ensuring that even though the newer disbursements are happening at a higher yield, that book will slowly start receding now. And probably going into next year, you'll start seeing some uptake in the yields. So hope that's comprehensive, Bhavik.

Moderator: We'll take the next question from the line of Renish from ICICI Securities. Please go ahead.

Renish: Sir, just two questions from my side. One is on the fee income part, wherein the general banking fees, has seen a very sharp jump in Q2 from INR55 -odd crores to almost INR130 crores in Q2.

So can you please throw some light on what is driving this sudden jump in this income line and whether this is sustainable or not?

Vimal Jain: So it's a sustainable basis only. It's related to insurance, where we have the other insurance partners and our insurance business is also increasing. So it's a sustainable basis.

Prince Tiwari: If you see, Renish, the credit card fee I mean we have been saying this all along. Almost for 2 years.

Sanjay Agarwal: Yes Sanjay this side. So I think this is well laid down strategy of last maybe couple of years where we have focused on our insurance business, we really want to build a wealth proposition for our customers. We really want to build our credit card business. And as we move forward, once we get our AD-I operationalise, you will see lot much other income coming in. And you know that once we get customers on board through our branch banking franchise, you need to cross-sell them so that the relationship become more deepen and the addition also become more fruitful right.

So I think as we move forward, and there is a rationalization around the other industry also in terms of the governance and the compliance. That is also helping us. So you will see not much other income coming up and it will be sustainable and more predictable.

Renish Bhuvra: Got it. Got it. So I mean, this quarter, there is nothing new, which we have done it is just the past investment has started to be seen in the results, right.

Sanjay Agarwal: We haven't sold any PSL also. So there is no one-off. And as we move forward, post this merger, we will have an ability to have more PSL book and then we'll have the ability to have more PSL income, too.

Renish Bhuvra: Got it. Sir, actually

Ily, my question is on the one line item, which is general banking and deposit - related fees, which has gone up from INR55 crores to INR130, which is where things online.

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Prince Tiwari: Yes, captures the cross-sell third-party distribution as well.

Renish Bhuvra: Okay. Got it. And sir, secondly, again, on the merger part. So the employee addition is close to 20,000 wherein, I will say, which is similar to our size as of now. So once we start the integration process, there will be a lot of management bandwidth, which will go into this integration part, whether it is HR or tech integration. I mean, does that poses a risk of some growth derailment at the standalone entity?

Sanjay Agarwal: So no, I think good question, Renish. So let me address two things first. Like, Prince just announced that we already built five business units, which is around urban banking, Swadesh banking, digital bank, retail asset and commercial banking. And we have built it not yesterday.

We are doing it from last six years. And the whole purpose to build these business units are to bring more effectiveness, more focus. And the leadership itself takes care of their own bandwidth and their own agenda and their own commitment towards an overall organization alignment.

So I don't think that there would be any derailment because Rajiv and his team is also very capable. You know, they are doing this business for last, what, now 20 years. And the more I meet them, the more I get confident that this team has also not only performed in good days, I think this team has actually built their businesses through bad days and from lows of the industry, right? So they bring that resilience, the fighting spirit on table, which AU is known for.

And I think we don't want to integrate them, in the sense that it will be like a Fincare unit in a bank which will take care of their own business. Of course, there would be some necessary alignment, right, around liability franchise or maybe around the control functions. But I strongly believe that Fincare bank will become Fincare unit and they will continue to work as usual. So I think there won't be any such bandwidth issue with the business heads of AU. You know, of course, the back-end people, me and the other leadership need to give them some time to have that belongingness, to have that communication, that coordination so that it becomes a very smooth integration.

And just for a data sake, it's not about 20,000 people. It is about around about 15,000 people and we are at 30,000 people. So they are one third of us. And most of them, most of the 15,000 people, maybe around two-third of them are in MFI segment, which we don't have. So I think that is why I'm saying that it's more known than unknown, complete complementary in terms of geography, product, people and the way we have thought through, you people will have, I know, the anxieties and because of the track record of so many M&A.

But I can assure you that, again, AU will try to build or will try to show that, this integration, this M&A can be so different from the previous ones, and that's our commitment. That's our commitment to ourselves. And I think me and Rajiv are bent upon to execute on those lines.

Renish Bhuvra: Got it, sir. Just last thing. So does this merger will have any impact on cost, maybe over the next couple of quarters?

Sanjay Agarwal: No, so I don't think that there would be any additional cost, as I commented that there would be some synergy, but it will be only in the next maybe two years to three years. But I don't think there will be any additional cost. There will be one-off cost like, transition around, stamp duties, AU Small Finance Bank Limited

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maybe a retention bonus and all those things. But it will be taken by, we have built it in our future ROE expectations.

Renish Bhuvra: Got it, sir. Okay, that's it from my side and best of luck, sir.

Sanjay Agarwal: Thank you, sir.

Prince Tiwari: Thank you, Renish. Thank you.

Moderator: Thank you. We'll take the next question from the line of Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: Yes. Hi, sir. Thanks for the opportunity. So, sir, if we look at AU Bank, it has had certain strengths in its business model, which has enabled it to deliver strong performance over the years. So I just want to understand when you were evaluating this transition with Fincare, what, as per you, were the key strengths in the business model of Fincare other than the complementary geographical presence and MFI book that comes in? So on the core business understanding perspective, if there's something which differentiates Fincare? That was one.

And second, sir, associated question here is that we have been following a continuous expansion strategy as we were expanding geographies. Now with Fincare, while south geography gets added, but the product profile was relatively different. So we probably don't have that understanding of the geography. So does this expansion, will it take time to drive operating synergies or how should one look at it from that angle? This was the first question.

Sanjay Agarwal: Yes. Should I reply now? Or do you want to ask a second one?

Rohan Mandora: So maybe you can apply that and then I'll take the second one.

Sanjay Agarwal: Yes. Okay. Fine. So I think a brilliant question. So I think you're absolutely right that we had a longstanding position that we don't want to do microfinance as a subject. But we also have gone through our own evolution mindset in terms of what we should do or what we should not do on a bank platform. And microfinance also has gone through all those up and downs in the last maybe 15 years.

But I think, if you see now, the whole regulation framework, the focus, the kind of support the entire ecosystem is giving to this segment, it's tremendous, right? And we as a bank also have to have some objective around priority sector norms, the inclusion norms, the inclusion impact. So I think microfinance is one product which can fulfill all these things. So I think we changed our mindset that we have to relook this strategy of not looking towards microfinance business at all.

And in the last maybe two quarters, I commented that we really want to build more organically. And we started on that path. But once I met Rajiv and the team maybe two quarters back and figured out their own experience around building this business from grounds up, and this team has really managed their remarkable growth in spite of so many challenges over the years, be it 2008 challenge, 2010 challenge, maybe around 2016-'17, and then, of course, again in 2020

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post-COVID. But they have always become more -stronger, and they have emerged better from every crisis, right?

So you need to have the best team to handle this kind of business, right? And that remains our core in our whole ethos, right? It's people who matter, right? And that is why if you see our journey, whether it's being now credit card journey or a commercial bank journey or maybe retail assets, we have done phenomenally well because we back people, right? So we as a bank back people, who has done so much hard work, who has a fighting spirit, who understands his business in and out, and they have shown their entrepreneurial mindset to come out from all those challenges, right? So I think first the business segment itself and then the team which we are getting is tremendous, right?

I think these are two things which, in my opinion, made us more in favor to merge the entity with us. And, of course, then the complementary nature that, you know, they are more South, they have maybe 49% touch point in Sou

th, which we don't go naturally. You know, we need to understand people's psyche. We need to understand, overall psyche of people who want to join us. It gives us in an easy way or maybe a foot in door to understand those markets emotionally. And it's very important to understand markets and people more emotionally, because that's the way we operate in India. So that's Second thing.

And third, I think they are banks, right? So they are well -governed. You know, there's a lot of transparency. There is a strong board, strong private equity players who are with them from last maybe now 10 years, 12 years. So they have shown that they can be with the company for maybe it's a long time to be in for the private equity player to be in the company, right? So I think these are three, four things, which really impressed us a lot. And we could turn around, right, because there was a lot of purpose on the both side that they really want to make this deal happen.

And of course, I strongly believe that it is the price is also very right. You know, it was generous from the other side that they accepted our offer. But I strongly believe that price is also very good. And of course, then the size is not too big, not too small. So I think there are four or five things which we believe that is in favor to do this business. So very happy, very happy. I know there would be some questions around you people, but we will answer it as we move forward, right? So that's one. And any other question?

Rohan Mandora: Sir, on that continuous expansion piece?

Sanjay Agarwal: Yes, so that is there. So I don't think that we are changing our stance. Rather, we have around 130-odd liability branch like AU in Fincare, which will add -on to our overall growth strategy.

And we rather want to have more rational growth strategy at AU distribution now, because if you're getting around 1,300 touch points, how we can leverage it, how we can make it more effective, right? How we can have these well -rounded distribution built around those centers. So I don't think that -- so that's why I'm saying again -and-again that there are more knowns than unknowns. And we have gone through very thoroughly in terms of overall understanding and then want to build very patiently. So I think the bandwidth issue or the cost issue or the things which we may not control, I don't think as of now we are able to understand that and I'm sure

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that there won't be none. But small here and there, we should manage it. And we should learn also to manage it.

Rohan Mandora: Sure. The reason I was asking the question is that, like, if you look Fincare, SFB, they have slippages that are up around 7%, 18%, and 7% in FY21, 22, 23 . Whereas if you look at AU, historically, we have had category -leading performances. So nothing stands out. It's what I got as the initial feel in Fincare, the microfinance business. So that's where I was asking this question.

And second thing, in the presentation, we have made a comment that the management continues to focus on seamlessly executing our strategy till '27. So does that mean that we are comfortable operating as an SFB till '27? How should we read that statement?

Sanjay Agarwal: So, brother, one at a time. So again, I can only say this because it's difficult to comment

everything so upfront. You know, we'll cross maybe now INR1.25 lakh crores of balance sheet by next March. So the size and the scale and the width will allow us to take a better informed decision. But what I'm saying is this, that, like, just now 6.5 years of us, we being an SFB, we had one agenda. You know, we have fulfilled that, there are nothing as such, where we should be worried about. You know, our asset quality is amazingly well in shape. Our digital franchise is now building up very well.

You know, of course, deposit franchise is not where things come ve

ry easily. But we have well -

rounded it through the other product range, be it wealth, be it insurance, be it payments, be it credit cards. So I think, we are working on that path where this franchise will become a formidable force in coming years.

Prince Tiwari: Yes. And just on your point, Rohan, around the slippages, of course, we all know that the entire MFI industry has gone through a cycle, right? And the pandemic was relatively much harsher on them as compared to a secure lending business. And that's what we have also factored in when Sanjay ji talked about in his opening speech that through the cycle, if you look at the MFI business with adequate provisioning, you can generate a high -teen ROE.

So honestly, while one year or two years, it is prone to event risk. But the trick that we figured out in the last 10 years, given that it has become much more regulated, the players are much more accepted, the overall practices have evolved over a period of time, is to make a very consistent provision even in good times. Because that'll take care of you when the event risk strikes.

Rohan Mandora: Sure, sir. Thanks.

Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Yes, hi. Good morning, Sanjay ji and team. And congrats on the merger. A few questions I have, like, first is on the securitization. We have been going for higher securitization. This contributed around INR2,900 crores. So what is your strategy on the same going forward?

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And the second one is on the stronger growth that we have reported in commercial assets, along with the securitization, again, that we are doing. How will that impact the PSL compliance? So if you can share some color as to where the bank stands on the overall PSL compliance, and how do you see that going forward with the strategy that we are adopting on the securitization front?

Sanjay Agarwal: Thanks, Nitin. But I think I will ask Prince to reply on this.

Prince Tiwari: Yes, Nitin. So again, securitization, as we have been saying, that it serves multiple purposes.

One, obviously, it diversifies my funding profile. And to that extent, it helps me on the liability side, puts lesser pressure on the team, especially in an environment where the interest rates is high. And we don't want to load up ourselves on the bulk deposits. So securitization obviously proves a way to generate liquidity.

Second, it obviously frees up capital, I think. But that's not the main reason. I think your last point, or the second part of the question, is very apt. Where you said that the overall PSL, so our strategy this year is more to sell non-PSL as compared to priority sector assets. And again, so far, whatever we have securitized, bulk of it has been on the non-priority sector lending book that we have. So that also helps me achieve a higher percentage of PSL achievement against the regulatory compliance requirement. The purpose is dual. One is liquidity. But at the same time, also ensure that my PSL compliance goes up.

Sanjay Agarwal: You want to add on, Vivek?

Vivek Tripathi: Yes. So on the second question on the commercial banking assets, most of the business banking and agri-banking, to the extent that 90% of our agri-banking and almost 85% of our business banking assets are PSL. The only book which is financial institutional lending, NBFC lending, that's largely a PSL book. And within the real estate also, almost 40% of our advances are actually PSL because we lend to projects which are classified under affordable housing.

Sanjay Agarwal: Is that the questions are answered? Is the answer you're questions?

Nitin Aggarwal: Yes, that answers. And then how do you see the overall loan growth, the on balance sheet advances growth with the securitization approach?

Prince Tiwari: So I think

we have already guided, Nitin, that for the full year basis, we are looking to see anywhere around 25% to 26%, right? I mean, our overall stated ranges stand is that liabilities will drive our asset growth. And when we speak with our liabilities team and given whatever we have been able to do in the first half of the year, of course, Q1, we chose not to grow our deposits because of the liquidity. But I think on the liability side, we can see that we can grow anywhere between 25% to 30% on an annual basis with the constraints around the cost of funds that we

want and the kind of deposit mix that they want. So that basically will ensure that we should do our asset business anywhere around 25% to 26%.

Nitin Aggarwal: Okay. So that basically is not changing because if I look at the first half, we have grown around 10%. So we are looking at a 15% growth in the second half now, broadly around that?

Sanjay Agarwal: It's around 10%.

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Prince Tiwari: 10%, yes.

Nitin Aggarwal: Yes.

Management: You're absolutely right. And if we have assets, we will securitize.

Nitin Aggarwal: Got that. And one more question that I have is on the universal banking license plan. And so now after this merger, what are our thoughts on that? Will that get deferred? And any comments around that?

Sanjay Agarwal: Nitin, again, I repeat one at a time. So the idea is to, to be very honest, the idea is to really build a bank with all round capabilities, right? I think universal is one word, which is just comes in every discussion. But if you see AU, maybe in April '24, you will see, with around 30 product lines and with the cross-selling ability of wealth, insurance, ADML license, that means FX, the payments, the entire credit card, UPI code.

So I think, I would sincerely believe that we should be viewed by the people as such that we have that all round capabilities in terms of product, in terms of customers, because once we start micro finance, it will add on to a customer range, which haven't served at all by us in last maybe 28 years, right? So I think the kind of width, the kind of, I would say, depth we are building our franchise, it's very good in my opinion. And then, of course, once we settle down, we will look for the next thing, but I would only say that, as of now, one at a time.

Nitin Aggarwal: All right. Sure, Sanjay. Thanks so much. Wish you all the best.

Sanjay Agarwal: Thank you, Nitin. Thank you.

Moderator: Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama: Sir, thank you for the opportunity. What is the reason for the INR700 crores funding incursion by Fincare SFB? Is it more to do with that, basically, you want some cleanup act before the merger happens?

Sanjay Agarwal: No, Anand, I think everybody knows that Fincare was about to launch their own IPO and they were supposed to raise capital and they're high leveraged in that sense. So, and they and merger will take some more time, right? It is not happening today, tomorrow, right?

So, and they need a capital for their own business as usual. So their own team has, or their own investor has committed to the team that, they will put this money and we accepted that. So is that simple, in my opinion?

Prince Tiwari: Yes, and Anand, on the GNPA side, again, on the cleanup act, the book is already fairly clean.

As on 30th September, this is the audited financials, the gross NPAs are in the range of 1.6%.

And if you see, over the last three years, or at least last two years, definitely, they have written off a lot of COVID related NPLs.

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And in fact, this is whatever interactions we have had and the due diligence feedback that we have got, they have been recovering almost, quite a decent chunk out of that written off portfolio.

And the expectation is they might be able to recover more than 10% in the current financial year.

Anand Dama: But, basically, the HDFC limited kind of issues also basically had its own issues, when it got merged. So just wondering, basically, if this is true for the subplot, which is the cleanup. So secondly, what will happen about the holdco structure, whether the holdco will exist for the SFB? And secondly, what is your view that, RBI would take, particularly given that we are acquiring a very healthy SFB?

Sanjay Agarwal: What's your second question? The RBI view?

Anand Dama: RBI view on acquiring a healthy SFB?

Sanjay Agarwal: Healthy SFB. Okay, no, no. So I think, thank you for this compliment. So that's not the whole purpose, because we strongly believe that this is a very healthy, very well established, well governed SFB. And we would go to a regulator to really allow us to do this. And so, but we strongly believe that the kind of complementary position we have to each other, the regulator would be, I would say, would only support this. But it is their own decision. But we will put our best foot forward to convince them. That's one thing. Second?

Prince Tiwari: On the point that you made around past merger between Disha and Future, I'm guessing that's the question.

Sanjay Agarwal: Yes, holdco. So no, I think the holdco structure, I think that is their own decision to be made once we get to that level. But initial understanding is that the holdco investor will get the shares of AU by liquidation. But I think they will take their own decisions. So it's early to comment as of now.

Anand Dama: So I was just wondering about, if RBI would take any objection to the merger, because there is an acquisition of a healthy SFB, whereas I think RBI has given a license for these entities to operate separately?

Sanjay Agarwal: No, no, sir. There is no acquisition. It's a merger.

Anand Dama: Sure.

Sanjay Agarwal: Both will exist.

Anand Dama: Sir, any concerns that you feel in terms of integration that would come by and any integration - related costs that you see?

Sanjay Agarwal: Not much, Anand, because as I already commented that it is, they are more south-based bank, we are more north and west-based bank. Like, 10,000 people work in MFI business, which we don't have, so that they will continue to work with us. You know, the complementary, the function which maybe have the similar kind of job profile would be not more than 100.

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We need to sit together to understand those things and how we can align them also with the overall strategy of a bank. In terms of tech integration, as you know, the bank is not that big. The deposit base is around close to 10,000 crores, and we are working more on Oracle and all those things. So it is more of an API-led integration. So that should also help us better transitioning there. So in that sense, and they are well-governed in terms of the overall inspections, overall umbrella of regulators.

So that is there. So I think that's why I'm saying there are more knowns than unknowns. You know, and of course, M&A will throw us some kind of challenges as we move forward. But as a team, we need to have that kind of mindset that, we will understand those challenges. We will sit together and try to resolve it. Because the common interest is now one, the common interest to really build one of the finest retail franchise for this country.

Moderator: Thank you. The next question is from the line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Yes, hi. Good morning. Thanks for the opportunity and congratulations to the team for this strategic merger. So a couple of questions. One is on the shareholding of Fincare small finance bank. We do understand that there are quite a few private equity players, both at the holdco level

and

as well as the operating bank level. So as per the DRHP, some of them have expressed their intent to pair some of their holdings as well. So as a part of the merger agreement, is there any lock-in for the existing shareholders of Fincare, SFB or the holdco? Or how does that work?

Prince Tiwari: So Umang, as you rightly said, there are private equities, but they are all at the holdco level and holdco owns about 80% of the bank. And the merger is between the bank and the holdco is not a part of the entire merger process. And hence, we will be issuing shares to the holdco. And as Sanjayji said in the earlier question, the holdco doesn't – it's a non-operative holdco. They don't have any other assets. So it's up to them to decide.

But our understanding is that even if they go for distribution of this asset or the shares of AU to the underlying investors, they'll have to go through a dissolution or a liquidation process, which will take – I mean, who knows how much, but the NCLT process is expected to take a longer time. So we don't really expect a lot of liquidity.

Sanjay Agarwal: And of course, I don't think that there is one of investors who is having a large chunk. Yes. It's a well-distributed. And just all put together, they would be taking around 10%. Some of them. And if they have maybe around 20 investors, so the average out holding would be more than 1% each. So other than one or two. Yes.

Prince Tiwari: And also, we have some investors there who are common, and they would like to probably hold on because they already hold AU. So we don't really see a lot of liquidity flooding the market over the next at least 15 to 18 months.

Umang Shah: Understood. And sorry, just one clarification. The share swap will work in the same fashion for both the promoter entity shareholders as well as some of the public shareholders?

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Prince Tiwari: Share swap is for all the shareholders, including the ESOP holders. So it'll work at the same ratio.

Umang Shah: Understood. So the second question is, again, in part Sanjayji has already kind of answered it. But typically, the way we have seen in mergers, now we do understand synergies will take some time to kind of show up. But are there any one-off costs which we are foreseeing at this point of time which can hit us maybe next 6 to 12 months?

Gaurav Jain : So by one-off, do you mean sort of integration costs? Or I mean, is this deal related or some other business-related aspect?

Umang Shah: I mean, deal related. And again, to the point on asset quality, which Prince and Sanjayji has answered earlier. But I mean, if you look at the headline, NPAs and credit costs of Fincare are relatively higher compared to AU. So maybe basis, your due diligence, any one-off expense or stuff like that?

Prince Tiwari: So as I said, among the Fincare, again, during the last two years, they have provided a lot and written off a lot of books. In fact, they are seeing recovery from that book. So to that extent, they, in fact, also did a ARC transaction last quarter to sell some of the legacy NPLs in their secured asset book. The microfinance book is already pretty clean. They have a net NPA of about 0.6%. So to that extent, we don't really think there'll be a lot of provision requirement. Their policy on provisioning and write-off on unsecured book continues to be as stringent as ours. They write off their unsecured book at 180 days or provide 100% as 180 days. So we don't really see any major material provisioning coming to our book just because of the change in the mix.

As far as the integration and other costs are concerned, of course, as Sanjayji alluded, there'll be some amount of transaction-related expenses around stamp duty and other things. But that's normal in nature. We don't really see a lot of integration cost because the businesses, as you said, are v

ery complementary.

The MFI business can continue to run as a MFI business because you don't really have it. Some of the other businesses are very complementary around the affordable housing finance and around the entire small business loans. So to that extent, we are not really envisaging a large integration cost. Whatever minimal that might come in because of system and other things has already been baked into our ROA profile, as Sanjayji said.

Umang Shah: Perfect. Perfect. And just one last data point, the 9.9% post-swap equity, which the existing shareholders of Fincare SFB will get, does this include the INR700 crores capital infusion by promoters or that would be over and above this?

Prince Tiwari: No, absolutely included in that.

Umang Shah: Okay, so this is a fully diluted one?

Prince Tiwari: Absolutely. Including the ESOP holders.

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Moderator: Thank you. The next question is from the line of Shantanu Chaturvedy from BNP Paribas. Please go ahead.

Shantanu Chakrabarti: Hi. Thank you for the opportunity. Two questions really. One relates to the merger and the other relates to your own business. The first question related to the merger is one of the calling cards of AU, even in its existence as an NBFC, was that even while it was present in higher yield and smaller customers and so on and so forth, it was always able to deliver NPAs and credit costs which compared with the best-in-class banks and there and thereabouts, something that very few other companies have managed. And we know the stories around how Sanjayji himself was so focused on that the credit culture of the company should remain pristine?

So in that context, bringing in an MFI book where as you guys are yourself admitting that every three, five years there seems to be occasional meltdowns, that is the nature of the business, while it's profitable in good times, it is also susceptible to large drops in sporadic years. How does that fit into your credit culture of where every rupee must come back, that goes out? That's my first question and how do you maintain that sanctity across the organization with this new kind of business coming in?

And the second question relates to your segments of wheels & MSME. Now, you have been talking about this. What I want to understand is that if current cyclical concerns around lot of new entrants, etc, are holding you back a little bit in terms of higher growth in high yield segments, when do you expect that to turn?

How much of this is a cyclical concern versus a structural concern? Because if I look at the opportunity headroom that you still have, even in existing geographies, including Rajasthan, I mean, that seems to be high. So, at what point do you see that turning?

And your thoughts about this, does this change the basis of what is incoming? And a follow on to that question, now that the book composition, the loan book composition is changing a little

bit, there's microfinance coming in, etc, are you revising your own thoughts regarding what you consider as leverage thresholds for the overall balance sheet? Because that is so critical to your dilution timeline.

You have been growing in excess of ROE, and therefore, there's been an opportunity to make your compounding engine larger. Investors have benefited from it. Do these thresholds change to the dilution timeline change? This is then evolving new risk parameters within the broader loan portfolio? Those are my questions.

Sanjay Agarwal: Thank you, Shantanu. Thank you for the kind words. So, I will answer the first one, because that's very important that, we always discuss that, why AU should not be in a microfinance business or in an unsecured profile. But, again, we'll say that, the world has changed dramatically over the years. The whole economic cycle has changed dramatically over the years.

The whole loan

profile, the segment also has changed in India, too. We have got a lot much data available now, and as you would have seen that why we started credit card, why we started personal loan also, that it makes your banking franchise complete. You know, once if a customer

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is there, and if you don't offer them credit card, if you don't offer them personal loan, they don't feel that you are complete as a banking franchise.

So, I think sometimes it's driven by the customer needs, it's driven by the customer's overall expectation from a banking franchise. And, you also have to believe that the team has done tremendously well over the years to understand the risk and understand the execution capability around, even around the difficult product like Wheels and MSME. Those products are not easy. But over the years, we have built the overall, I would say, the process, the policies, the overall culture that, how we should learn, how we should collect. And, that is why I'm saying you again and again that once I met Rajiv and his team, and saw their tremendous capability to work under pressure, work under uncertainties, coming out through those times when nobody was supporting microfinance and to remain there. So, I found that they also come with a similar kind of mindset which we have also performed over the years.

And microfinance, of course, is not that secure product, but nowadays, by the overall credit culture coming in the country, I think that those segment is also now addressing to the need of the hour. You know, there is no habitual defaulter. There are no overleveraging.

There's much compliance has come in. There's much clarity on the ground and all those things. So, I strongly believe that by virtue of these changes and by virtue of bringing team with so much of confidence, so much of vintage, so much of experience, and again, the overall attitude of AU as a team that we won't lose your money?

You people need to support us for some time that, we at AU, might change this whole perception also that microfinance is a risky business. And, of course, it has its own risk around credit loss and that is why we are saying that we will provide adequately. We don't want to say that this year the market is good, then we just don't provide anything.

So, I think as we move forward, we will sit together and want to understand the whole cyclic challenges and, of course, we want to provide adequately. And I just want to reassure you that so I don't think that it will create an unnecessary challenge on overall banks' continuity or banks' overall approach to a business. You know, it will be just around 10% of our overall book.

It helps us to add on one more customer base. It helps to get, the private sector requirement, because you know that we aspire always to have a very sustainable business model. So, I think this will add on to all those things.

And I think the overall character of AU in the sense that we should have very predictable asset quality will continue, will continue. I can assure you that. Of course, I know that this has its own challenges, different challenges, but I believe that because of our experience, because of the way we have taken the calls, the way we execute ourselves on the ground should help us to maintain similar kind of business as we move forward, right?

And so, overall, I would say that business will evolve because that's the way we should be.

Because, if you go back in history, when I started, it was only vehicle business. Then when we moved on, we started SBL, you know, which was not heard in the industry. Then we started

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affordable housing again.

So, every time we have done something new and has proven that has proved that we can very well understand the whole business from the grounds up and it can execute

very well, right? So,

I hope that this time also the story won't be different and we'll be on the same path. Okay. So, you want to add on? Shantanu, I have forgotten your second question.

Santanu Chakrabarti: The second question related to whether the core SBL MSME and wheels business, a little bit of slowdown, how much of that is cyclical and structural? And also, I asked that given that the asset mix on a blended basis is changing a little bit because of the acquisition. How does that impact what kind of leverage thresholds you are comfortable with? Does that change? And therefore, how does it impact your dilution timeline? Which have been so value accretive, sir.

Sanjay Agarwal: No, no, no. I don't think, Shantanu, so I will allow, I will ask Bhaskarji to comment on our SB L and other business. But I'm not able to understand this dilution piece.

Prince Tiwari: We will continue to hit the market every day.

Bhaskar Karkera: Typically, Sanjayji, whenever you have grown...

Sanjay Agarwal: Capital, right. We will be getting around close to 2,400 network -- so it will allow us to leverage maybe another one more year on this money. So -- but it's very -- again, our stated requirement that we don't want to go below 18% kind of capital adequacy. We don't want to leverage more than eight times and so I think it all, the math will be around this. We'll go and raise more capital, right?

Santanu Chakrabarti: So Sanjayji, I'm asking, is any of that changing because of this?

Sanjay Agarwal: No No, Nothing.

Bhaskar Karkera: Yes, hi, morning, Shantanu. My name is Bhaskar. Just to answer on both wheels, as well as the SBL business, both continue to be on track. It is just a matter of getting our rates adjusted to the cost of funds. And that is the only one reason, because we also do know, during the festive season, we have to come, be a part in the market place, which gets competitive.

And hence, we have been building our rate buffer on both the businesses. Otherwise, by design, by structure, by people on the street, we continue to remain, the entire team continues to remain there on the street. And we are doing whatever is in our plan for the year. So, truly, nothing to, no mistake, no mistake. It's all going as per plan.

Santanu Chakrabarti: So, Bhaskar, basically, what I'm asking is, see, in this year, these businesses, these core businesses have been doing very well for you. And obviously, as you have also highlighted, and it's plain for us to see, there's a lot of headroom there in terms of opportunity for you to sustain long-term high growth. I understand that because of increased competition, you have to hold back a little bit, as a lot of NBFCs, small finance banks have entered, right, and probably not with as much experience as you. What I'm trying to understand is, at what point do you see that cycle turning? What are the evolving realities of that competitive space? Thank you.

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Uttam Tibrewal: So, Shantanu, yes, Uttam here. I want to add here that it's not that we are holding ourselves because of competition or because of competitiveness. It's a function of rate. You know, as Bhaskarji has said, that our cost of fund a little bit elevated because of our deposit franchise, as we all know, in the market. So, it's a function of rate for us. We are already funding at 15%, on a mix of used and new and tractors and two-wheelers. My SB L business is around 14.5%. My housing is around 11.5%.

So, as you already said, that there's enough headroom, even in Rajasthan and all the geographies we operate. But we are just holding ourselves because of, it's a function of rate. There's enough, enough potential in our present operating geographies, but because of rate only, we are holding this. Otherwise, we can have any, any number of growth and any number of opportunities capturing in these market

s. So, just as, the cycle rates gets evolved, gets slowed down, our deposit franchise is there. We are there to catch on all those opportunities. So, it's not because of competition, all that. It's our own decision, our conscious approach.

Prince Tiwari: Shantanu, I hope that answers your question?

Santanu Chakrabarti: Yes. Thank you for the opportunity.

Moderator: The next question is from the line of Param Subramanian from Nomura. Please go ahead.

Param Subramanian: Yes, hi. Thanks for the opportunity. Most of my questions relating to the merger have largely, largely been answered. So, just a couple of questions. Firstly, on this securitization, which you have done, you know, a large amount of securitization in this quarter. So, you've also had a very strong deposit growth, right? So, could you just explain the reason for the securitization?

Your CD ratio has come down and I'm also seeing the LCR has come down, quarter-on-quarter.

So, you explained that securitization is helping you on the liquidity front. But I just wanted to understand, how you're looking at it from the perspective that you, despite having a strong 9% quarter-on-quarter deposit growth, you had to do such a large securitization. That's the first question. I'll come back to the second.

Sanjay Agarwal: Yes. So, my friend, we actually plan ourselves for whole year basis, right? So, again, I want to comment that, because it is not that it will be available maybe last quarter and when we need

the money, right? So, I think we as executive need to take decision day in day out to really see our sustainable growth. And, if you're doing some transaction in the month of September, like, what Prince commented, it was non-PSL, a better rate, maybe offered you in September only, right?

So, I think it's based on those businesses requirement which we take decisions. Sometimes it doesn't look nice on the balance sheet as such, but, like you're saying that we grow our deposits so well, so why we need to securitize it? But we can presume that next six months, there will be more intense competition around deposits, right? And the cost may go up, right? So, we need to be more smart enough that, what is good as of now and we need to take that kind of decisions. Sometimes it goes well, sometimes it goes wrong, but that's the way the life is.

So, I think that's the one thing which we need to appreciate that whatever we have done over the

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years, just has helped AU to become more formidable, more stronger and more sustainable, more reliable, right? So, that's one thing, right? Which I want to say that it's very small decision making which we take every day to remain relevant and to remain sustainable, right? Yes, Prince, you want to add on?

Prince Tiwari: No, just on the LCR point, again, Param, as we had articulated earlier, last quarter we had abundant liquidity and it was a very conscious strategy to consume whatever excess liquidity buffers that we had. So yes.

Yogesh Jain : Yes, Param. So, what Prince mentioned, because in first quarter we had excess liquidity and we decided that we will not grow our deposit much. But this quarter, we are on average 125% LCR.

So, it was a mix of our decision that we will go for some securitization. This quarter, we didn't have any PSLC. So, it was a mix of some deposit raise and securitization.

Param Subramanian: Yes, I get that. Just on this again, so your loan book had just grown 2% quarter-on-quarter, right? But your deposits have grown 9% quarter-on-quarter. So, does that imply, because if the average LCR has come down, does that imply that most of the deposits we re back-ended because I still don't get how the LCR could have dropped?

Prince Tiwari: No, so again, Param, two couple of things, okay. The first is the entire securitization is typically back-ended, right? So, most of the liquidi

ty impact you will start seeing in the next quarter,

right? Because you end up doing securitization generally as a quarter end transactions. That's the way the market works. As far as the entire LCR is concerned, if we had higher deposits, you'll also appreciate that we didn't have any deposit growth in Q1.

So, to that extent, the Q1, the quarter to deposit growth at 9%, it cannot really be back-ended.

And we have also given the monthly average numbers as well. So, you'll not find a lot of variation between the month-end numbers or the quarter-end numbers and the average numbers for that particular month. It is given on the slide on the liabilities.

Param Subramanian: Got it. Got it. Fair enough. My second question was on the credit cost. I think in your opening comments, you had mentioned something about the credit cost, some amount of the credit cost being led by the unsecured segments. So, now that we are at this credit cost level of 80 basis points, maybe X of the contingent provisions, we reverse 90 basis points of credit cost this quarter. So, sustainably, how do we see this number evolving, going ahead? That's it from me. Thanks.

Prince Tiwari: So, I don't think it is 90 basis points. Again, there is a base effect, as I said. But having said that, it is about 60 basis points, 50 basis points for this particular quarter. And on the mean reversion basis, we are saying that it could go anywhere around 60 basis on a more sustainable number. Yes, rather than 20 or 30 basis points that we have been seeing in the last year. The credit card accounted for INR 21 crores of write-offs this particular quarter.

Param Subramanian: Okay. Okay. And are we comfortable on that book right now? In the INR30 crores write-off?

Prince Tiwari: Yes, very comfortable. I think we -- I mean, we understand that it's a business which has some amount of inherent risk. And to that extent, our provisioning policies and right of policies take

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care of that. Mayank, you want to add anything on that?

Mayank Markanday: So, on the credit card book, we are quite comfortable on this piece because we normally provide, we do write-offs at 180 DPD. So, that's the reason. And the book is growing. It's a two and a half years old book. So, we are getting the seasoning now, maybe another six months. We'll be as good as any other industry player competition numbers. We'll be there at the NPA numbers. Our book will get seasoned in the next six, seven months.

Sanjay Agarwal: Yes, but I just want to add on here, Sanjay, this side that, we run P&L for every product, right? So, Wheels will have its own, the NIM and of course, the own credit cost. And vis -a vis, Commercial Banking will have its own. As we move forward, Micro Finance will have its own. Credit Card will have its own. But I think, overall, we always believe that any asset which gives us a north of 2% ROA, we really want to concentrate and want to build from there, right? So, I think you will find that, maybe, you know, on a credit card, our NP L around maybe 3%, right? Maybe 4% in Micro Finance also. But overall, I strongly believe that every business, next by March 27, will start giving you a - north of 2% kind of ROA? So, that's our basic principle. I just want to put on the table, right? They might have their own names, they might have their own credit costs, but that's the overall principle, right?

Param Subramanian: Thank you so much. I just wanted to understand this INR21 crores, is this something that is recurring? That you see will be recurring going ahead, write-offs? Because if I look at that number on an annualized basis on the credit card book?

Sanjay Agarwal: Credit card INR21 crores write-off?

Prince Tiwari: Yes, yes. So if you see in last, we have been growing by INR500 crores book every quarter now, in the next two quarters, you will see

that INR400 crores we have already grown in the past six months. So it will be INR21 crores will be sought of, which will get -- it will be in line with this only?

Sanjay Agarwal: I hope we have answered your question. Param?

Param Subramanian: Yes, yes. Thank you so much, sir.

Mayank Markanday : It's INR 24 (corrected – 21) crores not INR30 crores.

Prince Tiwari: Sorry my bad, Param, it's INR 24 (corrected – 21) crores not INR30 crores.

Yogesh Jain : Overall, it's INR21 crores.

Prince Tiwari : Operator, in the interest of time, can we take one last question?

Moderator: Sure. Ladies and gentlemen, due to time constraint, this will be the last question for today, which is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Yes. Good morning and thank you for the opportunity. So, firstly, Rajiv and his team, which will join AU after the merger, is there a tenor lock-in for the team to stay with the bank?

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Sanjay Agarwal: No, nothing like that. It's more basis trust. It's more basis that we want to work with each other. So, I think that bonding is far, far better than any kind of documentation bonding, because those are very highly experienced team. Rajiv is working as an MD of a bank. So, we expect that he should be given the same treatment, same respect. And we really want to make it a very happy merger where people come voluntarily, for the common cause, and put their effort. But overall, yes, because we have appointed Aon Hewitt to advise us for a better integration, because people will have their own choices. People will have their own mindset. But the challenge can be to really how quickly we can align them. But I strongly believe the way we have built ourselves over the years, where people really have mattered us most and we will continue to do that. And so, no forceful kind of agreements, but very high on feeling kind of agreements.

Manish Shukla: Sure. These 700 cr promoters who would infuse, will it happen at the same valuation that AU is paying?

Sanjay Agarwal: Yes, same, same. Everything will even same, right?

Prince Tiwari: Yes. Yes.

Manish Shukla: No, I'm saying the INR700 crores, which they'll pump into the bank before the merger, that will happen at the same valuation for Fincare as you are paying for the bank?

Prince Tiwari: Absolutely, absolutely, Manish.

Manish Shukla: Okay. In terms of profits for Fincare, first half is INR220 crores. Last year, full year, it was INR100 crores. So, are there any one-off in first half this year?

Prince Tiwari: No, no. I think last year was more, they were still continuing to write off or clean up the book, which was post-COVID. And this year, the normalized operations have come in. So, you can actually take the run rate of the first half year as a more normalized run rate as compared to what happened in the last year.

Manish Shukla: So what would be the proportion of recoveries in this INR220 crores?

Prince Tiwari: INR120 Crores is -- sorry, Sorry, 120 crores, PAT, you're saying?

Manish Shukla: INR220 crores first half profit, right? INR219 crores?

Prince Tiwari: INR220 crores first half, PAT. Okay. That's about...

Manish Shukla: What is the recovery number in that?

Prince Tiwari: They are recovering about INR10 crores every quarter.

Sanjay Agarwal: INR10 crores monthly.

Prince Tiwari: INR10 crores monthly.

Manish Shukla: INR10 crores monthly, okay.

Sanjay Agarwal: About INR60 crores of this could be.

Manish Shukla: So before tax?

Sanjay Agarwal: Right, INR60 crores before tax.

Manish Shukla: Okay. Understood. That's clear. Thank you. Those were my question.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today. I would now like to hand the conference over to t

he management for closing comments. Over to you.

Prince Tiwari: Yes. Thank you, Michelle, and thank you, everyone, for participating. We really look forward to this merger. We have really worked hard on this in the last quarter and it was very exciting and a lot of learning experience for the whole team, including myself, and we look forward to your support, give us an opportunity and will not prove you wrong. Thank you so much. And if you have any residual questions, you can always reach out to the Investor Relations team. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of AU Small Finance Bank, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

Ref. No.: AUSFB/SEC/2023 -24/321

Date: February 01, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.

NSE Symbol: AUBANK BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001,

Maharashtra.

Scrip Code: 540611, 958400, 974093, 974094 & 974095

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Nine months ended on December 31 , 2023

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Thursday , January 25, 2024 for the Financial Results of AU Small Finance Bank Limited (" the Bank ") for the Quarter and Nine months ended on December 31 , 202 3.

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Vimal Jain

Chief Financial Officer

investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Limited
Q3'FY24 Earnings Conference Call "
January 25 , 202 4

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR

MR. DEEPAK JAIN – CHIEF RISK OFFICER
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER
MR. YOGESH JAIN – CHIEF OPERATING OFFICER
MR. BHASKAR KARKERA – HEAD OF RETAIL ASSETS
MR. RISHI DHARIWAL – GROUP HEAD LIABILITIES

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MR. PRINCE TIWARI – HEAD, INVESTOR RELATIONS &
FIG
MR. MAYANK MARKANDAY – HEAD OF DIGITAL
BANK AU 0101
MR. KUNAL KAKKAR – SENIOR VICE PRESIDENT
INVESTOR RELATIONS

Moderator: Ladies and gentlemen, thank you for holding for the AU Small Finance Bank's earnings conference call. We would like to provide you with a few instructions. To ask a question, you may enter star and one on your phone. An operator will check your connection before announcing your turn. All participants are requested to use only handsets while asking a question. Please ensure that there is no background noise while addressing your questions to the management.

You may be asked to return to the question queue if you do not have a clear connection. Thank you. The conference will begin shortly. Please continue to hold.

Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the opening remarks is concluded. Should you need assistance during this conference call, please signal an operator by pressing star then zer o on your touchtone phone. Please note that thi s conference is being recorded. I now hand the conference over to Mr. Prince. Thank you, and over to you, sir.

Prince Tiwari: Thank you, Sagar. And good evening, everyone, and a warm welcome to AU Small Finance Bank's Earnings Call for the Third Quarter of FY '24.

We thank you all for joining the call on a eve of the Republic Day. And the format for today's call will be similar to last few quarters, where we will start with the opening remarks from the senior management of the bank for the first 20 -25 minutes of the call. And we'll then follow that with 30 to 35 minutes of question -and-answer session from all the participating analysts and investors.

To start the call, we'll have our Founder, MD and CEO, Mr. Sanjay Agarwal , share his thoughts on third quarter FY '24 overall performance of the bank. He'll followed by our Executive Director, Mr. Uttam Tibrewal , who will also share his thoughts on the business highlights for the quarter. And besides them, we also have some senior members of the management on the call today to answer any questions that you may have.

For the benefit of everyone, and so that we can all have a active participation, I'll request everyone to kindly restrict the number of questions per participant to 2 and join back in the queue in case you have additional questions.

With that, I'll now request our Founder, MD and CEO, Mr. Sanjay Agarwal , to start today's call by sharing his thoughts on the bank's performance and his strategic outlook for the bank.

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Sanjay Agarwal : Thank you, Prince. Good evening, and namaskar to everyone. I'm pleased to speak with you on the eve of 75th anniversary of our National Republic Day, and I want to express my sincere gratitude to all of you for your presence today. Before I share my though ts on the bank performance and strategic outlook, I would like to take the opportunity to thank each one of you for your unwavering support and confidence in our bank, which motivates us to continue every day, as you know, building up a truly retail bank is so difficult.

I'm sure by now, all of you have heard everything about the global macro economy on multiple calls. So I will not go much into the details. However, I will share my perspective on the whole India euphoria and the opportunity that it presents and then why I think this era belongs to India. Our honourable Prime Minister 's vision of "India @ 2047 " by when we complete 100 years of independence and aspire to be Viksit Bharat, is truly inspiring for an entrepreneur like myself and the opportunity

and scope for execution it provides to an institution like AU. I'm really excited about this period of growth and it coincides with our own philosophy of building AU forever.

The first phase of our forever journey, that is AU @ 2027 is the foundational period of first 10 years of our banking journey. Post that I strongly believe that AU will be a significant contributor and beneficiary of this India story. Coming back to India story, there are lot many trends that are available. But in my opinion, 5 significant trends, which we are witnessing in the Indian economy and the social environment has the potential to have a fundamental impact on our journey.

First, the recent structural and regulatory changes and growing adherence to the rule of the law will have long-lasting impact on the overall governance and transparency in this country. Second, as the world becomes more digital, the tech acumen and knowledge that we possess as Indians has the potential to change the Indian dramatically in the next 25 years. Third, the entire MSME space will create their own niche, and we are already seeing some initial trends of how the formalization of MSME is helping entrepreneurship.

Fourth, the capital market is poised for long-term growth and with a wider participation. Financial projects are new high but can innovate a lot more on the back of penetration. Fifth and most importantly, India is a vibrant democracy and the way we are handling ourselves and resettling our issues one at a time is commendable, bringing harmony and acceptance at all levels.

As India redefines itself and becomes more purposeful and gets characterised for its democracy, knowledge, execution, and consumerism, I'm very confident that AU will be one of the institutions that will play a lead role in this journey. The first 7 years of banking journey has remained absolutely on track and completely seamless, guided by strong regulatory framework, which we followed in letter and spirit.

During these foundational years, we have built a safe and sound bank, delivered good results consistently, built robust senior management team and have protected interest of every stakeholder, be it regulator, customer, employee, shareholder, or society at large. Our focus has been steadfast on every parameter needed to build a sustainable and complete bank.

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Be it deposit franchise, retail and commercial banking, digital banking, transaction banking, payment infrastructure, tech architecture, leadership development, compliance and governance, asset quality, customer focus, cybersecurity or even ESG. Every aspect has been covered. With operationalization of the recently received AD1 category license and on completion of the proposed merger with Fincare, the bank will be in a position to offer all products to all category of customers, be it domestic or cross-border or be it bottom of the pyramid customer or ultra HNI.

Against this backdrop, I would like to share my reflection on our performance in the third quarter and certain operating highlights of the bank. Our Q3 results remain in line with the anticipated outcomes, driven by the persistent dedication of our team. This quarter makes a significant milestone for our bank with our balance sheets crossing INR1 lakh crores. Our deposit registered a 31% year-on-year growth crossing INR80,000 crores mark.

We have also used securitization as a strategic tool to diversify our source of funds and use our capital efficiency. Gross of securitization, our loan book has also crossed the milestone of INR75,000 crores mark. As you would have recollected, about 6-7 quarters back, we had pivoted our entire strategy to be a deposit-led assets franchise, something industry has started talking about now. We have been good enough in reading the evolving landscape and started by addressing sustenance

of the business model, making it more acceptable to our stakeholders.

Over the last 24 months, we have worked on every aspect that the industry is currently debating, be it reducing the CD ratio, calibrating our asset growth to follow deposits, shedding wholesale deposits, avoiding going aggressive on unsecured loans, not partnering with fintech's solely for origination, setting strong governance standards or focusing on farmer financing and financial inclusion. The current quarter saw our deposit book grow by 6% compared to Q2 and CASA deposits increased by 3% quarter-on-quarter. More importantly, our saving account balance grew by 8%, whereas our retail term deposits grew by 5% during last quarter.

Our CASA ratio is at 33%. CASA plus retail term deposit is at 64% of our total deposits. A consistent effort is being directed towards reinforcing CASA and retail term deposits, notably through enhancement in our product offerings, services, and brand, steering away from the sole dependence on interest rates. But let me also admit that our current account franchise built out has not been to that extent we would have liked, partly because limitation of the platform, partly because of excessive competition in that zone.

But now we are working hard to relook at our strategy around the same and expect that

operationalization of AD1 and transition banking will support our CA strategy. Elevated interest rate continues to be a market variable, driven by tight liquidity and the regulatory requirement of controlling inflation. This is impacting the overall industry and thus, cost of deposits remains a challenge.

It has led to a 78-basis point increase in cost of funds in the first 9 months and 20 basis points in the current quarter. At the same time, we operate a high -yield customer segment and thus, there are limitation to increasing the disbursement yield without compromising on the asset quality.

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We have still managed to improve our disbursement yield by 38 basis points on YTD basis and continue looking for more such opportunities.

This has resulted in our margin contraction by 6 basis points with an overall net interest margin at 5.5% for the quarter and 5.6% for the last 9 months of this year. As observed in past cycles, the presence of fixed retail book and market segment will be advantageous when interest rates undergo reversal. Our loan portfolio demonstrated robust growth, increasing by 6% on a quarter -to-quarter basis. This growth was sustained by surplus liquidity buffers and notable demand for credit. Our emphasis on asset is centered on prioritizing yield and adherence to our underwriting filters. Uttam will provide more insight on this.

Gross NPA increased by 7 bps, quarter -to-quarter reached 1.98 %. This marginal GNPA increase in the quarter can be attributed to low base effect as we have securitized approx. INR2,700 crores of loan assets in this quarter. On the overall portfolio, gross of securitization, our G NPA increased marginally by 3 bps to 1.83% from 1.80% in the previous quarter.

Slippages during the quarter was around INR403 crores against INR350 crores in Q2'FY24.

Credit costs net of the recovery for the quarter normalized to 62 bps with an 18-bps contribution coming from credit card book. As a credit card book attains a size and gets seasoned, the credit cost for the same is also getting normalized and coming in line with the industry average.

Overall, asset quality remains within our range as we are not seeing any signs of stress buildup or any specific pockets of warning signals. However, some traditional impact was seen during the quarter in enforcement of collaterals with state elections immediately following the festive season in 2 of our biggest markets, Rajasthan, and MP. This led to a lower resolution and recoveries during the quarter.

Cost-to-income

ratio is within our guided range. Our focus on investment to build a full stack bank like credit card, digital initiatives, AD-I license and transition banking, wealth management, brand build-out and upgrading our tech capabilities will remain our key priority and we'll keep investing in them. Merger of Fincare with us is on track, and I'm delighted to inform you that post securing the shareholder approval, we also have now received CCI approval earlier this week. We now await one final approval from RBI. This merger will provide us with a wider distribution and higher -margin products, an opportunity to diversify assets, customer base and geographic presence.

In terms of future outlook, we are focusing on our tech and innovation. We are continuously enhancing our tech ecosystem and digital properties. Migrating our tech to cloud, expanding our data centers, building our data warehouse, and developing analytical workbench remain some key projects that are being progressed. I also believe that our focus on tech is also giving us desired results and creating our own space in this competitive zone. Our pace of customer acquisition has got a significant boost due to our digital product with the possibility to acquire more than a million customers next year.

Our next focus area in the tech segment is AI, which we are excited about and which I think is critical for our next phase of growth. HR and people practice remain key focus area for me

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personally as I feel banking is the people's business. I am fortunate that entire senior team has a common vision and it's quite stitched and aligned to the overall purpose. In these 7 years, we put our best foot forward and already working on many initiatives to nurture our talent with partners like Korn Ferry and Aon with a keen focus on their learning, training, motivation, retention, career path, succession planning and other such areas. We are working to build a pool of talent to take forward our forever journey and create a human capital for the bank for generations.

We have focused a lot on efficiency and productivity of people and reorganized the business groups under five businesses with leadership aligned at every level. Similar nature of businesses were brought under one umbrella to align them with a single objective and avoid any transition

gap. All this, along with the various automation projects has resulted in a significant productivity lift for our on-ground sales, credit, and opportunity.

This has resulted in a relatively stable manpower over the last 8 quarters despite the business growing at ~25% CAGR on both advances and deposits. In the end, I can assure you that we are committed to build one of the most trusted and finest banking institution in this country. We aspire to be a full-service bank for our customers and need to manage multiple stakeholders. Sometimes that has its own cost, but it brings sustainability to the franchise. And while we are building for the future, we are also delivering consistent results, while also continue to lead by example, as the largest SFB.

Our various investment avenues will start yielding profitably from FY'26 and will help us unlock operating leverage. Our size and scale will give us an advantage beyond 2027, and we are strategically preparing ourselves for that phase.

In closing, I stand before you today, not only as a CEO, but as a custodian of your trust. I assure you that we'll continue to push the boundaries of what is possible to create sustainable value and to deliver on our promises. Our path may be challenging, but I'm confident that with your unwavering support we will triumph.

Thank you once again for joining us. Over to Uttam for the further operational highlights. Thank you so much.

Uttam Tibrewal : Thank you, Sanjay. Namaskar, and good evening, everyone. Wish you an abundance of health

and happiness, and my wishes for the 75th Republic Day of our great nation. I will now share an update on the operating highlights of our key businesses for the third quarter of FY23 -24. India story has remained strong despite global headwinds, and Indian economy continues to grow with all leading indicators being in the positive range.

During the third quarter, the festive season provided momentum to consumption and the overall demand remained robust across segments. However, tight liquidity and global risk, including geopolitics continue to pose threats to trade flows and commodity prices and warrant caution. We continue to remain watchful and agile as we move forward.

Let me start with an update first on our digital banking business. As a tech-led bank, our core focus is to identify digitally native customers, offer them differentiated products and engage them using state-of-the-art digital application and service platform, providing them convenience

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and branch-like experience digitally, thus providing them value along with their entire life cycle with us.

The collective deposit balance of the video banking portfolio now exceeds INR1,500 crores with over 4.5 lakh customers. Our digital savings acquisition saw an uptick of 30% quarter-on-quarter. Additionally, we had introduced digital current account offerings in the previous quarter, and I'm pleased to report that we have scaled to over 3,500 accounts in this quarter. We have also now added corporate salary accounts to the video banking platform in this quarter. With the help of our all-inclusive video banking solutions available 24/7, we are now serving over 1,000 customers every day with 400-plus services. I'm also happy to inform that we have crossed 26 lakh registered users on our super app AU0101, registering an 11% quarter-on-quarter increase with monthly active users growing by 8% to over 14 lakhs.

Moving to Merchant Acquiring Business. We have added 2,200 point of sale and witnessed activation rate of 50% in this quarter. As the overall transaction value grew 17% quarter-on-quarter to INR575 crores, average ticket size also grew by 15% and contributed to INR37 lakhs transactions in Q3.

Updating on our credit card business. During the quarter, we launched our first-ever co-branded card with a leading travel partner Ixigo, allowing us access to more than 15 crores users, largely based in their Tier 2 and Tier 3 locations. Overall, our credit card business at 8.3 lakh cards has not only helped in doing cross-sell to our existing customers, but has also become a robust channel for customer acquisition for the bank.

This festival season, we continued with our annual shopping bonanza under the brand of Heart-to-cart, which was live across all platforms including Amazon Great India Festival with total spend of over INR2,200 crores.

Now moving on to our liability franchise. Overall deposits crossed INR80,000 crores in this quarter, with 6% quarter-on-quarter growth. We continue to focus on building a retail and granular deposit franchise through high-quality customer acquisition. During Q3, our banking programs, AU IVY, AU Royale, AU Platinum made up 44% of our total customers. Similarly, the share of higher variant current account was 35% of total acquisition in Q3 FY '24. Our PPC currently stands at 1.7 and 2 for savings and current accounts, respectively. With 58% savings and 68% current account customers being transacting with us on a monthly basis, indicating a healthy customer engagement.

Our drive towards customer acquisition and engagement were complemented by the second season of Badlaav Humse Hai campaign with Kiara Advani as brand ambassador. Our latest campaign, Soch badlo aur bank bhi, reached 10 crores people through TV, print, radio, cinema, and digital media. As per Kantar BrandZ tracks our way, the campaign a

chieved 80% recall

among our targeted audience and importantly, a 50% lift in brand consideration.

Our green deposit program Planet First, launched in Q2, has received strong initial support from customers, raising INR200 crores deposits till now. We are deploying this money in green

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projects like solar power, electric mobility solutions, etc making a humble beginning in contributing to India's net zero mission.

Last quarter, we created Swadesh Banking Group to strengthen our banking services in India's Bharat. By unifying rural branches, BO/BC, financial and digital inclusion and small and marginal farmer lending under one umbrella. This leads to greater collaboration and innovation to design products and services tailored to the unique needs of this niche segment. In this quarter, we launched three differentiated products for this segment, namely Swadesh saving accounts, Swadesh current accounts and Kisan savings accounts.

Let me touch upon our cross -sell initiatives. Cross -sell of assets to branch banking customers was INR890 crores during Q3 as against INR598 crores in Q2, showing a growth of 49% on a sequential basis. In insurance, our total distribution increased by 23% sequentially with total business growing from INR158 crores in Q2 to INR194 crores during Q3. In our wealth business, our recently added referral offerings like PMS strategies and differentiated AIFs allow us to offer a complete basket of products and help s us to serve our high-net-worth customers better. During Q3, our investment AUM has reached to INR521 crores, across 1.6 lakh customers, registering an AUM growth of 50% quarter -on-quarter. Moving on to our asset franchise. We maintained sustained disbursements across our retail product segments, which ar e lease, micro business loans and housing loans. Our total gross loan portfolio, including securitization has crossed INR76,000 crores, and our flagship products, Wheels and MBL have crossed a significant milestone of INR 27,000 crores and INR 20,900 crore s, respectively.

Let's start with our Wheels business. This quarter, the vehicle industry sold 70 lakh units, showing 10% growth year -on-year and 29% growth quarter -on-quarter. Strong quarterly growth was visible in the 2 -wheeler and the passenger vehicle segment with 37% and 10% growth respectively. In Wheels business, this quarter, we have disbursed around ~INR4,500 crores against ~INR3,600 crores in Q2 'FY'24, registering a 23% growth quarter -on-quarter at an IRR of 14.6%.

Our average ticket size remained around INR 5.3 lakhs (ex. two -wheeler) on disbursements. As on December 31, 2023, the total loan portfolio of Wheels stood at INR27,000 crores. With the increase in seasoning of book, GNPA's maintained at 2.6%. Further, all disbursements were auto loans and 2 -wheelers were made through Wheels 1 app, a digitized process based on salesforce platform and FICO BRE.

Moving on to our micro business loans, as on 31st December '23, our loan portfolio stands at INR20,900 crores with a portfolio of IRR 14.80% and the GNPA of 3.1%. During Q3, we disbursed ~INR1,600 crores and a total of ~INR4,400 crores in 9 -month period between April to December, with an average ticket size of 12.6 lakhs.

Now let 's look at our housing finance business. Loan portfolio of our home loan business at the end of Q3 reached to ~INR5,400 crores with quarter -on-quarter growth of 8%. The average ticket size on this book is 12 lakhs at an yield of 11. 6%. And gross NPA of 0.6%. Our total

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disbursements in Q3 stands at INR579 crores, with YTD disbursements of INR1,700 crores.

Shifting to our commercial banking.

The commercial banking portfolio grew by 47% on a year -on-year basis to reach INR16,386 crores as against INR11,179 crores as on Q3 'FY23. Commercial Banking did fu

nd -based

disbursements volume of ~INR3,000 crores in Q3 'FY24, of which business banking and Agri banking accounted for 61% of business, GNPA for Commercial Banking stands at 0.4%.

Business Banking active limit stands at INR13,500 crores, and the gross advances are INR6,800 crores, showing year -on-year growth of 56% and sequential growth of 11%. Business Banking

recorded a disbursement of ~INR1,000 crores in Q3 and GNPA stands at 0.5%.

The Agri banking business has now reached ~INR5,200 crores with GNPA of 0.3%. This quarter, we saw a fund-based disbursement of INR783 crores with a growth of 23% quarter-on-quarter. Under our FPO financing program, we have now supported funding needs of more than 1.5 lakh farmers via 406 FPOs, including 130 new FPOs added during this quarter. Additionally, in the current quarter, we have financed 17 new renewable energy products to farmers under the Pradhan Mantri Kisan MUDRA Yojana, taking the total renewable energy financing for agriculture to INR177 crores as on December 31st.

Summing up, the liquidity deficiency and competition among banks has pushed deposit rates further up. We continue to closely monitor the competitive landscape and execute our strategy of building a retail granular sustainable deposit franchise. We will continue to consolidate and enhance our inclusive banking efforts and augment digital inclusion. We believe that the unique positioning of the bank to identify white spaces across geographies and customer segments and execute on those opportunities will – help us continue to grow sustainably.

Furthermore, concentrated efforts are being made to enhance the share of wallet through cross-selling of current accounts, saving accounts, QR, personal loans and credit cards to new-to-bank customers and existing-to-bank customers, fostering stickiness. We will continue to exercise a strong level of prudence as we plan for the coming quarters with uncertainty around interest rates and inflation.

The outline strategic initiatives collectively position us for sustained growth and amplified market presence. I'm eager to share many more positive updates with you in the coming quarters.

Till then, stay safe, stay healthy. Thank you. Over to you, Prince, to take it forward.

Prince Tiwari: Thank you, Uttam sir and thank you Sanjayji. Sagar, we can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bhavesh Ratilal Kanani from ASK Investment Managers. Please go ahead.

Bhavesh Kanani: Thank you for taking my question. This one is on the disclosures on the 31st slide provisioning summary. Basis the disclosure of net credit cost and excluding credit card credit cost, those numbers essentially imply that probably our credit card business annualized credit cost is around 6.5%.

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6.5%. I wanted to verify that. And if that is the case, where do we see it stabilizing? Is 6%-6.5% a level which is comfortable to us? And any directional outlook you want to give.

Prince Tiwari: So Bhavesh, before Mayank can answer the details around that. First the number is confirmed, you're absolutely right that broadly the credit cost on the credit card book in this quarter is in the range that you mentioned. You will appreciate that the book is getting built out, and it's very early days and credit card is known to be a high credit cost business, but a highly profitable business as well.

Now while we have started seeing the credit cost as the book is getting some sort of a maturity in size, you just understand that it's just less than three years since we have started operations. The profitability have also, in some ways, started showing up, but of course, we are not yet at a level where we can say that the ROE of the book is more than the credit cost. But Mayank, you want to add anything

in terms of the future outlook?

Mayank Markanday: Good evening, Bhavesh. Adding to what Prince said, yes, the credit cost is around this percentage only, which you mentioned. But since we are in the third year only, and we could see the trends coming across. So trends are more or less stating that they are getting stabilized and on the reducing. So we will remain under this trajectory only. And this is what nearing to the industry average also.

So this is on the credit cost. And future aspect is we are building our term book, and we are confident that we will build that to some certain more extent in the coming year. So that will also support us. And in the fourth year, we'll be able to give more guidance on the profitability piece.

Bhavesh Kanani: Wonderful. Thanks, Mayank, for that. The second one was on the industry level scenario on the term deposit and liquidity as well as deposit mobilization in general. If Sanjay sir could share his thoughts on these aspects.

Sanjay Agarwal: Yes. So thank you, Bhavesh. So I think I commented in my narrative that this is a very tough environment. Liquidity is a challenge. But overall, we have performed very well. We have done INR80,000 crores of deposit last quarter. Our CASA is around 33%. Our retail plus CASA is around 64%. Cost, of course, it's not actually, in our hand because market is too competitive. Every bank is looking to build their own deposit franchise.

So there is a war on the rate, right? But we have managed it through raising CASA, retail deposits, wholesale deposits, also have done securitization. Overall, we remain in absolute control of things, barring the cost of money. And it's not easy to build INR80,000 crores of

deposits on an SFB platform, but team has done phenomenally well in last seven years to be at this stage. We have built lot many hooks like you're talking about credit card. Credit card in the last two years has given us tremendous visibility, a tremendous recall value, tremendous brand build-up, right?

So I think we are doing around wealth, we are doing around credit card, we are doing around our whole payment systems, app. So overall, the purpose of entire bank is to build that deposit, right? And so we are really focused to build a deposit franchise, first, and then, of course, an AU Small Finance Bank Limited

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asset-led around it. And then we have done it. I'm saying this from last maybe now good two years that we want to be a deposit-led asset franchise.

And you would have seen our CD ratio, which is now touching even below 85%, which is one of the best in the industry. So of course, I'm very happy the way we are building up of course, another three years more where we want to be known as retail bank of this country. So absolutely on course for that.

Bhavesh Kanani: Just one clarification. When we talk about intensity of competition, do you see risk of price hike in term deposits in the industry?

Sanjay Agarwal : You're already seeing that, right? You're already seeing that. You should have read or would have attended every call. So every CEO is looking to build more deposit-led strategy now. So I won't say that I would be surprised that if there would be a hike in rates from here onwards in terms of competitiveness around bank only. But your bank is in very, I would say safe zone because our CD ratio is 83%, and our CASA is around 33%. We are not there on the market for every deal now, right? So we know what to take, what not to take. And Yogesh do you want to add something? Okay.

Yogesh Jain : So Bhavesh liquidity side, also, we are pretty comfortable. We have LCR of 128% as on December. Additionally, we have very high-quality non-SLR liquid book, which is also available in the range of INR4,000 crores to INR5,000 crores. So in liquidity also as a bank we have that opportunity where we can leave some of high-cost deposits actual

ly.

Sanjay Agarwal : Yes. So just to add on here, Bhavesh, because we have a lot many hooks now. We are not operating only on the interest rate or better interest rate in terms of offering. We have a lot many other things to offer also. So I'm seeing that bank is getting a lot much traction now. We are getting more deals. We are getting more, I would say, customer attention also, right? So in that sense, we are getting more deals so that we can choose that, which one to take, which one not to take, right? So overall, of course, the rate is very competitive, market is very competitive, but we are sailing through.

Bhavesh Kanani: Wonderful, sir. All the best.

Sanjay Agarwal : Thank you, Bhavesh.

Moderator: Thank you. The next question is from the line of Renish Hareshbhai Bhuva from ICICI Securities. Please go ahead.

Renish Bhuva: Hi, sir. Sir, just two questions from my side. One, on the credit cost side. So now since given we are scaling some of the new products like credit cards, which sort of impacted the overall credit cost in this quarter, and maybe post-merger, we have MFI book as well. So historically, we have seen that we've been able to sail through all the credit cycle with, let's say, average 80 to 90 basis point of credit cost. But now given we are entering new products with MFI coming in, what should be the normalized credit cost for AU going ahead?

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Sanjay Agarwal : Yes. So Renish, good question. So because you would be seeing that there is an extra provision in this quarter, but I just want to tell everybody that ex credit card, our credit cost is around 55 basis points around about, which I believe is a normalized for the secured book. Already, as Mayank commented that 6%-7% credit cost on the credit card is there. So we won't -- we would like to say that it's a normalized kind of credit cost on credit cards.

Barring these two products, if you want to say to me about the micro finance, we already commented that we want to really even out that whole provision by providing at least 3% credit cost every year. This year's credit cost on micro finance book is very low. But as soon as we get that book merged with us, we really want to provide the even out kind of credit card, which is roughly more or less 3%. So I think we would give you a better guidance by next April once we get entire thing in place.

But I would say that you should assume that the normal AU book should give you this kind of

credit cost, which is 0.5 -0.6 range, and maybe 6 %-7% range of credit cost on credit card, and of course, 3% on micro finance book. So I won't say that we are surprising it. Because we were coming out from the COVID time, we had a very good time for a good two years post -COVID. So now things are evening out. So I think we should believe in this kind of credit cost as we move forward.

Prince Tiwari : Renish, just one point on the credit card for benefit of everyone, while we earlier also mentioned about 6 %-6.5% and going in line of the industry. I think another thing we need to also keep in mind is the industry also sees a decent amount of recovery on the written -off book because credit card typically has a very stringent writing -off policy. Like we provide 100% on 120 DPD and write it off on 180 DPD, right? However, the book is still building up. So while we have started writing off from previous quarter in decent numbers, it's still not built up to a stage where we can start seeing recovery in a meaningful manner.

As Bhavesh bhai also asked earlier, as we move to a more normalized setup, probably in a couple of years from now, while there will be a 6% -7% kind of credit cost, which is there as per the industry, there will also be recovery, which will start coming up and probably the net credit cost would also follow what is there in the industry. Just to put that point.

Renish Bhuv

a: Got it. So just to get a sense, let's say, going ahead, even our focus is the way we want to build the deposit franchise. Credit card, of course, will be one of the key products in overall scheme of things. So naturally, let's say, that focus will continue on credit card, and with MFI coming in to meet the overall PSL requirement, we have to also grow the MFI book as well.

So going ahead, your secured plus credit card plus MFI will be a new normal book for us. So from that perspective, should we, let's say, assume 1% plus credit cost for the entire AU business or how internally you would like to look at it?

Sanjay Agarwal : No. So Renish, as we already commented that our micro finance book wouldn't be more than 10% of our overall loan asset. We don't want to build more unsecured book. It will be another maybe 10% kind of range where we are looking for. So I won't say that because of this initiative, there would be an extra provision because these are also the high -yield assets. Once Micro AU Small Finance Bank Limited

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finance book coming in, they will -- they have a NIM of around 10%. So that will take care of extra provisioning, right? Credit card once it gets stabilized, it will have more positive impact on us.

So I don't think that it's right to see one within one eye that the credit cost just will go up. The revenue will also go up, right? I'm just saying you that on a secured book also, my entire credit cost is around 0.3 (corrected net credit cost is around 0.3%), but we provisioned around 75 % of our NPA, right? So that makes us 0.5%, 0.6%, right? Otherwise, the entire credit cost is very less. (the real credit cost) because it's a provision which hits you, right?

So I would say that we have already guided you on our whole philosophy around how we want to provision it. By April, we'll be more clearer how we really want to build ourselves for next three years around the unsecured piece, credit card piece or maybe around micro finance piece. Then we'll be able to tell you that what type of credit cost you should take in your calculation?

Renish Bhuv: Got it, sir. This is very helpful.

Sanjay Agarwal : As of now, I would say that it's 0.5% and 0.6% is as per what we've thought through, right?

Renish Bhuv: Got it. Sir, just one clarification on the other interest income part. So when I look at the total securitized quantum for Q2 and Q3, it is broadly similar at around INR2,500 crores plus. But when we look at the income portion, this quarter's income is significantly higher, INR180 -odd crores versus INR75 -crores -odd. So what am I missing here? Is there some NIM expansion significantly on the securitized book or how is it?

Vimal Jain : So as mentioned on Slide number 19, our overall securitization book has been increasing, and we have securitized around INR5,700 crores in the last two quarters. The income on securitization book was getting recognized with a lag of M plus one basis as per the underlying legal structure of the SPV. However, the interest expenses was getting booked in the same quarter. So now we have followed the matching principle to recognize both interest expenses and interest income in the same quarter to remove any lag impact.

Renish Bhuv: We'll sustain at around INR2,500 crores. So then this INR180 crores odd other income will also sustain, right? I mean is that the right assumption?

Prince Tiwari: So depending on how exactly the securitization book builds out, and it is going to build out as it's part of a funding and diversifying strategy. So you can assume that depending on how we go ahead in future quarters because it's not only about securitization in that month, the previous book is also building up, right? So now our securitization book is about INR8,500 crores, so there is a larger income recognition that's coming in through that.

Renish Bhuv: Got it, got it. Okay. Thank you a

nd best of luck sir.

Prince Tiwari: Thanks Renish. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: Yes. So the first question is on...

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Moderator: Sorry to interrupt, Mr. Shah may we request you to use the handset mode because your voice has a bit of an echo.

Kunal Shah: Yes. So I was just saying with respect to your entire strategy of deposit led loan growth. So now almost the deposit growth is 31%, but still we are growing at 20 %-21%. And if we look at it right from March till December, in fact, the incremental CD ratio is 80 -odd-percent. In fact, this quarter, the incremental CD ratio was hardly 50 -odd-percent. So when do we see maybe like we are comfortable and now maybe we should resort out to a lesser amount of securitization because deposit growth has been quite strong, yes.

Sanjay Agarwal : Kunal very important question, but very early days. We have worked strongly on our deposit franchise. And that is why I'm emphasizing again and again on a 10 -year story of AU because these are the foundation years. You never know how customers react, how market react, how the competition reacts. So our objective is to be really more deeper, more retail, more closer to customer in every sense. We want to make AU as one of their preferred banks , right?

And that is why we are doing everything irrespective . Honestly, we don't see much on our cost side because that is needed in this year, right. It's not easy to build a retail franchise in this country, right? So I would say that there is a narrative from the other stakeholders also. The whole regulatory framework also, where we need to calibrate our growth also, right?

So based on that, we have to balance ourselves. But we don't want to compromise on our deposit growth. We just want to do it based on the whole –situation we keep track on the cost, but I think as of now, the kind of competition we are seeing, the kind of India story is being unfolding in the next maybe 5, 10 years, and we really want to play a very important role in that. So that is why we are too focused on our deposit franchise in every aspect. So of course, the CD ratios and all those things are the outcomes, right?

But at the general trend, general operating time, we don't see this way that our CD ratio is too good, let's not raise the deposit side or let's do more asset side because we are a concurrent kind of organization where people come and just deposit the money with you, and we have to accept it, right? So I think it's a very good sign that we are having this kind of ratio which you just described. And that is the whole secret, right, that is the whole success, right, in my opinion, where we've been preferred by customers as now the ir banker, right.

So Kunal, I think a little bit here and there, but I think we are absolutely on track, and we are managing it. Of course, we will not securitize just for the need of securitization. It's other factor also which works to manage that securitization. And so that's the whole story.

Kunal Shah: Yes. Yes, so not very completely on the deposit side. Absolutely, it's a great growth. The only thing is does it now provide a cushion in terms of securitizing relatively low compared to what we had seen over the past two, three quarters given that we are at 20% loan growth. Would we start following that...

Sanjay Agarwal : I think Kunal, I just want to interrupt here, by the March end, you will see this growth in the range of 26%, 27% because there was some base effect because of December '22, but you will see our growth on assets on book will be around 26%, 27% by the end of this March.

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Kunal Shah: Okay. Perfect. And secondly, maybe the overall yields are still down 10 -odd basis points. We

have been talking about incremental yields. The mix shift is clearly happening on the AUM side, but still not entirely getting reflected, and we are saying that given the fixed rate, we should be positively poised. But somehow, I think this 38-bps incremental yield completely getting offset by the mix change plus 20 bps kind of a decline.

So if we exclude this entire securitization income, would there have been the pressure on the margins to the extent of 30 -odd basis points during the quarter? And then how comfortable we would be when you have lowered the guidance and said like we will be at the lower end of 5.5% for the full year, and we are at 5.6% for the first nine months. Does that suggest that we'll settle much lower getting into Q4?

Sanjay Agarwal : So of course, if you add on, maths, the data, which you're describing will be there, but we are running a bank, right? So there are many levers which support us. There are many challenges, which makes us difficult on our cost side . So we are balancing that out. And I'm happy to say

that we're still in this tough time because the kind of market we are in, as of now, is tough to actually incrementally build better rates. We are pushing our wheels team, and they've already done maybe around 40 bps point and incrementally, they are doing better yields.

MBL business does not allow space because we are already around 14.75% to 15% kind of rate that doesn't allow. The commercial banking space still is more on floating than fixed. Housing book does not allow you to give much space. We are around 11.6%. And then, of course, the personal loan space, we are around 18%. So already, we are at the rates which makes us comfortable. Beyond these rates, we don't want to compromise on the asset quality.

And we are growing at 25%, 26% in our asset also, right? So I think we have to be a little patient here because this is a tough time and with this kind of interest rate scenario, we are just balancing this out through various means. And showing you the best kind of decision making to make your balance sheet very stronger, right? So I think there are a lot of ifs and buts, but I believe that at our end, we are putting our best foot forward to balance it out.

Kunal Shah: Thanks. And all the best. Yes.

Prince Tiwari : Kunal just one last point. The NIM in any case, when we had guided for the full year, The quarter-on-quarter because we knew that because of securitization, there are impacts.

Sometimes, there is a lag recognition of the income because of the underlying SPV structure and the legal documentation. And that is why when we guided, we guided for the full year.

And it was assumed that for the full year, securitization income would be part of that because again, that interest income or the net interest income on securitized book is added to the entire NIM calculations. So honestly, while the cost of funds have gone the way it has gone, whatever we had guided for NIM, we are very much in that range irrespective of the cost increase on the deposit side, right, or the cost of fund side.

It would have been the same the case.

Kunal Shah: Got it. Okay. Thanks. And all the best.

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Prince Tiwari : Thank you. Thanks Kunal.

Moderator: Thank you. The next question is from the line of Shubhranshu Mishra from PhillipCapital. Please go ahead.

Shubhranshu Mishra: Hi. Thank you for the opportunity. So just looking at the credit card Slide 44, and just matching it up with the kind of credit cost that's been discussed on previous questions. This just seems out of whack 75% issuance new to bank customers, just like very high even on a global parameter, even the closest competition, which does new to bank would be around 50%.

And the average limit per card is around 1.74 lakhs, which would be easily around 50% to 60% more than the industry average ba

sis that the kind of credit cost that we are taking off around 5% or 6% looks absolutely benign. So what's the case here? We do not have a risk management team at all in credit cards? What are we doing here in credit cards, that looks absolutely outrageous?

Sanjay Agarwal : Mayank, do you want to add on something?

Shubhranshu Mishra: Also if you can speak about the cost of acquisition per card. That's all.

Mayank Markanday : Yes. Shubhra I'll answer all your questions. I'll take the first question on the limit side. So Shubhra on the limit side, if you see, you must be comparing this limit with the average limit of the industry. Whereas the industry portfolio has built in over a year, which is last five, six, seven years, the cards are moving there. We have issued new cards to the customer. So if you see and compare with the new cards issued in the last two, three years, you will see us much more close up with the industry.

This is the first. The second is on the 75% issuance to the NTB customers overall. So more or less in the industry, the cards around 60% to 70% cards are issued to the ETB customers, but that is the phenomena of the top few issuers. Rest of the issuers like are close competitors, they are also issuing cards to the new customers, though the percentage varies from bank to bank.

And on the last question on cost of acquisition.

So cost of acquisition depends upon the NTB versus ETB and the channel from which you are acquiring the customer. So our acquisition, you see, we have all sort of multichannel acquisition, which gives us some space to lower our cost of acquisition and it also depends as how much we will scale and which channel we want to scale. So we've built the multichannel distribution.

So we can scale it as per the cost of acquisition we will think of or our desired cost of acquisition you want to build the business.

Shubhranshu Mishra: And what's the blended dollar value of ETB versus NTB, blended number would be helpful.

Mayank Markanday : It is close to INR2,000.

Shubhranshu Mishra: This is ETB?

Mayank Markanday : Both. Blended.

Shubhranshu Mishra: No, no, what is ETB and NTB blended cost?

Mayank Markanday : ETB is existing to bank customers. We already have the acquisition of customer available with us. We just give them the card basis, they're already relationship with us. NTB is new to bank customers.

Shubhranshu Mishra: Okay – I'll probably come back in the queue. That's fine.

Mayank Markanday : Yes. Thank you.

Moderator: Thank you. The next question is from the line of Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla: Yes, good evening. And thank you for the opportunity. Just sticking to card for once. If I look at the segmental yield, the differential between your home loan yield and credit card yield is only 40 basis points. capital requirement rather will be probably 3x. And yet on a Y -o-Y basis, if I compare both the books have ballpark grown about INR1,600 crores.

I'm just thinking that from a return on capital perspective, how do you all thinking of card business? Where do you think you would need to take a call whether it makes sense or doesn't make sense, because at 12%, you probably will be on the lower side as far as credit card yields are concerned.

Prince Tiwari: So Manish, hi this is Prince here. Now of course, there is a large fee component in the entire credit card business, right? So while home loan only has a typically NII business with some processing fee, credit card has an equally strong fee business as is already reflective in our other income that you can see. However, we do take your point, and I think Mayank will add views on that. But our overall yields... Yes, Mayank Ji please go ahead.

Manish Shukla: I'm sorry, but just to point there that I mean I appreciate the higher fees, but the credit cost delta

we are saying is also significant, and I'm sure opex delta is quite high. So I'm not sure if fees is negating the opex and credit cost delta between home loans and credit cards.

Mayank Markanday : So Manish, I'll add to what Prince said and make it more clear -- try to make it more clear for you. When we say 12% in credit, credit card is a business which also builds a term book in it to get yields and let the customers stick with us and make an interest earning book for us. So we are quite new to this business as of now. From last one year, if you see, we have built our term book from almost 8%, 9% to 17 -odd-percent this year.

And we will close it around 20% in this financial year. And if you see with the larger issuer , the term book goes beyond 30 %. So your interest earning book gives you a larger portion on the overall funds or the ANR which you have deployed in the market. So over a period of time, you'll see this is also improving a lot as our term book will start building towards 30% sort of.

Manish Shukla : Sorry to harp here Mayank, but during the tenure in which you are talking term book has gone up, yield on the book has actually gone down at a time when interest rates are high. So even that math doesn't hold up, right? If you YoY yield, the yields are down on credit card book.

Mayank Markanday: Yes, Manish. So there is also one regulation which has come over the last one year which states that you cannot charge interest on interest. So that has come in credit cards in the past years, which has reduced the yields.

Manish Shukla: Will you be able to quantify that, please?

Mayank Markanday: So I'm saying there is a regulation...

Sanjay Agarwal: Okay. Manish, I'm hearing your view and the other participant also, but you have to give us some time to really showcase our whole purpose around credit card business. I think we have done well enough to create that buzz around the franchise. So there are other benefits also. And of course, what Mayank is just explaining that there are some regulation changes , and this industry has been watched by everybody from regulator to other things you know about it. So I'm pretty sure that we are absolutely on track in terms of our guidance. We are not aware that you will be asking too many questions around credit card business because it's still a very small business for us. But by next call, you will find our more strategy in place. that how we want to build and why you want to build? And by what time will get a BEP.

Manish Shukla: Sure, sir. One last question on cost to income, you've suggested that FY '25 might be similar to current levels. So on a stand -alone AU Bank, excluding the merger, when do the cost synergies start kicking in and we go to less than 60%?

Sanjay Agarwal: Sorry, sorry, Manish, can you repeat your question?

Manish Shukla: Cost to income, your commentary suggested that FY '25 cost -to-income will probably be closer

to where we are right now. When does the stand-alone bank cost to income...

Sanjay Agarwal: Manish, no, I understand your question now. So I would say that that is I am saying to you that if you go back in the history of Indian banking, it's not easy to build bank. It requires some patience; it requires some more detail out of every aspect. That is why we are saying that first 10 years is the foundational year for AU's journey.

We have done everything in terms of building assets to this level. It's not easy to build INR80,000 crores deposits. It's not easy to build INR1 lakh crores balance sheet in the first 7 years, and with this kind of track record. The idea is to really go more and more in terms of holistic approach, where you build a bank which has been likable by the customer, right? Customers should like you because if a customer doesn't like you, a customer doesn't have visibility of AU the

n they

won't transact with you. They won't bank with you. And then there won't be anything, right? So our entire piece, whether our initiative around digital, our initiative around credit card, QR code, even AD1 license, it requires a lot of investment, time, effort, and everything.

But I think everything is being done with a lot much sincerity, lot much detail out so that we are on the right path. So I think you have to give us another maybe 3 years to really come out with any kind of specific leverage expectation, right? Because the inflation is there, the competition is there. You know that a lot, many new things are coming up every day, every night.

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So we need to be responding to those facts, right? So that is why I'm consistently saying you that is a 10-year journey. First 10 years are very foundational years, and people need to support us. And I think we are doing everything right in that context. If you really see, barring some math here and there, you're absolutely on track.

Mod erator : The next question is from the line of Param Subramanian from Nomura.

Param Subramanian: First, my first question is on the interest income, on securitization. So if I understood it correctly, you have booked both last quarter's interest income from securitization as well as this quarter's, both in this quarter, right? That understanding is correct.

Prince Tiwari : Yes. So last quarter would have got built, so generally it happens with the lag of a one month as we said, based on structure of M plus 1, so you're right,

Vimal Jain: Only for one month and not for the quarter

Param Subramanian: Yes. So last quarter, it was not recognized. It pushed into Q3. And this quarter securitization has also been recognized in this quarter, right?

Prince Tiwari : Absolutely.

Param Subramanian: Okay, okay. Fair enough. And my second question is, again, coming back to the credit card portfolio. So if I understood correctly, sir, based on the disclosure you've made, the credit card provisioning in this quarter is about INR50 crores there or thereabouts?

Prince Tiwari : Provisioning plus write-off all put together would be about INR45 crores - INR43 crores to INR45 crores.

Param Subramanian: Prince, so that INR43 crores to INR45 crores is about INR180 crores annualized. If you go back to last year, the credit card book, the base of the credit card book was about INR1,000 crores last year. That suggests a pretty high credit cost on the credit card book. Of course, on a moving base that has grown like 2.5x over the last year, the credit cost looks lower. But if you look at it from a base adjusted book, it looks like it's 17%, 18%. So isn't that very high compared to that level.

Prince Tiwari Param, just hold on. See, I think we have been talking about credit cards a lot, right, just for everyone's benefit. We have very clearly articulated that credit card is a business, and everyone knows it, including yourselves, that credit card as a business on a steady state basis, even for the larger peers who have been doing this business for multiple decades have a top line credit cost of anywhere around 6% to 7%.

And then there is a recovery angle of 1%-1.5%. So it's a business which is known to have a 5% kind of credit cost and a 4% to 5% kind of ROA. Now fortunately, unfortunately for us, we are too young in this entire business. A credit card books actual colors will start coming in once you built up a 18 lakh to 20 lakh kind of card base, right? Right now, all we are doing is just adding cards, and that's where the limit comes into play, that's where the suppressed yield comes into

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play because ultimately, you're calculating to answer earlier question, you are calculating your yield on the outstanding book.

The outstanding book is grow

ing much, much faster because they're issuing newer cards. Last year, I started my card base at about 5 lakhs. Before that, I was 1.7 lakhs. I have already reached about 8.5 lakh cards today, right? So what is happening is we are in a build-out period. Also the fact that for the first 2 years, if you go back and see our credit card costs, the credit cost, it wasn't that high because the book was still being built out. Now that we have got some seasoning, the cards that probably would have sourced about 6 months to 9 months back. Some amount of credit costs have started coming in. However, there is no recovery in it. So just allow us some time and which is what Sanjay articulated as well as Mayank articulated on the call, that this book will need to be built out. And once it's built out, it is not going to be any different than any other player in the industry. At least we don't have any reasons to believe so far basis whatever numbers we have seen internally, right? So I would just request allow us some time to build this book.

Param Subramanian: Fair enough, Prince. But we've grown this book like 20% quarter-on-quarter. Are we still comfortable growing it at this pace? Or should we, as investors, be looking at a moderation in the pace going ahead at this pace, as you pointed out, the book is seasoning and the credit costs are catching up now?

Prince Tiwari No, fair question. Fair question. And in fact, this question will ask to us when the entire circular also came up around unsecured lending. Please understand, and I mean, through you, I want to send this message or request everyone to understand that my credit card business is a liability business. It is not an asset business. I don't really have a choice.

The reason why we are building a credit card, the reason why I'm building a QR code, the reason why I'm building a personal loan, the reason why I'm building a wealth solution is to support my liability franchise, right? The earlier question that why NTB is higher? Again, the NTB is higher because I'm using this credit card as a hook to acquire an urban and metro customer like yourselves to come and join the bank as a customer and then try and cross-sell you as a liability product, right?

Similarly to the liability customers who are joining in from Mumbai, Delhi, Bangalore I can't really offer you a car loan at 8.5% today because my cost of funds don't allow that, right? But I do need you as a customer, right? All the HNI customers. So what is the product that I can sell you. I need to sell you a credit card, I need to sell you a personal loan. And that is why please understand these businesses are not being built from an asset perspective as currently.

And hence, I don't really have a choice in terms of the pace at which they're getting built up. If I want to build my liability franchise, then I need to offer these products. And accordingly, the growth rate will be more determined by liabilities than my asset strategy. On asset strategy, I'm very, very clear that it's a secured asset book that I'm driving, which has our credit cost of anywhere around 50 to 60 basis points, and that has come down.

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It used to be about 1% point or 90 to 100 basis points. But as we have de-risked the book, as the commercial book has got built up, as the home loan book has got built up, the credit profile has become better and better. And hence, we are now getting the benefit of that credit cost, right? So I mean, in summary, I think some of these businesses, we don't really have a choice if I really want to build a franchise. And that's all we are saying again and again that it takes 10 years to build a bank.

Give us time till 2027, have a slightly long-term view because if you really want to build a retail franchise in India, you will need to do everything that is needed to be done to ensure that you

are able to attract the customer or at least to make yourselves in the first three banks in any customers' mindset. I needed to be clear that if a customer wants to open a bank account, we should be in his consideration set. I'm sorry to get that long answer, but the idea was to just put a context to the whole thing.

Param Subramanian: Yes, very clear, Prince. Thanks. So in a way, we should be looking at credit card as a sort of customer acquisition cost, if you will. That is my takeaway.

Prince Tiwari: Absolutely. Absolutely.

Param Subramanian: So but quickly, in the past, you've highlighted that FY25, we should see breakeven of the credit card business. Now in the light of – like the previous participants also mentioned that the yield is moderating and now we're seeing credit costs inch up. Do you want to revisit that or on the credit card business specifically? That's it for me.

Sanjay Agarwal: So Param, I think we'll be more specific in our next call. But if you ask me as of now, I will hold on to my statement that we might want to breakeven next year only -- by last quarter.

Mayank Markanday: Yes, we had said at the end of last quarter, one or two quarters here and there. But broadly, we are on track.

Param Subramanian: Perfect, perfect. Thanks a lot sir. All the best. Thank you, sir.

Moderator: Thank you. The next question is from the line of Madhuchanda Dey from MC Pro. Please go

ahead.

Madhuchanda Dey: Hi. Good evening. I have a slightly...

Moderator: Sorry to interrupt, ma'am may we request you to use the handset mode?

Madhuchanda Dey: Yes. Hi. My question is slightly long term. As you rightly alluded to the build-up phase of the bank, and we are in the 7th year. So given that there's a build-up phase, given that there's slight change in your strategy now in favour of the high yielding book through the acquisition of the small finance bank, which is predominantly into unsecured. Given this entire context, how should we look at ROA trajectory in the next three years for the bank?

Prince Tiwari: Thanks, Madhu. And again -- hi Madhu. And again a long-term question where probably it involves merger, as you rightly said, and there will be dynamics around that in terms of how much we want to grow our MFI book, what kind of credit cost. We need to understand that book

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much better. So that's where we are again and again saying that allow us probably April quarter or this quarter for us to come back with a more clearer strategy because by the time -- assuming regulatory approvals come through, we'll have a much better clarity on the merger and the numbers around that ..

But having said that, look at our past trajectory, I think in the last five or six years, we have been doing all these investments, right? And we have been going through external shocks. So we converted ourselves in a bank in 2017. We have been building out the entire franchise. Some 5,000 people went ahead to now 29,000 people.

We got tested by pandemic and everything else, which required us to put more liquidity, more provisions. But still, we have kind of delivered a 1.6%, 1.7% kind of ROA across on an average basis, right? So I don't really think that should materially derail, right? But yes, allow us some more time and probably because merger is a significant event, which can have positive impact definitely in our view. So give us some time and let us come back to you.

Madhuchanda Dey: But you would have thought through this before embarking on this step, right? So if you could share some of those...

Sanjay Agarwal: Yes, yes. So, Sanjay this side. So you're absolutely right, Madhu, because sometimes we don't want to be very specific on our numbers, but I would say that -- as you know that we have already crossed INR1 lakh crores balance sheet. If these mergers go through, then we will be around INR1 .

25 lakh crores by March. Then even we grow by 25% every year, we are doubling our balance sheet in three years. So we know where we are going, but there are lot many variables in place, right?

What happened -- how the interest rate cycle will be there in the next few years, no one knows right. We know that our credit cost won't surprise anybody because that's our forte. That's our expertise. And I already commented on our overall credit cost on different book. We know how well we will distribute it across India. We know that in our credit card business, QR code business, personal loan, all this business, wealth business will eventually get profitable, right, in the next three years.

So there are so many things. But we don't want to comment any specific the ROA guidance or ROE guidance because our track record itself is so strong that we are around 1.7, 1.8 in the last six, seven years. We already delivered you around 14% or maybe 15% ROE last seven years. So that's a strong indication that there are better days ahead because there are not much challenges now left, except interest rate cycle, right?

So I would say that give us some more time in terms of specific guidance because that guidance requires lot much calculation around so many variables because if merger happens, this will happen, otherwise it will be like this, what is our perspective on interest rate. So that is why we are looking for some more guidance. And that is why we are saying that if you are able to pull through in the next three years, this kind of data, this kind of product, this kind of size and scale, which haven't been done by any bank in the past in my opinion, in the first 10 years.

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And being a SFB, so well diversified in terms of everything, right? So I mean that is the way we want to push ourselves that there would be a case, there will be a quarter where some data here and there for some time. But in the long term, AU remains absolutely on track, and we want to become one of the best retail franchises for this country.

Madhuchanda Dey: Thank you very much and all the best.

Sanjay Agarwal: Thank you.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates . Please go ahead.

Aravind R : Thank you so much for the opportunity. Sir, I would like to understand like you have given the operating expense breakup this time, like on investments that have made in credit card, QR and video banking. I would just like to understand, like, could we look for the similar run rate whatever we have in this nine month of FY' 24 into next year also? Like, do you see slightly higher run rate required in the next year? That is my first question.

And in slippages, if I take as a ratio like it has inched up a bit. Like is it only because of credit cards or any other portfolio is also contributing to it? That is my second question. And ROA is like at 1.5 percentage this quarter. But what do you think could be the levers to improve in the subsequent quarters? Thank you.

Prince Tiwari : So second question was around credit cost?

Aravind R : The slippages , yes.

Prince Tiwari : Arvind , as far as slippages is concerned and the credit cost is concerned, I think we -- Sanjay did alluded in his speech that typically, what happens is in a festival quarter, generally your self - employed customers and merchants prefer to use the money, cash in the business and which happens every year, honestly.

And after that, generally, you have a good recovery coming in because the festive season is good. Generally, you have good cash flows. The only challenge this time happened was the festive season was immediately followed by the state election in two of our major markets, like Rajasthan and MP , right? And these two markets broadly contribute almost 40% to 50% by business, especially in Wheels and SBL, right?

So what happened is during that election period, there's a model code of conduct, which is there and which kind of hampers the entire security enforcement or a collateral enforcement process. And to that extent, what you will see is the slippages hasn't really grown, right? From 349 crores it has gone about INR 403 crores. But more importantly, the recovery has not really happened the way it is expected to happen in Q3.

And accordingly, there was reductions as well did not happen in the same way. And to that extent, the existing NPA buckets moved and we had to provide because we have a very conservative provisioning policy even on a secured book. Like on a 90 DPD, we provide 25%,
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but 180 DPD, we provide 50%, right? So to that extent, I think it's more of a one -off in this particular quarter, especially for Q3.

So Q1 and Q2, we generally see these phenomena . Q3, generally, there is a pullback. So I would say this is more of a one -off and Q4, hopefully, should be much, much better as we get a full quarter to do the credit recovery. Sorry, I missed your first question.

Aravind R : Sir, like I wanted to understand like the run rate, similar run rate do we -- can we expect investments in credit cards and QR and video banking, whatever you have provided in the presentation now, like in terms of absolute number or like in terms of percentage, if you can give some color on that.

Kunal Kakkar : Hi, Arvind , Kunal this side . So in terms of the operating expenses on the new investment, as we have already articulated that we will stay invested in the new investments, largely around credit card, QR, video banking. So the expenses which you can see over the slides, which you are mentioning, so we'll remain kind of in this growth range only. I think it's around 55% to 60% of a jump in these investments -- this cost, and this will remain like this for the next year also. And second point that apart from these expenses, business as usual, will go as it is. Apart from that, we are focusing more on productivity and efficiency, and we are trying to control our employee costs and other related costs.

Prince Tiwari : Absolutely, which is visible in the ratios also, right? If you see apart from the new businesses, the other ratio hasn't really gone up very significant, impact has come down or stayed there despite the business growing on a year -on-year basis.

Aravind R: Yes. So when you mentioned like it would grow up , you're talking about the growth would be in the similar range you're saying, growth in this new investment?

Management: Yes, because we'll need to invest in brand. credit card is upfront cost. The moment you issue 1 lakh credit card straightaway acquisition costs. So those things will continue. We don't really see that changing course.

Aravind R: Sure. And my final question is on levers which are available, like since cost of funding is going to be tough for some time and like yields are also like having a bit of pressure. I'm just trying to understand where are the levers to improve ROE?

Sanjay Agarwal: Which time period you are looking for Aravind? Which time period of levers? Like for us...

Aravind R: Looking at quarter -to-quarter. I was looking at third quarter of FY '24.

Sanjay Agarwal : No, I don't think because as we are already commenting that we are little looking long term.

These are tough times in terms of interest rate cycles. So I won't say that our quarter 4 would be very different what we have done this quarter. But in the long run, next 3 years, you will see our credit card becoming profitable, our video banking becoming more productive. You'll see our AD-1 license coming in, giving us other income, like what we are seeing now in insurance income that has been stabilized.

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After the merger, you'll have t

he high -yield book that will allow us a better NIM because of that book, after even we put out provision there. So there are lot many levers in the next 3 years, right? And that needs to be counted on a quarter -to-quarter basis. And our track record shows that what we've done is always given a push to this franchise to the next level.

Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: First question is on the investments towards digital initiatives, within that expense towards credit cards, QR and video banking that has gone up sharply, both Y -o-Y and Q -o-Q. Can you just qualitatively detail out, which are the main cost heads within this, not -- no numbers, but just what kind of costs go into this?

Prince Tiwari : But Ashlesh, I think we have been disclosing these numbers every quarter.

Ashlesh Sonje: I'm talking about that INR170 crores. That INR170 crores in this quarter, which went towards credit cards, QR and video banking. What are the main expenses within this? What kind of costs does this include?

Prince Tiwari : It's predominantly credit cards because, as I said, the moment you issue credit card, one fresh new credit card, you straight away have a upfront impact of whatever acquisition costs that Mayank was saying, at anywhere around INR2,000 to INR2,500 per credit card is an upfront impact, right?

Ashlesh Sonje: Okay. So you'd say credit card acquisition would be a big charge within this.

Prince Tiwari : One of the biggest chunks, one of the biggest chunks. Then of course, last quarter, we also did a lot of branding as well.

Ashlesh Sonje: Understood. Okay. And secondly, can you just remind how we are accounting for the securitized book, specifically what part is recognized as interest income and interest expense? And what part is recognized as non -interest income, if any?

Prince Tiwari : So everything is whatever we get in securitization on a net basis because of balance sheet, right? So whatever we get on a net basis goes into the interest income line under other interest income under the P&L.

Ashlesh Sonje: Okay. So there is no -- nothing which goes into non -interest income?

Mayank Markanday: No, no, no, absolutely nothing. Barring, you might be getting some servicing fee, which is very small residual.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Prince Tiwari: Yes. Thank you, Sagar, and thank you, everyone, for participating in today's call eagerly, and we look forward to your feedback and views. In case you have any further questions, kindly reach out to the IR team, and we'll be more than happy to respond to your queries. Thank you so much and have a good Republic Day .

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Moderator: Thank you. On behalf of AU Small Finance Bank, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

Ref. No.: AUSFB/SEC/2024-25/85

Date: May 02, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051, Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001, Maharashtra.
Scrip Code: 540611, 957863, 957864, 958400, 959025,
974093, 974094, 974095, 974914, 974963, 975017 & 975038

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Financial Year ended on March 31, 2024

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Wednesday, April 24, 2024 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter and Financial Year ended on March 31, 2024.

In compliance of Regulation 46 of the Listing Regulations, the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports>.

This is for your information and records.

Thanking You,

Yours faithfully, For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami Company Secretary and Compliance Officer
Membership No.: F9999 investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Q4FY24 Earnings
Conference Call"

April 24, 2024

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR
& CHIEF EXECUTIVE OFFICER , AU SMALL
FINANCE BANK LIMITED
MR. UTTAM TIBREWAL – WHOLE TIME
DIRECTOR & DEPUTY CEO , AU SMALL
FINANCE BANK LIMITED
MR. RAJEEV YADAV – DEPUTY CEO, AU SMALL
FINANCE BANK LIMITED
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER ,
AU SMALL FINANCE BANK LIMITED

MR. DEEPAK JAIN – CHIEF RISK OFFICER , AU
SMALL FINANCE BANK LIMITED

MR.

MR. YOGESH JAIN – CHIEF OPERATING
OFFICER , AU SMALL FINANCE BANK LIMITED

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MR. RISHI DHARIWAL – GROUP HEAD
LIABILITIES , AU SMALL FINANCE BANK
LIMITED

MR. BHASKAR KARKERA – HEAD OF RETAIL
ASSETS , AU SMALL FINANCE BANK LIMITED

MR. VIVEK TRIPATHI – HEAD OF COMMERCIAL
BANKING , AU SMALL FINANCE BANK LIMITED

MR. MAYANK MARKANDAY – HEAD OF DIGITAL
BANK AU 0101 , AU SMALL FINANCE BANK
LIMITED

MR. PRINCE TIWARI – HEAD, INVESTOR
RELATIONS & FIG, AU SMALL FINANCE BANK
LIMITED

MR. GAURAV JAIN – PRESIDENT FINANCE &
STRATEGY , AU SMALL FINANCE BANK LIMITED

VAMAN KAMAT – HEAD OF CREDIT - RETAIL ,
AU SMALL FINANCE BANK LIMITED

AU Small Finance Bank Limited

April 24, 2024

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Moderator : Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q4 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” and then “0” on your touch -tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations at AU Small Finance Bank. Thank you, and over to you, sir.

Prince Tiwari : Thank you, Rayo. And hi, everyone. Good evening, and a warm welcome to AU Small Finance Bank 's earnings call for the 4th Quarter and the Annual Results for the Financial Year FY '24.

We thank you all for joining the call and hope you have had a chance to go through the presentation that we have uploaded on our website as well as the stock exchange.

The format for today 's call will be very similar to last few calls where we will have “Opening Remarks ” from the Management for the first 10 to 15 minutes, followed by 40 to 45 minutes of questions and answers from the participating analysts and investors.

To start the call, we will have our Founder, MD and CEO – Mr. Sanjay Agarwal, share his thoughts on the overall performance and strategy of the Bank . And beside him, we have our 2 Deputy CEOs, Mr. Uttam Tibrewal; and Mr. Rajeev Yadav, along with other senior members of our management team on the call today to answer any questions that you may have. For the benefit of everyone and so that we can take questions from everyone, we would humbly request everyone to keep the number of questions per participant restricted to 2 and join back in the queue if you have further questions.

With that, I will now request our Founder, MD and CEO – Mr. Sanjay Agarwal, to start today 's call by sharing his thoughts on the overall Bank 's performance as well as the outlook.

Sanjay Agarwal : Thanks, Prince. Good evening, and greetings to everyone. It 's my pleasure to welcome you all today.

Before I dive into Bank 's performance and future plans , I want to take a moment to express my sincere gratitude to everyone including the Government of India, regulators, customers, our employees, analysts, investors and all other stakeholders for your unwavering support and confidence in our Bank , which truly motivate us every single day.

As many of you know, building a successful Bank is a complex process, and your trust fuels our commitment to excellence. Further, we presented our 3 -year road map to you last month in Mumbai, and I always look forward for your constructive feedback and incorporate the same for the continued success of our Bank . You will see reflections of this in our execution over the next

1 to 2, 3 years.
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On the macro front, India's inflation remains range-bound with strong GDP growth last quarter. However, the global geopolitics, developing situation in the Middle East and the global macro indicators remain key factors for policymakers to consider in the near future. India's economic landscape is

urging forward with GDP growth projected with among the highest globally. We are likely to be \$5 trillion economy by '27 and \$30 trillion economy when we complete 100 years of independence in '47. This robust growth fuels optimism for business and entrepreneurs like me. Regulations are streamlining, making things easier to do business in India. Initiatives like GST are simplifying taxation, reducing Redtape culture and boosting economic activity. While navigating the regulatory landscape might require some initial effort, a nation's commitment to transparency and digitization is making compliance smoother. Additionally, efforts to harmonize regulation to ensure a level playing field across platforms will further simplify compliance for businesses.

We are in the midst of the celebration of democracy in the first quarter of this year with the entire nation going into general elections. I'm very excited about this election in the largest democracy of the world and the opportunity it presents to all the citizens to exercise their basic right to vote. There could be some break in business continuity during quarter 1 due to multiphase elections, but we don't see the impact to be material in our annual FY '25 performance. I continue to be very excited about this period of growth, and it coincides with our own philosophy of building AU forever.

The first phase of our forever journey, that is AU @ 27, is foundational period of first 10 years of our banking journey. I'm equally excited about the confluence of powerful forces driving our Bank forward. India's economic rise and demographic dividend of 1.4 billion population creates a vast canvas of opportunity. We are well positioned to capitalize on this with our extensive national presence around 2,383 physical touchpoints, complemented by our robust digital channels. Furthermore, we offer a comprehensive suite of products and have a proven track record of over 2 decades of consistent growth while maintaining pristine asset quality. Our unwavering commitment to being a customer centricity, coupled with our deep understanding of risk management and seasoned leadership team, position us for a continued success. At the moment, the only factor outside our direct control is the elevated interest rate, and we don't anticipate a significant near-term reduction given the global headwinds. The NIMs are likely to continue to remain under pressure due to this and also due to the heightened competition for low-cost deposits. We continue to monitor the same and take all necessary measures to minimize the impact. Further, our asset quality remains intact, and we don't see any asset quality challenge in near term. We are currently focusing on calibrating our new investment and leveraging the existing investments.

Cost-to-income ratio will remain raised in the near future and should start tapering off in 2, 3 years. There are ongoing discussions that regulators may come with some road map for universal Bank license, application for small finance banks. As I had highlighted during our Investor Day last month, with the AD1 license and given our size and scale, the brand recognition that AU

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has received, many advantages of being a universal Bank are already in place for us. However, we're keen to be a complete universal Bank, strictly following the regulatory guidance around the same.

Before I get into the business and operation at our Bank, let me first talk about our merger with Fincare and reiterate my key strategic priorities for the next few years. I'm thrilled to announce that successful completion of merger with Fincare Small Finance Bank, we're starting to position the newly expanded AU for remarkable growth and leadership in the pan-India retail banking landscape. I wish to express my deep gratitude to all stakeholders for this merger, and more specifically

to the regulatory bodies for one of the fastest merger approvals to the Indian banking sector, received in just 4.5 months. The swift approval is a testament to the well-planned approach and strong synergies between our institutions.

Our institutions have highly complementary strengths. Fincare brings a robust geographic footprint, particularly in South India, while AU offers a comprehensive product suite backed by cutting-edge digital capabilities. This strategic combination allows us to leverage the strength for significant market expansion and deeper customer penetration. With a combined customer

base of nearly 1.1 crores and an employee strength of over 46,000 dedicated employees, the merger positions us a formidable financial entity. Our physical presence expands to 2,383 touchpoints across 21 states and 4 union territories, giving us a pan-India footprint. Apart from a brick and mortar presence, we have a body and soul present in all these locations, giving us an extensive network, which ensures we are closer to our customers than ever before and fast forward our distribution buildout by many years.

Our immediate focus is on ensuring a smooth and seamless integration within the next 9 to 12 months. We have meticulously crafted integration blueprint that prioritizes minimal disruption for all stakeholders, employees and customers. We have provided more details on the same in our quarter 4 investor presentation.

From 1st April, our interest rates have been aligned across savings and fixed deposits. As a next step, we are working for Fincare customers to gain access to AU flagship products, both on deposits and asset side. Deposit products, including our digital offerings, will be available to all new customers in Fincare branch within quarter 1 this year only. Asset products like wheels will follow in the coming quarters.

Following up on our Investor Day discussion last month, I would like to reiterate our top strategic priorities for the next 3 years. These priorities have been designed with the objective of returning to a level of ROA, which this business model commands. The first priority is around increasing the disbursement share of high ROA, high-yielding assets like vehicle loan, micro business loans, microfinance, among others. With expanded distribution and deeper geographies, we are confident to grow these segments to approximately 70% to 75% of our portfolio, up from current 70% by '27. We're also calibrating our low and medium ROA businesses. On the housing loan business, we're asking the team to originate more MBL business given they operate in similar AU Small Finance Bank Limited

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geographies and similar markets. On the business banking and agri banking business, teams are working together to drive more synergies. These are few examples.

The second priority is around driving branch profitability. We aim to achieve a healthy current account book targeting at least 7.5% of deposits from approximately 5% currently. Additionally, we have asked all asset verticals as well as business like credit card, wealth, commercial banking to focus more on leveraging the branch presence to originate their business to improve individual branch-level profitability. We will endeavor to make around 65% of branches, which are live as on December '23 to be profitable by '27.

Another priority is around calibrating our investments. With our core digital platform now established, future investments will be focused on maximizing its potential. For the credit card business, we will moderate issuance to around FY '24 levels to control upfront acquisition costs. Moreover, we'll focus on increasing the proportion of cards sourced from branches. Video banking and QR code will act as channel for liabilities and customer acquisition and support branch banking.

I want to give you some highlights around our operational 4th Quarter. So,

we delivered an ROA

of 1.6% for Q4 as well as FY '24, gross of exceptional items related to merger expenses.

Reported ROA is around 1.5%. Our asset quality improved by 26 bps with strong collection efforts in the last quarter with a gross NPA of 1.47% (Corrected 1.57%) of gross loan portfolio vis-a-vis 1.83% in quarter 3. We expect our asset quality to remain stronger over the years. Our deposits registered at 26% year on increase, in my opinion, phenomenal performance, crossing Rs. 87,000 crores mark. Our GLP, gross loan portfolio, also grew by 28% year-on-year, and now it's around Rs. 82,000 crores. And net of securitization is around Rs. 74,000 crores. We will continue to grow our balance sheet by maybe around 25% annually over the next 3 years.

I think this is achievable the way we have grown ourselves in the last maybe 7 years, I think the growth of 25% is there for us in the next 2 to 3 years. While witnessing a healthy 9% growth in our overall deposits compared to the preceding quarter, our CASA also has increased by 10% quarter-on-quarter. The combination of CASA plus retail term deposits now accounts for 64% of our deposits, with CASA contributing 33%.

As I highlighted in my last quarter's commentary, our current account franchise built-out has not been to the extent we would have liked, partly because limitation of the platform, partly because of excessive competition in this zone. We are in the mid of reworking our current account strategy and are aspiring to increase our CA% to at least 7.5% of deposits by '27.

Operationalization of AD1 business, which includes trade-forex, a revised current account-led QR code business strategy, are likely to enhance our current account proposition.

The major risk nowadays is coming from the AML side and has attained prominence with increased cybercrime and identity theft. We remain vigilant and have implemented robust systems and processes to effectively mitigate this risk associated including our AD 1 business.

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To conclude, I'm deeply committed to building one of the most trusted and expected financial institution in India. We, as a team, strive to be a full-service Bank, meeting the diverse needs of our customers. This dedication to multiple stakeholders can be complex but essential for our long-term success. As your CEO and custodian of your trust, I stand before you today with the sincere commitment. We will continue to push boundaries, seeking innovative ways to create sustainable value and deliver our promises. The path ahead may be challenges, but I am confident that with your unwavering support, we will overcome them together.

So, thank you once again. And I would like to hand over to Prince again for your Q&A, please.

Thank you so much.

Prince Tiwari : Thank you, Sanjay ji. And with that, we can now open the call for Q&A.

Moderator : We will now begin the question and answer session. The first question is from the line of Renish from ICICI. Please go ahead.

Renish Patel : Congrats on a good set of numbers. Just 2 questions from my side, so one on the credit cost side.

So, in PP T, we have mentioned about the MFI portfolio. On a steady state basis, we'll have 2.5% to 3% kind of a credit cost. And when we look at the MFI portfolio of Fincare, which is at currently Rs. 8,000 crores on which Fincare has already provided 1.5%, so the incremental 1.5% works out to be Rs. 100 -odd crores. So, that, we will provide in FY '25, right, sir?

Sanjay Agarwal : Yes, Renish. Good evening.

Renish Patel : And after factoring that one-time impact, what should be the steady state credit cost for a merged entity, sir, given our stand-alone credit cost has already been normalized to 70 basis point odd including credit card cost of Rs. 45 crores? So, what should be the steady state credit cost for the merged entity?

Prince Tiwari : So, Renish,

I think if you go back to March 18 presentation on the strategy that we had done, and we had laid out what each individual product group-wise credit cost on advances. And we also said that it will depend on the mix that we go forward because the mix is also changing compared to where it was historically. So, as you rightly said, I think the normalized book without MFI has now reached to about 70 bps on average advances. And of course, to that extent, MFI will come up, and we have already articulated that it will be about 10% of the book. So, I think anything about 1% to 1.1% on overall advances and anything around about 70 to 75 basis points on total assets is where we should work with.

Renish Patel : Got it. So, to summarize, 100 to 110 basis points should be the steady state credit cost ex this Rs. 100 crores of what we have to provide for to take this 1.5% to 3%, correct, in FY '25?

Sanjay Agarwal : Yes. So, just again, for the clarification, around 0.75% on total assets and 1.10% around on the advances.

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Renish Patel : And sir, next question is on the NIM, So, considering that we still believe that there could be a cost of fund increase by 40 to 45 basis points in FY '25, so does that lead to further NIM contraction from Q4 exit level? Or, let's say, we have some leeway to sustain the NIM in FY '25?

Prince Tiwari : So, basically, you're right, on a stand-alone basis, as we have articulated, we do expect some more cost built up because there's still a gap between the cost of funds on the book and the incremental cost of funds and which we had articulated as well as in the presentation also, we have said that another 40 to 45 basis points cost of funds can go up from here on an average basis for the next financial year because this financial year, while the cost was 6.80, the exit cost for us has been 6.98 in Q4, right? Having said that, definitely, there is a merger on the cards, and we have already committed and started working as one entity with 1st April. So, Fincare obviously comes with a slightly higher margin. So, on a merge basis, our endeavor would be to protect the margins on the overall level for next financial year, at least.

Sanjay Agarwal : Yes. So, Renish, to supplement Prince, so we want to defend 1.6% ROA next year too. So, there would be some cost coming around 30 bps because of the increased cost of fund. But we acquired Fincare, so we will have the high yield book from there. And also, incrementally, we are passing on some cost to the borrower in our Wheel book or MBL book and really see the mix changing up, right? So, we want to do more book from disbursement from high yield book, which has microfinance, Wheel, MBL, gold loan, all these things, right? So, as of now, the whole endeavor is to defend 1.6% ROA for next year. And I don't see first rate cut maybe first 6 months. And if at all rate cut comes, the only impact will be visible next year. So, I don't think that there would be any help from interest rate kind of scenario this financial year. So, we are building up in that way that, we can defend 1.6%.

Renish Patel : And just a clarification. So, when we say 1.6% ROA, this is including that Rs. 100 crores of cost?

Sanjay Agarwal : Yes. So, everything we have incorporated will be around 0.75% on total assets, the NPAs and all those things. So, yes.

Vimal Jain : Renish, Vimal this side. So, you are taking Rs. 100 crores wrongly. So, 3% total credit cost on MFI portfolio. So, it includes our historical credit cost also. So, the additional credit cost will be 1% and 1.5% over the year, which will create a buffer.

Renish Patel : Yes. So, let's say in PPT, we have disclosed that our existing credit cost on MFI is 1.5%. So, incrementally, we have to provide 1% to 1.5% in FY '25 to take that credit cost to 3%, right?

Sanjay Agarwal : Correct. Absolutely right.

Renish Patel :

On Rs. 8,000 crores of portfolio. Okay. Got it.

Moderator : The next question is from Kunal Shah from Citi. Please go ahead.

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Kunal Shah : So, firstly, when we look at it in terms of the integration expenses, what we have highlighted of Rs. 300 -odd crores, so out of that, we mentioned like Rs. 77 crores is the stamp duty, another Rs. 50 crores, Rs. 60 crores which will be BAU. And balance has been already taken care of by Fincare. And when we look at it, the net worth, which is being given at Rs. 2,421 crores on the merged basis, that is after taking into account those merger -related expenses?

Vimal Jain : Yes. Yes, Kunal.

Kunal Shah : So, it's already been factored in by Fincare. And incrementally, what we will see by way of the integration will be only Rs. 50 crores to Rs. 60 -odd crores in BAU expenses.

Sanjay Agarwal : Yes.

Kunal Shah : Rest all is accounted for now?

Sanjay Agarwal : Yes, yes. So, in other words, you can calculate, it's not about Rs. 2,400 crores net worth, it is around Rs. 2,550 crores, Rs. 2,570 crores kind of net worth deal.

Kunal Shah : Okay. So, sir, I was just seeing like in terms of like what we expected as an additional transactional expenses, Rs. 300 crores?

Sanjay Agarwal : Yes. So, Fincare has super, I would say, quarter 3, quarter 4. So, they built up more buffers, and we are able to put more expenses in that year itself so that there is no one -off in coming years.

And Rs. 50 crores, Rs. 60 -odd crores in the next 2 years will be treated as business as usual kind of expense.

Kunal Shah : Sure. And secondly, in terms of the segment -wise ROA, okay, so it's quite an interesting one in terms of like 1.6% ROA and we had given the retail and the commercial. No doubt, Fincare will get added into this, which will be relatively ROA accretive. But besides this, where could we see the levers in terms of what we are seeing, like, say, credit card, let's say a drag of almost 27 - odd basis points. And I think regulatory drag would also continue. So, would there be any other levers besides Finc are out there and the Opex out there? Or if we just look at this slide, particular slide, which is there, yes.

Sanjay Agarwal : I believe that retail asset ROA will go up, so may not be in immediate terms, but in a 12 - to 18 - month period, you will see ROA of retail assets will go up because we are focusing more on Wheel and MBL, maybe micro finance business. Of course, micro finance business will have a cap of 10% of total advances. So, that will go up. The second lever, which I strongly believe is that the branch banking has to be more efficient and profitable by building CA, because our CA is around 5%, right? And even if we increase it by 1%, right, it saves us a lot of money. So, we want to really focus more on branch banking as an overall franchise. And we have invested a lot in terms of lot many products in the sense that credit card, wealth, insurance, AD1, so many products are there. So, the branch banking need to leverage those products so that they become more profitable. So, second lever would be coming from there.

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So, I think if you add up these 2 things, I can say at least maybe 10 -20 bps in coming year, right?

So, that's our whole strategy and of course, the treasury and all those things won't come profitable unless until there is a cut in interest rate. So, I think these are 2 levers. And I think commercial banking also, we just want to be more rational around our whole franchise there.

So, of course, they are giving us 2.75% to 3% kind of ROA, but I think they can also move a little bit up. So, we have been focus ing more on high -yield businesses in those assets also. So, I think these are 3, 4 levers, which will help us to defend 1.6% at least this year, and we'll look for a better ROA next year o

nwards.

Kunal Shah : And credit card, we are not expecting much?

Sanjay Agarwal : Sorry for not commenting on that. But credit card, we're moderating in terms of our issuance.

So, we'll be issuing same level of last year. And I think we have taken a lot many measures to really see the early delinquencies or early challenges in our asset quality. So, that's already been arrested in last quarter. And we really want to watch another 2 quarters to be really sure that at what level our credit cost can be there. But the initial feedback is just that it won't be crossing 6%-6.5%. And these are certain measures we have taken, and it will start coming up in the next 2 quarters itself.

Moderator : The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh Jain : So, firstly, on credit card business, if you can spell out the drag on P&L that the credit card business has had in this quarter, which you have shared in the analyst meet for 9 months that will be useful. How should we think about the profitability of credit card portfolio over next year and subsequent years?

Sanjay Agarwal : Nidhesh, Mayank will speak more on this, but I'll just give you some high numbers there that we have gone back to our drawing board in last quarter and really want to calibrate the entire credit card business. So, we learn more deep about every aspect. So, we'll not be issuing more than 6 lakh credit cards this year, too. And we really want to watch the space out in the sense that what the real sense of credit cost there, right? Again, the initial feedback is around 6% to 6.5% on an average basis for the entire year. We are also expecting some more circulars, more direction from regulators to regulate this industry or this vertical more in the sense that they want to put more stringent norms so that this industry becomes more stronger or in terms of there's no risk to the system. So, difficult to assess when it will become profitable or when we'll achieve the breakeven.

But I think one thing is sure that for next 2 years, it's not getting profitable. And beyond 2 years, the visibility is not there because it has lot many variables, like the cost of interest, any norms which will come from the RBI about the expense side. You're hearing so many things in the newspaper. And of course, how our credit cost can get stabilized, right?

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So, there are certain variables, which we really want to comment maybe next year that how we really want to make it profitable. But we want to build this vertical because this vertical remains an important vertical for any Bank. And we have done lot many good things in terms of issuance, in terms of spend per card, the acceptability of people. Generally, people have accepted our credit card to a very high level, right? And acceptance has gone up every month. So, we are really interested in this business. But we really want to take one pause, learn more, go more deep and then take the final view in next 2 to 3 years that how we want to become profitable, right?

Mayank, you want to add on something?

Mayank Markanday : Yes. Just to add upon what Sanjay ji said, we have been reviewing and doing a lot of calibrations in the business. And you will see a continuous improvement in our operating metrics also quarter-on-quarter. Apart from this, on the credit side, a lot of calibrations we have taken in the last 9 to 12 months as we told on the 18th March presentation also. So, good part is that we are seeing a positive impact of the calibrations we have undertaken and the early trends are quite visible. This quarter, we have seen similar credit cost in our actual amount what was there in the last quarter despite of the increase in E&R book. So, we are quite positive around it. And all our early indicators, be it a nonpayment on the due dates, 30 plus in 3 months, are quite p

romising.

And nevertheless, we are continuously monitoring our portfolio, and you will see the results coming on.

Sanjay Agarwal : So, one more thing, Nidhesh. We have also changed our strategy around video banking and QR code. So, video banking and QR code is no longer a product for us. Actually, we have changed them from product to channel. So, video banking had got merged with branch banking team now. And so there also the investment will not be there because now the whole leverage will happen through branch banking team. And similarly, in the QR code also, we don't want to put QR code as a separate business. Rather, we want to put the QR code to our current account acquisition kind of strategy, right? So, I think there also the QR code will become profitable, right? So, it's more a value proposition. So, I think that will also help us to cut costs in those 2 initiatives.

Nidhesh Jain : Sure, sir. Sir, you shared a number around Rs. 200 crores of drag because of credit cards for 9 months. If you can share that number for full year FY '24, that would be useful.

Prince Tiwari : We have already given that, Nidhesh. On the SBU wise profitability, the digital side, I think you can assume 90% is credit cards only, Slide #37. So, you can refer that. I think it's Rs. 268 crores.

So, you can assume 90% of that to be coming from credit cards.

Nidhesh Jain : Okay, sure. And just lastly on incremental disbursement piece, we see some improvement in this portfolio. But in housing loan and micro business loans, at least the on-book yields have not changed for last 3, 4 quarters. So, any data point on how the incremental yields are behaving in these 2 portfolios, micro business loans and home loans?

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Sanjay Agarwal : So, 2 things here, Nidhesh. One, like after acquiring Fincare, so in South market, we have seen that on the MBL business, the team do around 18% kind of yield. So, we really want to focus more in South market through the Fincare unit, because MBL is more competitive in North nowadays, right? So, we are not getting space there. But fortunately, Fincare team has done a decent job in terms of yield there, so we really want to capitalize our positioning in those markets. And you will see yield uptick as we move forward, right? And second, we haven't invested a lot in our MBL franchise in the last 2 years, but now focus has come back. And as I have commented earlier also that we really want to build more ROA, high ROA business. So, there may be a case where the yield is lesser, but the ROA proposition in overall profit will go up from these businesses, right? And we really don't want to build more affordable housing space because, again, affordable housing space to increase rates are not easy, right? So, we want to change our strategy more in favor of MBL than AHL because generally, markets are same, the operational ability is same, the customer is also same. So, we really want to capitalize our positioning more in MBL than in AHL.

Moderator : The next question is from Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal : So, first is I just wanted to understand on yields, any of the products wherein you have tweaked the yields on the fresh disbursement and if you could just highlight in terms of which product and what yields adjustment that you have made, which is first. And then probably I'll go ahead with the second question.

Prince Tiwari : Yes. So, see, Prakhar, again, as we have said earlier, I think given the competitive intensity, we were a bit cautious, let's say, in terms of increasing the price and underwriting the business. But I think beginning of quarter 4, sometime mid of quarter 4, as we had articulated earlier, there has been a let up or some sort of room is now available in the market, where we are seeing that competition is also starting to increase rates, right? And

that has given us some room. Maybe if

you look at the whole quarter number, it might not give you a very clear picture, but we can say for sure that in March, while it has been a record March for us, but we have seen a disbursement Yield also increased by at least 10 to 15 basis points. At least in the retail asset products, but maybe Bhaskar ji can offer you more clear details.

Bhaskar Karkera : Bhaskar here. Just to give you 1 data point, just the Q3 of Wheels and the Q4 of Wheels, we have an incremental of 27 bps on the rate, I'm just talking about the 3-month period. And the fact that we have already calibrated as the same goes for MBL where we've also, while the rate increase, we take a little more time in MBL. But all the 3 businesses, which is when I'm talking about, be it the affordable home loan space, even there also, we have been able to increase it by about between the 2 quarters itself, Q3 to Q4. In the AHL business also, we have been able to increase it by 20 bps. So, it is more the traction that we are putting on the ground in terms of all the incremental businesses have to happen at an incremental rate, right? So, you would see it coming. As it comes, it will come, but it will take time to show on the book, though. But incrementally, in all the businesses, we are in the trajectory of taking it upwards.

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Sanjay Agarwal : So, just to add on, Prakhar, one more clarity is that Wheel business, MBL business, the micro finance business, the gold finance, maybe NBFC funding and of course, the REG business, gave us north of 3% ROA. So, the idea is to build more disbursement from this business from this year onwards. So, the proportion of disbursement of affordable housing or commercial banking or maybe low ROA businesses will come down. So, I think there is one way to increase the yield on this high-yield ROA business. And the other way is to really build more businesses from this high ROA businesses, right? So, I think that that's a 2-way strategy we are working upon. And you will see that in the next 6 months, when we'll give you the data of disbursement, you will see yourself that it is more high ROA-led businesses, we are doing more. And that's the complete, complete, focused and deliberate strategy.

Prakhar Agarwal : Just one follow-up on this. Do you see further room for the hike in rates or probably we are probably done with one leg and now it will be more of a disbursement mix change that you have highlighted? Or probably some room is still left on yield adjustments that you can make?

Sanjay Agarwal : Prakhar, it's both ways, right? Because beyond a point, if I want to push more high yield, it can be counterproductive. There can be a slowdown in our growth rate, right? So, idea is more to have a high ROA-led businesses to grow more, right? So, for example, our own estimation says that our 75% of disbursement this year would be from high-yield assets. And now the respective businesses need to figure out that for that particular disbursement at what rate they want to really operate, right? But if you 75% business operate, at 3% plus ROA business, eventually we'll get

to 2% ROA in next 3 to 4 years and the interest rate cut starts. That 's the overall positioning.
Prince Tiwari : Prakhar, just to add one last data point on that. I think what we have given on Slide #32. The overall disbursement yield for the entire business for the full quarter went up by 8 basis points. So, while Bhaskar ji said that vehicles went up by about 27 -28 basis points. For the full business, it was up by 8 basis points. So, we'll start seeing this going up because of the mix as well as the yield push in the future quarters.
Prakhar Agarwal : Got it. Just second thing on one clarification. The Rs. 300 crores that you said on the merger expenses, large part of that is already done. So, Rs. 50 crores, Rs.

60 crores per year is left or
only one tranche of Rs. 50 crores, Rs. 60 crores is left?
Sanjay Agarwal : So, overall, Rs. 50 crores, Rs. 60 crores in maybe 1 to 2 years. I won 't say 3 years. But maybe in the range of 18 to 30 months.
Prakhar Agarwal : Okay. So, Rs. 50 crores, Rs. 60 crores over the next 2 years?
Sanjay Agarwal : Yes.
Moderator : The next question is from Nitin Aggarwal from Motilal Oswal. Please go ahead.
Nitin Aggarwal : So, one question is on the other income. Like if I look at the fee income, traction for us has been very, very strong, and it has been only like getting better. So, how sustainable really this is
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because, fee intensity, if I just look at on a quarterly basis on the total assets, it 's already on the higher side. And so how sustainable is this? And what further levers do you see going ahead in FY '25?
Sanjay Agarwal : So, Nitin, this is, I think, on a sustainable basis only nowadays because as a third -party product, insurance has stabilized in all sense, right? And the team is doing fantastically well. The organic service incomes and all those things is also now stabilized. So, I don 't think any challenge there. We have add on the wealth product. I believe that wealth product from here onwards should be more firmed up. So, that will give you more income. And fourth, we have just started AD1 product. So, that need to be more stitched. But the initial feedback is so strong that it will only add to the whole kitty. So, I believe that the sustainability is already on the table. It will more firm up in coming years.
Nitin, other thing is this that because by acquisition of Fincare, we don 't have anything to buy now as a Priority Sector requirement. Rather, it may have some surplus, right? But that needs to be seen in this coming year. But there won 't be any negative drag because of our Priority Sector requirement. They can be only better off there, right? So, let's see.
Nitin Aggarwal : Right, of course. And the other thing on securitization because you talked about like growing 25% on a steady basis over the next 2, 3 years. So, should we expect lower securitization now going forward as you will be able to mobilize more resources and make Fincare branches also as part of synergies to your Bank . So, how should we look at that?
Sanjay Agarwal : Optically, yes. We don 't want to securitize because it has its own cost. But in the interest of CD ratio, in the interest of other things, sometimes we might have to do. But on an overall basis, our securitization requirement will come down in coming years.
Moderator : The next question is from Param Subramanian from Nomura. Please go ahead.
P. Subramanian : My first question is on the margin. So, could you explain the quarter -on-quarter walk for the margin because the funding cost is only up 8 basis points? So, we are seeing 5.5% go to 5.1%. If you could break that up for us.
Prince Tiwari : Yes. Param, so I think margins, you have to look at it in 2 steps. As we had said last quarter, last quarter 's margins had a one -off impact from the securitization income, which we had taken for an additional month last quarter because of the matching principle that we followed. So, it was onetime adjustment. And because of that, the last quarter 's margins, and we discussed this on last quarter 's call as well, the last quarter 's margin should idly be looked at as 5.3% after adjusting that. And from there, if you add the 10 basis points and the fact that it was a short -term quarter, so to that extent, on an average basis, it 's actually 5.14%, not 5.1%. So, hope that clarifies.
P. Subramanian : Okay. So, the core margin last quarter was 5.3%, that was including securitization.
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Prince Tiwari : Yes, absolutely.
P. Subramanian : And the comment you made that on a blended basis, post merger, we will defend this margin, that is this 5.1% is the one that you 're saying will be defended or the average for the year?
Sanjay Agarwal : So, we want to defend 1.6% ROA.

P. Subramanian : Fair enough. So, on the fee line, and so the comment you made on credit cards where you are saying the pace of issuance is going to be flat Y -o-Y going into next year. So, we can see that credit card fee is above Rs. 300 crores in your P&L and OpEx is about Rs. 600 crores that you called out. So, how do these numbers get affected next year? Is it more a positive delta or a negative?

Prince Tiwari : Delta will be positive. What will happen is, obviously, because we are going to issue lower and the base has increased, so Mayank, do you want to add to that?

Mayank Markanday : So, Param, what happens, major fee income is through interchange, which comes through the spends happen from the entire base. So, whatever you add to it also, the previously added 1 million card will also contribute to the fee income coming to us. So, it will increase from here.

Sanjay Agarwal : So, drag will be less, in my opinion. The drag will be less.

P. Subramanian : Fair enough. So, this sort of fee trajectory that you 're seeing where actually your quarter -on-quarter trajectory as well as year -on-year on fees very strong. Going into next year also, you actually expect this sort of to be maintained, despite the credit card going down.

Prince Tiwari : On the fee income side?

P. Subramanian : Yes. Yes, on fees. Yes.

Prince Tiwari : Yes. So, I think this year has been obviously coming together of couple of things. Obviously, there was the insurance and third -party distribution as well as the credit card. There was a lesser drag from treasury. In fact, last year, there was a drag from treasury. This year, there was a positive impact, right? So, all put together, this year was exceptionally strong for us, where we grew the other income by 70% or 69%. Next year, definitely, it 's not going to grow by this percentage points, but trajectory will be positive and these should grow in line with the balance sheet is our expectation at this stage.

Moderator : The next question is from Manish Shukla from Axis Capital. Please go ahead.

Manish Shukla : What is the micro finance yield or the rate at which you are lending today?

Rajeev Yadav : Manish, this is Rajeev Yadav. So, our lending rates in micro finance are about 25% at this point of time.

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Manish Shukla : So, Rajeev, if RBI were to put any kind of a spread or yield cap, would you still be keen to take 5% to 10% of the book or you would want to revisit in that scenario?

Rajeev Yadav : So, the principles of pricing in a Bank for a microfinance portfolio are linked to the input variables, which are typically the cost of fund, the operating expenses, the credit cost and all those variables. So, as a Bank , we are expected to have a pricing policy, which is well defined on those variables and the profit margins that you need to sort of build on. So, the broader expectation more is that the regulatory is keen to track those variables. And therefore, we are able to align our pricing to the conditions, whether it 's a worsening condition or an improvement in the condition. But I think from a policy perspective, banks are typically not governed on a margin or a pricing cap for any portfolio.

Sanjay Agarwal : So, Manish, just to add on, I 'm Sanjay this side, again, I 'm repeating that it is about high ROA business, taking more business share in overall disbursement. And micro finance gives us a north of 4% ROA. I don 't know what cap you 're talking about because I haven 't heard anything from regulators or anything in newspapers about this whole capping of interest rate. Rather, they have opened up last year. So, there is no cap on it. We can actually price 30% also. B

ut it 's fine, right?

We can do that, right? But we are not doing it not because of cap. We 're not doing it because of business sense, right? But it 's a high ROA business, and it 's an inclusion where I strongly believe that Fincare has given us around 770 touchpoints where they operate as a micro finance unit. And those 770 points, we have a body -soul, right? And it 's a very detailed franchise available. My sense is that because of this distribution, we can actually leverage those touchpoints by building more Wheel business, more SBL business, more affordable housing business in times to come. And I 'm very positive about this whole positioning of AU, getting around 2,400 touchpoints in the entire country at one go, right? So, I think the idea is to really build more high ROA business, then really focusing more on yield, right? Because sometimes high yield is counterproductive . So, you need to balance it out, right? But idea is to really be around 75% of disbursement happening in north of 3% ROA businesses.

Manish Shukla : What I was saying is that the rebranding of the Fincare touchpoints to AU touchpoints, has that already happened? Or is it yet to happen?

Sanjay Agarwal : Yes, work in progress, Manish. So, in our urban branches, which is around 138, nearly 90% branches has been rebranded in a transitioning brand, and rest will be in due course of time. But necessary compliance, necessary information, necessary communication has already been done with the entire stakeholders.

Moderator : The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R : Expenses for credit cards continues to increase despite having a similar rate of acquisition like

in third quarter versus 4th Quarter . That is one thing. And also despite our focus on sourcing
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mainly through branch banking channel, I 'm just trying to understand like how this could shape over the years. Why is it like not coming down? That is one thing.

And, I mean, it was also said that video banking would be like merged with branch banking and QR would be part of the current account acquisition. So, does that mean that there won 't be any additional expenses needed for these two? I understand this is a very small part of that Rs. 200 crores in 4th Quarter . But I 'm just trying to understand that.

And also, on AD1, have we already started making investments in this? Like is it already part of the expenses, OpEx?

Sanjay Agarwal : So, Mayank, can you answer credit card? And then Vivek, AD1.

Mayank Markanday : So, Aravind, on your first question related to the cost of third quarter versus the 4th Quarter , yes, there was an increment of just 11,000 cards from quarter 3 to quarter 4. That impacts only the sourcing cost, but the rest of the cost remains same because we already have a base which continues to give us cost in the third quarter also, the same basis given the cost in the 4th Quarter also. But yes, with the growing book and this quarter, only a book of around Rs. 400 crores, there was an incremental book which happened. So, quarter -on-quarter, you will see this operational cost improvements. But yes, the impact, which will not be a very large impact from quarter -to-quarter. It takes around 3 to 4 quarters till the time the average cost looks better. So, that was one.

The other is on the branch banking, yes, we do acquire customers from the branch banking team, but we have a multi -distribution channel also. So, we acquire through other channels also and every channel has a different cost which comes through the sort of customer we bring in. So, we are recalibrating all those things, and a lot of review undertaken on this. And we will be continuing doing much better business from the branch banking and acquisition channels. It 's already there in the Bank .

Vivek Tripathi : See, in terms of the rol

ling out AD1, we have already rolled out. So, the CAPEX part has been already incurred. Only a few parts of the AMC or the operational part, which will be there, but that's not a very large extent. In terms of revenue, the business has already been rolled out and since we have a large base of MSME customers as well as individual customers, so the first attempt is to reach out to those customers and maximize the business from across our distribution points, especially in the urban branches.

Sanjay Agarwal : And last one is our video banking and QR code. So, we had a very detailed heavy setup at Mumbai to build a video banking as a project. But we figured out that video banking customers, we are not able to penetrate more. So, we decided to build with the branch banking team so that it's become an acquisition channel for us with a very less expensive acquisition channel, and we really want to move out of Mumbai, too. The bankers can be at Jaipur or maybe at somewhere in South, somewhere in East, somewhere in West. So, that is 1 or 2 things we want to do in AU Small Finance Bank Limited

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the next 2 to 3 years. But we don 't want to invest more in video banking center in Mumbai and want to really leverage the entire acquisition through the branch banking penetration so that we can create a value out of it.

And second, QR code also, because QR code, generally, is very competitive in that sense, right? But we really want to build around the current account customers, right? So, the additional expense won 't be there. So, there will be a separate account or separate pool for investment in these strategies. Rather it will be clubbed with branch banking, and we really want to monetize it through the current account value or maybe value through more penetration in those accounts, right? So, that is why maybe this year onwards, you won 't see the drag from video banking and QR code in our balance sheet.

Aravind R : Sure, sir. Just one question, if I can ask. Like what will be the quantum you would have invested in AD1, so we don 't need any capital investment going forward?

Sanjay Agarwal : Any CAPEX , what we have done in AD1 will be not more than?

Vimal Jain : So, we incurred around Rs. 20 crores.

Aravind R : Okay. And what about branding expenses?

Vimal Jain : So, this Rs. ~20 crores is as a CAPEX .

Sanjay Agarwal : Largely on building up that application and related hardware.

Aravind R : Sure. Just last question. Branding expenses will continue through next year or also?

Sanjay Agarwal : Yes. We need to build because the idea is to remain really focused on building the deposit franchise, right, because the whole purpose of Bank is to build deposit franchise. And I 'm so

happy to see that AU is now able to create their name and visibility across this country, and Fincare acquisition has helped us a lot. So, I think the visibility of brand is must to build a brand. But I think the idea is more to really make effective branch banking in overall sense, right? So, the branding initiative helps those people to build those things right. So, we won't be doing very high, but it has to be calibrated or somehow, we have to manage it right. So, we have built that expense in our future projections so that the whole alignment around building up the deposits remain on track.

Moderator : Next question is from Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb : Sir, just one question on Tier-1. As of April 1, what will be our Tier-1, sir? This is again including the merger, I'm asking.

Vimal Jain : Just give me one minute. Tier-1 capital, so total capital will be about Rs. 14,981 crores, it will be the Tier-1.

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Prince Tiwari : So, it will be around 20% to 21% (Corrected 19% -20%) . But we can come back to you with that number.

Pritesh Bumb : So, approximately

21%, 22% is the Tier-1 we are talking about, right?

Prince Tiwari : 20% to 21% (Corrected 19% -20%) ., more around that.

Pritesh Bumb : This is Tier-1, right?

Prince Tiwari : Yes.

Pritesh Bumb : And we would have taken the benefit of lower risk -weighted assets on the MFI book, which comes in through the Fincare side. So, that will be included in this?

Prince Tiwari : Yes. So, what has happened, Pritesh, is the merged balance sheet, because we just closed both the balance sheets for both the entities between yesterday and today on the audited side, the opening balance sheet, which still needs to be formed because it can only be done once both the balance sheets had got audited. So, we have got both the balance sheets audited today. And then the opening balance sheet will now be formed, so we can come back to you with some of these questions. But yes, if there is a benefit on the table for the MFI, we'll definitely take it, why not?

Vimal Jain : Pritesh, broadly, we are getting the benefit of 50 bps in our Tier-1 and Tier-2 capital. So, this maybe the impact only on merged basis.

Moderator : Thank you very much. That was the last question in queue. I would now like to hand the conference back to Mr. Prince Tiwari for closing comments.

Prince Tiwari : Thank you, Rayo, and thank you, everyone, for your participation today evening. I know it was a busy evening with multiple banks results coming through. So, thanks for coming on the call.

And in case you have residual questions, do reach out to the IR team. Thank you so much.

Moderator : Thank you very much. On behalf of AU Small Finance Bank, that concludes this conference.

Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Aug 2024

Ref. No.: AUSFB/SEC/202 4-25/179

Date: August 1 , 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 958400, 959025, 974093,
974094, 974095, 974914, 974963, 975017 & 975038

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter ended on June 30 , 2024

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
("Listing Regulations")

We submit herewith the transcript of the conference call held on Thursday , July 25, 2024 for the Financial Results of AU Small Finance Bank Limited (" the Bank ") for the Quarter ended on June 30 , 2024 .

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Limited
Q1 FY'25 Earnings Conference Call "
July 25, 2024

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR AND DEPUTY CHIEF EXECUTIVE
OFFICER
MR. RAJEEV YADAV – DEPUTY CHIEF EXECUTIVE OFFICER
MR. DEEPAK JAIN - CHIEF RISK OFFICER
MR. VIMAL JAIN - CHIEF FINANCIAL OFFICER

MR. YOGESH JAIN – CHIEF OPERATING OFFICER
MR. BHASKAR KARKERA – HEAD OF RETAIL ASSETS
MR. SHOORVEER SINGH SHEKHAWAT – HEAD OF SWADESH & URBAN BANKING ,
GOVT BUSINESS & WHOLESALE DEPOSITS
MR. MAYANK MARKANDAY – HEAD OF DIGITAL BANK AU 0101
MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to AU Small Finance Bank Q1 FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations at AU Small Finance Bank. Thank you, and over to you.

Prince Tiwari: Thank you, Yeshasvi , and a very good evening to everyone. And welcome to AU Small Finance Bank's Earnings Call for the First Quarter of FY'25. We thank you all for joining the call today evening. The format for today's call will be very similar to last few quarters where we will have opening remarks from the senior management for the first 20 -25 minutes. And that will follow with a question -and-answer session of about 35 to 40 minutes.

To start the call, we will have our MD and CEO, Mr. Sanjay Agarwal, share his thoughts and strategy on the overall performance of the bank and the outlook for the remainder of the year. he'll be followed by our Head of Liabilities , Mr. Shoorveer Singh Shekhawat, who will share his thoughts on the liability strategy of the bank, given that it is such a topical conversation. Besides them, we also have senior members of the management team on the call today to answer any questions that any one of you may have.

For the benefit of everyone and so that we can take everyone's questions, we would humbly request everyone to keep the number of questions per participant restricted to two and join back in the queue in case of any further questions. In case your questions are related to data keeping , you can always reach out to the IR team anytime post the call to have the data clarified.

With that, I now request our MD and CEO, Mr. Sanjay Agarwal, to kindly share his thoughts on the quarter gone by and the announcements that we have made and the outlook for the bank.

Sanjay Agarwal: Yes. Thank you, Prince. Good evening to all. Appreciate your patience. So very happy to announce you that today, the Board has decided to file an application for the universal bank and Board has also constituted the committee under our Chairman, Mr. H. R. Khan saab, and of course with M. S. Sriram saab and Pushpinder ji, along with me to review the application and file as soon as possible.

I think this is a very important milestone for us because universal doesn't come easy, right? But we have done a lot of good job in the last seven years. Done lot of hard work on the street to come to this stage. So I really want to congratulate the entire supporter of us in last seven years of journey, be it government, be it regulator, be it our customers, employees, investors, for the ir wholehearted support in our high and lows, both. So very, very excited to see that how quickly we can file the application and move forward in our journey.

Moving on to the present overall macro aspect is this that we've got the general election and that made us very proud as Indian. It was done seamlessly. The volume which we handled in May and June in that heat is highly, highly appreciable because it's not easy to handle 1.4 billion people. But I think our whole faith in our constitution has gone up.

And as we continue , the government has given us a lot of hope and I think the Budget was in line, and to be very honest, and I believe that Budget is very suited to the organization like us who actually deal into the unserved and unreached markets. I think the effort around MSME

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credit and, of course, the overall approach to give affordable housing, focus on other housing, MSME, the industrializ ation, skill training will only help not only country, but your bank too. I mean I don't want to touch much narrative around economy. It looks very promising. India is shining. India is growing. India is confident. And I believe, your bank is building themselves to really arrest or take all the advantage in times to come. So ver y happy in overall sense, how the quarter has gone. And overall business side, we already

narrated our strategy in March and of course, the last quarter in April, that we'll be focusing more on in terms of low -cost deposits. And in our deposit strategy for last quarter, we reflected in a way that the deposit -- the cost of money has gone down by 7 bps. And we haven't grown our deposit book because we preferred cost over the volume. And I think overall narrative on deposit, the strategy and everything, I think Shoorveer will tell you more after my call.

But overall, if I see , the deposit number, the overall retailization, the CASA, the cost of money in terms of building the entire deposit franchise, we are very happy that we are on some path. And the path may be difficult as of now, but we will -- we want to work on this path for some time so that the actualization of deposit franchise, we should get it in times to come. But overall, I would say deposit is not easy, but it is also not difficult.

And the quantum we want to raise this year, I believe that the team will deliver this. And we believe that we'll also save some costs around it. Shoorveer will let you know more about it, right . But other than deposit, if I see assets, I think our asset strategy has really executed well. We narrated that our focus would be on high -yield assets. And this year, the target is around 60,000 plus kind of disbursement, out of which 20% disbursement has been done in this quarter. And the yield on this disbursement is around 15.8 %, and -- which is considerably around 250 basis points up from the last quarter, which was a stand -alone quarter, but I think this jump is enough to arrest any kind of pressure on yield. So I think that is there. And in terms of momentum, be it vehicle, be it SBL, microfinance, commercial banking, affordable housing, all has very promising numbers.

And I think first quarter actually has surprised us in terms of disbursement because generally, it happens around 16%, 17%. But this time, it has around 19%, 20% of the overall target. So of course, the asset quality also, in my opinion, remains very strong. As we guided in our March call that overall, we believe that the kind of market we deal in, the kind of yield we deal in the assets, normalized credit cost would be in the range of 1.10 %- 1.15%. This quarter, it remains around 1.20%- 1.25%. And it's the first quarter. It will remain like this.

But overall, on a yearly basis, I believe it will be under the guided range. So I think profit on the asset side, other than that, be it our technology, be it our people strategy, all remain very strong. Merger is also going on well, be it people, product, technologies, all are getting integrated as per plan. So I would say the first quarter has given us a lot of hope that we are on right track. And now by getting the permission to file an application, it will give us a next hope.

And I believe that overall, the performance other than maybe here and there of 1 or 2 things, we remain very solid. And I hope that the Indian economy, the Indian environment and this platform

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will empower us more and more in times to come. So happy to be in the space, to be very honest. And I think -- team has done a lot of good things in the last maybe now 4 - 5 months to come back. And so my focus area would be more around branch banking, where the heavy lifting is done for the deposit franchise or deposit buildup.

I really want to focus on our credit card business because it has its own challenges last year, but we are in decent shape. So that is one thing which I want to really focus on. And of course, the microfinance business because there is a little bit initial, I would say, feedback that market is heated up, and we have to take corrective actions, but as I narrated earlier that our microfinance business won't be more than 10% of our overall book.

We will create an extra provision of around 3%, which

we have done in last -- in this quarter balance sheet. So in that sense, very well done. So very happy. And thank you so much, and happy to answer your any questions. And want Shoorveer take from here and have some detail around branch banking or a deposit franchise. Thank you so much.

Prince Tiwari: Yes. Shoorveer from Bombay office would like to share his thoughts.

Moderator: Sure.

Shoorveer Shekhawat: Thank you, sir. Good afternoon, everyone. My name is Shoorveer Singh Shekhawat. In the last quarter, I was entrusted with the responsibility of heading the Liabilities business for the bank. I am thankful to the management and the bank for their trust. I joined AU as part of the bank project team in 2016. And since then, I have handled various roles from heading liabilities products to building video banking and taking care of marketing and communications.

Over the past 12 months, I was heading Swadesh Banking, government business, wholesale liabilities and cooperative bank business for AU. I take this opportunity to share insights and our views on deposits, one of the most discussed business segment in recent times. Reflecting on the last quarter, as shared by sir, we maintained our liabilities book near to March '24 levels. Our overall deposit book stands at INR97,290 crores as of June 30.

Our CASA deposits grew to INR32,035 crores, a 1.8% increase over pro forma merged CASA as on 31st March '24. Keeping deposits growth muted was a calibrated move to use excess

liquidity from the year-end deposits to optimize our cost of funds, visible in the improvement in our CASA ratio and reduction of cost of fund from 7.10% to 7.03%.

As part of this strategic decision, we did not renew approximately INR1,000 -odd crores of expensive deposits during the quarter, mostly from erstwhile Fincare Small Finance Bank. We also optimized our savings account rate reducing them in lower buckets to better align with the overall cost strategy. Almost 1% reduction in 1 lakh to 5 lakh bucket and a 0.5% reduction in less than 1 lakh bucket.

We are closely monitoring the market liquidity and adjusting our approach accordingly to balance growth at optimal cost. In Q1FY'25, the market liquidity situation remained tighter with significant rate competition in the market. We competed with mid-sized universal bank with our term deposits and savings account rates almost at par with them.

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Term deposits remain a real benchmark of rate competition. On retail term deposits, today, large banks are priced around 7.2% to 7.4%. Mid-sized private banks are closer to around 8%, similar to our rates. And smaller banks are priced around 25 to 50 bps higher. Even in short-term tenor and bulk term deposits, large banks are aggressive making rate competition intense.

There has been a lot of discussion around the financialization of savings in India, which shift towards financial assets like equities and mutual funds. This trend towards equities and mutual funds and SIP 's is at early stages and is expected to grow. However, in our experience, the current account market size and opportunity, which is one of the most important segments of deposit growth in terms of cost will continue to grow with sustained GDP growth and business activity led by micro-SMEs and SME, and specifically, the government focus in the recent budget seems to be more focused around this segment.

The granular savings account is the core foundation of digital payment ecosystem for day-to-day use by individuals. Its market size and opportunity shall continue to grow with growth in income-generating population and penetration of digital payments. The entire concern or the discussion has been around the impacted segment, which is the investable surplus, whether in terms of term deposits or the high yield savings, though, given the geographic and economic divergence in

our country, in my personal view, the impact will become significant only in next

5 to 10 years. However, we are working on a comprehensive strategy for the Capital Markets segment to capitalize on this changing trend and opportunity.

Having said that, at AU, we have substantial room to grow our deposits within existing markets as our penetration remains small at approximately 0.5% of the overall deposit market in India.

We have around 717 Liability branches with 2,414 touch points, given our wide yet limited distribution with the competitors, there is a significant potential for growth and increase in our distribution.

To tap into this opportunity, we already have well-seasoned, dedicated teams for raising deposits like branch banking, government banking team, cooperative bank team, wholesale deposit team, TASC team and NR team and corporate salary team.

We have recently restructured the corporate salary team to target deposits from stable salaried customer segment. Overall, we remain confident to grow our deposits by 25% this year, but we will continue to revisit our deposit strategy quarterly based on market liquidity conditions and the rate of interest dynamics.

In our endeavour to build a granular retail deposit franchise, we continue to work on our key execution pillars from a strategy perspective, comprehensive and superior product suite with improved service quality this is what for AU has always been known for. Easy banking, top notch digital solutions like AU01 01 and video banking.

Segmented acquisition focus on affluent and mass affluent customers via focus on Ivy, Royale and Platinum products are one of the special focus, which we guided earlier in our Investor Day also was to improve current account as a percentage of overall deposits. This, from a strategy side, we are focusing on 4 important levers.

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First, segmented propositions on retailers, traders, gym saloons, and the various segments which operate in the industry. Leveraging the AD1 products to penetrate an EXIM opportunity. One of the important levers in this strategy of increasing current account penetration is the leverage of our business banking customers as well as the business banking or the commercial banking team on ground. Our all business banking customers are driven for primary banking across current

accounts, savings accounts, CMS and trade products.

We currently have around 65% penetration of current accounts in our Commercial Banking segment. This is where a larger focus has been built into the execution side. And most important of the strategy items to leverage the entire cost benefit is by improving the cross-sell and product penetration using wealth, credit cards, QR and various consumer asset products, the bank has built over the period of last seven years.

As part of the Fincare integration, 136 Samriddhi branches have been fully integrated into the AU liability franchise. These branches now offer the complete suite of AU's liability products, services and solutions. All new customers being acquired in these branches are on AU's products and services and existing customers will be migrated by end of this year. We aim to achieve approximately INR2,000 crores in acquisition from these branches which are aligning with AU productivity and should reach similar run rates by quarter 3.

During this quarter, we have opened 11 new branches and launched eight new products around EXIM and trade-related with AD1 opportunity, revamped our senior citizens savings account scheme. During last quarter, we also established new partnerships with Bajaj Life Insurance and Star Health Insurance, broadening our range of insurance products and partner availability for our customers.

We continue to enhance our digital wealth platform and have launched feature where a customer can holistically view his entire MF holdings across

all platforms at one place. We have also

introduced on the wealth side the GIFT city-based investment solutions for our HNI customers.

Our focus on branch profitability will leverage the comprehensive product suite we offer to cross-sell and upsell to liability customers aiming for branches launched until FY'20 to breakeven in FY'25.

In summary, we are well positioned to leverage our competitive advantage of 360-degree complete and superior product suite, segmented multi-sales channel teams, well-established high-performance culture to optimize our costs and drive profitability in the coming fiscal year. However, as we move forward, we will adapt to the market forces, which will define the liquidity and cost of funds. We are cautious on how the rate competition spans up during the year, but are confident that given our strength, we should be able to deliver on our deposit targets and numbers. Our core endeavour remains raising low-cost, stable retail deposits with high customer engagement. Thank you. Prince, over to you.

Prince Tiwari: Thank you, Shoorveer, and thank you, Sanjay ji. Yeshasvi, we can now open the call for questions and answers.

Moderator: We have our first question from the line of Kunal Shah from Citi group.

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Kunal Shah: Congratulations for 1.6% ROA in the first merged quarter as well as the universal bank. So first question is on universal bank licensing application, okay, So any timeline which you would want to suggest wherein we'll make that application? Okay. And secondly, maybe any kind of calibration on the balance sheet or regulatory requirement, which we can expect that bank will start building up, okay, through this entire application process so that maybe from RBI side also, it is more comfortable in terms of getting transition to universal licensing?

Sanjay Agarwal: Thank you so much. So Kunal, we'll be doing application as soon as possible. So I can't set the timeline today because we've got the approval two hours back only, but team is on the job. So we expect maybe in August only we should be able to file. And so that is point number one. In terms of second, I don't think because we are scheduled commercial bank, all regulatory – everything remains as per scheduled commercial bank.

So we don't have to do anything, honestly, to get the license, in terms of balance sheet build-up or building anything extra. So there won't be any extra cost to do this. It will be very normal transitioning from small to -- I don't know, we can't be called AU Universal Bank. It will be the AU Bank. So it should be a very simple process.

Of course, regulators will take their own time. That also, I do not know as of now. But it looks because the transition guidelines are very clear that who can apply and who are eligible. Under that, we have gone and took the Board approval. And now Mr. H.R. Khan saab, the Chairman of Board, himself will supervise the entire process of filing the application. So I think we are in good shape.

Kunal Shah: Sure. And second question on ROA. So in fact, what we guided for in terms of the full year, we are almost there in the first quarter itself. We indicated that maybe margins we could see some moderation, cost to income would also maybe get towards closer to like 63-odd percent. And credit costs instead of 120 basis points could be like 110-115. So broadly, it's fair to assume that this will be the stable level of the ROAs? Or are there any levers available to improve from here on through the fiscal?

Sanjay Agarwal: Kunal, I would say, again, very early in the year. This is just first quarter, lot much unknowns, lot much variables, which we will not be able to control as we move forward. That is my sense. So we really want to stick to our earlier guidance that we should defend our last year ROA, which is 1.6 %. But I can assure you that I'm not see

ing any vulnerability around our asset quality.

It is as per prediction, as per our business plan, which we have figured out very early in the year.

That is absolutely going through that.

We are able to redeem our high -cost deposits. And that is why our deposit has not grown, but we have able to manage costs in this quarter. But I don't think that we can be on that path for long. We need to raise money also. The money is coming at cost. So -- but at what cost, again, it's variable. So you really want to be really honest here, that we should not have any exuberance because our first quarter results . It is a tough time, in my opinion, in overall sense about liquidity, deposit competition and all those things. So really want to be more safe than aggressive there.

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And other than that , asset strategy is absolutely in place. So be it Wheels, MBL, housing, gold, microfinance being our retail asset, our distribution is well in place. We are around 2,400 distribution points, right, entire pan -India presence. So I'm hopeful that this distribution not only will help us for this year, maybe for next 2 to 3 years, we are -- I'm very confident about our asset franchise, both in terms of volume, yield and asset quality. So that's my sense. So let's go more deep in the year, and then we'll be able to comment that how our ROE can be panned out. But as of now, I want to -- stick with earlier guidance, that is 1.6% ROA.

Moderator: We have our next question from the line of Renish from ICICI.

Renish Bhuvra: Congrats on good numbers post merger . So just two questions. One, again, on the, let's say, the asset growth, which will be linked to the deposit growth, right? So we are expecting 25% growth in FY'25, wherein first quarter, a sequential decline, which means we have a steep task of growing the deposit base by almost 8% sequentially for the rest of the three quarters. And when we look at the cut in the SA Rates, of course, it must have been recalibrated internally. But do you foresee a risk to the asset growth if the deposit growth the way we wanted to be if that doesn't happen?

Sanjay Agarwal: I think good question. Good question. So one data, which is clearly in our favor is our CD ratio. So we are around ex refinance of assets. If you take the refinance assets out of the calculation that we are around 84%. So that gives us room to have that -- believe that we will build deposits. So -- again, I would say that -- if you ask me what 's the real challenge? The real challenge is maybe around costs, not the volume. So I believe that we will be able to build around INR25,000 crores of deposits in the next 9 months.

But I think the real challenge can be the cost, right , So that is why I don't think that it is a serious challenge on our asset growth because then we have to take a call that can we handle 10 bps, that's why I'm saying that I don't want to revisit our RO A expectation for this year. Like if we're able to raise deposits at that rate, which you have raised in last quarter, our ROA will go up, right , But that is why I want to take that margin with me that even I go up in my cost in deposits, I can defend my ROA, right .

So I don't think the risk is there on the growth, the risk may be on the NIM, and that is why we are trading our ball that our ROA should be in the range of 1.6%. But even things can go bad from here also. So we will come back and tell you people that what is our ROA in next quarter, right ,But as of now, I don't think any risk around our asset growth because of deposits.

Renish Bhuvra: Right. And is it fair to assume that as you stand today, there is no risk to NIM as well? I mean - or you would like to, let's say, reassess some of those metrics in Q2?

Sanjay Agarwal: Sorry, Prince do you want to comment on this?

Prince Tiwari: Yes. So Renish, before I get on to the NIM question, just o

ne more data point to your earlier

question just for the benefit of everyone. If you go back and see last year as well, in the Q1, we did not grow our -- or we chose not to grow our deposits, right , in FY'23-'24. And then we went on to grow our deposits by 9% and 9% in Q2 and Q4 and 7% in Q3. So as Sanjay ji, articulated -- and last year, we raised between Fincare and us INR20,000 crores. This year, the requirement

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is INR25,000 crores with the expanded distribution. We remain confident. The question is all about cost, right , So just to put that number out there.

Now as far as the margins are concerned, again, we saw some expansion in this particular quarter because of the overall enhancement in the yields. AU M Yields expansion as well as the merger benefits coming in. But we have also guided -- and the cost of fund that we saved, right? But we have also articulated that -- or what we are just talking about, that as the year progresses, we will need to raise deposits, and to that extent, we will have to let go some of the cost on the incremental fund side. So we'll have to see.

I think for now, our guidance remains that our margins -- full year margins for this financial year will be in the corridor of last year's, which was about 5.5 %, so maybe add about 10, -15 basis points on that, but allow us to come back on that. I think anything around about -- I'll be happy with anything between 5.7 % to 5.8 %.

Renish Bhuvra: On one. So I think that's a fair reply. Secondly, again, when we sort of look at MFI book, right, though, for us, the portion is small. But if we go by a narrative, let's say, most of the guys are hinting towards some of the pain in some of the states. So at this point in time, whatever provisioning would we have on the MFI book, though we have target to reach to 50%. So where do we stand today in terms of 50%? Though we note that we have provided INR17 crores, but if you could just give us the percentage, the total provision on MFI Book of and according to you, 50% is it proper pool? Or do you want to increase given the current situation?

Prince Tiwari: So Renish, maybe I'll start and Rajeev ji will just complement from a microfinance perspective. But if you look at our overall narrative that we had said, that we will -- given the cyclical nature of the entire business on the microfinance side, we want to do two -- we articulated two very clear guardrails in terms of securing the overall profitability and balance sheet. One was that keeping this overall size of microfinance business at about 10% of the overall AUM or the loan portfolio. Today, it is about 8%, right.

And the second one was that we will have a credit cost of 3% annualized beginning first. And we have started that process now, right. We have taken it -- we haven't waited for the year, but we have started doing it from the first quarter itself. So of course, I think for the full year, you will see every quarter we're taking some amount of provision, which is over and above whatever will be required so that the total is 3 %. If the requirement is more than 3 %, then obviously, we'll take more than 3 %, but at least -- so in this quarter, and maybe Rajeevji can talk about a bit about microfinance business itself, what's the overall view and credit cost.

Renish Bhuvra: So what's the total provisioning we have on MFI today?

Prince Tiwari: 93% to cover the GNPA. I'll give you the exact amount. Just give me a minute.

Rajeev Yadav: This is Rajeev Yadav. So you are right that this quarter, what we have seen in the industry is, one, a cyclical trend, which normally happens in this quarter, but we are seeing collection efficiencies being a notch lower than earlier broadly, the reasons have been stated by quite a few players. The heat wave has caused some impact there has been with the election disturbance. And also, clearly, t

here is an element of over-leverage, which has increased for the customers.

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But I'll add to some of the points on the guardrails, which Prince talked about, the two quadrants that we have sort of incorporated as part of the AU merger. But fundamentally, Fincare MFI business was built around its own risk guardrail, which were -- besides the operating -- the quality and all the operating work that we do, but the guardrails that we had was that none of our states is greater than 12.5% exposure. Our top 3 states are about 34%, -35% exposure. We operate in about more than 300-plus districts, and except for 1 district, there is no other district which is greater than 2% exposure. And we have one of the lowest exposures per customers in the industry that's about INR27,000. Our average ticket sizes have been very conservative always in the past. So with these guardrails, what we have sort of enabled that if we have a little bit of collection efficiency pressure in some areas or some districts or some states, we'd be able to hold our portfolio quality much better.

On the credit cost, as such, we had a credit cost over 2.2-2.3% on gross advances. This is after removing the securitized book, and the remaining 0.7% was built in on the -- as a special provision. So fundamentally, we had a bit of a credit cost increase. But otherwise, we are working towards stabilizing the collection efficiencies like we normally do in other quarters.

Renish Bhuvra: So is it fair to assume that, let's say, July 1st half is better than April, May, June in terms of collection or delinquency whatever metric you track internally?

Rajeev Yadav: On early trends, it is definitely a little notch better, but I would say we'll have to wait for some more time for us to comment on that.

Prince Tiwari: And Renish, the provision number on the overall gross NPA, excluding the write-off is about -- sorry, on the microfinance book is about INR67 crores. So 17 plus 51, 70%.

Renish Bhuvra: Okay. Okay. And this is a total provision, right?

Prince Tiwari: Excluding the write-off, if I add the write-off -- because we do also do technical write-off. So if

I add that, then it goes to 91% -- 93%, .

Moderator: We have a next question from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Congrats on a good results, good start to the Merge numbers this quarter. I have two questions.

One is on the disbursement yield like if we see, there is a pretty good increase over the last couple of quarters. And I recollect that for a good time in FY'23 and early '24, we were not able to raise the disbursement yields and our portfolio yields are also like flattish at that point. So has competitive intensity come down, which is now enabling us to increase the yields? And do you see any implications of this from an asset quality perspective, a system in general is witnessing some rise in delinquencies?

Sanjay Agarwal: Okay. Bhaskarji, do you want to address. Please go ahead.

Bhaskar Karkera: Bhaskar here. So essentially , Nitin, if you look at it, starting of the quarter 4, which is January, February onwards itself, we had started inching upward. And if -- and we kind of made that presentation in the month of March, the strategy document was in preparation a while earlier,

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right , So we kind of in all the three lines of business, essentially Wheels as well MBL as well as HL, what you call it, the word out on the street was that we'll have to inch upward. And also if this will happen with the cost of funds going up for all kind of we have more NBFCs in our market in all the 3 product lines and if all of them also increasing their lending rate also did help the cost.

And also the fact that given our entire core rural landscape with the application of the vehicles that we do

with the kind of profile that we kind of handle, we really had this room to nudge it up a little, then we have kind of kept following up there and we have undertaken that step. And to whether it leads to any kind of high -- whether we have moved to higher risk asset class, the answer is no we have been doing the same thing over the years. So it is really working in the same. We're just nudging up the rates a little up in the applications that we had.

Sanjay Agarwal: Nitin, my whole assessment is that the market is -- the intensity has gone down because -- the rate has gone up. Even I think the NBFCs are struggling to get the desire money to fund those markets. So I would say the intensity has gone down. And we as a bank also has regrouped ourselves and has taken this as a challenge that let's go back to our older days, and let's price the risk, let's look for high -yield assets, and let's not be in the part of the race.

So I think that has -- strategy has really worked in the last 2 quarters. And so be it Vehicle, MBL/SBL, affordable housing, business banking, agri banking. Every team has built their book on a better yield. So -- and I think as we move forward, I believe that if there is no interest rate cut in this year, there might be a possibility that we might have more room to increase the yield. So I think both. The intensity is going down.

And we as a bank has regrouped and focused on our core. And so that is the one. And -- but I don't think that this will eventually will go and hit our asset quality. So largely, if your book is north of 15% on a gross basis, on advances, you should expect that book at this level would give you around 1.10 % kind of NPLs, the credit cost.

So I think -- I don't think that at this level, there is a possibility of any asset quality issues. Of course, the last 3 years or last 4 years of very good days of not having any credit cost are not there. There is a normalization of credit costs as we move forward. But no early bad signs or anything. So that's my sense. I hope it clarifies.

Nitin Aggarwal: Yes. Certainly clarifies. One other question is on the...

Sanjay Agarwal: Nitin, we are not in an unsecured space at all. So we are into a secured lending. still o ur 95% books. Of course, I'm sorry, if you count micro finance, 85%, right? The book is secured, right? So whether it's MBL, Wheels or housing or gold, where we are lending on a higher rate, it's backed by security.

Nitin Aggarwal: Right. Got it. And the other question is on Slide 28, in respect to the portfolio yield or two specific segments, credit cards, there is a sharp increase in yield this quarter on a growing base. And gold loans like a pretty big gap between how AU Bank is to operate in the yield that it used to make and -- versus what it is now. So what will be the, say, the strategy on the gold loan in

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terms of yield and the growth now? And on credit cards, has the revolve rate increased to drive those kind of yield increase? So what has essentially driven this?

Sanjay Agarwal: So I'll tell you about gold first, Nitin, and then Mayank will comment on the credit card. So gold, Rajeev is on the call, you can ask the question to him also. So gold we have moved on to the

Fincare strategy because Fincare has built it very nicely over the year. We haven't done that good in that sense. And we were not focusing on those. So our entire Gold team has been shifted to the Fincare unit under the leadership of Rajeev.

And Fincare was building that book around north of 16%. And with a lot of focus on technology, the way they were handling it books. So I think the strategy remains the same. We really want to build more gold in the sense because we have now South also in our whole distribution gambit. So I'll let Rajeev speak about our strategy of both. And then, of course, Mayank can tell you about credit cards.

rds.

Rajeev Yadav: Nitin, basically, our Gold book was -- Sanjay explained quite clearly, it was about a 16.2% to 16.4% rate. And we had a much larger book in this asset class. And therefore, the strategy is to gradually introduce our fully automated loan onboarding system and -- which has all the controls built in, which is required for this asset class. So gradually roll this out to all the branches, which are about 400 branches of AU which gold was being done.

And by introduction of this technology, the new sourcing would gradually migrate to the product definitions of what Fincare was doing. So gradually, we should see some improvement on the other side. And hopefully, we should be able to do more business given the addition of the distribution network of 400 branches to our network, which is about 550 on the Fincare side.

Mayank Markanday: So Nitin, on the credit card side, mainly the yields are increased due to increase in our term book. So our term book really grown well in this quarter and which is now at 19.7% of our ENR, which was earlier at just at 17.8% in the last quarter. So that has given us good amount of yield increase. The revolve rates, as you asked, revolve rates have not increased. They are pretty much stable from last 3 quarters.

Moderator: We have a next question from the line of Prakhar Agarwal from Elara Capital.

Prakhar Agarwal: Yes. Just quickly two, three questions. So there's been a lot of talks about CD ratios around the industry. In your mind, when you have a discussion with the regulator, do you look at CD ratio adjusting for refinancing as you highlighted? Or is just the outside CD ratio that is getting calculated in your discussion with regulators?

Sanjay Agarwal: So Prakhar, the regulator has the specified CD ratio definition. But we, as a bank, always want to be very prudent on that side that refinance assets -- assets which are financed by refinance book, which is around NHB, NABARD, Mudra should not be there. So that -- because sometimes regulator only say to you that you need to understand, what is credit, what is CD ratio, which makes you comfortable, right? Because it's not about that they want to hand hold you for everything.

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It's our duty also as a banker to make bank very sound and sustainable, right? In that sense, I believe that assets which are refinanced because of all those institutions from that money is in the very safe zone. Other than that assets are built to -- from the deposit side. So for me, that is the real CD ratio. And that is why I commented that we are at 84%, and largely RBI is also looking around 80%, 85% kind of CD ratio. So we are comfortably placed as of now.

Prakhar Agarwal: Got it. Second, you have spoken about funding costs and then there's been a decline on a sequential basis. Can you also elaborate about the cost of deposit, how that has behaved in the quarter?

Sanjay Agarwal: Sorry, Shoorveer, do you have the data or you guys?

Shoorveer Shekhawat: I have. I'll answer that. So if you see that, like we have mentioned, it was 7.10% from the transition has moved from 7.10% to 7.03. However, if you want to see -- understand the savings account and term deposit differentiation. On a book level, at a merged entity level, our savings account cost of fund ranges between 5.5% -- around 5.58% to 5.59%.

This in March term was around 5.8%, but the reduction is because, like I mentioned, we dropped our savings some rate in lower buckets and calibrated that for optimization. From a term deposit side, there is around 10 bps increase in the overall at book level from 7.83% on stand-alone basis, so it is to 7.92%, but that is also to do because of the incoming Fincare deposit book overall. I hope I've answered your question.

Prakhar Agarwal: Just one last aspect in terms of liquidity, you generally mentioned that you have us

ed excess

liquidity. How do we generally look at from a liquidity perspective, from a balance sheet perspective and analyze what is excess? And how -- what is in your mind when you look at from a steady-state basis, what should be ideally the number that you should keep in mind when you look at from a liquidity perspective?

Sanjay Agarwal: So, LCR, we are around 115%, 120% right. Our ALM is perfectly in the shape. And as you know that we don't have that large wholesale book. Our CASA plus retail TD, with a new

definition, plus the non-callable wholesale deposit is close to 84%, right. So we don't carry that kind of vulnerable money with us, . And so we are very comfortable the way we are building our treasury and entire metrics is there. So Yogesh you want to comment on this?

Yogesh Jain : Additionally, as we mentioned, we keep other than LCR, we keep high-quality liquid asset also always, which are comfortable at the moment because as we commented in Q4, we got a growth of 9% in our deposit, and that is why we had excess liquidity, which we utilized in this quarter. And now we are comfortable in terms of our LCR and also we are carrying some non-SLR money, where we are not giving any carrying cost.

Moderator: We have our next question from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Sir, hypothetically, if you were to get the universal banking license in the next 6 to 9 months, just want to understand from the bank's perspective, how would we look at the asset strategy?

Would we be looking to add new product share, would corporate banking would be a focus because right now, when we are talking about focusing on higher-yielding assets. So just trying
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to stand as a universal banking, what changes versus the current nature of the bank? And how will we look to differentiate against frontline banks once you come to universal bank?

Sanjay Agarwal: Okay. So my friend, why hypothetically we should become right. But I want to keep this because we are still in the process of building the application. And Mr. H.R. Khan saab will supervise that. So I think the entire strategy will be discussed and then we'll put in the application. So I think we should wait for under maybe 3 to 4 weeks to really come out clearly on this agenda. But as a practitioner, as a CEO of a bank, I believe that there would be not much change in our banking strategy, the way we have built ourselves in the last 7, 8 years, it's quite evident that is a place of opportunity, right? And we have executed well.

The only challenge being SFBs - is that people generally have less trust on this platform. So we really want to take that away in our whole process of building universal aspect, right? So -- but I think the way we have built ourselves over the years in terms of our execution on asset side, we should remain there. We feel comfortable there. It's -- we believe that is our, I would say, our expertise area, right? And we want to remain there as much as possible. But I think the larger call will be taken by the Board and, of course, the -- that committee, which we have constituted. So once we do that, we'll come and tell you people.

Rohan Mandora: And just secondly, just on the slippages and the provision which have happened in the P&L, if you want to share the split how was slippages across segments and the provisions, NPA and non-NPA provisions?

Prince Tiwari : So overall, I think, Rohan, , overall, we had guided for a credit cost of about 1.1%. And the total provisioning is about INR319 crores. So if you -- and we had a INR36 crore s bad debt recovery. So if you net that off, then our total credit cost is about INR281-odd crores -- INR283-odd crores which basically translates to about 1.28 % kind of annualized credit cost. So that's the broad number. I think it was a quarter where generally Q1 quarter,

we all know that.

If you go back last year, probably something similar you would see. And this quarter was further impacted by the elections as the general commentary you would have heard from everyone by now that there was a disruption or there was some amount of discontinuity because of the elections, because of the heat wave.

So I don't think there is any particular asset class that we want to call out. It remains within the range, right, 2.5% kind of slippages is something that we operate in, given the kind of assets that we have. If you go back last year as well, same quarter, you would find similar numbers, adjusted for the MFI business, right, So yes. .

Moderator: We have a next question from the line of Pritesh Bumb from DAM Capital.

Pritesh Bumb: So just to explain the last question on -- in terms of strategy, once you become an universal bank. So on the distribution side, now we have present almost pan-India. So once you become universal bank, what will be the strategy in terms of your distribution? So now earlier it was more contiguous. It was more into top 50 deposit centers. Now, how do you look for the distribution side?

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Sanjay Agarwal: Again, I want to be honest here that -- we should wait for another maybe 3 to 4 weeks to have a clear cut strategy on it. But I strongly believe that we have around 2,400 touch points in around 1,400-plus locations. We haven't covered every location for our deposit buildup. So our idea would be that our first -- as a SFB, also to very honest, our strategy should be there that we

should go to the places where the large money is based, right , And when we go there, build our franchise, it's easy to have some market share from those market side.

So our strategy of building deposit franchise more in urban and more in kind of cities where money lives will continue. And -- but I believe that universal bank license will give us that kind of awareness or positioning that this bank can be trusted more. Our acceptance will move up, our brand acceptance will move up. And lot many other areas which we are not, as of now, like -- we are not at all in our corporate salary accounts. We are not much in our NRI deposit built up, our AD-1 license has just come in, the entire export community will also get this to us. The government banking, the entire acceptance level will go up. So -- in my opinion, there will be lot much coming to us once we get to that level, right? So it's both, distribution as of now and the brand, which we will try to build over the year and which will get pushed because of this license, eventually will help us.

And I'm saying that asset, I don't think that -- it's a big mystery for us. You have seen us for the last so many years that asset wise, we are more confident because in that business, you have from the last 28 years side. And we can handle the diversity the granularity, different aspect of products and still be in the range of what makes you people comfortable.

Pritesh Bumb: Second question was on other opex . Basically, this quarter, it was almost flattish if you look at quarter -on-quarter basis. What were the levers for us, available for us for that opex to be where it is?

Sanjay Agarwal: No, it's very cyclical. So don't read much into this. We -- because there is no appraisal cost -- has a little bit appraisal cost has come in. A lot business is just 19%, 20% right. So I believe over the year, it will be around 61 %-62%. That's my sense.

Pritesh Bumb: So 61 %-62% is the cost to income, basically?

Sanjay Agarwal: Yes. You are telling about that only, right?

Pritesh Bumb: So I was more talking about the other opex , which is -- grown by about 2.3%.

Prince Tiwari : So last quarter, if you see there might have been a one -off on the merger expenses side, especially on the Fincare aspect, right , And our side as well, we

have to take some calls. But more

importantly, Pritesh, Q1 as overall is sluggish in terms of expenses as well -- lot of expenses typically come towards the Q4 related to your CSR expenses, related to your marketing expenses. And that's why if you compare Q4 over Q1, then it's looking more flattish. If you compare year -on-year, you will see a 35% jump.

Pritesh Bumb: Got it. Correct. Yes. Last question from my side is on the credit card side. So we've seen some credit cost increase in few quarters back. And now we're seeing a little bit of stress in the

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unsecured side. Anything to -- anything you can outline, which we have done in this quarter in terms of any credit cost, NPA, although Gross NPAs increased up , but anything on the provisioning side, which would have contributed a lot. .

Mayank : So we have done -- we have -- in the last quarter also, we stated that we will calibrate the business and we have really done calibration in this quarter. We have not issued much cards. It's only 75,000 cards we issued in this quarter. So we have calibrated our entire business rule engine for credit appraisals also. And I think with the new version of our credit engine coming up, this is further strengthening our credit appraisals and optimizing the limits also which we are issuing. And also, we have identified a lot of segments which were going bad in the last year. And we have seen -- we have taken a lot of insights from the industry also where the segments are showing especially on the high utilization of unsecured limits and exposures. So we have curtailed those segments. And with this, the overall, I would say -- the overall segments core has also increased for us, like if you see super -prime scores of 780 -plus, our major contribution of sourcing is coming through that segment. Like it has gone above 40%, 44% levels in this quarter. So a lot of good work has been done on the credit underwriting side. We are looking -- all our early indicators are also showing stable or reducing trends. Though, yes, for the first quarter, normally the collection remains slow. So mainly because of what all is narrated in the call earlier. But other than that, we are not seeing any signs which are giving us more stress to look upon at the moment.

Moderator: Next question is from the line of Nidhesh from Investec .

Nidhesh: Firstly, on the incremental yields. So 15.8% that you reported this quarter, do you think that is a sustainable number going forward? Or do you see that because of loan mix changes, etcetera, in this quarter, this number is slightly on the higher side?

Prince Tiwari : So Nidhesh, I think we did mention in the presentation as well that the endeavour would be to sustain it, right , Of course, it's the first quarter. Going ahead, you'll have some festive seasons and Q4. So there might be a few bps here and there, but I think the entire effort is to ensure that we can maintain these kind of disbursement levels and yields .

Nidhesh: Secondly, on the credit card business, the 75,000 credit cards that we've issued is this a new normal or -- because I think for the full year, we have guided for around 6 lakh credit cards?

Prince Tiwari: Yes. No, I think for the full year, we remain on -- very similar to last year number, around 5 lakhs cards. So it will pick up as we go along the year.

Nidhesh: Sure. And lastly, can you quantify the credit cost in the credit card business in for the quarter?

Prince Tiwari: The quarter was a bit seasonal, but I think for the full year, we have guided for anywhere between 6.5% to 7% that should remain.

Moderator: We have our next question from the line of Sameer Bhise from JM Financial.

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Sameer Bhise: Just a question on fees, especially the general banking fees. I understand there is an impact of the me

rger, but it looks particularly strong for 1Q, any specific reason there? And how should we look at it going ahead?

Prince Tiwari: Yes. So on the fees, overall, sorry, I just got distracted a bit. For the overall fees, I think we delivered about 1.7% of assets this particular quarter. And if the last full year as well, we were around 1.7% kind of level. So we do hope that we can sustain that number, if not grow. Because credit cards, banc assurance, wealth etc

Sanjay Agarwal: So I think I would say our other fee is summing up, right? And there is no one-off. So there is no PSLC, there is no treasury profits. It's based on the business volume. So our processing fee or the insurance income, the AD income, I would say that this income will only go up because we will get traction in our AD1 business as we move forward. So I think the other income because we don't have much options other than this, right? So like wealth product is also coming up, but it will take 1 more year to really give you some numbers there. But very focused on the other income side and team is doing a very good job in that terms.

Sameer Bhise: Sure. And secondly, in terms of write-offs for the quarter, would it be fair to say that a larger proportion was triggered by the microfinance book or it is well spread?

Prince Tiwari: Predominantly microfinance and credit cards.

Moderator: Next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: A couple of questions from my side. Firstly, on the outlook for cost of funds. You have guided for a 35 to 40 basis points increase in cost of funds for FY'25 over FY'24, which means your expectation is that it will be around 7.15% to 7.20% for the full year, whereas you're currently running around 7%. What makes you think it will go up by that much over the rest of the year?

Sanjay Agarwal: I think, again, nobody knows brother right, how the rates will inch up. I think today only, we saw HDFC Bank, the big boy raising around 20 bps on their deposit, right? So we really want to be really honest on this call that we don't want to derail our asset franchise. We really want to build our asset franchise. And we don't want to be, I would say, over-protective around our ROA. So we want to be in the range of 1.6 % ROA, because in case the cost goes up, we should not surprise market at all, right, And so if it remains positive, the way it remained in quarter 1, then there would be an upside in ROA. That's for sure.

But I think money is coming at cost. And we don't have that much ammunition with us that we can survive on this cost for 2 quarters, right, So we need to raise deposits. So we need to price it. So -- and that's unknown, that's a variable, which we can't control as of now. Of course, Shoorveer and team is doing, and of course, led by Uttam. They, we'll do much heavy lifting around the CASA, the retail TD and all those things. But still, we really want to remain in zone. So that's the sense that we want to really be guiding you that maybe around 35 bps, our cost can go up. So that's the overall around it.

Ashlesh Sonje: Okay. Understood. Sir, secondly, if I look at your NPA ratios in select segments, they seem to have inched up a bit on a sequential basis, like PL is up 70 basis points. Even in the MBL book,

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it has inched up by around 60 basis points Q-o-Q. Can you elaborate a bit on this increase what is driving it?

Sanjay Agarwal: You want to say the cyclic or the sequential? Sequentially, it will go up because in the first quarter, the first quarter, this time it was general election. It was quite a heat in North India.

Generally, quarter 4 remains very strong in overall retail industry as a structure. So I don't think we should read much about it. And -- so I would say that -- I'm quite confident that will remain in the guided range in whole year

r, right?

Ashlesh Sonje: The increase seems a little on the higher side this quarter?

Sanjay Agarwal: Not much.

Prince Tiwari : MBL also had a merger of the Fincare book. So both the books have come together.

Sanjay Agarwal: So yield would have gone up. The yield would have gone up because Fincare was doing the SBL business around 18%. So you need to price the risk also there. So that's why I'm saying you, the NPA data are relatable, right? It is based on our risk profiling also.

Moderator: We have a next question from the line of Anand Dama from Emkay Global.

Anand Dama: So first, basically, I think at the beginning of the call, I think you alluded that the margins have actually improved quarter -on-quarter because of the lower cost of funds. Is it possible for us to tell us like what's the pro forma merged NIM for fourth quarter? And how basically -- what is the kind of improvement that we have seen during the current quarter?

Prince Tiwari : No. I think pro forma merged on the margin will not have -- in the P&L side, we haven't really -- because there were certain adjustments. So I don't think that will be right to compare. If you look at our own numbers, we have -- we were at 5.15% in the last quarter as we exit. Of course, Fincare was a 10% margin business, and they form about 10% of the book. So they bring in about 1% -- close to about 70 -80 basis points. So that's the impact that you are seeing. And for the overall cost of funds, we have already articulated, it's a bps reduction on the AUM side (Correction -- 7bps reduction on the overall COF) . .

Anand Dama: And sir, secondly, it is good to see that basically you've started again building contingent provision. But a specific PCR has been slipping down now to about 65 -odd percent. Is it possible that we will inch it up during the year to close to about 70 -odd percent, while we also continue to build the contingent provisions? And basically, whether the credit cost guidance that we have given includes this kind of increase?

Prince Tiwari : So again, we have a very stringent provisioning policy. For unsecured book, we provide 100% on 180 day. For credit card, we provide 100% of 120 days itself, right? Even on the secured side, we start off at 25% at 90 DPD and then do with 180 DPD, we take 50 %. At 270, we do 75 and at 450, we do 100%. So -- and historically, you have seen our loss given defaults and recoveries. So honestly, we are quite comfortable. And with that policy, the end number is a product of that policy. Where exactly is the bucket movement. If it's more early buckets, then probably you'll have a lower PCR, excluding technical write -offs. And if NPA's are more a ged you will see

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more higher provisions. But I think it's more about the provisioning policy, and we are very comfortable with that right now.

Anand Dama: But any thoughts in terms like where do we want to take this contingent provision buffer towards the end of the year?

Prince Tiwari : No. So contingency provisions, very clearly, we have created for a particular purpose, and that purpose is, as we have articulated earlier as well in the call as well as on various forums is for microfinance business. And that's where we are saying that we will take a 3% kind of annual credit cost on the MFI loan portfolio at the AUM level. So any contingency that you'll see us building over the next few quarters will just be a byproduct of that, like where exactly is the MFI portfolio, how much is the credit cost and the differential will go towards contingency.

Anand Dama: Okay. But the other assets as well, like particularly cards, the other businesses that we are into, there also we could see higher delinquencies going forward because of the kind of stress that we are seeing in the system. So do we plan to build some buffer over there as well?

Sanjay Agarwal: Not re

ally. Because I believe that AU is around 85% secured, right? So -- and unsecured parties, including microfinance is not more than 15% as of now. And that will remain for this year. So I think -- and in our secured book, of course, the PCR is around 65% or 70% what you were narrating. But actual credit cost is this 50% or so, right? So I think we are adequately covered our overall in terms of NPA and the provisioning is very well covered.

Prince Tiwari : I mean on credit cards, we provide 100% at 120 days, how conservative can we get.

Moderator: We have a next question from the line of Param Subramanian from Nomura.

Param Subramanian: Congratulations on the merger. My first question is on the credit cost and along with that, the ROE guidance. So what I heard was that the 1.3% credit cost we've seen in this quarter, you're guiding that it will come down to 1.1% by the end of the year. We really need that to work because you are talking about the margin also moderating in order to meet the ROA guidance of 1.6%. How confident are we that this number will roll off because considering the credit cost or the write -offs we have seen, as you pointed out, is in segments like credit card, MFI where we are seeing the trend line moving upwards So yes, that's my first question.

Sanjay Agarwal: Yes. So I am confident, of course, there are -- there may be some unknown variables, which we do not know as of now. But our track record says, our overall calculation says that -- and being in secure asset more, and we know that quarter 1 always been not so good in terms of collections

because quarter 4 always remains so high, there is a tendency of some slippages, which we have also seen in this quarter. But there will be a strong pull as we move forward in quarter 3, quarter 4 of this year. So I think we should not surprise negatively on an overall sense.

If you ask me, I am more than confident that our credit cost should be in the range of 1.10 % on a year basis, which will include the contingency provision for MFI, that's one sense. And -- so -- and of course, the ROA, again, there is a room of some kind of upside there. But I don't want to take that exuberance as of now because, again, a little variable little unknown is the cost of money as we move forward. So we really want to build our business in the sense that let's do a

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north of 60,000 crores of assets, let's do some kind of INR25,000 crores of deposits, let's build a decent asset there.

I think that sense is more prevalent than a small number here and there because I know in long run, as I'm commenting that first 10 years of any bank always remain crucial right. And that foundation we are laying of building up, I would say, a very decent asset in terms of overall, which has the risk pricing in place, right? So -- and of course, how the deposit franchise built up through retail, through entire metrics being at CASA, CD ratio, LCR. So I think we are learning every day to be honest, right, So I think both numbers are defensible in my sense.

Prince Tiwari: Just one point, Param, for everyone's benefit, this 1 point -- and just a clarification point, this 1.1% credit cost that we are talking about all through the call. This is on advances, not on the balance sheet. Balance sheet, it will come down, I mean, accordingly, 0.8 % or 0.85 %.

Param Subramanian: Yes. Got that. So there's a couple of other questions on this. Since you there is some upside there possible on the ROA. -- so if you could quantify maybe if you worked out on the PSLC side, what kind of income can we generate post-merger? And also you took a Board approval for a capital raise. If you could talk a bit about that. Is there any plan around this because your Tier 1 is very healthy?

Sanjay Agarwal: No, no, no capital raise resolution is a very routine, enabling one. So we don't envis

age any

kind of capital raise in this financial year

Param Subramanian: Okay. Perfect. That's very clear. And on the PSLC piece, sir, any working because last year ...

Yogesh Jain: Yes, Param, PSLC we see each quarter basis. So whenever we see there is opportunity for assignment or securitization also we did in first quarter. So we always see what we will do. If we see some cost benefit, we do securitization, assignment or IBPC. So I think we'll see at that time if we will have any excess portfolio, we'll see either PSLC or securitization.

Sanjay Agarwal: So just to give you a clarification here, the only demand for premium is from small marginal farmer, which is around 10% of everybody's PSL requirement, right, And we are also building our books. So the scope of selling SMF book is not there now. The other pieces -- other private sector surplus we have, be it micro, be it general PSL, maybe agri, but demand is not there because now the whole basket has gone up to next level in terms of applicability, right? So I don't think that in the longer run, PSL can have lot much revenue as other income, right, That's my sense. But let's see.

Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to Mr. Prince Tiwari for closing comments. Over to you.

Prince Tiwari: Thank you, Yeshasvi, and thank you to all the analysts and investors for participating in the call and asking your questions. I hope we were able to answer them to your satisfaction. In case you want to reach out for further clarification questions, you can always reach out to the IR team at ir@aubank.in. Thank you so much. Good night.

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Moderator: Thank you. On behalf of AU Small Finance Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

Ref. No.: AUSFB/SEC/202 4-25/313

Date: October 29 , 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 958400, 959025, 974093,
974094, 974095, 974914, 974963, 975017 & 975038

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Half Year ended on September 30, 2024

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Wednesday , October 23, 2024 for the Financial Results of AU Small Finance Bank Limited (" the Bank ") for the Quarter and Half Year ended on September 30, 2024 .

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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Q2'FY25 Earnings Conference Call"
October 23, 2024

MANAGEMENT : MR. SANJAY AGARWAL - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. UTTAM TIBREWAL - WHOLE TIME DIRECTOR AND
DEPUTY CHIEF EXECUTIVE OFFICER

MR. RAJEEV YADAV - DEPUTY CHIEF EXECUTIVE
OFFICER

MR. DEEPAK JAIN - CHIEF RISK OFFICER

MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER

MR. GAURAV JAIN – PRESIDENT FINANCE AND
STRATEGY

MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS
& FIG

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October 23, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations. Thank you, and over to you, sir.

Prince Tiwari: Thank you, Sejal, and good evening, everyone. Welcome to AU Bank's earnings call for the second quarter of FY 25, and we thank you all for joining the call today. The format for today's call will be very similar to what we have had in the last few quarters, where we'll start with the opening remarks from the management for the first 10 to 15 minutes. And then we'll follow that up with a Q&A session with the participating analysts and investors for the next 40 to 45 minutes.

To start the call, we'll have our MD and CEO, Sri Sanjay Agarwal, share his thoughts on the overall performance of the bank for the quarter as well as the strategic outlook for the bank. Besides Sanjay ji, we also have the senior management of the bank on the call today to answer your questions.

For the benefit of everyone, I'd like to request that each member kindly keep the number of questions to 2 so that we can take everyone's question and join back in the queue should we have more questions. You may reach out to the IR team at any time after the call for any data-related questions.

So with that, I'll now request Sanjay ji to kindly start today's call by sharing his thoughts.

Sanjay Agarwal: Thanks, Prince. Good evening, everyone. I'm sorry my throat is bad, so excuse me for the any inconvenience. But thank you for joining the call today evening. I'll take this opportunity to talk about 4 things; operating environment, our growth and profitability, asset quality and our key building blocks for a sustainable bank.

Let me start with an update on the operating environment. As you will be aware, overall operating environment has remained challenging during the last 6 months with persistent high inflation, a long election cycle, both at the national and state level, intense heatwave in quarter 1 followed by unusual heavy rains in quarter 2. This has adversely affected continuity of policymaking and underlying business activity with the unorganized and informal segments impacted more in quarter 2 than quarter 1.

Around 80% of our book is in this informal self-employed customer segments where our customers are dependent on business earnings rather than the fixed monthly income. Any discontinuity directly impacts their earnings and cash flows. There are some early signs of pickup in economic activity over the last 3 to 4 weeks and we remain optimistic of an improved operating environment in later half year as consumer confidence, rural demand, private investment up again. H2 has always been a seasonally stronger half than H1.

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Despite the challenging environment, our performance in quarter 2 has been strong across both growth and profitability. On the deposit side, we had been saying for some time that our franchise is strengthening, and it's giving us the desired results in terms of both growth and cost. This quarter's strong performance was a reflection of this. I'm very happy to say you that our total deposits crossed the milestone of INR1 lakh crores to stand at ~INR110,000 crores, registering a quarter-to-quarter growth of 12.7%.

Our CASA deposits grew by 11% quarter-to-quarter. All key parameters remain on track with CASA ratio at 32% and CD ratio at 86%. Our cost of funds was stable at

around 7.04% compared

to 7.03% in quarter 1 FY '25. And we now expect the full year cost of funds to be in the range of 7.10% to 7.15% range rather than 7.20% to 7.25% initially expected.

Our team also has done a lot of work on improving our branch profitability. 43% of branches, which were in existence before December 2022-23 are now profitable in comparison with 25% in December '23. This improvement is driven by increased productivity and focus on overhead cost control.

On the asset side also, we had a robust quarter with our GLP portfolio growing around 5% quarter-to-quarter, 9% on a year to date basis. Our loan portfolio now stands at ~INR105,000 crores, and we remain on course to hit our growth target of 25% for the year despite slowdown in MFI and calibrated approach in credit cards.

All our secured asset verticals, be it wheels, MBL, HL and Commercial Banking are performing well, including gold loans. Disbursement was up by 18% quarter-to-quarter in MBL and 12% in Wheels. And more importantly, 81% of our disbursement was in high ROA assets.

Our yield on assets -- yield on gross advances was broadly stable at 14.4%. We are leveraging Fincare's distribution network and increasing our product coverage in each touch point and to do that, we are starting with wheels in around 250 touch point and MBL in 100-touch point by the end of the financial year, and it's more to coming in years.

In terms of profitability, we had a strong quarter with pre-provision operating profit increasing by 19% quarter-to-quarter and profit after tax increasing by 14% to close to INR571 crores despite headwind on credit costs in unsecured segments. This was driven by all key ROA component. We are able to maintain our yield and cost of money. We had another strong quarter of performance in other income, which increased to 32% of net interest income versus 27% in quarter 1.

We have started to monetize all our investments and our aim would be taking this higher in coming quarters. The strong performance during the quarter was broad-based, driven by all the key components. Example, we are growing our insurance distribution business, which has around 14 partners by increasing penetration in our customer base. Deposit and lending-related fees and charges are increasing with the business volumes.

Credit card interchange and other fees will build up as the business matures. All investment has started being monetized, including early signs of offtake in AD-I business and Wealth Management. Treasury income from interest rate movement, PSLC or capital markets are market
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dependent and can impact other income by 5% to 10%. This quarter, strong capital market also aided our other income.

Further, we expect all the fee income component to pick further in quarter 3 and quarter 4. We were able to maintain our operating expense at quarter 1 levels despite higher business volumes. This has been an area where we have focused a lot in the last 6 months, and we believe some benefits of scale will now gradually come into the play.

Our cost of income ratio has reduced from 61% in quarter 1 to 57% in quarter 2, and I believe this is sustainable. This was driven by higher efficiency moderation in overhead cost and calibration of credit card issuance numbers. We also did 11% higher disbursement in quarter 2 with broadly the same manpower cost. Operating expenses would be seasonally higher in H2, but I expect cost-to-income ratio to be around 60% for the full year.

And now regarding the asset quality. In our secured retail asset, which is 2/3 of our book and consists of Wheel, MBL, HL, and gold, we are comfortable with our asset quality. We remain well collateralized and ultimate losses in our portfolio has been low historically, even though our gross NPA may remain elevated in the interim. The uptick in our GNPA in this asset class during the quarter is driven

by seasonality, and weather-induced challenges.

We expect a pullback in the second half driven by both pickup in economic activity and seasonality. Credit costs on our commercial banking assets, which is 20% of our book remains in line with the expectations. MFI, which is 7% of our book is cyclical nature and asset quality is elevated, driven by industry-wide issue of overleveraging of customers.

As we did communicated previously, we expect a 3% annualized credit cost through the cycle for MFI, and we are building our provisions accordingly. This cycle has come earlier than anticipated and credit loss would be higher in the short term. We have a strong and diversified MFI franchise led by an experienced team with conservative underwriting policies.

For example, we have one of the lowest average exposure per customer in industry with 26,000 outstanding per loan size. We are the sole lender in 41% of our loan book. Our book is well diversified across 61,000 villages with no district more than 3% and no state having more than 12%.

We have taken some additional corrective actions in terms of strengthening of underwriting norms and collection team too. There are some early signs of recovery in the leading asset quality indicators in November but we expect the credit cost for the full year to remain higher than our expectations.

In our credit card and unsecured lending business, which we are building digitally, which we have taken many learnings from the last 3 years of our data in unsecured lending, and we are implementing these learnings in our digital underwriting on a regular basis. We've also calibrated new card issuance and strengthened our collection teams.

Credit costs in this portfolio in quarter 2 are elevated as per the expected lines and headline numbers is further impacted by lower base effect. We expect credit costs to stay elevated in
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second half also. Overall, our credit cost for the first half was around 1.28% on GLP, which is higher than our expectations. We'll see how things shape up in the second half, particularly in the unsecured segment.

As things stand today, we expect credit costs to remain elevated and finish full year around broadly the same level as Half 1 based on the current outlook. There could be a variance of 5, 10 bps, depending on the economic condition in the second half too.

To recap on profitability, we achieved an ROA of 1.7% in quarter 2 and H1. Our underperformance in asset quality was offset by sustained growth in other income and improved cost/income ratio. Our margins were broadly stable. For the full year, we aim to defend ROA of 1.6%. Credit cost -- credit costs in unsecured would be a key monitorable, but I expect us to sustain our momentum in other income and cost-to-income ratio.

As I also mentioned earlier that it takes about 10 years for a bank to develop fully. We continue to work on our foundation to create a forever bank. We have invested in building a full product suite for retail and business banking customers. We have a pan-India distribution network with over 2,400 touch points. We have invested in our tech outlook, both customer-facing and core technology. Our digital bank, AU 0101, continues to gain traction, and we are focused on driving efficiency through our tech investments.

Our leadership team has remained stable, and our governance pillar is working fine. And as you all know, we have recently filed an application with RBI for voluntary transition to Universal Bank and upgrade to Universal Bank license will strengthen our deposit franchise with a better brand acceptance and higher customer perception of safety and trust.

Well, thank you so much for the patience. I'll hand over to Prince for further proceedings. Thank you.

Prince Tiwari: Thank you. Thank you, Sanjay ji. And Sejal, we can now open the call for question and answers.

Moderator: The first ques

tion is from the line of Renish from ICICI Securities.

Renish: Congrats on a good set of numbers. Just 2 questions. First, on the margin. So earlier, we were guiding at around 5.7%, 5.8%, and now we are guiding at 6%. So how confident we are about sustaining yields and cost of funds at current level especially if there is no rate cut till March '24, I mean, sorry, March '25.

Sanjay Agarwal: So Renish, thank you for your kind words. No, if you see us, because we were expecting our cost of money close to 7.20 - 7.25% in the beginning of the year, and we want to guide around now 7.10 - 7.15%, right? So there is a reduction of close to 10 bps or 15 bps in overall cost of money and we are also able to get a better yield on our asset side.

Of course, we are not sure about how we want to build our MFI book as of now. But still, there is good kind of traction in our wheels, MBL, housing, gold and all those kind of book, including commercial banking. So we expect that our NIM should get protected close to 6%. And it's very AU Small Finance Bank Limited

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early, honestly, if you ask me that because I'm not expecting too good a quarter in terms of GDP quarter 2.

So -- it may be a little more ask, but let's have finger crossed because there may be a rate cut even in December also, right? But I'm expecting a rate cut in maybe in February also. That's my last bet. Overall, there is enough room for us to protect NIM.

Renish: And secondly, sir, on this RBI circular on sort of revisiting foreclosure charges on micro and small customers. So what is our early assessment? And because seeing one of the slides, we did mention that we have increased sort of fees on lending and deposits. So if, let's say, this circular has to come with some, I don't know, modification or observations whatever -- what is the impact we should have? Or is there any impact at all?

Sanjay Agarwal: So you are asking about the foreclosure charges on SME book. So Renish, I would want to wait for the clear guideline because Governor only spoke briefly in his call, -- so because it is on the fixed book or it is on the variable book still to be watched out. So we haven't done any calculation. But if foreclosure charges gets weighed on the variable book, then it won't be a much impact.

Moderator: The next question is from the line of Kunal Shah from Citigroup.

Kunal Shah: So first question, when we look at it in terms of the provisioning, so it seems like incremental delta is not much flowing in from MFI, but particularly from credit cards plus PL/BL as well as the secured retail when we look at 1.15% to 1.28% and the awaited credit cost out there and you indicated that secure should come back. Is it like the catch-up in the MFI which will offset the improvement in the secured and commercial banking? And that's the reason we are still continuing with that guidance of 1.28% credit costs. And does it include contingency buffer?

Sanjay Agarwal: Absolutely, Kunal, you are spot on because quarter 2 -- sorry, second half would always be better

for secured assets. That's the trend we have seen over the years. So we are -- because of course, the environment is not that great, honestly, as of now to comment much on that. But I'm still hopeful that for a secured asset, the second half would be much better than the first half.

And that's -- but microfinance events happen dramatically in the last 1 quarter only. So that space is still to be watched out. October has given us little better hope than September or August. So we want to finger cross. So we don't want to overcommit ourselves that our credit cost can be in the range of 1.15 - 1.20% as we promised, right?

So we really want to become -- we want to really play safe there and hope that secured asset will pull back, and we might have extra costs on MFI or maybe credit cards. But still, we want to protect our ROA of 1.6%. The overall idea is to really pr

otect our ROA 1.6%. some figures may

not be in our control. So that's the way we want to build ourselves in H2.

Kunal Shah: And secondly, on LCR, now down to almost 112-odd percent, no doubt, it's indicated that you carry sufficient high-quality liquid asset and the non-SLR investments. But how should we look at it given the draft LCR circular also being there? And how would we tend to improve this LCR ratios going forward here? So what are the initiatives which we would be taking?

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Sanjay Agarwal: Kunal, again, I would say that circular is in WIP. Lot much data is coming from various sources that it may be deferred, it may be put in with a phased manner and all those things. But as of now, anything around 115, we are very comfortable. And if that circular comes in, we will see, we'll go to the board and we'll go to the Risk Committee and figure out that what are the best level for us in that given data, right?

Because circular will also become very stringent. It will cover all the kind of events or circumstances where a bank may be needing the money, right? So I think we haven't discussed much internally till now because, again, there is no clarity on specific about LCR circular. So we want to keep, again, that discussion open. And we'll comment once that circular comes.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal Financial Services.

Nitin Aggarwal: A few questions. One is like around the same on the credit cost, we are guiding again to be a similar number as 1H on credit cost. So is it more out of conservatism or are we expecting 3Q to be like worse off than 2Q because 4Q typically is the strongest for us?

Sanjay Agarwal: Nitin, quarter 2 was not so great and that remains historically also, right? My worry is it will be more on MFI, the whole challenge on MFI started coming from quarter 2 only, right? As I commented earlier that October has given us some hope because October is better than September, right?

But we really want to see 1 more quarter to really finally comment that where we are heading in MFI, right? And that's a 7% of our book. You know 41% of our customer doesn't take any loans from anybody else. We largely remain very conservative in our underwriting over the year in Fincare, right? Very experienced team.

We have built lot much around our collection efficiency because of learning of AU. So I think we are working as a team there, right? So -- but still, we need one more quarter to really assess the real impact of this whole slippages -- and so that is one thing.

And second, the credit card, where we have taken a very kind of call where we just want to understand more digital credit, right, because anything to be done around manual credit in the credit card or unsecured lending is not viable. So the bank has to learn digital credit, right? So we are putting a lot of controls, a lot of learning in present process.

So there may be a case where our book may not grow and our NPLs in terms of absolute amount can be there, right? So in the percentage terms, it might look more, but we want to be very sure about how we really want to build our credit card from here onwards. So that [two] book is very small, just around 11% to 12% of our overall. It won't affect us much.

But in that sense, and I strongly believe that retail assets will pull back, and of course, commercial banking is in line, right? So -- but I want to really play a conservative rather than more aggressive here because there are little unknowns. We need to see that economy really picking up back because our segment is very I would say, informal segment who do on a daily kind of working to really earn their livelihood, right? So that uptake has to be there in the market

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to really give you that comfort that our credit cost might be lower

than what we have done in H1.

Nitin Aggarwal: So -- and the other question is, I think the slippages during the quarter has gone up sharply Q-o-Q. So what is the mix of this? Like if you look at between secured and unsecured assets some color around that.

Deepak Jain: Deepak Jain this side. So from the unsecured side, the slippages came around 33% out of the total slippage during this quarter. That is from the secured side. The unsecured is mainly constitute of credit card, MFI, and personal loans.

Sanjay Agarwal: Nitin, Quarter 2 was worse than quarter 1. So you are asking in [725] slippages -- 33% is from unsecured and 67% is from secured -- so that's the way we want to say that the entire segment was effective, right? But that remains the case. It's not we have to overly read this data except the MFI.

Nitin Aggarwal: Got it. And how will this number be in Q1'FY25, say, what this number be in the first quarter, 33% unsecured contribution now.

Deepak Jain: This was around 25%.

Nitin Aggarwal: 25%. And lastly, like when you look at the exposure to the borrowers more than 5 lenders which you mentioned in the slide, how is that likely to move because the MFI disbursements are not happening and you would have like internally done workings around as to how the repayment trend will be over the year. So how do you expect this exposure to move and so as to assess by when we can expect this credit cycle to end? So some thoughts around that.

Rajeev Yadav: So Nitin, this is Rajeev Yadav. So as you stated, we have 8% of our borrowers who have taken loans from more than 5 lenders (equal to or more than 5). And as you know, the industry guardrails are there on a number of lenders just 4. Fincare guardrails are more conservative than the industry guardrails. So I personally believe this number will gradually decline over the next few months in our portfolio.

Prince Tiwari: In fact, Nitin, Prince, here, if you look at the data point, I think from June to September, it has gone down from 11% to about 8%. So it has been reducing as we speak as well.

Moderator: The next question is from the line of Pritesh from DAM Capital.

Pritesh: Just a couple of questions. First on your CASA. So that has grown very strong this quarter and especially driven by CA -- so any bulkiness in that CA? Or is it like something positive happening on it?

Prince Tiwari: So no, obviously, Pritesh, as we have been saying for quite some time, there's a lot of work that's going on in the banks behind the scenes in terms of trying to granularize the book, trying to grow much more. And I think from a CASA perspective, this quarter as well as last quarter also, if you saw the SA grew pretty well. Last quarter also, there was a 5% quarter-on-quarter growth. This quarter, it was 8% quarter-on-quarter growth on SA book.

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On CA book, I think we didn't see any growth last quarter because of the base effect from March number. But this quarter, there was a gradual buildup, plus also there are a few segments that we have been now trying to entrench predominantly around capital markets, whatever is happening in the IPO segment. So how do we capture a pie of that particular share? And some of those customers that we have onboarded who invest with us in IPOs and other things. That also is helping that CA business. But maybe I can ask Uttam ji to add more color.

Uttam Tibrewal: Yes, Pritesh, I'm Uttam here. Just to supplement here, as Prince said, that CA overall growth contributed basis diversified segments. So we started focusing on that. So money has come from our government clients also and we have solution-based approach there. So we garnered from there also. Commercial banking also, we are working hard on business banking, agri banking, all those segments. Capital Markets clients also, we have acquired some. So IPO-linked money has also come.

So I think all the verti

cals towards CA, which we said earlier, I think the focus on CA that has come. It's not chunky money, as you said, but I think transitional money is there, and some money comes in month end also, that is there, but not that any optical money, can say that.

Pritesh: Sure. Just on another question on MFI. So we've given a good color in our slide, but just wanted to check in terms of geographic perspective, which kind of geographies for us, particularly is seeing some problem. Of course, we've heard the industry north and west of the India, but there has been other geographies as well, which have been causing problems. So anything on that? Any geographic color.

Rajeev Yadav: Yes. So the one thing that you would have noticed on the slide that you sort of shared was that we are one of the most diversified platforms, and this has been the norm for Fincare as we built this microfinance portfolio over the last decade and our top 3 states are 35%. And in a pretty much in a credit cycle like this, a very solid diversification across states and across districts is a core fundamental framework of risk management.

Besides, we are a rural finance player, which also helps us in terms of stability of customers and our ability to sort of work with them through any cycle. Now having said that, the more difficult states are somewhat very common which the industry has talked about. So in our portfolio and which is true for all I would assume, it's the Bihar state which is slightly more challenging.

The second more challenging state is Orissa. The good news is that our Bihar state is actually the eighth largest state at about 7.86% of our microfinance portfolio. And Orissa, which I named is way down. It's only INR150 crores, it will be about 2% of our portfolio. So fundamentally, the more difficult states, which have had greater flows in H1 are relatively smaller for us. There are obviously a few more states which are -- which are in the yellow zone. These are in redder zone, but those pretty much can be managed with less credit losses over a point of time.

Moderator: The next question is from the line of Shailesh from Centrum Broking.

Shailesh: Sir, 2 questions from my side. First is on MFI portfolio. Have we considered or taken any CGFMU cover on that? And if yes, what percentage of portfolio would be covered? And second, AU Small Finance Bank Limited

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I was looking at the PCR number. So there has been some drop sequentially for last few quarters. And currently here is 61%. So how should we read that number for the year-end?

Rajeev Yadav: So on CGFMU, the answer is still last financial year, we have not taken any cover. We have only started taking the CGFMU cover from this quarter. So the stand-alone Fincare bank, we have not taken any cover specially

Sanjay Agarwal: Yes. So I think on the PCR, if you see including write-offs, it's close to 82% (corrected – 84%) right? And if you go sector by sector, we haven't given you that data, but internally, we track because we are running 5 or 6 different asset classes, right? And largely, we are into secured. And our net credit loss is not about 20 bps or 25 bps in my secured assets, be it vehicle, be it MBL, be it gold, be it commercial banking over the years. So in my opinion, we adequately covered in the secured assets. And if you go because we haven't shared the data internally, but our PCR on the unsecured segment is close to 90%, including MFI, MFI credit card, personal loans, business loans and all those things.

So in that sense, as we move forward, it will be in calculation done based on our provision policy, right? And so we can't comment that at what level it would be because if the delinquency is decent, then the PCR is less, right? So we are not targeting any number there, but we are very comfortable because overall, it's 82% (Correct – 84%). And as of now, it's 63% (excluding technical write off) on an ove

rall asset basis. So I think it's good to go there, in my opinion.

Shailesh: So just a follow-up on the CGFMU, what percentage of our portfolio is covered under CGFMU?

Sanjay Agarwal: In MFI book or overall?

Rajeev Yadav: In MFI - We've just started in Q2, and the number is -- it's negligible, very negligible.

Prince Tiwari: So we have just started, Shailesh. So we didn't use to take it. So you can assume it to be almost nil. We'll update you as we move forward.

Shailesh: So the reason I'm asking is that as I understand, as we increase the disbursement in the segment, the 1% premium would start kicking in, in our P&L, right? That is where it will work?

Sanjay Agarwal: But we will be charging with the customer, right?

Rajeev Yadav: So I think we will do a fair degree of risk-based thinking on the portfolio. So we will not necessarily be thinking of doing it across the book. But again, these are early days, we'll come back on it.

Prince Tiwari: We don't do that. Let's put it this way. We don't do that. We have just started off and that also for a very small segment of customers. This is our internal risk profiling. So honestly, there's nothing more to compare at this stage.

Moderator: The next question is from the line of Pranuj from J.P. Morgan.

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Pranuj: Couple of questions on my side. One is your incremental spreads continue to be better than your bank book spread despite your slowing down the disbursements in MFI and credit cards, it's 15.2% versus 14.4%. So what segments are driving this? And can this continue going forward also for the next couple of quarters?

Prince Tiwari: So Pranuj, I think what we have said that basically, it's a function of 2 things. One is, obviously, after the Fincare acquisition, the MFI happened at a higher rate that resulted in both the things that resulted in a onetime upward movement in Q1 that you saw, which is 15.8%. And this quarter, it went down because the MFI again, disbursements were pretty muted, right?

But having said that, I think the more important aspect there is and what we have written in the

presentation as well. that all our core assets, right? If you look at wheels, if you look at MBL business, if you look at housing, everywhere, we have enhanced disbursement yield. I mean we have been doing it since last year as well, but I think it has picked up real pace this particular year.

And in the first half, we have sustained enhancement in yields on wheels upwards of 30 basis points in MBL upwards of 40 basis points and in housing, almost 130 basis point plus, right? So I think all of this is helping to drive that entire disbursement yields.

Pranuj: So it should sustain at higher than at least on the bookings going forward despite...

Prince Tiwari: For this financial year, definitely, that's the plan. And then we see how things unfold.

Pranuj: Understood. Very clear, Prince. And 1 last thing. I see that recently also, I think, again, you guys have rationalized your SA deposit rates. So what -- how would you be moving forward with this thing going ahead as compared to other mid-tier banks? Because I think it was 3% up to INR1 lakh and now is 3% up to INR3 lakhs. So what would be the thought process over here?

Prince Tiwari: Yes. So we keep -- I mean, again, it's a function of market feedback that we get from the ground. And to that extent, we keep optimizing it. The idea is over a period of time as the brand builds up as we have more customer base, we will narrow down the premium that we offer over the large private sector bank.

Currently, we do it more optically in certain buckets wherever we get a room. And this time, like we did that in the first quarter. And we saw -- we didn't really see too much outflow of deposits. In fact, deposits grew in that particular bucket. So to that extent, we took further steps this quarter and we have now rationalized in up to I

NR3 lakh as well, taking that number from

INR1 lakh to INR3 lakh and you'll see the response. And if the response has been positive then we'll further look at how we want to calibrate it. But it's more a function of how the deposit build out is happening and how we are able to narrow down the premium over a period of time.

Moderator: The next question is from the line of Nidhesh Jain from Investec. Due to no response from the current participant, the next participant -- the next question is from the line of Rohan M. from Equirus Securities.

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Rohan M.: And this is on opex. So like in your opening comments, you mentioned that there was 11% higher disbursement sequentially, but employee cost was similar. So just wanted to understand, is there a change in the payout structure or origination mechanism? And also when the cost is contained sequentially or the expectation of an improvement in this -- is there a reduction in spend on tech or branding or any of these kind of one-off nonbusiness linked spends. Some color around that?

And secondly, incremental disbursement spreads are down 80 bps point Q-o-Q. So how should one look at it going ahead into second half? After all this is on account of lower disbursements on MFI, but just your view here? And thirdly, if you can give MFI collection efficiency for the quarter or the overdue book in MFI?

Rajeev Yadav: So the collection efficiency for quarter 2 was 98.44%. Quarter 1 was 99.07%. So overall, in H1, we have delivered the current bucket collection efficiency of 98.75%, which we believe is better than pretty much what we are hearing from the industry. Over to you, Sanjay.

Sanjay Agarwal: Yes. So this is Sanjay this side. So again, in terms of opex, we remain very focused in terms of the productive levels in terms of managing the overall manpower in system, right, and I think there was, I would say, a very unprecedented kind of focus in the last 6 months to really contain the cost. And we haven't stopped any kind of investment, be it tech or be it our digital framework or whatever is necessary for to build and franchise for future, right?

But you will appreciate that we've got around 140-odd branches from Fincare. So we haven't done any kind of branch expansion this year. That is helping us to be at lower cost. We have also have really done a lot many things around the entire hierarchy, where we were building lot much different SBUs. And there, we were building lot much manpower for future -- but we have gone back and restructured ourselves that if something -- some role is not required. We have actually zeroed that also.

We are also getting our synergy benefit because of Fincare. That is also coming up. And it will come -- it will be more and more in maybe next 18 to 24 months. So that is why we have said that in spite of having around 58% H1 cost-to-income, we might have around 60% on a full year basis because there would be some payout and all those things, which will only come out in the second half -- so -- but I would say the trade has started.

The silver lining is that we are now coming from 64% to maybe 60% this year. And then the scale benefit will start kicking in. So -- but the roadmap to maybe to 55% in maybe next couple of years or maybe 3 to 4 years is now there, right? And so -- and the team has also get matured enough. The automation is playing their role. So the growth has been now really not to that

extent that you need to invest more and more. So I think a lot many things is on now on the table and we are executing it to the core, right? So that is on the opex.

Your other question was around, of course, MFI was not that bigger book for us, it was maybe capped at 10%. We are around 7% as of now. And finger-crossed if things get improved, we can quickly build that book back -- but overall, I would say the 14.4% our yield is largely protected because o

ur yield on wheel, yield on MBL, yield on gold, or yield on HL has gone up.

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Commercial Banking also has able to price their assets more -- so that is there. And -- but I think more than yield, it is about cost also, right? So I think the overall NIM will be protected. That's the overall sense.

Rohan M.: Because if I look at the Slide Number 16, our incremental disbursement deals are down and incremental cost of fund has gone up.

Sanjay Agarwal: 1 bps. No, sorry, you are saying...

Rohan M.: 20 bps increase.

Prince Tiwari: Yes. So of course, Rohan. So as we said, that's a function of the mix, right? -- as the -- because each of the core businesses, as we have said, has been able to increase the disbursement yields.

Commercial Banking has been able to pass on. And the MFI and credit card, MFI predominantly has been lower in terms of disbursement share, and that's a pretty optimal ratio mix, right?

Cost of funds have gone up because in the first quarter, when we spoke, if we recall, we didn't really raise a lot of deposits given that we already had quite sufficient liquidity. And in Q4, if you go, our incremental cost of funds used to be 7.7%. In fact, the incremental cost of fund now is at 7.3%. So we've been able to bring that down. In this quarter, you saw our deposit growth were pretty robust, right? So I think it should sustain here unless there is a change in the mix further in terms of disbursement.

Vimal Jain: And Rohan, one more thing, that the gross advances, which is 14.4%. So our incremental yield is also more than that. So it's a 15.2%, which is higher than our gross advances yield. So that 14.4% will not come down.

Rohan M.: Sure. And on that opex lever that you have given, sir, just on the employee piece you didn't touch upon like disbursements were up. So is it that the incentives are deferred to 3Q? Or what has happened there?

Prince Tiwari: No. So, there was no deferment of any kind of setup. There's no change in the policy, right?

Whatever was policy was being followed earlier, same policy still gets followed. I think there has been a lot of, let's say, a lot of with a very large magnifying glass, I think we are looking at every line item, and we're trying to figure out that where exactly efficiencies and productivity can be drawn upon, which are the costs we can do away with.

Like as Sanjay ji said, some of the replacement hiring that were to be done, probably we figured out that can be managed with -- maybe at a lesser cost, right? So all of those things are on an ongoing basis, we have been working on for the last 6 months. And that's where the cost to income decline that you are seeing is there, and that's why we are pretty confident that we'll be more sustainable from here on.

And you should see full year around 60% and not necessarily 63%, 64% that we saw last year.

Moderator: The next question is from the line of Nidhesh Jain from Investec.

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Nidhesh Jain: Firstly, on the credit card business, what is the strategy from here onward? I couldn't understand that we will go more digital -- is it sourcing digitally? Or how are you thinking about trade for card business from here onwards?

Sanjay Agarwal: Nidhesh, so no, my sense was that we were doing credit card underwriting basis on digital footprints, right? And because if you want to build an unsecured book or credit card book, it's difficult to build a brick-and-mortar franchise because of the cost enrollment. So we began with that only, and we want to be on that path.

We have learned hard way in the sense that how good digital credit is and what are the challenges we faced over the years. And -- so there was an elevated credit cost. So we have learned a lot and has put in lot many things now, this is understanding over the years. And now that is why our issuance is not to

that extent. So we really want to build more cautiously and with more guardrails around as of now, right?

But there are not many things are coming back in terms of to understand customer like account aggregator can help you have more, I would say, data which is reliable, right? There can be other means which we are able to figure out. So I think there will be -- again, we want to go back to our previous number, but I don't want to put any day or any month or any year on it, right? Because I would say very -- it's a very delicate product, right? So we need to handle it carefully. And we haven't built so big that we can't go back and correct ourselves. So both the book, whether be it credit card or unsecured lending. And one thing is very sure, Nidhesh, we need to understand this because if we have a desire to become a big bank, then this portfolio needs to build there, right? And the team is committed, and we are all committed to really learn and do the right thing. So my sense is that you have to give me another maybe 2 quarters to really come out with an explicit plan how and how big we really want to build this book.

Nidhesh Jain: Second, on microfinance, in H1, our credit cost was around 3%, right?

Sanjay Agarwal: Yes.

Nidhesh Jain: And any guidance on the full year credit cost on microfinance?

Sanjay Agarwal: A difficult one, Nidhesh. As I told you now, this dramatically happened last quarter only. I would only say you this that October, November is better than September, but very, very early days, just 23, 24 days of October. But my sense is this because Rajeev is also on call. So there will be a little elevation from here.

But I think we predicted 3% cost to be honest, before we acquire this book, right? So as of now, it's in that same bracket, but it may go up, but you know that microfinance gives you 5% ROA, right? It might not be giving us 5% ROA over the year, it might give us maybe 3% ROA, right? But it is still a far better than any other book because it gives me SMF book also or agri book also, right. So the overall understanding to acquire this business still holds true.

And we are optimistic that because this is not an event risk. This is where lender had become more aggressive over the period, right, and that is getting in our state through all the means.

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Rajeev is on the call that you can ask him also that it may become more smoother, faster than what we are thinking, right? So Rajeev, do you want to comment more. Okay. So is it fine, Nidhesh?

Moderator: The next question is from the line of Abhishek M from HSBC.

Abhishek M: So the first one is on cards. If I look at the yields, clearly, Q-o-Q, that has gone up from 13.8% to 14.3%. Since the book is stable, is it mostly because transactor balances, etc. are reducing and the mix is changing more towards revolver EMI. Is that how it is evolving? And since you will take about a couple of quarters to recover from -- or to get a plan in place basically, this book should just keep tightening from here on?

Prince Tiwari: No, no. So, Abhishek, Prince here -- so obviously, we have gone slow, but I think the book is still growing, growing at a slower pace than where it should have been, right, or where it was in the last 2 or 3 years. I think there's a very clear effort that we have been putting in terms of growing our mix of earning customers, right?

You earn on a credit card book through your revolvers as well as through your EMI customers.

You don't want your revolver to go out of a certain range because then there could be an associated credit cost, right? So you want a very optimum mix of people who take EMIs and people who revolve vis-a-vis the people who only transact and don't earn you anything, right?

So I think this last -- if you go back in last December, this number for us, the people who used to make us money, right, which is basically re

volvers plus the EMI. That percentage was about

close to about 37- 38%, that has now gone to about 44%, right? So there is -- the EMI book has gone even from March, where it was 17- 18% it has gone to about 20% as on September, right?

So there's a very clear effort that's going on in terms of monetizing the customers. And it's also happening because the base is expanding. So we have much more acceptance at a lot more merchant points. So to that extent, we are also becoming relevant for the larger merchants, which probably earlier would not really involve us in their promotions and other schemes.

Deepak Jain: And one thing was in the last 2 months, 3 months, the industry has also moved towards some interchange charges, which is moving upward in direction, including your revolving book rate of interest is also on the upward direction. So everything is supporting to the increased margins in the credit card.

Abhishek M: Right. And given that a large part of your book is greater than 760 bureau score and then nearly 90% is 740 plus, which is a reasonably good score. So where do you see most of the credit cost actually coming from? And since you said that you are learning from your previous underwriting using digital means, can you give some sense of where things went wrong and what you need to correct now?

Sanjay Agarwal: So I'm Sanjay this side. To be very honest, we sourced around 10 lakh cards. And out of that 10

lakh cards close to 75% cardholders does not use any of the credit. They just use the card. They may not be using the card, but they pay on time, right? It's just 25% people take the credit. Maybe minimum credit days period or maybe some kind of loans and everything, right?

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Out of that 25%, only 3% people default. So in that metric sense, I don't think we have done wrong thing, but that 3% people actually uses their limit to the full extent. So the credit cost is around 7%, right? So I think we might have gone over in terms of credit lines. I think that's the first learning we got it that we shouldn't have gone aggressive on the credit line because -- in terms of acquisition, you sometimes want to take a market by giving more or a larger credit line than what the customer deserves. That was the first learning.

So we have started reducing the credit line now based on our data analytics. Second thing, generally, in a digital credit card underwriting model, we don't meet customer right? And customer tends to move from each place, right? So I mean, you need a very strong collection mechanism to really recover money from the customer. So that was missing. So we have built that again. We are now building to that extent that we become a lot, much stronger on the ground. Third, it may be like the kind of income estimation program which we should run because it's difficult to judge customer income estimation based on as of now. So there was no account aggregator 2 years back, right? So income estimation was done based on credit bureau -- basis on other attributes. So I think there, we also have gone back and have changed the entire data point so that we start assuming customer income estimation to the extent possible, right? I mean these are 3, 4 things which we have corrected over course. And I believe that the new credit card which we're issuing from the last 6 months have shown us a different data point, right? So that's why this business can give you 5% ROA on the longer run. So -- and I think if India is a data kind of country where data is available, then we should learn this business, right? So that's the overall from our side, right?

Abhishek M: Thank you so much for the granularity, very much appreciated.

Moderator: The next question is from the line of Dhaval from DSP Asset Managers.

Dhaval: Just 2 questions. First is on the credit cost guidance for the full year. I just wanted to get a clarity around

what surprised us from where we started the year. So based on the data that you've shared, it seems like your gross -- so at the start of the year, we are assuming the MFI portfolio to be around 3% at the upper limit, including the contingency provisions. And right now, first half, we are tracking about 3.5%. So that's a 50 bps delta on 7% approximately of the loan book, so 20 bps overall credit cost.

And similarly, on credit card, we expected 6.5%, which is now tracking close to 8.5%. So 4% of the book doing 200 basis points higher, so let's say about 8, 10 basis point delta there. And then the residual book is slightly higher than what you were expecting at the start of the year. Is that broadly how the math shapes up from that 120 credit cost to 150, 160 kind of credit cost for the full year, like the 20 bps delta from from MFI and 10 bps from credit cards and small bits from the residual book. Is that correct ballpark?

Prince Tiwari: So Dhaval, I'm Prince here. So there are 2 things, right, which is what we have given on Slide Number 8. Of course, we securitize some books. So 150, 160 are looking on gross advances. I think we should look at the loan portfolio level, and that's where we had guided that there will

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be a certain mix and basis which, as you rightly said, probably we were expecting microfinance to be at 8% of the book and 3% of the credit cost.

Now so one, obviously, there's been a slight shift in the mix as well because the disbursements on some of the businesses have been lagging, right? And that's also the environment. So we want to be more calibrated in growing unsecured segment at this point in time, given that the industry itself is going through a challenge. So that impacts the mix. But more importantly, I think, as Sanjay said on the opening remarks as well and to earlier question, that second quarter has been a bit surprising, both on secured as well as unsecured side, more on unsecured, less unsecured, but definitely some bit on secured as well, right?

Like say, for example, what we have shown in that slide is if we expected a 80 basis points on a secured book, then we got actually hit of 90 basis points in the first half. And part of it is because of the rains and other things that happened during that particular period, right? Second half seasonally remains strong. So what we are saying is there should be a pullback in that business, right?

We are not really sure how the MFI is going to play out. We need some more time, but we said October obviously has been somewhat positive and optimistic for us. We'll have to see how those trends sustain. So on an overall basis, what we are saying is that if you look at the first half, second half credit cost at this point in time, we do believe that we should be able to contain at similar levels.

But you'll have to give us leeway of 10 basis points here and there, subject to changing the mix or any kind of further deterioration in the unsecured portfolio.

Sanjay Agarwal: So Dhaval. Sanjay this side. So let's take one by one, right? When we met in quarter 1, right, we -- before quarter 1, we expected that our cost of money will be very high, right? But during the 6 months, we figured out that it won't be so high, and we recalibrated our cost guidance there, and it was now 7.25%, and now we are saying 7.10%, right? So that remains strong for us. In terms of asset growth, asset yield, what we said, we delivered it, right? I think the other income really has made us very strong in terms of our traction, be it insurance, be it third-party distribution well, maybe AD-I, all those things, right? It has remained very strong. It's very sustainable, right? I think if you go back and if you go ahead and see the opex commentary, we were more I would say, we're not expecting this kind of reduction in cost because we have done a lot many things, but this rema

ins beyond our expectation in a positive way.

But when we spoke in quarter 1, we haven't able to figure out that market would dramatically change like this. Quarter 2, to be very honest, was very disturbing in terms of overall economic sentiment in the country. There was an unusual rains. We are coming out from heat in quarter 1. There was a side effect of election results. The confidence was down. And so in there, the slippages was more than what we anticipated.

But it hasn't gone so bad, honestly, right? So it is maybe what we promised was around 110, 115 is now reading around 130, right? So I believe that -- I still believe that based on the -- of course, AU Small Finance Bank Limited

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the subject to the whole economic activity coming back in H2, I expect that our retail asset will again perform at the same level with what we have promised, maybe a 5 bps here and there. But I think the finger crossed is for the microfinance because it just started quarter 2 so we need to see 1 more quarter to really assess the real impact, whether it is going beyond 4% and whether it's going beyond 5%, difficult to comment as of now. But credit card, as you know that, we have on the course of correction, and we are doing it. So there may be a little upside based on the lower book. If it would have been the same kind of run then the cost would be in the same range, so 6.5% right?

So I think this is overall on the credit cost. But I would say that in overall scheme of things, I still believe that ROE will be protected. There is something which has been done so well for us. There is something which is beyond our control. So we might not be doing so well there. But overall, I expect that 1.6% is still defendable, and we are working for that numbers, right?

Dhaval: Understood. Just one small follow-up. The contingency that we planned for the year, will we still have some more contingency in the rest of the year? Or that may get pushed out to next year? Just a clarification.

Sanjay Agarwal: Dhaval, we said that, if I go back in my earlier commentary that if the credit cost is less than 3%, we want to buffer it up to 3% because we believe that on a 10-year basis, the MFI will give you a 3% credit cost every year because that was the data shown us by CRISIL at their research. But if the credit cost in first year itself is 4% or 5%. I know that it may be around 3% next year, and then it will be 2% a year after, right? So we would only build a 3% buffer, if it is below 3%, right? It won't be -- we would not want to build a buffer if it's above 3% because then it's a very normalized credit cost.

Dhaval: Understood. So there is a chance that we utilize the contingency that we've created...

Sanjay Agarwal: That is very small amount, Dhaval, INR17 crores is a very small amount. We haven't think much about it right. It's good to have, to be honest.

Dhaval: Just one last thing on the opex side. So sir, last year, we had positive surprises. I mean, in the sense that opex was rising and we were continuing to invest this year. On the other hand, that is a line which is sort of coming down more than what generally the expectation was. I mean if you could just give 1 or 2 big examples of what's changed in terms of like you gave -- I mean I think Prince talked about having more focus on each of these. But just 1 or 2 big items, if you could just call out -- and so just to get some comfort around sustainability of this number being around 60% and then lower...

Sanjay Agarwal: There are 2 things, I would say 2 things: one, productivity of people. We are really worked hard on our people's productivity. And so that is why in spite of -- we have grown ourselves by 11%, but there is no growth in our people's number, right? And second, I would say the synergy because of Fincare. We are not opening any branches. There are a lot of leadership, which has

come up. The size is there, ther

e is a commonality in our many back-end functions, right? So
there are no people required at Fincare side for many back-end functions. So there are some
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synergy which is coming up. And we still -- more and more will come up as we move more and
more deep in our journey. These are 2 things.

Moderator: Thank you. Ladies and gentlemen, you may press star and 1 to ask a question.

Sanjay Agarwal: Thank you so much. Very happy Diwali from our side.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to
hand the conference over to Mr. Prince Tiwari, Head of Investor Relations, for closing
comments.

Prince Tiwari: Yes. Thank you. Thank you, Sejal, and thank you, everyone, for joining the call today. If you
have anything residual, you can all reach out to the IR team, and have a good day and Happy
Diwali to all of you from our side and see you soon. Thank you.

Moderator: On behalf of AU Small Finance Bank, that concludes this conference. Thank you for joining us,
and you may now disconnect your lines.

Call: Jan 2025

Ref. No.: AUSFB/SEC/202 4-25/402

Date: January 31, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.

NSE Symbol: AUBANK BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001,

Maharashtra.

Scrip Code: 540611, 958400, 959025, 974093,
974094, 974095, 974914, 974963, 975017 & 975038

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Nine months ended on
December 31 , 2024

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015
("Listing Regulations")

We submit herewith transcript of the conference call held on Friday , January 24 , 202 5 for the Financial
Results of AU Small Finance Bank Limited (" the Bank ") for the quarter and nine months ended on
December 31 , 2024 .

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the
Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Q3 FY25 Earnings
Conference Call"

January 24, 2025

MANAGEMENT : MR. SANJAY AGARWAL - MD AND CEO, AU SMALL
FINANCE BANK
MR. UTTAM TIBREWAL - EXECUTIVE DIRECTOR AND
DEPUTY CEO, AU SMALL FINANCE BANK
MR. RAJEEV YADAV- DEPUTY CEO, AU SMALL
FINANCE BANK
MR. DEEPAK JAIN – CHIEF RISK OFFICER, AU SMALL
FINANCE BANK
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER, AU
SMALL FINANCE BANK
MR. YOGESH JAIN – CHIEF OPERATING OFFICER, AU
SMALL FINANCE BANK

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MR. MAYANK MARKANDAY – HEAD OF DIGITAL BANK
AU0101, AU SMALL FINANCE BANK
MR. GAURAV JAIN - PRESIDENT , FINANCE AND
STRATEGY , AU SMALL FINANCE BANK
MR. PRINCE TIWARI - HEAD OF INVESTOR RELATIONS ,
AU SMALL FINANCE BANK
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Moderator: Ladies and gentlemen, good day and welcome to the AU Small Finance Bank Q3 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations. Thank you, and over to you, sir.

Prince Tiwari: Thank you, Sagar. And good evening, everyone. And welcome to AU Small Finance Bank's earnings call for the 3rd Quarter of FY25.

If we have not spoken earlier, then happy new year to all of you. We thank you all for joining the call today on this Friday evening.

On today's call, we have our founder, MD and CEO – Mr. Sanjay Agrawal; our Executive Director and Deputy CEO – Mr. Uttam Tibrewal; our Deputy CEO – Mr. Rajeev Yadav; and other senior members of the Management to answer any questions that you may have.

We will start today's call with a 20 to 25 minutes “Opening Remarks” by Mr. Gaurav Jain – President Finance and Strategy, highlighting the “Bank's Performance, Positioning and Outlook”. We will then follow the opening remarks with 40 to 45 minutes of Q&A for the participating Analysts and Investors.

For the benefit of all the participants, I would humbly request each participant to restrict the number of questions to two so that we can take questions from everyone. And then if you have further questions, you can kindly join back in the queue. If you have any data keeping questions, you may reach out to the IR team at any point after this call and we'll be happy to assist. With that, I will now request Gaurav Jain – President, Finance and Strategy, to share his Opening Remarks. Gaurav, over to you.

Gaurav Jain: Thank you, Prince. Good evening, everyone, and thank you for joining us today. I will start with an update on the “Operating Environment”:

We saw an uptick in the economy at the end of Q2, continuing the festive month of October. Post-October, however, there was a slowdown in economic activity on the ground. While there are some signs of bounce back in rural consumption and government CAPEX, overall momentum remains below expectation. In the banking system, liquidity continues to remain in deficit, despite a CRR cut in December 24. Additionally, persistent inflation has also kept interest rates higher for longer. The economic slowdown has affected overall credit demand and
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we remain watchful in our underwriting. Despite these economic headwinds, our Bank is in good shape overall. Let me talk about each of our businesses in detail, starting with our deposit franchise.

We assess the performance of our deposit franchise in terms of the following key metrics:

- Growth.
- CASA Ratio.
- LCR.
- Proportion of stable deposits.
- CD Ratio and
- Cost of funds.

Our aim is to optimize across these core metrics, keeping in view banks overall strategy and prevailing market conditions. Our deposit franchise scaling well and total deposits stand at ~Rs. 1,12,000 crores.

This financial year, we have delivered growth of around 15% year-to-date in total deposits and 9.4% in CASA. This growth rate is nearly twice the growth rate of total deposits in the banking system and faster than growth rate of private sector banking peers. Whilst we benefit from our smaller scale, as a new Bank on the SFB platform, we

have to work harder to gather deposits.

On a quarter on quarter basis, our deposit book grew by 2.3%. However, there was an outflow of 3% in CASA, primarily due to withdrawals from certain government accounts which were transactional in nature.

Despite this, average quarterly balances of CA and SA deposits increased by 5.9% and 4.4% respectively on a quarter-on-quarter basis. Our CASA ratio stands around 31%. We maintained an average LCR of 115% during the quarter, which was an increase of 3% from last quarter. Our stable deposits, which include CASA, retail term deposits, and bulk non-callable deposits, stand at 80% of total deposits. And our CD ratio, excluding refinance, stands at 81%. Throughout the year, we have maintained a strong focus on securing the right mix of deposits at optimal pricing and effectively managing our cost of funds, which stands at 7.05% year-to-date and 7.06% for the quarter. Notably, our incremental cost of funds has improved, declining from 7.7% in FY24 to 7.4% year-to-date. However, the current market conditions are challenging, liquidity remains tight, and competition for deposit continues to be intense. This week, we adjusted our savings and fixed deposit rates to market condition, introducing 10 bps increase on our peak fixed deposit rate, and widening the slabs in savings accounts offering 7.25% interest rate.

Even with this increase, we expect to be at the lower end of our guided range of 7.10% to 7.15% for cost of funds for the year. We are mindful of the ongoing pressures on liquidity, inflation, currency, GDP growth, and external headwinds. If these pressures persist and lead to a delay in easing cycle, our cost of funds would be impacted in the coming quarters.

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Now, in terms of our key initiatives around deposits franchise, our branch banking strategy is focused around driving growth in top 20 cities, which contribute around 57% of total deposits in the country. 75% to 80% of our deposit book is from 400 urban branches, of which 60% are located in top 20 cities. Within these, cities such as Delhi, Bangalore, and Jaipur are doing very well and we are working on improving productivity in cities like Mumbai, Chennai, Hyderabad and Calcutta. We have fully integrated 100 plus urban deposit branches from Fincare in terms of people, product, process, and technology. Now our efforts are focused on driving productivity and we expect these branches to drive growth from next year onwards. Additionally, we plan to open around 70 to 80 new branches in the next year, mostly in top cities with a focus on raising deposits and enable another 75 existing asset centers in district and Tehsil headquarters to start taking deposits. In terms of our product breadth, on savings account side, we have established a strong proposition backed by cutting edge digital channels. We have industry-leading deposit products for various segments, which includes recently launched remittance products and comprehensive wealth and insurance distribution platforms. Our wealth AUM has scaled to around Rs. 1,250 crores and in our insurance business, we are partnering with most of the leading insurance companies.

On current account side, we are working to create a right to win in terms of product, services, and distribution. This is a tough market and results will take some time. We also did a lot of work on improving branch profitability. 44% of branches which were in existence in December 23 were profitable in Q3. This was driven both by higher productivity and focus on overall cost efficiency in overhead and marketing spend. Further, all the key building blocks like people, leadership, technology, and customer service are in place for growing the franchise sustainably. Now moving on to our asset franchise:

Our loan portfolio has reached around Rs. 1,09,000 crores with a growth of ~13% year-to-date, which is 1.6 times of the sy

stem loan growth and faster than growth of private sector and banking peers in similar periods. As you know, we have four broad asset classes, retail secured assets, commercial banking, inclusive finance, which includes MFI, SMF, and FPO and digital retail unsecured, which includes credit cards and personal loans. I will take a moment to talk about each of these businesses.

Our retail secured assets book, which stands at around Rs. 73,000 crore and forms 67% of our total loan portfolio, includes wheels, mortgages and gold loan. This is our flagship franchise with a vintage of over two decades. And it is a unique combination of scale, growth, high yield and strong asset quality. We have a very strong right to win in this business with our deep distribution and underwriting expertise in informal segments in semi-urban and rural areas, strong operational processes and collection framework and robust people practices. This segment is performing very well with growth of 14% year-to-date. We have a long growth runway in this segment as we expand gradually to pan India. We will particularly benefit from increased distribution through Fincare touch points in South India. Asset quality remains broadly in line with our expectations. We are not seeing any signs of contagion with unsecured assets.

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December was strong from asset quality perspective, as is historically the trend. And we expect asset quality to improve further in Q4.

Now, let me talk about the key products within Retail Secured:

First is wheels:

Our wheels book is around Rs. 34,000 crores, which is 32% of our total GLP. It includes personal and commercial cars, SCVs, LCVs, tractors, and two-wheelers. Wheel GLP grew by 7% quarter-on-quarter and 19% year-to-date. Growth for the full year is expected to be more than 25% and remains in the top tier of peer banks and NBFC. Book yield has increased by 25 bps over FY24 and is north of 14% year-to-date. Asset quality also remains broadly in line with credit cost of 1.1% year-to-date annualized. Slippages were higher in the festive period as per trend, with some parts of the book, such as SCVs and LCVs, which are given to small transporters impacted by market slowdown. December was strong, and we are expecting further pullback in Q4. Wheel's book is present in around 570 touchpoints, which is only 35% of our total touch points, excluding BO/BC outlets. This implies significant room to expand distribution within our existing network. By the end of FY26, we are expecting to expand to another 250 to 300 touch points, including UP and South India.

Second product within our retail secured franchise is our mortgages product, which stands at around 36,000 crores and forms 33% of the total GLP. It includes micro business loans and home loans. These are both granular products with average ticket size of 12 lakhs to 13 lakhs and yield around 15% and 12% respectively. There is no comparable peer with same operating scale and yield in MBL. Growth remains on track with the book growing by 10% year-to-date and 4% quarter-on-quarter. Within this, MBL and home loans respectively grew by 8% and 16% year-to-date. For full year, MBL is expected to grow in low teens and home loans in a range of 20% to 25%. Asset quality remains robust and there is no major impact from the slowdown. Credit cost is 0.6% year-to-date annualized. In terms of our strategic initiatives in mortgages, we have a big opportunity to expand our distribution. We are present in around 900 touchpoints in MBL, which is 55% of our total touchpoints. In FY26, we would expand our presence by another 130 to 150 touchpoints.

In Home Loans:

We are present in around 600 touchpoints and the business tends to follow MBL with a lag. We are also fully integrating Fincare's mortgage business, which was started 6 to 7 years back. Teams are already integrated and integration of product processes

s and technology would finish

by March end. This significantly accelerates AU's entry into key southern markets of Karnataka, Tamil Nadu, Telangana and Andhra. The third product within retail secured assets is gold, which has a GLP of around Rs. 2000 crore and forms 2% of the total loan portfolio. Expertise in this business comes from Fincare, which has done a good job in building distribution franchise and processes.

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Gold portfolio grew by 29% year-to-date and yields around 16%. We believe the latest RBI guidelines on gold loan create a level playing field for banks to compete against NBFCs. We remain compliant with the guidelines and believe there is an opportunity to build and scale our gold franchise. We are working on our strategy and will update the market in next 1 to 2 quarters. The second key asset segment is commercial banking which is 21% of the total loan portfolio and includes five businesses, business banking, agri banking, NBFC, real estate and transaction

banking. We started lending to NBFC and real estate businesses 11 years ago and business banking and agri banking around 7 to 8 years back. Our competition is mainly with other private sector banks. We have developed a full product suite and tech capability, including the AD1 business, which we started earlier this year. Growth and asset quality remain on track with some cyclical challenges in agri-commodity linked businesses. Total GLP grew 22% year-to-date and 6.4% quarter-on-quarter and is expected to grow north of 30% for the full year. Credit cost for nine months was 46 bps annualized.

The Commercial Banking businesses are important from liability franchise perspective as well, and generated around Rs. 11,000 crore of deposits. We plan to move this business to Mumbai over the next 1 to 2 years, which will provide an opportunity to stitch this business even more closely with our deposit franchise and other asset businesses. We are expanding our distribution in Fincare deposit branches. This year, we have started business in a few locations of Andhra, Telangana, Tamil Nadu, and Karnataka and plan to expand deeper in southern states and other existing geographies within our overall distribution network next year. Further, we have created dedicated teams for specific sectors such as renewable energy and infrastructure. We believe there is a large opportunity to grow in these segments. Our AD-I business is gaining traction. This is an important business for cross-sell, current account float, and export import. Forex flows in this quarter increased by more than 50% quarter-on-quarter and achieved a run rate of greater than Rs. 2000 crores. These includes flows from export import, NR and retail remittances. With most of the products being already live, we will continue to scale this business.

The third asset book is our Inclusive Finance book for bottom of pyramid customers, which includes MFI and lending to small marginal farmers and FPOs. This book is key for fulfilling our financial inclusion charter and meeting our PSL obligations in SMF and Agri. Total book is around Rs. 7,400 crores, which is around 7% of total GLP. MFI is the biggest product in this segment with GLP of ~Rs. 7,150 crores. We have a strong MFI franchise with conservative underwriting policies and strong operational processes. We have one of the lowest average exposure in industry at to be 25k per customer. Our book is well diversified across more than 60,000 villages. Top three districts contribute around 6% and all remaining districts are less than 1.5%. No state has more than 13% concentration. MFI industry continues to face the challenge of customer indebtedness, which has resulted in elevated slippages, lower disbursements, and high credit costs. However, we believe that the long-term fundamentals of the industry remain sound and we are cautiously optimistic of a gradual turnaround. We

expect MFIN guidelines to

improve overall industry discipline and with tighter underwriting being prevalent in the industry for the last few months. Customer indebtedness should gradually reduce as well. Additionally, we have taken some corrective actions in terms of strengthening our collection efforts and

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increasing disbursements under the CGFMU Guarantee Scheme, with 60% of Q3 disbursement covered in CGFMU. We expect this to increase to 70% to 75% in Q4. This will help reduce both risk weight and future credit costs.

In terms of our financial performance in this segment, MFI GLP declined by 10% year to date and 6% quarter-on-quarter in line with the industry. Credit cost was 5.4% for nine months annualized. GNPA stands at 4.1% and SMA pool is around 4.4% at the end of Q3. There are some signs of collection efficiency having bottomed out with marginal improvement in Q3 versus Q2. December month saw some improvement in both collection efficiency and disbursement versus November and we expect the improvement to continue in Q4. Slippages are expected to stay elevated in Q4 as well and credit costs will remain elevated for the next 2-3 quarters due to lower collection efficiency in the earlier quarters. We are keeping a close watch and will provide a further update in next quarter's call.

The fourth asset segment is Retail Digital Unsecured, which includes our credit card and personal loans business. Total GLP is around Rs. 4,000 crore, which is 4% of the total portfolio. And credit cost on this book stands at 9.2% year to date annualized. Personal loan GLP is around 1,000 crores and is primarily for our existing customers. This book is performing broadly in line with industry from an asset quality perspective. We have tightened the underwriting criteria for asset customers, and as a result, book has de-grown by 10% year-to-date. In our credit card business, we got a few things wrong, which included not getting digital underwriting correct, higher reliance on card-for-card sourcing, and issuing higher credit limits. There are some industry-level challenges as well, driven by over-leverage, inflation, and misuse of certain merchant categories through fintech aggregators. But our performance has been worse than the industry leaders. Total outstanding book has declined by 2% year-to-date and 9% quarter-on-quarter as a result of recalibration of our business. Getting this business right is important from a long-term perspective as it provides a hook for deposit customers and increases Bank's brand. We have taken a number of corrective steps. These include strengthening credit team, tightening

underwriting criteria to include documented income only and reducing credit limits both for new issuances and existing cards based on risk assessment. We have also done a detailed evaluation of existing customer base and taken appropriate preemptive actions on potentially delinquent customers. We have strengthened daily transaction monitoring to identify and restrict misusing customers and merchants and have proactively blocked certain misused categories of merchants such as rent and education. These actions will take a couple of quarters to have an impact. We will update on the progress including future outlook in the next 1 to 2 quarters.

Now I will update on our profitability for the quarter:

Pre-provision operating profit increased by 6% quarter-on-quarter driven by strong control on operational costs and growth in interest income. Profit after tax was down 7% quarter-on-quarter at Rs. 528 crores due to higher credit costs in MFI. EPS for nine months is up 24% and book value per share is up 23% year-over-year. We achieved an ROA of 1.6% year-to-date and 1.5% for Q3. Net interest margin declined by 23 bps from 6.1% in Q2 to 5.9% in Q3. This was driven

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by higher mix of investment b

ook on average during the quarter, which had an impact of 10 bps, adverse loan mix because of lower MFI and higher cost of funds, which had an impact of 9 bps, and interest reversal on NPAs, which had an impact of 4 bps. Other income was in line with Q2 after adjusting for lower treasury gains. Core fee income continues to be robust with contributions from assets, banking fee, third party distribution, as well as credit cards and AD-I businesses. Insurance distribution income in this quarter saw some impact due to changes in IRDA regulations around revenue recognition on general insurance and surrender value in life insurance.

We continue to focus on managing our OPEX, which declined by 3% from Q2. Cost-to income ratio was 54% in Q3 and 57% year-to-date. The saving on OPEX has been achieved through merger synergies, control over manpower and overhead cost, and tech-led efficiency gains. Expenses in next quarter would be higher as per seasonal trends, and we expect to finish the year at cost to income ratio of 57% to 58%. Credit cost was elevated and came in at 1.5% of GLP for nine months annualized. As mentioned earlier, this was primarily driven by higher credit costs in MFI and credit cards. Overall, our strong performance in Opex and sustained performance in other income was offset by underperformance in asset quality.

In terms of outlook for the next quarter, credit cost will stay elevated, driven by unsecured, but we expect to be within striking range of our ROA guidance of 1.6%. Overall, GLP growth is expected to be around 20%, with secured assets growing around 23% to 24% and continued degrowth in MFI and credit cards portfolio.

Finally, regarding our Universal Bank License application. We are in touch with the regulators on progress of our application. As you would be aware, the Reserve Bank of India has recently announced setting up of a standing external advisory committee, which will evaluate applications for universal banks. While we don't have clarity on timing, this is a welcome step and should speed up the process of evaluation of our application.

To conclude:

As we have mentioned earlier, it takes about 10 years for a Bank to settle fully. We are now successfully completing eight years and the Bank is shaping up well across all key areas of product, distribution, operations and technology, people and governance. Our brand is improving. Both customers and peers are noticing us on the street, and we continue to focus on strengthening our foundations and executing well to create a sustainable forever Bank.

With this, I will hand it back to Prince for Q&A.

Prince Tiwari: Thank you, Gaurav. Sagar, we can now open for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Kunal Shah from Citigroup. Please go ahead.

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Kunal Shah: Particularly on the MFI side as well as PL and credit card where we are in terms of the cycle and you indicated in terms of improving collection efficiency, but at the same point in time we have almost like 4.4% in SMA as well as 17% of loans where in there are more than three lenders So, even during the transitioning that could have an impact. So, what is the maybe the extent of if you can just help in terms of understanding what could be the extent of the pain that has to be further recognized and how you have beefed up the collections out there?

Sanjay Agarwal: Hi, Kunal. Sanjay, this side. We have Rajeev and of course Mayank on this call, so they can elaborate further. But my take on MFI is, that this is not an event risk, you know. This is more about over-leverage and maybe irrational lending to that sector. Lot much has been arrested in

last two quarters. That's my personal understanding and personal belief. We already have gone to the level of what now 5.4 credit cost in our balance sheet and the way we have h

andled it in

terms of overall, we just want to take one more quarter to really have the full color on it. But I think we are expecting our credit cost overall, yearly basis at north of 6%. It might touch 7% too. That is why we have commented that our overall credit cost of the year would be in the range of 1.55-1.6%. But I think you have to give us one more quarter, because it's just a 7% of our book. So, we are not heavy loaded there. And there are green shoots in terms of overall approach, like the guidelines from MFIN, the way the customer are responding, the H2 is better than H1, and those segments itself is getting some money through various things, the activity has been started. We are focusing more on collection than on disbursement and of course, it's an important book for us because it gives us SMF, which is the obligatory to do our lending on us. So, I would only say that the Quarter 4 has some maybe heat going on, but next year, you have to give us one more quarter, then only we'll have the clarity. And same thing is in credit card, a lot much has been arrested there too. The entire team has come on the subject. We have also not building up credit card on digital mode anymore. We are doing underwriting basis now, physical applications or physical data. We have stopped a lot many payment system available online, which actually people don't use money for the merchandise or for services. They were more about cash out. We have reduced the credit line there. So, I think this quarter, in my opinion, will be peak there, and then you will see us coming back next year on the subject. But overall, if you see, if you move away from this 10% of our book, the 90% book is well in control, where the whole strength of organization is there from so many years, be it secured assets or the commercial assets. People were expecting that there would be some pain or there should be some kind of contagion effect, but that is not seen. Quarter 3 has become more stronger than the H1, and I believe that overall 90% of assets by the end of the March would be much better in entire look and shape. And this, both the books should be also good enough for next year. But Rajiv, you want to add on or on the subject? Mayank, you want to add on something on this, the pain and things?

Mayank: Okay. So, just to add what Sanjayji said, this is Mayank. I manage credit cards. What we have done is we are not only containing the existing portfolio, but we have worked a lot on our underwriting capabilities on the new acquisition. So, both the things simultaneously we are working out and wherever the digital capabilities were not enough to manage the underwriting, so we have contained them on tightening our credit underwriting criteria. So, I think another 1 AU Small Finance Bank
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or 2 quarters will help us to give a better picture on it. But yes, things should come under control after these tightening controls.

Kunal Shah: And in terms of the numbers, as you indicated 6% credit cost for the full year so that clearly suggests 8%-10% in MFI continuing. Same way on credit card if we look at it like still being more than 10% for this quarter, so would that run rate also be still there?

Sanjay Agarwal: So, this quarter yes.

Kunal Shah: In 4Q also this will continue.

Sanjay Agarwal: That's why we said that overall we will be touching around 1.55-1.6 overall credit cost because we believe that the other asset classes will perform better than the quarter three.

Moderator: Thank you. The next question comes from Rohan Mandora from Equirus Securities. Please go ahead.

Rohan Mandora: I just want to understand what's the provision that we are currently carrying on the MFI SMA book? That's one. And second, the OPEX that we are seeing on account of merger synergies, how should one think on that for FY26? And related question was that we have given a slide wherein we are talking about

the addition of touch points across products, across geographies in

next year. So, how should one look at the interplay between Opex on these two things?

Sanjay Agarwal: I think your question is around the Fincare integration. This is going on perfectly well. As we stated in our presentation that from 1st January the entire MBL/AHL which is affordable housing and Gold loan has come under the one umbrella of secure retail assets. So, the North, South, East, West has been fully integrated. And the integration plan is in place. Rajiv is looking now tech and of course the entire MFI business. And of course by this calendar year end will be integrating in terms of our tech also. So, that is there in terms of integration. Lot much operational efficiency has come in because now the leadership has been aligned with the verticalization. So, there were so many leadership at Bangalore under Fincare unit, which has been aligned with the entire verticalization of AU. So, we are saving lot much cost there, and so I would say by this quarter end, we won't be having much cost based because of this two unit existence. Entire costs will be aligned with the bigger umbrella of AU. So, that operational

efficiency will be achieved in next financial year. In terms of the distribution, Fincare had amazing 1200 kind of touch point to operate for their microfinance business. Out of the 1200, 800 branches were used for microfinance in that 70% were around Tehsil headquarters, 20% were on districts. And Tehsil headquarters actually gives you a lot much opportunity to build deposit in those markets where we were not in. So, we want to use the entire 800 branches of microfinance to really build the other product line and also the deposit franchise. So, in that, close to maybe 80 to 90 branches will actually experiment this year for deposits. So, I think that full integration will be on because of the availability of the distribution in that sense that is there. The other question was around the SMA.

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Prince Tiwari: So, Rohan, Prince here. On the MFI book or any book for that matter, on the SMA we only have standard provision. On the MFI book specifically, we had created a Rs. 17 crore contingency. So, that continues. We have not utilized it. And just the last point on what Sanjayji added and to your question, on this entire product expansion into existing geographies that you referred to, we have given on slide 22, these are all existing infrastructure. So, as of yet, we are not planning to add any newer infrastructure in these places. Probably there'll be some cost in terms of people and manpower and systems, but no infra cost is expected. We have also articulated that we are going to open 60 to 70 newer branches, that's where the opex will come in. But that's a regular BAU business.

Rohan Mandora: Just on that synergy piece, see if I look at the quarterly run rate in the first 3 quarters, we have been holding around that 14.7-14.3 billion kind of run rate. And we have been gaining some benefits. So, just into next year, what kind of cost escalation will we see on the core business? How should we look at with the synergy benefits, how should that move into FY26? That's what I was trying to understand on the OPEX part.

Sanjay Agarwal: Cost to income overall for 9 months is around 57.7. So, for quarter 4 or entire year, I am expecting to be north of 58% but of course, lesser than 60% because the Quarter 4 will have more expense because we'll have more business and everything. So, this is not a standard number which we have given you for quarter three, but the idea is to really look for a lesser than 55% cost to income in the next two years. So, let's go through this quarter, figure out our realistic cost to income which will be around 58-59 and then of course, look for some kind of, I would say effort or the room available for us, but definitely the f

ocus has come back strongly on working on an operational efficiency. We are using lot much digital, we are using lot much productivity now. We don't want to hire people for the sake of hiring. The whole expansion has been put with a purpose. So, I think you will see us, you know, a lot much calibrated organized in terms of our cost to income. And we'll be keeping around because, but there's lot much variable, you know. So, it's difficult to predict, but the approach is this, that our cost to income has to go around 55% in next two years. And it has to be best effort basis because there are a lot many things which we don't control as we move forward. But lot more sincerity has come in, I can assure you about that only.

Moderator: Thank you. The next question comes from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise: I have a couple of questions. I mean, I understand we are banking on the secured side of the book to kind of do well incrementally as well. But if I see there is some minor changes on asset quality there sequentially on a growing book. So, how confident are we that that 4Q could actually be better? While I understand it is seasonal, but just wanted some confidence around that and then I will come back with a follow up question.

Sanjay Agarwal: No, I think, I just want to give one assurance to the street that secure retail asset, we are doing from last, now close to two decades and we have seen the cycles, we have gone through every

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type of challenges. This year is no different about it, you know. You know about it that we were actually hoping that our country will grow by north of 7%, but we might grow only by 6%. So, we are not excluded in every sense, right? It is a relativeness, and the pain is there into that kind of segment where we actually lend, because this is more of an informal segment, the touch and feel, we back ourselves, we back our credit team, we back our operational efficiency, we back our collection team. So, there are certain things which might go here and there, but overall it is a secured book build on productive assets, small ticket, we price the risk. So, I think I would say that we are fairly confident that this will remain our strongest point in terms of our entire asset classes and we should not go wrong there. And we neither has gone this year too. If you see our data in terms of comparison with the competitors, you will find us far, far better there. So, I think

I would only say you that this looks very promising and December remain very strong month, in terms of everything, I would say the collection efficiency for the particular December month has surprised us lot and I hope that that will continue for this quarter too. And we have also want to build more expansion in this business so that the growth, the yield, the ROA and of course with a strong asset quality, which is the hallmark of us over the years remain there.

Sameer Bhise: Just wanted to get sense because it's quite a fluid situation in the segment that we operate.

Sanjay Agarwal: No, I don't think so this is a fluid situation, honestly. I again want to repeat that 90% of our asset class remain very strong because I'm again saying that we are not absolute, we are relative, right?

But market also has not gone so bad. We expect that quarter three, Quarter 4, as GDP also will recover, right? So, if we recover, then you will see lot much better performance of us in this books. And these are secured books.

Prince Tiwari: Sameer if I can add, if you go back to our last quarter commentary, I think we had mentioned at that time as well, that typically first half is relatively not so great for retail secured assets. Second half, October, November, generally festive seasons, you see slippages. And then December onwards, December-Jan-Feb-March, DJFM as we call it, you start seeing the better performance,

recovery, resolutions, right? And economic momentum also supports that. So, if I follow the same theory and I look at the numbers internally, the same thing has played out. October-November we did see some higher slippages and that's what you are seeing. But by December, as Sanjayji said, across, be it collection, be it your credit cost, be it your slippages, across all the secure retail asset buckets, we have started seeing a decent jump. And so that gives us hope that historical DJFM will play out in Jan Feb March as well.

Sameer Bhise: Precisely that's why I asked that it sticks to the playbook. Secondly, on OPEX, obviously if we enter this kind of economic environment, you would want to invest more on collections. How are we positioned there, especially in some of the core categories? Are you investing more on that and how does that kind of drive overall Opex numbers? I reckon Sanjayji just mentioned that this year would be upwards of 58%. So, just wanted to, if you could sharpen a bit on that?

Sanjay Agarwal: My friend, if you see our last year data, we were around 63-64. And what our endurance is this year is that, if you want to be in the range of 58-59, it will be a super achievement because in

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spite of such a headwinds in terms of the deposits, in terms of unsecured book, we already invested a lot in every aspect. I don't think that by putting an extra hundred people for collections, we'll have even a needle's shift in our book because we already become a large balance sheet, we have a large budget for our expense. But the idea is not about not putting money on the right purpose, right? We will always put the money on the right purpose and right cause because that's the way business should be, but the idea is to really be very cognizant of the other facts that we should not just unnecessarily build for the future, right, when things are not clear at this point of time. So, I don't think that we want to be, it should be lesser than what we have done this year. So, the endurance is that next year the cost of income should be lesser than maybe 1% or 2% of this year, right, so that we can achieve the ultimate goal of 55% in near term.

Moderator: Thank you. The next question comes from the line of Madhuchanda Dey from MCPPro. Please go ahead.

Madhuchanda Dey: I have two questions. So, the first question is a little long term. You have had an excellent track record with what you understand best, which is secured assets. So, with Fincare you got the MFI principally, and that met with the sectoral headwinds. And then you yourself admitted that your experience with credit card, the way you have done the business has not been that great. So, going forward, will it make you recalibrate your strategy with respect to lending? You will kind of stick to that, what you understand best, which is secure. And in that context, how would you like to revise or give a roadmap of your aspired ROA of 2%?

Sanjay Agarwal: That was a good question. So, I would say that when I started my career in lending, I started with wheels, right? Over the period, we got to know about the lending and mortgages, then we built on the commercial banking business, then we built on the branch banking distribution, right? So, it's never been so easy, honestly. And I won't say that it was an honest confession that, you know, we might have made some mistake in building up the credit card but the environment was also not so good right because everything was given through digital only. Everybody was banking on the credit score card right and we were not knowing that people can misuse the credit card online through some I don't know the word but sorry, because I never believe honestly that people can take cash out so easily, which we all know that is a risk, right? So, but we have taken the course correction and I strongly believe that credit card is still is one o

f the most important

payment method and we need to correct it. We can't go away with that. And, but it's a curve we are going through and I still want to back my team and you know learn from this mistakes. This

is not that large mistakes, maybe Rs. 100 crores here and there, but this is the way the banks should give their cost or the learning cost comes in. So, I still believe that if you really want to be a good Bank, we need to learn about unsecured lending and of course unsecured products, which will keep on doing it, keep on doing it. But I think this learning will give us a lot much, I would say the assurance that we should not do mistakes, which is very evident. That's about credit card and unsecured piece. As we always remain very strong in terms of our commenting that microfinance business is very important for our whole inclusive kind of framework and they give us a lot of SMFs in the Rs. 7,000 crores also, Rs. 4,000 crores is the SMF which helps us to build our 18% agri obligation, right? And, we have also seen that in the last two quarters, we AU Small Finance Bank
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have gone to build now MFI through the other secured measures like there is an MFIN guidelines, there is a credit guarantee available on this book. We are actually now building up around 50% incremental under that umbrella. So, there's no challenge around risk weight on that book. So, I think it's a cyclic business, we understand. If you take my number, right, you would have expected that this book should have given us a 4% ROA this year. They might be giving us a 1% or 1.5% ROA this year instead of that. So, it's fine. They are not giving us a net loss in that basis on a yearly.... So, again, we have to learn about it. It's a big balance sheet. Every big Bank has to do their SMF obligation. We have a growth aspiration. We will need to learn it, master it, and then of course, build it for the future. So, the long-term strategy won't be so dramatically different. We always have said to you that it will be a cap on our unsecured exposure. When we acquired it, we said that it will be a cap of 10%, as of now is 7%. Overall, the cap of unsecured lending is 15%, is around ~11%. We want to stick to that. Of course, for some time, it may go below that the whole guided number, but I believe next year onwards you will be looking at this book in a way differently. That's my say.

Madhuchanda Dey: On your guidance of the ROA, when do you see that?

Sanjay Agarwal: ROA, of course, again, we have the aspiration because that is the gold class in my opinion in the banking system. But we are new in the banking system, we want to be in that bracket as soon as possible. But about that, we are again living in the very relative world. If India is (growing) around 6.4% this year, and with this kind of tight liquidity, this kind of inflation, there's no room we are expecting of rate cut. So, one of the things which need to come down to make us 2% ROA Bank has to be the cost of money, has to be lesser than maybe 50 bps from here what we are actually doing it. We know that asset, we can grow, we can manage our asset quality. I think 10% book should not give us so much of headache going forward. So, I think if you ask me, the moment we start seeing the interest rate cut and our cost of money getting to a right level, you will see us reaching 2% ROA.

Madhuchanda Dey: I have another question, if you may allow. This is not your Bank specific. I mean, I am picking your expertise on this. Like every other player in the industry, whoever was lending to MFI, they are fast withdrawing from that market, right? So, how do you see this crisis ending? And we are getting a kind of confusing guidance and someone is saying wait for one more quarter, someone is saying, wait for two more quarters, someone is saying three more quarters, what is the basis of saying that wait for two more quarters? What is that is likely t

o change in the ground for you

to say that this is like the peak of the crisis?

Sanjiv Agarwal: I understand, you want my comment or you want Rajiv's comment?

Madhuchanda Dey: I want your house comment basically.

Sanjay Agarwal: Okay. So, let me try and then Rajeev you supplement if I miss something. So, for me this business has been only be a one year old, and I like this space to be very precise because it's allow a Bank to do their PSL obligation and this is the last mile customer on the ground and we AU Small Finance Bank

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need to do that customer also to really fulfill the entire banking dharma, right? And what I've seen this year is this that it is more of an executive driven challenge than a customer driven or a market driven challenge. If you lend irrationally without understanding customers, then this will happen. This will happen even in secured assets. But secured assets you always back on the assets so that you can cover up for any kind of mis-lending in whatever. But this market does not allow you that. But I think lot much has gone in last two quarters, lot much discussion has happened. Irrational lending has been completely stopped. Customer know about it that if they don't repay it, they won't get the money. And this time, industry has come very seriously. That is why the 10% reduction is there in the overall asset base in this market. Government also do not want to disturb this market so much because this is where the entire space for inclusive banking is there. So, we need to be there because we are not heavily, heavily, heavily on the

microfinance book for our asset building. If any institution which is heavily dependent on the microfinance lending as their asset, then they might be looking to withdraw or reduce their exposure. We are already at 7%, right? So, I mean, if you have one of the small component in the overall scheme of things the Bank or institution can manage. This is again one of the temporary challenge which will be need to be addressed once the overleverage customer goes away. Like for example in our case ~55% customer have the zero exposure. We were the only lender in that segment with that customer at the time of disbursement, in the new one. And then 27% customer, we are the second lenders. It is good to be in that bracket, right? So, I think industry will become mature, the customer will become mature and this book gives you 4% to 5% ROA once the things are good, right? And in a bad time, it gives you a 0% or a minus ROA, right? So, you have to be really balance your view that this book might give you sustainable basis 3% ROA, provide every year, above 3% ROA and build the cushion so that in case of the eventualities, you can use that buffer for your maintenance right. So, if you do all these things, a well-diversified book in terms of your overall, build buffers in the good times, be rational in terms of lending, build around the guardrails of MFIN, build the discipline around lending and the entire culture of the MFI business has to be there. I believe you can handle with maybe 5% to 8% kind of book in any balance sheet. You want to add, because Rajeev has handled it for last 12 years, it's good to hear his views.

Rajeev Yadav: So, just to give a benefit of everyone, and you asked a very specific question on this two quarter versus three quarter, and why should we expect more optimism going forward. Fundamentally, this is coming from experience of having seen De-mon as a cycle, COVID two waves of cycle, fundamentally the product is a 2-year product. And once some problem comes into the product, be it an external event or be it an over leverage event like this, there is a certain segment of customers which are over leverage. And that's where the flow is coming from over the last six months or nine months now. And that's why we are seeing the credit cost that we are seeing in the P&L at this point of

time. So, there are two or three things which happen naturally in the industry. One, in a matter of two or three quarters, the difficulty of the problem starts disappearing. Two, the industry comes together and builds something and this has happened earlier also and this is happening right now. And fundamentally, all the players in the industry stick to those guidelines and then try and correct the problem, whichever was causing the problem. So, in a larger context, we have seen it by past experience, the typical problem, the AU Small Finance Bank
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harder part of the problem last for six months on operating basis although the provisions will come in with a 4 to 6 month lag. And for AU we provide 50% at the time of the NPA creation and we pretty much provide 100% in the next three months, which is at 180 DPD. So, the typical credit cost comes in the lag of 4 to 6 months. And therefore what we are experiencing at this point of time, and what the industry is also experiencing is a better outcome on operating efficiency starting from December. Early green shoots, I would say, were in October, but we had more confidence that we derived from the December data. And by very logical nature of the product, the way we're building a new book, the way the industry is working together on this, I am reasonably confident January-February-March will be operating-wise better, but the benefit of the credit cost will obviously be lagged with about 4 to 6 months of what we do.

Madhuchanda Dey: So, is it realistic to assume that by the second quarter of FY26, we would again be somewhat in a much better frame as far as MFI is concerned?

Rajeev Yadav: Yes, I would say at an industry level and I'm very confident of ourselves that it will be a better frame. But you know, for going back to the precision of pre- this cycle, we'll have to see whether it takes a quarter more. But I think by Q2, we should largely be behind over-leveraged credit cost problem.

Moderator: Thank you. The next question comes from the line of Prakhar Agarwal from Elara Capital. Please go ahead.

Prakhar Agarwal: Just 2-3 questions based on the outlook that you have given. First, in terms of growth outlook that you have essentially brought down to around 20% from 25% within a quarter. And this time around, we have mentioned that the secured it will be around 23% to 25%. And essentially, looking at the mix, unsecured is only 10%. So, have we lowered our growth in secured segments as well? Or how is the math working around from 25% to 20%, a growth guidance can cut in one quarter that we have done?

Sanjay Agarwal: So, Prakhar, again, because you know that by last quarter, we were all expecting that India to grow by 7.4. Now we are expecting India to grow by 6.3-6.4, right? The size we are operating, we don't want to take unnecessary risk, and you know our two books, which is Credit Card and MFI, everybody knows that we don't want to grow it. Again, with the mindset of growth, we want to really want to grow that book with a mindset of rationality. So, that two books are out of the action for this quarter. Other than that, secure retail asset is growing in the range of 20%

to 24%. Commercial banking is growing in the range of 30%. So, that remain intact and all put together is around 20% because it's still 20% is 2x of the industry average. So, I'm very happy that, of course it is below what we have guided, but a lot much has changed in the last nine months in the entire ecosystem, so we have to respect that. And of course, if we even grow by 24% our deposit, because why we want to grow more than what the asset requires? And we want to keep our CD ratio around 85 or maybe in the range of 80, right? So, that is why we also want to really manage the cost of money by not growing that kind of deposit. So, again, it's a balance,

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but very happy to

lower our guidance so that in this tough time, we don't get much hiccups later on.

Prakhar Agarwal: Just two more things on this, just a follow up on this as well. So, the other guidance that we have said is in funding cost, which we have said that it will lobby around 7.10 to 7.15. What has changed in the quarter in our favor to have seen this sort of benefits? Because the system seems to be struggling in managing that funding cost and we are essentially going out and saying that we have lowered our guidance for funding costs. What exactly has played out in our favor?

Sanjay Agarwal: No, so if you see our cost of money for last quarter is around 7.05 and we were actually expecting that cost around 7.2-7.25 in the beginning of the year, but we really played our franchise there. And as I told you that entire stitching up, the product range, the distribution range, the focus on deposit franchise has been there so strong that in spite of this, going ourselves in 15% on a YTD basis, we have not gone above the mark. We have seen more tighter positioning in Quarter 4. That is why we have increased our bucket in Savings Account, and we also have inched up our FD rate by 10 bps. So, we are expecting that our cost of money should be in the range of 7.7-7.8 (Corrected: 7.07 - 7.08%), not really 7.11-7.12. But I think the focus has remained so strong, Prakhar, over the year on the deposit franchise that and we really want to build it more sharp, and more effectively. So, that in the longer run, the entire game changer would be our cost of money, that's my belief. And so we are really focused on our cost of money. Every paisa is being watched out. Every person is being watched out. Every product has been being watched out so that we remain effective there. So, that is why I think I would say that this year has given us a lot of confidence that we can grow our deposits and that to on our cost level.

Prakhar Agarwal: And just one last question. We earlier gave a slide wherein we mentioned in the last quarter guidance for March 27. We seem to have not given this this time. Have those guidelines still remains, or we have chosen to withdraw that as we see? And lastly, on this deposit, we seem to have also not given deposit growth guidance for this time for FY25, which probably we gave last time. So, just last two bits on these two.

Sanjay Agarwal: No, FY25 we are saying 23%- 24% deposit growth, 20% asset growth. We are very clear that where we are heading for March 25. We have already given you the guidance about growth, the expected Opex, the expected credit costs. So, I mean March 25 largely we have given you, but it's difficult to predict next year because again lot much variable and we have also taken the cognizance that we are not absolute, we are relative. So, on this size where we have the balance sheet would be 1.5-1.6 Lac Crore, whatever happens to the country will happen to us. So, let's see how the entire interest rate cycle moves from here, how the credit cycle of unsecured business behaves for the next two quarters at least. So, then only we can provide the longer guidance, but I can only assure you that the way we are building our Bank, in terms of the entire verticalization, be it branch banking, be it secured assets, be it commercial banking, our digital framework, AD-1 license, even the credit cards, even the MFI, we are top of everything, right? And we are watching every book, every step so closely that in the next two years, what we are

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saying that it takes 10 years to really build a Bank, you will see us a very formidable institution in place.

Prince Tiwari: Prakhar, if I can just add to your point on the slide. So, see, March 27 strategy is something which is out there, which we had presented in 18th of March last year. And we continue to be guided by that. I think what we are given in September is the progress around

that. And we'll

keep updating you every half year on how we are progressing. But I think the biggest thing that Sanjayji articulated and which we probably would like to articulate on this call as well is, when we had put that guidance out, the overall outlook on the economy was very different compared to where we are. And given that there has been a complete slowdown or a very clear slowdown in the economy, you obviously have to adjust and focus on prioritizing asset quality over growth.

So, I think that's what is playing out. But we'll again come back to you in March because that will be the next six months and we'll update you where we are.

Moderator: Thank you. The next question comes from the line of Pranuj Shah from J.P. Morgan. Please go ahead.

Pranuj Shah: Sir, two questions. One is, we have clearly seen MFI growth overall slowdown and for good reason. And general feedback from the industry players is that even in FY26, at least even if it recovers, growth at an industry level is likely to remain slow. So, if we overlay that on your in general, assuming a 25% overall growth in FY26, MFI continues to taper off. So, does that impact your PSL objectives for '25 and '26 also? And a subsequent question to that, will that impact the overall cost ratios also because some of the efficiencies like you said, you had with the Fincare merger in FY25, those are unlikely to be present in FY26 and plus you will also have branch expansion over there. So, just something from the Opex perspective, trying to tie up the 1% odd cost to income reduction that you're expecting for FY26?

Sanjay Agarwal: Again, I think very detailed kind of expectation on this call from us, but let me figure out like, I would say the whole integration is in place and the Fincare was running their own head office based out of Bangalore, they had their own IT system, they had their own control functions, all has been integrated, largely in this year. Maybe by next half year we'll be doing entirely done. So, there would be a lot more saving on the scale basis because the business has come to us. We have fully integrated their branch banking branches to us. We have fully integrated now the entire Fincare unit of lending except microfinance. So, I think synergy has been now there. The size has been there, the markets are there. So, we are, if we would have done on a standalone basis, this expansion would have required a lot of CAPEX, a lot of time to do it, but we have ready hand with us now. So, once we integrate with the entire umbrella, one umbrella, then the things start coming day one, right? So, that's the way we want to see that picture. In terms of SMF, we have a microfinance book, we do have the Agri banking book, we do have the SMF lending, then we do have the FPO lending, all put together by the support of the government guarantees also. We don't expect that we should have the SMF deficit and we should not do that, but in case it is there, there can be a cost there. But it's difficult to predict as of now because it's a long way to go. You're talking about the next five quarters. We have to do that kind of decision
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in next March. So, I think it's a long ball for us to play. So, that's why I'm saying you that there is nothing, so we don't do much kind of OPEX based on our expectation that we need to build this book, or we need to build this branch, all those things. Everything is now BAU. We want to really build more our digitally efficiency. We're really working on our digital labor, right? We want to introduce the digital labor internally so that you know we don't depend on a human effort, other than depend more digital effort, right? So, I think a small, small thing, but the hope is this that we might be, it should be lesser than the cost of income what we'll do this year, so that we remain on the path to become a 55% cost of income in next 2 to 3 y

ears.

Pranuj Shah: And a second question, Rajeev sir, just on the MFI book. You have mentioned non-overdue collection efficiency of 98.5% as of the 3rd Quarter. Would it be possible to disclose how much this was as of December end? This is a non-overdue part and even on the forward rate of the MFI book from SMA to NPA, are you seeing an improvement there also in December?

Rajeev Yadav: The December number inched up to 98.7% (collection efficiency) and that was the second best number in the calendar year H2. So, it was, and we can see that it's a stable outcome and we should work forward on that number. On the SMA books also, because of our strong staffing now in the recovery vertical, which we have done over the last six months, we have increased our headcount from 600 that we had on the recovery vertical as of June, we have reached a number of about 1500 and higher trained and stabilized team. So, because of that, our efficiencies coming from the SMA book, coming from the NPA books has also started seeing improvements. So, fundamentally improvements on both sides and the December number was about 98.7%.

Moderator: Thank you. The next question Ritika Dua from Bandhan. Please go ahead.

Ritika Dua: Just one question. On your opening remarks, you made a reference on the gold business and how you go faster there because of a regulatory change? Could you just elaborate on that? That's the only question I have. Thank you.

Deepak Jain: So, there were 2-3 items in the Gold loan circular came through RBI in the month of somewhere in October. One was your BC model have to be revamped as per the new RBI guidelines. Like they said the business has to be done only through branches. BC have to come your branch and customer have to come your branch and storing and everything valuation everything have to be done in branch. So, that model has been shifted from the BC model to own branch model. The customer is now coming to your branches. And the second part that came in the circular was that the renewal which was happening in the industry will now move to , customer will have to repay the whole loan and then only the new loan will be given to the customer. Renewal has been

completely stopped in the industry. So, that came in the RBI circular three months back.

Sanjay Agarwal: Ritika, of course Deepak has given you a little bit but my understanding is this that first the LTV of a gold has been now standardized, whether be it a Bank or be it NBFC you can't give above 75% throughout the loan tenure and if there is no renewal then loan generally has only one year or maybe 18 month period you know. NBFCs were operating on a different terrain, banks were AU Small Finance Bank
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different, but we do not have any risk to it as a Bank because we are doing funding against gold. And the practice of those guidelines has been now stringent by the action of the RBI. So, I think nobody will take the chance. We have two advantages of the Bank. One, we have the cost of money. Second, we have a storage facility. And customers generally have more belief in banks, where the Bank lack is the delivery time of a loan, right? Because where the NBFC has made their expert because they have a very separate gold shop and all those things. So, we are also thinking about it that how we can master ourselves now when there is a level playing field available now, right? And we have the advantage of cost, we have advantage of risk weight and we have the advantage of brand. I think now it's a level playing field and I think many banks would be doing this now in my opinion but being with Fincare, Fincare is doing this business for the last 4 to 5 year, so they're actually expertise in terms of delivery in maybe half an hour kind of things, so we want to really replicate that to many of our centers. So, we have a distribution, we have expertise, there is level playing field, we have certain advan

tage like I

already commented about, no risk weights and of course the cost of money. So, that should allow us to build a decent franchise there. But we are working on it. A lot of things have to be done to really come out with the final print.

Ritika Dua: So, just one clarification on the same. So, when you say that for the industry and I'm assuming whatever the circular is, it's applicable now for banks and NBFCs combined?

Sanjay Agarwal: Yes.

Ritika Dua: And secondly, when the rollovers have to stop, I don't have an exact percentage. What was the percentage which was getting rollover, but I'm assuming it will be majority?

Sanjay Agarwal: 50% loan of Gold loan was getting rollover by the existing lender.

Ritika Dua: So, now, customer say today I have a repayment due today, so I will come and pay the bullet today. So, then is it like now there should be a cooling.

Sanjay Agarwal: If the customer has to pay or somebody has to take over.

Ritika Dua: But for the same lender to repay, to again give the loan to the borrower, I repay you today and then is there a cooling period and then I'm eligible to pay?

Sanjay Agarwal: I think that's too technical. But largely, once you're dealing on a scale, it doesn't happen like this that somebody who have bridged the repayment and again the company can come back because you know that nowadays how regulatory is. So, in a split also, you also have to comply.

Moderator: Thank you. The next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

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Shailesh Kanani: Sir, just wanted to understand our strategy for CGFMU cover, we are increasing the percentage over there, the cover. So, what is the strategy, how high we are going to go, because it will entail some cost as well, right? And have we factored in that?

Yogesh Jain: We know that our microfinance loans are eligible for this guarantee cover. We were doing for some of our micro business loan, unsecured micro business loan, and we were getting that guarantee. And these guarantees are very seamless. We are getting money. So, this is that experience. Now from this financial year, we have covered our microfinance loan. So, first quarter it was lesser and now maybe going forward, maybe around 90% portfolio of microfinance will be covered in this guarantee program. Yes, cost is there, but if we see the overall benefit of coverage versus the cost, right, it is much, much beneficial. And then of course there is no provisioning requirement if we cover under guarantee program. So, and then we see the working of these guarantee organizations, so there is lot of awareness and they also want to help right to reach the real financing to these people.

Sanjay Agarwal: To add on Yogesh, what my personal understanding is this that government really want to help lot much borrowers in this space, be it a microfinance, FPO, SMF lending, Mudra loans, all those things. And we as a Bank are there for a distribution, right? So, I think a lot much efficiency has been built in entire guaranteed scheme from the COVID time. And I think there is a realization in the government that by giving a guarantee does not mean that there will be too many defaults because as a private sector, we do a lot much due diligence before we lend the money. Right? So, it's a combination of the private and the public partnership in terms of creating that

atmosphere where we landed carefully, in case customer goes bad, the government comes and help us. And I think there is a lot much efficiency has been built in that whole credit guarantee system where we don't have to fight with the government because there is ample fund available and there is an allocation through budget, right? And they also have a target so the real lending can happen right and recently we saw the budget giving you that, a subsidy on the affordable housing space and there are n

ot many state schemes nowadays, right? So, we as a banker are beneficial in my opinion where we need to understand those schemes. Really try to implement in our two distribution system and see how customers get benefit and in case of any default we can actually rely on this guarantee so that we remain secure. So, we as a Bank have taken this as a very seriousness because this is the way India is. Something will be taken away from us and something will be given to us. So, we need to understand both things equally and then build on. So, we are serious, but it won't be a large book. As of now, also, it's around not more than 4% book is covered under this. So, we want to remain there but not that much also that entire thing has been based on the government guarantees.

Shailesh Kanani: Just a follow up means as you have highlighted in the past and today as well that Fincare acquisition will kind of strengthen the SMF portfolio. And currently, I think we are going towards or at least we highlighted that we might even take 90% CGFMU cover for the MFI business. But as I understand, the CGFMU cover is specifically for non-agri businesses. So, can you clarify how this 2 aspects would align and contribute?

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Sanjay Agarwal: It's covered, SMF is also covered. We have taken the clarification. And just to elaborate more, if you take a guarantee, guarantee commission can be paid by customer to the agency. We can lower our rate because it's a coverage on our default and we can take our service charge and there is no risk rate. So, if you see the industry was suffering from the higher rate kind of narrative, then you are suffering from what type of risk rate would be there on the MFI book and then how much charges we charge from that book that all will address by one stroke of the guarantee offered by government. So, we can lower our rates, we can charge judicially and there won't be any risk rate because the government guarantee.

Shailesh Kanani: So, basically, nutshell, even the angri business is covered. That is what I wanted to understand.

Sanjay Agarwal: Yes.

Moderator: Thank you. The next question comes from Piran from CLSA. Please go ahead.

Piran: Just one question I had regarding this MFI industry rule from four lenders per borrower to three, which is coming from first April. Has the industry proactively started with three or are there first three?

Sanjay Agarwal: We have started. We can't comment on the industry. We have started.

Piran: When you say that December was better than October and November, this you are talking only about collection efficiency on standard loans.

Prince Tiwari: Yes, that's correct.

Piran: When you said that December was better than November, you were referring to the collection efficiency on non-overdue loans?

Rajeev Yadav: So, it was better on the SMA buckets collection efficiency also for MFI and also it is better on the disbursement. So, pretty much when you look at all the key variables, it was a better month and directionally it was indicating that we should have a better outcome in Quarter 4.

Piran: And this 98.7, what would it be in a normal scenario, let's say one year back or two years back?

Rajeev Yadav: So, FY24, we were about 99.4% on that metric.

Piran: So, you still have like 70 bps per month turning overdue more than usual.

Rajeev Yadav: Versus last year? Yes, that is the correct number.

Moderator: Thank you. We'll take the last question from the line of Nitin Aggarwal from Motilal Oswal.

Please go ahead.

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Nitin Aggarwal: I have two questions. First is on the cost income outlook. If I look at very commendable cost control that has certainly helped like in delivering rightfully on the profitability front. So, while you have given a full year outlook and but how should one look at the forward years because earlier we were

looking to do 60% cost income this year and now that has changed to 57-58. So, will this cost income improvement sustain and will we like improve further in the coming years or will we like stagnate here or go up from here? So, how should one look at it? That's the first question.

Sanjay Agarwal: Nitin, that's our belief and that's the way we want to work upon that our cost to income should reach 55% as soon as possible, but I can't define as soon as possible right now because there are too many variables, right? But we are not doing anything in our expectations, so we have become more in terms of reality that let's manage today because there is always a charm in Bank to do new things. But we already have built so many product lines, so many verticals, and we need to get the scale in that level. We want to build more secured asset class, we want to build more commercial banking, we have AD-I, we have the wealth business, we have the insurance business, we have the credit card, we have the MFI. So, there's a lot much is there on the table for us and we just want to be more focused there. Our IT has done a lot of investments. People, we have already, have done well with them in the last seven years. So, now the idea is to be more effective, through the monitoring, supervising, asking questions, even introducing the digital efficiency through digital labor or AI and all those things. So, that has already begun. So, the idea is to really be lower than this current year but this current year we can be around 58% or maybe 59%, 1% here and there. But next year, our focus should be that we should be lower than this, but still we need to be crossing this Quarter 4 hurdle and then regroup ourselves and see our growth aspiration. And of course, in that relation, build your Opex, right? But there is a focus, you know, on that particular piece and you have seen our effort in last now nine months and that will continue.

Nitin Aggarwal: And second question is like we have been moving pretty close to our earlier ROA guidance. However, if you look at our own book PCR ratio has moderated over the year to now 61%. So, what are your thoughts on managing this trade-off between the ROA and the PCR and any particular level that you will wish to maintain for the Bank?

Sanjay Agarwal: So, Nitin, our PCR is coming down because there is a new fresh off loans which is becoming an NPA. We are not carrying the legacy. If you write back the technical write off in our PCR calculation, we are north of 80%. But we have very prudent write off policy also that so that we don't hang on the bad assets on the balance sheet. So, if you ask me and if you carefully see the internal calculation which is not available to you, our secured asset is around 60%, our unsecured asset is around 80%, even our MFI business is around 67%-68%. So, in my opinion it is well covered and as we move more deeper and deeper, we will guide the market, but endurance is to keep around 70% to be honest. But let's see how we want to reach to that level because there are challenging times as of now. There are not many write-offs, and we just want to clean up our balance sheet every time. So, it's not worrisome for us. It's a tactical number, which can be addressed as we move forward.

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Moderator: Thank you. Ladies and gentlemen, I would now like to hand the conference over to the management for closing comments.

Prince Tiwari: Thank you, Sagar, and thank you everyone for joining this call on today's Friday evening. And thanks for all your questions and your support. In case you have any further questions, you can reach out to the IR team at any point. Thank you and look forward to seeing you again next quarter.

Sanjay Agarwal: Thank you so much and we didn't wish you, but very Happy New Year.

Prince Tiwari: Thank you.

Moderator: Thank you. On behalf of AU Small Finance Bank, that con

cludes this conference. Thank you
for joining us. You may now disconnect your lines.

Call: Apr 2025

Ref. No.: AUSFB/SEC/202 5-26/51

Date: Apr il 29, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.

NSE Symbol: AUBANK BSE Limited

Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.

Scrip Code: 540611, 958400, 959025, 974093,
974094, 974095, 974914, 974963, 975017, 975038
& 976580

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Financial Year ended on March 31, 202 5

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Tuesday , April 22, 2025 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter and Financial Year ended on March 31, 202 5.

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Limited
Q4'FY25 Earnings Conference Call"
April 22, 2025

MANAGEMENT : MR. SANJAY AGARWAL – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
M R. UTTAM TIBREWAL – EXECUTIVE DIRECTOR AND
DEPUTY CHIEF EXECUTIVE OFFICER

MR. RAJEEV YADAV – DEPUTY CHIEF EXECUTIVE
OFFICER
MR. DEEPAK JAIN – CHIEF RISK OFFICER
MR. VIMAL JAIN – CHIEF FINANCIAL OFFICER
MR. YOGESH JAIN – CHIEF OPERATING OFFICER
MR. GAURAV JAIN – PRESIDENT FINANCE AND
STRATEGY
MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to AU Small Finance Bank Q4 FY '25 Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations. Thank you, and over to you, Mr. Tiwari.

Prince Tiwari: Yes. Thank you, Renju, and good evening, everyone, and welcome to AU Small Finance Bank's earnings call for the financial year and quarter ending March '25. We thank you all for joining the call this evening. On today's call, on behalf of the management, we have our Founder, MD and CEO, Mr. Sanjay Agarwal; our Executive Director and Deputy CEO, Shri. Uttam Tibrewal Ji; our Deputy CEO, Mr. Rajeev Yadav, and other senior members of the management team, along with the IR team.

Like last quarter, we'll start today's call with a 15 to 20 minutes opening remarks by Mr. Gaurav Jain, President Finance and Strategy, highlighting the bank's performance, positioning and outlook. We'll follow the opening remarks with 40 to 45 minutes of questions and answers from the participating analysts and investors. For benefit of all participants, so that we can take everyone's question, we would humbly request everyone to keep the number of questions restricted to two and join back in the queue in case you have further questions.

For any data keeping questions, you can always reach out to the IR team post the call, and we can always come back to you. With that, I'll now request Gaurav Jain, President Finance and Strategy, to share his opening remarks. Gaurav, over to you.

Gaurav Jain: Thank you, Prince. Good evening, everyone. I extend a warm welcome to all participants on this call. We thank you for your continued trust in AU as we close FY '25, a year marked by continued transformation and resilience. FY '25 unfolded against a backdrop of challenging macroeconomic conditions, India's GDP growth, while still among the highest globally, moderated to around 6.4 % as per latest RBI estimates.

The monetary policy environment remained tight for most of the year with the RBI maintaining a cautious stance amidst persistent core inflation pressure. Elevated interest rates weighed on both credit demand and cost of funds. Additionally, systemic liquidity remained tight for most of the year, leading to increased competition for deposits across the banking system. Evolving regulations also added to the complexity of the operating environment.

For a young and relatively smaller bank like AU with a growing but still maturing liability franchise on SFB platform, these conditions are particularly demanding, testing our agility and strategic focus. Yet, despite these macro and structural headwinds, AU delivered a strong and well-rounded performance across key financial and operational metrics, reaffirming the strength of our retail-centric and granular business model and execution discipline. We delivered strong growth with our deposit book growing by 27% year-on-year versus banking sector deposit

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growth of 10.1% and our loan book grew by 20% Y-o-Y versus banking sector loan growth of 10.8%, despite degrowth of 18% in our unsecured book.

We delivered an ROA of 1.5% despite significantly higher credit costs in MFI and credit cards and after strengthening our provision coverage by making an accelerated provision of INR150 crores. Our EPS grew by 19% and book value per share grew by 23%.

Now let me talk about our business in some more detail. Our deposit base crossed INR124,000 crores this year, growing by 27

% year-on-year. If we take into consideration the fact that we also replaced Fincare deposits of around INR4,000 crores, which were at higher cost, underlying

deposit growth comes to 30% plus.

This growth was delivered whilst optimizing a number of other variables, including managing our cost of funds, which came in at 7.07 % versus our initial guidance of 7.2% to 7.25% and controlling our opex and marketing costs. Our branch profitability improved with 49% of our branches, which were in existence in December '23 becoming profitable in Q4 versus 25% a year back.

And all the other parameters like CASA ratio, LCR and CD ratio remain in good shape. We have also reduced our peak deposit rates by 25 bps, both on term deposit as well as on savings deposit post the last rate cut by RBI. I think this performance by our deposits business in a tough environment is a testament to the potential of our growing deposit franchise, which we have developed over the last 8 years.

We have invested in all the key aspects. We established a strong segmented product proposition backed by cutting-edge digital channels with all the cross-sell products capability, including our recently launched AD-1 remittance products, and comprehensive wealth and insurance distribution platforms.

We have pan-India distribution with the inclusion of Fincare deposit branches in the South. In FY '26, we plan to open around 70 to 80 new branches, mostly in the top cities and enabled around 75 existing asset centers in district and tehsil headquarters to start taking deposits. Now moving on to our asset franchise. Credit demand was slower during the year, and the banking system credit growth dropped to 10.8 % in FY '25 from the highs of 16% last year. In this backdrop, we have performed well with our loan portfolio growing by 20% year-on-year, reaching INR115,000 crores, which is around 1.8x of the system growth rate.

Our growth was led by continued strong traction in our secured segments, which include retail secured assets and commercial banking and form 87% of our total loan book. Retail secured assets grew by 21% and commercial banking grew by ~32% year-on-year. Both these businesses performed strongly in FY '25 with continued strong growth and sound asset quality and we have a long growth runway as we expand these businesses to South India, utilizing Fincare touch points.

Our retail secured assets book, which includes wheels, mortgages and gold loan has a vintage of over 2 decades and is a unique combination of scale, growth, high yield and strong asset quality.

We have a very strong right to win in this business with our deep distribution and underwriting

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expertise in informal segments in semi-urban and rural areas, strong operational processes and collection framework and robust people practices.

In Commercial Banking, we have developed a full product suite and tech capability over the last 8 to 10 years and book has scaled consistently with strong growth and asset quality. Commercial Banking business is important from a liability franchise perspective as well and generated around INR12,000 crores of deposits. We are moving this business to Mumbai this year, which will provide an opportunity to stitch this business even more closely with our deposit franchise and other asset businesses.

On the unsecured book front, our unsecured book de-grew by 18% for the year. Microfinance segment continued to face industrywide deleveraging and our MFI book declined by 17%.

However, we believe we are nearing the end of this corrective cycle with continued improvement in collection efficiency, which touched 99.2% in March and 98.7% for the full quarter.

There could be some impact from MFIN guardrails coming into effect. However, the industry has been tightening for almost 3 to 4 quarters now, and it's a short tenure loan. So we expect positive momentum to

continue in the next year. On the regulatory front, the MFIN guidelines

around responsible lending practices and borrower indebtedness caps are structurally positive for the industry and will increase industry discipline.

Additionally, the CGFMU credit guarantee scheme provides a critical backstop for eligible MFI loans, enabling us to lend more confidently to the underserved segments whilst mitigating downside risk. Nearly 100% of our Q4 disbursements would be covered under the guarantee, taking our overall portfolio covered to ~36% by the end of this year.

Going forward, we will aim to have most of our incremental disbursements covered under the scheme, and coverage on the overall book will increase to more than 75%. This will greatly reduce volatility of credit costs. MFI remains an important book fulfilling our SMF obligations. While we will remain disciplined in growing this book, we see potential to cautiously scale as the operating environment improves.

Our credit card book has gone through a period of recalibration in FY '25, declining by 19%.

We believe the corrective actions we have taken - tightening underwriting, rationalizing credit limits and sharper portfolio monitoring have laid the foundation for more sustainable growth.

The segment offers strong product economics and cross-sell potential as we scale our deposit customer base. We see the credit card business as a strategic lever for both fee income and long-term customer stickiness and remain committed to building it sustainably over the medium term. However, we need to be patient as it will take 1 to 2 years for our credit card franchise to turn around. In terms of our strategic initiatives, we continue to stay committed to our strategy of building a retail-focused bank, primarily serving self-employed and MSME customers, with a largely fixed rate book and a strong deposit franchise.

We have consolidated all the businesses, except credit card under the leadership of our Executive Director and Deputy CEO. Both Commercial Banking and MFI business will now operate out of Mumbai, which will become the base for all our key businesses lines over the next couple of

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years, with Jaipur focusing more on back-end operations. We will continue to focus on branch expansion, attracting urban deposit customers and driving cross-sell. Tech and digital will continue to be an important driver, both as a channel as well as a tool to drive productivity. Over the years, we have already built Tech Infra to process customer data available through various digital public infrastructure like Account Aggregator and DigiLocker. We are now working on adding AI layer on top of our data lake to roll out various use cases at scale to drive workflows, automation and cross-sell. This will help drive long-term structural increase in efficiency.

Finally, as you know, we have applied for universal banking license in September. Our application is under review by RBI. We remain in regular touch with the regulator, and we are hopeful for a timely evaluation.

In terms of profitability, we delivered profit after tax of INR2,106 crores for the year and ROA of 1.5% despite significantly higher credit costs driven by stress in MFI and credit cards book. In Q4, we also made an accelerated provision of INR150 crores primarily in unsecured to strengthen our provision coverage. This provisioning was over and above our provision policy and our coverage on unsecured businesses is now almost 100%.

We also did a lot of work this year in improving our operating efficiency, and our cost income ratio reduced from 64% in FY '24 to 57% in FY '25. This was driven by tight control on overheads and marketing costs, lower credit card issuance volume and synergies from Fincare merger.

As we look towards FY '26, we see benefits of policy tailwinds with interest rate cuts, better system liquidity and

change in policy stance from neutral to accommodative. Credit growth outlook is also improving and stress in unsecured segment is reducing. However, we are in a new normal environment where post COVID gains are over, GDP growth is likely to be range bound and some sort of macro or geopolitical uncertainty could be business as usual. In this uncertain environment, we are watchful and are not providing any specific guidance for FY '26. That said, based on our performance in FY '25, which was a really difficult year, we are confident of continuing to do well next year. Second half of the year is likely to be stronger than the first as credit costs in unsecured subsidies and cost of funds begin to move downwards. Over the medium to long term, we believe our franchise has the potential to sustainably deliver ROA of around 1.8% with business growth of 2x to 2.5x of nominal GDP.

In closing, FY '25 was a tough year, but we stayed the course. We grew, we corrected where needed, and we continue to strengthen the foundations of a forever bank. As we have said earlier, it takes about 10 years to build a bank. We have completed 8 years and are confident that the foundations we are laying today will create a stronger and more sustainable AU tomorrow.

As a young bank, our business model is well established. Our team is vintage and stable, and we are present across the spectrum for our retail and MSME customers. In this uncertain macro environment, we may have small hiccups here and there. But we will navigate these challenges and continue to do what is right in order to build a strong and sustainable forever bank.

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Sanjay Ji, would you like to add anything?

Sanjay Agarwal: No, Gaurav. Thank you, Gaurav, Good evening actually. So no, I think you have summarized well. I will only add that tough time. Maybe we did well. Throughout the year, last financial year, GDP was under pressure. Inflation was there, the broken momentum, liquidity issues, I would say, very low business confidence. And at AU, I would say, our deposit franchise really done very well in terms of building up the liability, the cost around it, the opex around it.

The only missing item would be around granularity where our CASA would have dipped, but that is a general industry phenomenon. I would say our secured retail asset also performed very well in terms of growth, in terms of ROA, in terms of credit cost, little elevated because of the whole GDP not performing up to the expectation. Opex level is in the range. In everything, I think it's one of the books that we all are very proud of.

Commercial Banking, again, has gone to the size and scale now, and they're also performing well in terms of every aspect. I would only say that microfinance business again a right business maybe at a wrong time. But would say, it's fulfilled our whole inclusive agenda of banking, it gives us SMF book. It has not negatively impacted us. But of course, we had a high expectation around that book that should give us 3% to 4% ROA, but I think it's gone through its own cycle. And so this year, I would say quarter 3, quarter 4, we all are hoping that it will come back to the old numbers.

Credit card we have taken a lot of corrective actions. We want to understand it more granularly.

We have hired a very senior guy to underwrite, to understand the portfolio and all those things.

So maybe this year, we want to go to that learning curve. But we are very serious enough to build that whole unsecured portfolio, which is a high-yield kind of numbers.

Other than that, integration is going very well. I would say we also want to focus on gold because Fincare has done that business very well over the years. So we want to capitalize on that business.

And of course, recent RBI circular and the whole narrative around is that it favors bank. So we want to capitalize that whole positioning.

Our ROA

is 1.53, which is maybe lesser than what we guided you last year. But we have done the accelerated provision of ~10 bps. So somehow, we don't want to play around our balance sheet. We want to be very honest on our numbers so that it does not get colored by the whole aspect around it. So idea is to really communicate to you people very honestly that this 10 bps is on the NPA, so that our provision coverage goes up to a ~70% level and its NPA on the unsecured assets gets 100% covered, right? So we don't want to do anything one-off. That's the way we are thinking at AU. We want to treat everything -- we want to communicate everything so that it remains business as usual, right?

So overall, very happy. I would only say that this year, this financial year looks more in control in the sense that interest rate cycles are now coming down. Credit cost, of course, remain around 1.3, including the accelerated provisions, but should be now on a normalized basis this year, which we are thinking in the range of 75 bps to 85 bps. Next year, it may be on the higher side of the curve, maybe 85 bps. So we'll get advantage in our credit cost next year. But NIMs can

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be in pressure because still -- the real benefit of interest rates coming down will only get materialized maybe in quarter 3, quarter 4.

So we have to handle that headwind around NIMs. But overall, very happy to see the entire ROA tree. Our opex is well in control. Last year, it was phenomenal. And honestly, we got from 63 to 56. It's not easy. So we had some kind of, I would say, low-hanging fruits but we really want to build more distribution.

We want to do some kind of marketing activity. But idea is to really keep it below 60%. But we'll see how we do it during the course because we are all expecting that this financial year, we should get promoted to Universal One. So there can be a special effort for marketing around that. So -- I would say, tough time, played well. This year, we look more confident.

Thank you so much, Gaurav. Over to you.

Prince Tiwari: Yes. Thank you, sir. Thank you, Gaurav, and thank you, Sanjay Ji. We can go to the Q&A now.

Moderator: The first question comes from the line of Renish with ICICI Bank. Please go ahead.

Renish: Congrats on a good set of numbers in this challenging time. So sir, my first question is actually on the NIM, right? So post the 50 basis point of rate cut, we have already seen large and mid-sized bank sort of rationalizing the SA rates. So are we not planning to cut rates in line with the system?

Sanjay Agarwal: So, Renish, we already have cut on our term deposit rates by 25 bps. We already have rationalized our saving buckets, you know saving account buckets. So we are not giving now -- the peak rate around Savings is now 7% instead of 7.25%. To further go down, we'll require some more actions from some of our competitors because our CASA is below 30% and we are not enjoying a space of around 40%, 45% in that book. So it's not easy for us to cut rate below 7% as of now. But let's see how the entire industry plays their whole game in this year, and then we will take the action around it.

Renish: Okay. So I mean, is it fair to assume that we might use this scenario, I mean, in terms of affording higher rates to sort of accelerate the CASA acquisition rather than rationalizing rates. I mean, is that the strategy?

Sanjay Agarwal: No. I think -- at AU, we don't want to be driven by a lot many things which is one-off. We want to build CA & SA, basis the product, basis the brand, basis the services which we offer to our customers. So we haven't played last year also, to be honest, because many banks are pricing their saving account better than us, but we played our whole strategy around acquisition, building the relationship, cross-selling it. So we want to be in that zone than anything else.

Renish: Got it. Just a fo

llow-up on that. So maybe cost of fund might not come down, but the 50 basis point of the repo rate cut being eventually affect our floating rate book in near term, right? So broadly, our NIM should sustain between 5.5% to 6% in FY '26? Or how I should look at it from current level of 5.8?

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Sanjay Agarwal: So if you ask me as of now, the next year, the lever is on the credit cost. The challenge is on NIM. So, as of now, it's so difficult to predict whether we'll go down by 10 bps or 20 bps or 30 bps, but there will be a challenge on the NIM. But do you want to add on something?

Prince Tiwari: Yes. So just because this question is generally -- I'm sure, Renish, this is the top of the line question for everyone. So maybe I just wanted to put some more context into it. So Renish, if you see our Q4 margins, now primarily as far as the components of the margins are concerned, our cost of funds went up by about 7 basis points, right, We started the quarter at about 7.06 and we ended up at about 7.14 on an average from Q3 to Q4. But there was also an impact of number of days, right. So, to that extent, that got negated in this particular quarter, we didn't really see any impact from the cost of funds.

so that's on the cost of fund side. But on the asset side, we did have a mix change that's been going on. our unsecured has gone down by ~17% in the full year and 10% in the quarter. And MFI is typically a higher yielding asset.

So due to that mix change, we had about 5 to 6 basis points of impact, right, on the NIM side, right. As far as the rate cut impact is concerned, as you rightly said, 30% of the book broadly is variable rate book. That impact, we haven't seen as yet. Because typically it takes about a quarter for the entire impact to come through, so maybe 1 basis point, but otherwise. So that's the breakup of the NIM for Q4. So if you see, we have gone down from about 5.85 to 5.79, right? Now, as far as next quarter is concerned, again, or next financial year is concerned, again, the same factors are going to play out. So 30% variable rate book does get impacted in terms of repricing of the repo rate. Currently 50 basis point cut, if something more happens, it'll have an impact, right? As far as cost of funds are concerned, we have taken a cut on 16th of April, 25 basis points as Sanjay ji said, on savings as well as on the term deposits, right. And you know that we are a price taker in that business given our small finance bank tag, not a universal bank. So to that extent, we obviously have to depend on how the market leaders are doing. So given that we got some space, we have brought down our peak TD rate from 8% to 7.75%, and we have brought down our peak savings rate from 7.25% to 7%.

Right. Going forward, we'll have to see how the market reacts and basis that we can take a call. So to summarize, one, is there a yield pressure? The answer is, yes, right. Now it also depends on how quickly we can turn around on the MFI side on how the business mix changes on the positive side going forward? And how quickly the flow-through happens through the deposits on the rate cut side, right? When the rates started going up about 3 years back, we had guided that it takes about 12 to 15 months for the full impact to pass through.

Same way on this cycle also. In this cycle also, typically, you will see maybe 6 to 9 months when you'll start seeing the impact, as Sanjay said, Q3, Q4. And for the full impact to go through, obviously, it will take 12 to 15 months. So that's the broad story on NIMs. We don't want to put a number out there because a lot of factors are -- as I said, it will also depend on how quickly the rate gets transmitted through the system on the deposits.

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Renish: Got it. Sir, just -- I mean, just a broad calculation. Is it 30% of variable book t

hat are repriced of

50 basis points lower. So we'll have a 15 basis point of impact and we have already cut our SA rate by 25 basis points. So in a way, we have already negated that. So then ideally, first half '26, there should not be any major new impact. Am I missing anything here, sir?

Prince Tiwari: So it's not a direct calculation, Renish. Obviously, there's an impact of the daily averages, right. How the portfolio is moving? How the deposit is priced. So as we said in the opening remarks

also, we're not putting out a guidance because there are variables. We have told you all the constructs of the NIM, right? Now it's up to you for assuming. We'll come back and report to you as we have more data point.

Renish: Got it. And just a clarification. So, Sanjay sir has mentioned about credit cost remaining at 75 to 85 basis points. So that number is for FY26 or FY27?

Prince Tiwari: So that's the long-term average that we are talking about that as a bank, we want to position ourselves given the change in the asset mix, that 75 to 85 basis points is on the total average assets, right. It's not on loans. It's on total average assets, 75 to 85 basis points.

And as we said, that's a long-term average. For next financial year, we are expecting that we might be on the higher end of that curve. Given that there is some more credit cost has to flow through on the unsecured business in the first half.

Renish: Sir, what is the corresponding number for this year?

Sanjay Agarwal: 1.3.

Renish: Got it. So basically, we are expecting maybe 30 to 40 basis points of improvement in credit costs in FY '26.

Sanjay Agarwal: On a ROA tree.

Renish: Thank you and best of luck, sir.

Moderator: Thank you. Next question comes from the line of Kunal Shah of Citigroup. Please go ahead.

Kunal Shah: Thanks for taking the question. Firstly, sorry, again, on credit cost front, so when we look at the accelerated provisioning that seems to have been done largely towards the GNPA's and making 100% provisioning on the unsecured. But when we look at it overall in terms of the SMA pool as well as when you indicated that MFIN2.0 guardrail is also getting implemented, and there is a proportion of book which is linked to it.

So would that mean that credit cost over the next couple of quarters will still continue to be elevated? I think you made that comment in Q4 post the Q3 earnings on that credit costs will be elevated in MFI for almost like 3-odd quarters. So any change in that guidance post this accelerated provisioning?

Sanjay Agarwal: So Rajeev he is the deputy CEO, I think he can comment on this.

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Rajeev Yadav: Kunal, so fundamentally, no new change as I said last time. We expected that the Q3 and Q4 of last year would be the highest level of credit cost as a quarter basis. And then they will gradually decline from a Q1 to a Q2 perspective. Obviously, some degree of additional provision that we have taken will be helpful in those quarters. But fundamentally, MFI will take two more quarters to reach near normalcy as we would see. And I think that should pretty much come from a credit cost perspective in Q3 to Q4 kind of a time frame.

Operationally, what is the one that we drive as a team is we saw that the Q2 and Q3 were the worst quarters operationally and Q4, as we had expected in a typical cycle of microfinance, which typically goes from 9 to 12 months, we saw Q4 improving. The only delta in the Q4 quarter was Karnataka, which happened out of sequence. First 9 months Karnataka was perfect. Even that has been handled well and pretty much is now on its path to normalcy. So as you can see from data, we had a very reasonable quarter 4 and with March being exceptional, and we believe that quarter 1 and quarter 2 operationally will be stronger. And from a credit cost perspective, we should see that in Q3 and Q4 of this financial year.

Sanjay Agarwal:

So Kunal, just to add on here. Because what we have done this year is around 1.3 kind of credit cost on total assets. And we are expecting that our credit cost can be around 85 bps for next year. It's basis that first 2 quarters will have an elevated cost on microfinance and credit card. But quarter 3, quarter 4, we are expecting strong pullback. And that is why the overall cost of credit should go down for the year, right. And we expect our real book, the secured asset book, commercial banking, largely in the same range but better than this year -- better than the last year, right.

Kunal Shah: Yes. Got it. So when we look at it for full year, maybe the MFI credit cost was almost 7.75% and credit card was almost 11%, and now we know that SMA pool is 3.7%, maybe almost like, say, 70 basis points improvement compared to that of Q3, but this SMA pool will still flow through. And if we look at maybe the collection efficiency from the SMA bucket, what is the kind of slippage and if we have to particularly touch upon these two particular segments, not the overall credit cost, then how would it pan out maybe compared to 7.75% and 11%?

Gaurav Jain: Look, I think we have collection efficiency improving across the buckets, right? And as Rajeev Ji mentioned, March was particularly strong. So, we are expecting this positive momentum to continue in the new year as well, right? So depending on where we end up with that sort of -- that will determine the trajectory of improvement in maybe sort of Q2 onwards.

Sanjay Agarwal: Kunal just to clarify, credit card, like you are seeing around 11% -- 12% for this year. It should

be around 6% to 7% for next year and MFI also should be around 3%, 3.5%.

Gaurav Jain: And just to add to that, right, another variable in the mix is the percentage of book which is covered under CGFMU, right? So we would probably have about 35%- 36% of the book as on March already under CGFMU with all of the Q4 disbursement being covered under CGFMU, right. So this percentage will only increase going forward. And we expect more than 75%- 80% of the book to be covered under CGFMU. So as I mentioned earlier in my opening remarks, this

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will reduce the volatility around credit cost. So where, as we will incur some costs for the scheme, but we will benefit in bad times by the downside protection afforded by the scheme.

Kunal Shah: Got it. And one more question if I can squeeze in. Yes. Sorry, yes.

Sanjay Agarwal: Go ahead, Kunal.

Kunal Shah: Yes. Sir, the other one was on the universal license you indicated that you are in communication with the regulator. So what is the kind of timeline which we can draw? Obviously, now the committee said they are evaluating. So when can we expect the universal bank license?

Sanjay Agarwal: I would say this calendar year.

Kunal Shah: This calendar year. Yes. Okay.

Sanjay Agarwal: Decision should happen in this calendar year.

Kunal Shah: Okay, got it. Thanks a lot and all the best.

Moderator: Thank you. Next question comes from the line of Piran Engineer with CLSA. Please go ahead.

Piran Engineer: Congrats on the performance in this turbulent environment. Just two questions from my end. Firstly, out of this INR894 crores slippage this quarter, how much would be from the wheels portfolio? And what was it versus, say, last quarter?

Prince Tiwari: So we don't give individually portfolio-wise data. But having said that, it's -- like we have said in the presentation as well that Q4 was a strong quarter and followed the historical trend. So every business saw reductions in slippages, barring maybe 1 or 2 on unsecured side. So Wheels also definitely saw a very strong fourth quarter.

Piran Engineer: Okay. And also just a clarification in the initial comments, opening comments, Gaurav, said it will take 1 to 2 years for the credit card franchise to turn around. So by that, you mean breakeven?

Or what exactly did you mean by that?

Sanjay Agarwal: Yes. No, no. Of course, I think the expectation around our credit card or maybe unsecured business is to generate at least maybe 4% to 5% ROA, right? So -- and the first level to get to that to have the breakeven. So I strongly expect to break even by next year, which is the 26-27, and from '27 onwards, it will start giving us some money. Of course, not to have a 4% - 5% ROA in '27-'28, but at least give us some kind of positive profit from that year onwards.

Moderator: Thank you. Mr. Engineer, please rejoin the queue for more questions. Next question comes from the line of Pritesh Bumb with DAM Capital Advisors.

Pritesh Bumb: Sir, two-three questions. One is on the bulk deposits. What I see as a trend is that we have grown strongly on bulk deposit, despite CD ratio being comfortable. Any strategic intent there?

Sanjay Agarwal: Not really. I think the whole system was like this. The CA and SA remain under pressure, right? And we also have grown our retail deposit, right. But I think the heavy lifting has been done

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through wholesale deposits. So I think our ALM, our CD ratio, LCR, all remain very strong. So nothing is specific. I think it was a flow of business.

Pritesh Bumb: See also the follow-up question was on, say, example, REG, we have grown about 16% quarter-on-quarter. It looks like that we've done wholesale borrowing in terms of deposits and we lend to REG where there is slightly lower spread. So I'm just trying to think why would we grow a little higher in some of these businesses where the market is so tight?

Sanjay Agarwal: No. My friend, REG business is only 3% of our overall assets. I know but overall it's just 3% of our overall assets. So we never had an intention to grow REG out of the context and that business is doing well. If you ask me the real estate is doing well, our home loan book is also had performed well. So it's a linkage kind of thing for us. And it's a very granule. We don't do INR100 crores, INR200 crores kind of funding. It is very maybe around INR40 crores, INR50 crores kind of funding. So we are doing from last 10 years. So it's a very well established franchise. And we just want to be like this. So I think the correlation between wholesale deposit and wholesale lending, I don't think is that way.

Moderator: Thank you. Next question comes from the line of Anand Swaminathan with Bank of America. Please go ahead.

Anand Swaminathan: I have a couple of questions. The first question, when you get your universal bank license, does this guidance around 2 to 2.5 the system growth still hold. And why I ask this is none of the other universal banks are growing beyond 20%, 21%. There's no doubt about your capacity to grow. Just wanted to understand will there be any self-imposed limit or regulator is okay with you growing 25 %-plus even after becoming a universal bank.

And number two, when do you next expect to raise capital? Will this be this financial year or next financial year? I just wanted some clarity on that?

Sanjay Agarwal: So Anand, there is nothing as such rule or compulsion from anybody to grow in that kind of numbers, neither the regulator has stopped us. It is basis on the - as of now positioning of us that we are around INR1.5 lakh crores of assets. So we are not too small, not too big for next 2, 3 years. We can grow in the range of 25% -- so it's not related to universal to very honest. It's related to our size.

So once we reach maybe around INR3 lakh crores or INR4 lakh crores, we might say that you want to grow in the range of 20 %. So I think it depends on the size and the opportunity. I personally believe that last 3 years remained very tough for all of us. Now the entire narrative from the regulators, from the government of India, -- I know there are short-term uncertainties, but I see a lot many things coming back t

o Indian economy in the next maybe 18 to 24-month period.

We are well settled and we have built up our franchise Pan India. Our CD ratio -- everything has remained so good, honestly. So in this time, if opportunity is there and it's under our entire metrics, then we will want to grow in the level of maybe 20%, 25%. That's our, I would say, endeavor.

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This year also, we told you that we want to grow around 25%. But if market never permitted us, it just has grown 20%, but our capacity is there, capability is there, approach is there, product is there. So it does depend how the market behaves. So that is our overall strategy. So it's nothing that somebody is pushing us or there is an agenda to grow like this. So we will always grow sensibly and reasonably.

Gaurav Jain: And, Anand, just to add the 2 to 2.5x is not that of system credit growth, that's of the nominal GDP growth.

Anand Swaminathan: Sure, I got it. Yes. No, thanks, Sanjay. I appreciate the clarification. Just wanted to make it clear, and I think it helps the investor base as well to fully appreciate kind of there are no restrictions in its capacity that is driving growth. And that's why...

Sanjay Agarwal: And for the capital raise, Anand, we want to, I think want to relate that with our universal license decision.

Anand Swaminathan: Yes. So it will be after universal bank license you get. That's when you will decide that's what you mean?

Sanjay Agarwal: That's our desire.

Anand Swaminathan: Okay. Fantastic. Sanjay, just in this context since you are talking about the macro as well, what is the on-the-ground feedback your feelings because you speak the most or on the ground to the business community. The underlying macro in India is weak as well and there's a lot of uncertainty with global export tariff etc. What are you hearing from the ground, what is the feedback you're seeing, how do you expect kind of the business decisions to be made in the next few quarters, will help us kind of go kind of gauge how things are on the ground?

Sanjay Agarwal: So, Anand, it's mixed feeling. If you ask me, things are looking good from last maybe 2 months. -- and I'll give you reasons. One, I think regulator has become more growth oriented. Their body language, their narration has helped us a lot. Their action is speaking louder than what they were telling. You can see the LCR norms, you can see the entire liquidity positioning, you can see that they are saying that growth has to come back.

The government of India is also pushing a lot many things. I think in last March, the capex has gone up. So I think, overall, I would say, things are -- coming now to normal level first of all. Second, I think anything which we were expecting that India will shine and India will grow in the range of 7.5%- 8%, it is not there. So people have now become more rational. People have become more cautious.

And in this time, whoever want to build business is sure about the entire spectrum. And so that's why in our opening remark Gaurav very categorically commented that any kind of euphoria has gone away. And when euphoria goes away, the reality is there. So, in my opinion, in this sense we are more safe because we know the reality. So that is coming up.

I would say some sectors like real estate, tourism, the hospitality. I would say the entire tech related businesses are doing phenomenally well. So now as a banker we need to figure out our

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zone, our positioning the way we want to be in and build our business. So it's not that it's very gloomy, nothing is happening, but neither is that it's very growing or it's very rosy. So we need to play our inning well.

And so overall, I'm optimistic than looking for some excuses and all those things. So that's my sense. You want to add on something -- anybody of you. Otherwise tha

t's my sense, Anand.

Moderator: Thank you. Mr. Swaminathan, please rejoin the queue for more questions. Next question comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain: Hello. Am I audible?

Sanjay Agarwal: Yes, Nidhesh. Good evening.

Nidhesh Jain: Hi, sir. Good evening. So the first question is on credit card, what all changes we have made on the credit card in the last 12 months and when should we start seeing increase in new credit card sourcing?

Sanjay Agarwal: Yes. So Nidhesh we have taken a complete course correction. So as we commented earlier that we were doing digital underwriting for lending the credit card. So now we have put in lot many gated condition to understand customers better in the sense that what is his income level? What is his identity, address, kind of stability and all those things. We also have not allowed customers to misuse the card or many of the expense like rent or utility and all those things. So, we have have not allowed our customers, that's why our spend has come down from INR1,900 crores or INR2,000 crores level per month to now INR1,000 crores level per month. And we have also brought in the specialized credit guy from the industry to help us to build underwriting and the portfolio there. We have also not - want to source through the DSA channels and all those things. We want to really build more on our ETB side, existing bank customers.

So these are the things we have already done it. That is why the issuance has come down from 40,000 to 45,000 level to now 10,000 level. But you will see that issuance coming up to the maybe around 20,000 cards a month maybe post September. So we want to take another two quarters to really make it completely repair and then build it.

Nidhesh Jain: Sure, sir. Second question is just on cost-to-income. So last year, we have done phenomenal job on cost-to-income and probably we would have curtailed lot of cost, we would not have invested the way we were investing in the past. So how do you see cost-to-income panning out over from a medium-term perspective and do you see that when you will get leeway from a P&L, you will start investing for future in terms of branding, etcetera, the way we were doing in the past?

Sanjay Agarwal: So Nidhesh, largely we haven't stopped any kind of investment to be honest. I would only highlight three key items. One maybe a marketing cost. So, we deliberately hold it because we want to now tie up with our universal license base, so that it helps us there. Second, expansion. Last year, we got the expansion from Fincare. So we want to build more businesses through that distribution.

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And third, of course, tech. So we have taken some pause in our tech expansion so that we really understand because lot many things are coming infact on a daily basis. So other than these three we haven't had any kind of specific, I would say, actions to really manage our costs.

Rather, we were very, I would say this year onwards, that's why I was so hopeful to say you that my cost-to-income might not be around 57% this year, but should not go up above 60% also because we want to build more distribution. We want to do some kind of tech investments so that we become -we remain future ready. So other than that, I think on marketing, again, will be tied up with our universal license, so yes.

Moderator: Thank you. Mr. Jain, please rejoin the queue for more questions. Next question comes from the line of Nitin Aggarwal with Motilal Oswal Financial Services Limited. Please go ahead.

Nitin Aggarwal: Hi, good evening everyone. I have a few questions. Firstly, on the ROA guidance that we have for FY '27. So Sanjay ji, you gave this guidance like last year and we had a very turbulent FY '25 and there will be some impact of new guardrail in 1H as you mentioned. So how comfortable do you feel to make this guidance

? Do you foresee any risk to this? Or do you think that the risks are evenly poised, so what's your assessment on that?

Sanjay Agarwal: Nitin that is good question. So last financial year, which is now '24-'25, we struggled with both credit cost and the NIM. Still, I would say our performance is as per the guidance. We have accelerated our provisions by ~10 bps, which was much required. So of course, the landing at

1.53 instead of 1.6%, so we really performed last year also as per the guidance, in my opinion. Second, this financial year, I believe credit cost will be more in control. Rather, we can have a challenge on NIM, right.

But I think you know that interest rate factors are now coming down, we are well prepared in terms of anticipating the Indian economy and its effects. So next year, which is '26-'27, I am pretty sure that what we have guided you in a year back, should get materialised. But I don't want to, again, hold myself to around that guidance. It's our endeavor, right? But these are things because if you see our ROA sheet, we're around 5.7%, 5.8% this year too.

We are around -- other income is around 1.8%, 1.9%. It will go further up because we are strengthening our cross-salability through other product lines. Our cost to income is around 4.25%. It might have -- might stable here, right, might not go down for a couple of years. But I'm seeing huge, again, I would say, reduction in my credit cost from 1.3 to 0.85- 0.9 next year, further going down 0.75, maybe in '26-'27.

So I then put all together, if you put all the nets in place, we are above 1.8%, right? So -- and of course, now there will be a market challenge. There would be a lot many things, which may be unknowns, which we do not know as of now, but we need to play our innings, right? And -- but I think you've to appreciate that whether the bank has the capability, bank is on the right track, bank is not under any kind of pressure or any kind of issue which we are not able to solve. It's our business numbers with 10 bps here and there, but we largely remain on course and of course the universal license.

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Nitin Aggarwal: Right. And sir, second question is, any color as to what would our LCR be factored in the -- like a revised LCR guidelines that came in yesterday, I'm asking because AU Bank is relatively lower and so should like any benefit on that should be very much...

Sanjay Agarwal: New guideline, I think we haven't done our working, but it is close to 120. Sorry, Yogesh, you want to add on?

Yogesh Jain: Yes. So these guidelines are better than draft guidelines. And I think we are just evaluating but it should be neutral to positive impact on us.

Sanjay Agarwal: But we are fine with that LCR because, again, we are doing our business, many of banks know their own risk management. So as for our risk management anything around 115, 120 is good enough for us. So for me, Nitin, because we need to build our own risk management around that, right?

Yogesh Jain: But we are not expecting any negative impact.

Sanjay Agarwal: Yes. For that from the guidelines, right? But the entire LCR expectation from AU Bank is around lower what market operates, right?

Moderator: Yes. Mr. Aggarwal, please re-join the queue for more questions. Next question comes from the line of Rohan Mandora with Equirus Securities.

Rohan Mandora: Sir, firstly, the 30 basis point Q-o-Q decline in incremental yields that you have seen. So did you have any component of year-end discounts or in the secured business? Or is it purely a function of a change in loan mix?

Prince Tiwari: That's on the disbursement, right, Rohan?

Rohan Mandora: Yes, on the disbursement.

Prince Tiwari: That's more a function of mix, nothing else. There is obviously some impact of year ending on the secured side. There might be a slight bit element of that, but I think it's largely a function of mix.

Rohan

Mandora: Sure. Okay. Secondly, on the wheels, the growth that we have seen in this quarter, just wanted to understand how did the growth shape up across sub-segments on wheels?

Prince Tiwari: So I think this quarter, we saw some strong uptake on the tractor side. Given the seasonally the rains has been good. So I think this quarter, the tractor definitely outperformed. Even on the used vehicle segment side, I think we have picked up. So yes, I think everything else broadly were there. New car sales were a bit flattish. But I think on the used side, on the tractor side. 2-wheeler, we have gone deliberately slow, so we haven't really pushed that product -- you want to add on.

Uttam Tibrewal: So overall, Q4 was flat, but second half of March, there were some traction towards vehicles as we saw in the industry. So that has contributed. Otherwise, Q4. As such, what we expect from Q4 as a buoyancy it was not there, it was flattish. And these are the all sales numbers also, but I think second half of March saw some traction.

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Rohan Mandora: Sure. And lastly, on Slide 11, the credit cost that we have given segment-wise, what is the denominator used here because if you have to compare it across the last 3, 4 presentations that you've given, how should we look at that number?

Prince Tiwari: So, Rohan, everywhere, we have used the gross loan portfolio or the AUM, the average of that, the average AUM for the period. For the quarter or for the year. And the AUM or the GLP, gross loan portfolio, you can find on Slide Number 38, every quarter.

Rohan Mandora: So for FY '25, when you're giving this 11% for credit cards or 7.5% for MFI, so it would be average of March versus March or December versus March? Just...

Prince Tiwari: So this is for the full year. Since this is for the full year. Right. This credit cost is for the full year. So you would have taken the average of all the 12 months.

Moderator: Next question comes from the line of Pranuj with JPMorgan. Please go ahead.

Pranuj: So a couple of ones. So one is at what level will you be comfortable in growing your MFI book in line with your overall loan growth? Because if you're guiding for a 20% to 25% perhaps loan growth, then starting from second half of FY '26, could we see MFI book growth materially pick up for the share to increase from the current 6% level? And also in that context, in FY '26 in particular, how will you look to manage your PSL compliance on SMF and the weaker section? So that's the first question.

And second one is that even with you doing CGFMU across most of the incremental disbursements, does that initial guidance that you had said that you would want to maintain a 3% coverage on your overall MFI book still hold or all incremental disbursements?

Sanjay Agarwal: I think a very good question. So I think we will continue to have 3% credit cost provision irrespective of our coverage under these government schemes. But by this year and we expect ~80% of our book to be covered under this scheme. So I think by what just Gaurav commented that we want to protect our future from any downside risk from the credit cost of this business. And that is why we are more bullish now that this is not a very... I would say it's a very important strategic change, which we have brought in, in the microfinance book. So that is there.

But overall, we've already said that unsecured piece won't be going above 15%. And in that -- and MFI will not go above 10%. So we want to be in that numbers for maybe the next couple of years.

Prince Tiwari: And Pranuj, if you see the secured business, even in this year has grown by 23%. Right. The commercial doing 30% plus and retail secured doing about 21%, 22%. So honestly, even the other businesses, the unsecured businesses, which you mentioned, they were down 17%. So if they're just neutral also, we should broadly start scaling up. Right. So we don't

really need to be

very aggressive on those businesses to achieve a 20%, 25% kind of range.

Pranuj: So -- just to follow up on that, if you are saying that your overall loan growth remains at 20%, 25% range and MFI, I'm assuming gradually goes from 6% to 10%, and you're saying that

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perhaps after second half, like if you see the systems stabilize, you are not against growing MFI and credit card book at a 25%, 30% range also given the system...

Sanjay Agarwal: Yes. But with the cap of overall 10% of our overall book from MFI, maybe another 5% unsecured. That's the overall cap.

Prince Tiwari: Yes. And it's a long runway, Pranuj, because MFI currently is about sub-6, right? And the other businesses are also growing at about 25% -- 20%, 25%. So for MFI to jump from 6% to 10%, they'll have to grow at like 40%, 50% yes. Right? Which I'm not really sure is something that we are envisaging. So I think the growth on the MFI will be very measured, if I can say that way.

Pranuj: Okay. Got it. Understood. I don't know PSL requirements, does this provide some...

Prince Tiwari: We are compliant this year. So FY '25, we are good on all our sub-segments as well as on the overall PSL. For next financial year, it will be more a function of how the disbursement picks up and how the book behaves.

Sanjay Agarwal: So Yogesh how much percentage this year SMF has been done by microfinance book? Yogesh Jain 50 %.

Sanjay Agarwal: Yes. So 50%, our SMF book obligation has been done by microfinance book.

Moderator: Next question comes from the line of Rahul Jain with Goldman Sachs. Please go ahead.

Rahul Jain: Sanjay Ji and team, I think, congratulations, it's been a tough year for you all. And despite that, your numbers are decent. I just had a few questions. Maybe just to start with the credit cards, the loan loss provision guidance, which you said this is still some residual pain that you'll clean up in the first half. But in this quarter, you already made 150% sorry, INR150 crores of provisions. So how much more is required -- I mean if you can just share some more color on SMA-1, SMA-2 book in the credit card space. So that's one.

Second is, I have another question on NIMS, but let's just discuss this first before I move to the

second question.

Sanjay Agarwal: Yes. So Rahul, like this year, due to the accelerated provision on credit card book, it is around 12.5 kind of credit cost. And I expect a credit cost of credit card on a on a very normalized basis should be in the range of 5% to 6%. Next year, this financial year, '26-'25-'26, I expect my credit cost on credit card should be around in the range of 6% to 7%.

So the idea is to bring my credit cost assumption on a book level on a normalized basis from this year onwards. So that's why we have done this accelerated provision so that the normalized credit cost should be there on our balance sheet from this year onwards. So I don't think that any specific provision is acquired from here onwards to really arrest our any additional credit card costs.

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Rahul Jain: So the first half would mainly be any elevated credit costs that might be there would mainly be because of the MFI and lower recoveries in your secured retail asset business, which is seasonal in nature. Is that a fair assumption?

Sanjay Agarwal: Yes. So I think already still very early days. Honestly, we are just talking on 22nd April. So March has been very promising in all aspects, be it recoveries and around secured assets or be recovery around microfinance or credit card. We as a team has pulled up a lot many good things in March. So still to -- I won't able to comment that how the quarter 1, quarter 2 can be. But an overall yearly basis, Rahul, I strongly believe that our credit cost will be substantially lower what we have done in this whole financial year.

Rahul Jain: Got it. Makes sense. And according to the slippages that we had in this quarter, can we say that we are now at the peak, and therefore, the worst is behind us. And even in the first half itself, we should start seeing the improvement because the collection efficiency in the MFI business has almost normalized as shown in the presentation. Credit card is getting to the normalized run rate. So fair to assume that slippages have peaked in this quarter?

Prince Tiwari: Again, Rahul, honestly, I love to say that, and we'd all want to. But as we said, it's a Q4 right now, and there is definitely always a year ending phenomena that plays out. And as you rightly said earlier in your question that Q1, Q2 typically has a seasonal impact. So honestly, I would like to reserve my comments on that and just make it out.

But definitely, I think in all the businesses, we have seen an improvement in slippages. And hopefully, we can come back to you. If there is no major heat wave or other things, then hopefully, we should be there but let's just wait out for Q1, Q2. Some seasonality always plays out. I don't want to really comment that.

Rahul Jain: Makes sense. And the third question is on the margins. So your wholesale deposits and floating portfolio, by and large, is similar in terms of the proportion of their respective portfolios. You've seen a sharp reduction in the wholesale rates in the market. So your commentary still remains the same on margins that first half will be under pressure because of the EBLR linked portfolio, etc.

But this is similar to what we had heard from you all in the fourth quarter because since then the RBI has taken some serious measures to bring the rates down in the wholesale market. So, what's making us so cautious that the margins will still remain under pressure in the first half.

Technically, the pressure should be easier or lower after the RBI measures and not the same as in the fourth -- in the third quarter, I'm sorry.

Prince Tiwari: And also, as I said in the first question, primarily, there was an impact of higher cost of funds. The cost of funds moved by about 7 basis points during the quarter. But as I said, that got negated for this quarter because of the number of days, right. So there was a definitely offsetting factor there that might not be available in the next quarter. So to that extent, there'll be -- that impact is still to play out, and that's where we are cautious.

But otherwise, I completely agree with you that given the steps that the regulators have taken the kind of liquidity measures that has been infused and the fact that we have already taken rate

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cut that's on both the savings as well as on the term deposits. And hopefully, wholesale prices -
- wholesale deposits start pricing much lower.

We are confident or we are hopeful that as we progress further into the year, we'll be in a much better position, given that 70% of our asset side is still fixed rate and typically liabilities gets priced earlier. But as I said, we still -- I would like to reserve again the guidance to see that how the flow-through happens.

Gaurav Jain: Sorry, I just have a correction, right? On the credit card stuff, right? So next year, our credit cost

is going to be elevated in the first half. And in the second half, it will probably start approaching towards more normalized level that Sanjay Ji mentioned of 6% to 7%, right? But as a result, my full year credit cost on credit card will remain elevated above a normalized level.

Moderator: Thank you. Mr. Jain. Please rejoin the queue for more questions. Next question comes from the line of Ashlesh Sonje with Kotak Securities. Please go ahead.

Ashlesh Sonje: Sir, first question is on asset quality. Last quarter, I remember you had indicated some elevated slippages in the small transporter segment within vehicle finance, especially in SCV and L

CV.

Wanted to check with you how is the situation there in that portfolio as of now?

And secondly, if you can share some color on collections in the microfinance portfolio in the month of April. Whether that 99.2% number in March has gone down to, let's say, 96%, 97% or it is still holding up, let's say, around above 98%.

Uttam Tibrewal: So, yes, I'm Uttam here. So first of all, for the small transporters, small commercial vehicles can say that, loading vehicles -- the situation has improved. The collection has improved throughout the Q4 and more of Feb and March was good collections and good efficiency there.

Prince Tiwari: Yes. And even on the MFI side, whatever early trends that we have seen. I think things are holding up. But Rajeev Ji. Do you want to comment on?

Rajeev Yadav: So Ashlesh. Obviously, March is always one of the strongest months. But as you know, this was coming out of a credit cycle. So it's not basically meaning that this is a normalized state. So I am fairly confident that Q1 will be better than Q4, you have the breakup of all the numbers across quarters and Q4 was 98.7%. So I expect clearly Q1 to be better, and we are tracking April quite well at this point of time even to the earlier months.

Ashlesh Sonje: Okay thank you. Sir, if I can just squeeze in one more question. On the SA Rate book, can you just break out what proportion of the SA book is with depositors who have balances below 1 lakh -- below 3 lakh, below 5 lakh? If you can do that.

Sanjay Agarwal: This is too granular. Ashlesh, we can -- you can write to us and we can respond to this because this is -- we don't have this data backup as such.

Ashlesh Sonje: Okay, sure thanks a lot.

Moderator: Thank you. Next question comes from the line of Shailesh Kanani with Centrum Broking. Please go ahead.

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Shailesh Kanani: Yes. So approximately 16% of the portfolio is impacted by MFIN-2 guardrails, right? So in cases where these customers are kind of regular in repayments, are we considering transitioning them to an individual loan product? Because incrementally, industry is also seeing a momentum towards that. So how are we viewing that?

Rajeev Yadav: So Shailesh. Individual loans is something which we have to strategically debate and come back and see whether we sort of want to migrate to that and as a general microfinance proposition because it's not just about the impacted customers, it's a broader construct. I would just say that we are working with our customers. We have -- these customers have been well educated over the last 1 or 2 quarters for the guardrails, which have been launched and what we were transitioning to.

My personal belief is that the people who are still good with us and not delinquent or NPA, even if they are impacted, a lot of them are having capability or conviction to repay their loans. So generally, we're not seeing, at least as we are tracking April impact on the industry guardrail changes at this point of time.

Rajeev Yadav: Yes. Just to clarify further on that, Shailesh. we only do joint lending -- JLG model today. We don't do individual model on the microfinance portfolio.

Shailesh Kanani: Yes. I'm aware of that. I was just thinking -- I mean, I was just wondering if we are considering that as a product?

Rajeev Yadav: Not just to react to the situation, but improving business model thinking and as obviously, there is a learning and improvement that we need to make out of this overleverage cycle. So the model will evolve, but I wouldn't say as a reaction to a guardrail impacted customer. So and microfinance models typically evolve over a few years.

They don't -- they're not reactive to a situation because ultimately, there are a large number of workforce, customers, and there's a lot of signs behind what has been built over the last 2 decades. So I would say some evolution would happen, and we'll work that t

hrough in this financial year.

Moderator: Thank you. Mr. Kanani, please rejoin the queue for more questions. Next question comes from the line of Pritesh Bumb with DAM Capital Advisors.

Pritesh Bumb: Yes. So one question was on the home loan NPL side. So that has been inching up a bit. Now,

it is more than 1%. Anything on that because we're seeing a little bit of NPLs there?

Prince Tiwari: Yes. So some NPLs have come through, through the transition. As you know, that we had a merger last year and Fincare used to do this business. So we have seen some transition NPLs, but hopefully, we should get back in control going forward.

Sanjay Agarwal: But the yield is also very high on that book. So it is a risk reward kind of outcome?

Pritesh Bumb: So if I want to take a follow-up on that, so are we changing anything in terms of tenure of the mix, the approach to that business or...

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Sanjay Agarwal: Which one?

Pritesh Bumb: The home loan side. Are we seeing transition there towards more higher ticket size, more better...

Sanjay Agarwal: No, We want to be in affordable housing space. And AU was doing as a structure, we were doing more of, I would say, high-end customer in low income group. And Fincare was doing more low income group in the southern side. And in this whole transitioning, you know that there are always a challenge around team retention and all those things, but it's not that high. The absolute amount is very low. So I'm not too worried. So we will bring entire factors of AU in those markets also.

Pritesh Bumb: Got it, thanks so much. That was my question.

Moderator: Thank you Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Prince Tiwari for closing comments.

Prince Tiwari: Thank you, Renju and thank you, everyone, for joining the call today and for your questions and all the support through the years. In case you have further questions, kindly reach out to the IR team, and we'll be more than happy to respond. We are signing off on behalf of AU Management. Good night.

Sanjay Agarwal: Thank you so much.

Moderator: Thank you. On behalf of AU Small Finance Bank Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

Ref. No.: AUSFB/SEC/202 5-26/162

Date: July 25, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 959025, 974093, 974094,
974095, 974914, 974963, 975017, 975038 & 976580

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter ended on June 30, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Saturday , July 19, 2025 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter ended on June 30, 2025 . In compliance of Regulation 46 of the Listing Regulations, the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> . This is for your information and records.

Thanking You,

Yours faithfully,
For AU SMALL FINANCE BANK LIMITED

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Encl: As above
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Q1'FY26 Earnings Conference Call"
July 19, 2025
MANAGEMENT : M R.SANJAY AGARWAL –FOUNDER ,MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR.UTTAM TIBREWAL –EXECUTIVE DIRECTOR AND
DEPUTY CHIEF EXECUTIVE OFFICER
MR.VIMAL JAIN –CHIEF FINANCIAL OFFICER
MR.DEEPAK JAIN –CHIEF RISK OFFICER
MR.VIVEK TRIPATHI –CHIEF CREDIT OFFICER
MR.GAURAV JAIN –PRESIDENT ,FINANCE AND
STRATEGY
MR.PRINCE TIWARI –HEAD OF INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the AU Small Finance Bank Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone.

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Please note that this conference is being recorded. I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations. Thank you and over to you, Mr. Tiwari.

Prince Tiwari: Thank you, Dorwin, and good evening, everyone, and welcome to AU Small Finance Bank's earnings call for the first quarter of financial year FY25-26. We thank you all for joining today evening, and I do understand that probably for most of you this is a very long day, so thank you once again for joining the call.

On today's call, we have our Founder, MD, and CEO - Mr. Sanjay Agarwal. We have our Executive Director and Deputy CEO - Mr. Uttam Tibrewal. We have our CFO - Mr. Vimal Jain, CRO - Mr. Deepak Jain, and Chief Credit Officer - Mr. Vivek Tripathi, along with Mr. Gaurav Jain - President, Finance and Strategy, and the IR team. Like similar to last quarter, we'll start the call with 15 to 20 minutes of opening remarks by Gaurav, followed by a Q&A session of 40 to 45 minutes.

For the benefit of all participants, we kindly request all the participants to kindly restrict to two questions per participant and join back in the queue should you need to ask further questions. For all data-keeping questions, you can always reach out to IR team at any point in time after the call. So with that, I now request Gaurav Jain, President, Finance and Strategy, to share his opening remarks. Gaurav, over to you.

Gaurav Jain: Thank you, Prince. Good evening, everyone, and thank you for bearing with us on a Saturday evening. Let me begin with a quick look at the operating environment. Q1 was a seasonally muted quarter with subdued macro and weak underlying demand. System-level credit growth continued to decline and was 9.5% in June versus 16% in FY24. On-the-ground operating environment also remains mixed, although we could see improvement as the quarter progressed in May and June.

On the plus side, RBI's policy rate cuts, liquidity infusion, and announced CRR cut have provided support on the deposit side. We expect the broader economic environment to improve in the second half of the year, supported by buoyant rural demand, revival in urban demand, uptake in investment activity, and government's continuous thrust on capex. In this evolving environment, AU continued to deliver robust performance.

We delivered strong growth, with our deposit book growing by 31% Y-o-Y, which was nearly 3x of the system growth rate. And our loans book grew by 18% Y-o-Y, which is nearly 2x of the system growth rate. Notably, this growth was delivered despite degrowth of 23% in our unsecured book.

PAT grew by 16% Y-o-Y, and we delivered an ROA of 1.5% despite margin pressure and elevated credit cost in unsecured assets. Now let me give some color on our businesses. First on the deposits business, our deposit base crossed INR1,27,000 crores, growing by 31% year-on-year. Current account balances grew by 34% Y-o-Y, and savings accounts grew by 13% Y-o-Y, taking the total CASA growth to 16% Y-o-Y. All other key parameters remain in line.

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Our cost of funds improved by 6 bps to 7.08% from 7.14% in Q4. We maintained an average LCR of 123% during the quarter, which was an increase of 7% from last quarter. And our CD ratio excluding refinance stands at 79%.

Our branch profitability improved with 49% of our branches, which were in existence in December 23, becoming profitable in Q1, versus 34% a year back. During the quarter, we undertook pricing cuts on SA and FD in line with the easing rate cycle and our comfortable liquidity position. Peak SA rate was reduced by 50 bps, with up to 100 bps reduction in certain buckets, as compared to March 25.

And peak FD rates were reduced by 90 bps to 7.1%. We continue to prioritize our strategy of driving granular retail deposit growth through focused customer acquisition, tailored product of

ferings, enhanced customer engagement, and improved sales productivity. We have a full product suite with cutting-edge digital channels catering to diverse needs of our deposit customers. These include various segmented savings and current accounts offerings, insurance and wealth solutions, credit cards, unsecured loans, and FX.

Our well-structured distribution channels are scaling efficiently, enabling us to deepen customer relationships and expand our deposit base sustainably. This year, we will add around 70 to 80 new deposit branches, mostly in the top cities. Our team is well-poised to drive the next phase of growth, backed by deep domain expertise, strong execution capabilities, and alignment with strategic priorities.

Now, moving on to our assets franchise. Our loan portfolio grew by 18% year-on-year to reach INR1,17,000 crores. Growth was led by our core secure segments, which include retail-secured assets and commercial banking assets.

These two portfolios form 88% of our total loan book and grew by 22% year-on-year. Our retail-secured assets book, which stands at around INR79,000 crores and forms 67% of our total loan

portfolio, includes wheels, mortgages, and gold loans. This is our flagship business with a legacy spanning over two decades and is a distinctive blend of scale, growth, high yield, and robust asset quality, making it the cornerstone of our asset strategy.

This segment continues to deliver strong performance with growth of 20% Y-o-Y and 3% quarter-on-quarter. Now, let me talk about the key products within retail-secured. First is wheels. Our wheels book is around 38,000 crores, which is 32% of our total GLP. The book is largely fixed rate and is well-diversified across new and used, personal and commercial cars, SCVs, LCVs, tractors, and two-wheelers. Wheel segment has continued to deliver strong and consistent growth.

GLP grew by 26% year-on-year, which is market-leading in our segment. Portfolio yield increased by 3 bps quarter-on-quarter and is north of 14%. We are significantly expanding the distribution in wheel segment, leveraging erstwhile fincare branches in UP and South.

Wheels distribution increased from 550 branches in March '24 to 715 branches in March '25, with another 200-plus branches set to go live in FY '26. This implies an increase of 70% from March '24. We expect the growth to remain strong for the full year, with multiple growth levers

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including diversified book, strong used vehicles contribution, and ongoing distribution expansion.

Credit cost remains broadly in line with our expectations, in a seasonally weaker Q1. Segments which are showing stress in the overall industry, for example, used SCV and HCV, are a relatively small proportion of our book. We do not see any cause for concern and expect asset quality in these segments to normalize in the second half as per trend.

ROA for the segment remains strong and is consistently above 2%. In addition, the portfolio contributes meaningfully to our PSL and SMF obligations. The second key product is Mortgages, which stands at around INR39,000 crores and forms 33% of the total GLP. It includes microbusiness loans and home loans. Total Mortgages portfolio grew by 14% year-on-year and 1% quarter-on-quarter. Within this, MBL and home loans respectively grew by 15% and 11% Y-o-Y.

More than 70% of MBL book is fixed rate and ROA for the book is greater than 2.5%. There is no comparable peer operating at this scale and yield in MBL. We are working to increase the growth rate of this book to over 20% by next year. Similar to wheels, we are increasing our distribution.

MBL branch count increased from 532 in March '24 to 924 branches in March 25, including merger. We are planning to increase this by another 200 plus branches in FY '26. However, competitive intensity remains high in this segment and there could be potential downside risks to our

growth target.

Credit cost is slightly above our expectations, primarily driven by deterioration in our southern book, which is around 15% of the total book (Mortgage). However, this south book is also higher yielding at around 17% to 18% versus 14% for the rest of the book. We have taken further measures to strengthen the collection and security enforcement infrastructure and expect normalization by the end of the year for the southern mortgages.

The third product within Retail Secured Assets is gold, which has GLP of around INR2,000 crores and comprises 2% of the total loan portfolio. Gold loan portfolio grew by 11% year-on-year and 4% quarter-on-quarter. There is no risk weight for gold loans.

Portfolio yields around 16% and ROA is north of 3%. RBI's unified guidelines for gold loans have harmonized norms across banks and NBFCs, allowing banks to compete more effectively. We remain compliant with the guidelines and believe there is an opportunity to build and scale our gold franchise significantly, leveraging the capability acquired through the Fincare acquisition.

Distribution network has increased from 350 branches in March '24 to 850 branches in March '25 post-merger. We are further investing in scaling the sales and operations team and experimenting with branch formats to increase disbursement TAT. The second key asset segment is commercial banking, which is 21% of the total loan portfolio and includes five businesses – Business Banking, Agri banking, Emerging Enterprises and Financial Institutions, Real Estate and Transaction Banking.

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We have a full product suite and tech capability, including the AD1 business, which we started last year. It established a good track record over the years with strong growth, stable asset quality and consistent ROA of about 2%. Total GLP grew 30% year on year and 2% quarter on quarter. And we expect full year growth to remain strong as per expectations. Asset quality also remains in line with expectations. So far we have discussed the secure asset portfolio.

Now let me walk you through the unsecured segments, which de-grew by 23% year-on-year and 7% quarter-on-quarter and form 8% of our total loan portfolio. The largest unsecured segment is the Inclusive Finance Book for bottom of pyramid customers, which includes MFI and lending to small marginal farmers and FPOs. This book is key for fulfilling our PSL obligations in SMF and AGRI and contributed more than half of our SMF requirements in FY '25.

Total book is around INR6,500 crores, which is around 6% of our total GLP. MFI is the biggest product in this segment, with Bank having comprehensive micro-banking relationship with customers, including savings account, insurance, payment solutions and DBT linkages. MFI has GLP of INR6,200 crores and is facing twin challenges of asset quality and book de-growth in the current credit cycle.

The book de-grew by 22% year on year and 7% quarter on quarter. We expect the book to have bottomed out this quarter, achieve stability in Q2 and grow thereafter. We are targeting INR7,000 crores book by year end, implying a year on year growth of 5%. On asset quality, the performance was also below our expectations.

Collection efficiency for the quarter dropped to 98.3% versus 98.7% in Q4, driven by seasonality, state ordinance in Karnataka, as well as impact from MFIN guardrails coming into effect. This has pushed back the expected recovery by a quarter, and we now expect full year credit cost to be higher at around 5% versus our previous expectations of 3% to 4%. We have taken a number of operational steps to strengthen the business, including increasing the collections team and securing cover under the CGFMU credit guarantee scheme.

Incrementally, 97% of Q1 disbursements are covered under CGFMU, taking the portfolio coverage to over 50% by end of Q1. We are observing asset quality improvements sequentially

after MFIN guardrail implementation and will continue to update as things evolve. The other unsecured book is our credit card and personal loans business. Total GLP is around INR3,000 crores, which is 3% of the total loan portfolio. Of this, credit card book is around INR2,300 crores, which saw a degrowth of 27% year-on-year and 6% quarter-on-quarter.

Credit cost remains elevated in line with our expectations and may have peaked this quarter in absolute terms. Most of the flows have come from the identified pool where we have already taken actions to reduce credit limits. Credit cost may remain elevated in Q2, but we expect it to start normalizing from second half onwards.

Now, in terms of profitability. We delivered profit after tax of INR581 crores for the year, up by 16% from Q1 last year. ROA for the quarter was 1.5% despite margin pressure and elevated credit cost in unsecured book. Our net interest margin declined by 38 bps in the quarter from 5.8% in Q4 to 5.4% in Q1. This decline was due to the following key drivers.

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The first is reduction in asset yield by 27 bps from 14.4% in Q4 to 14.1% in Q1. This was due to repo cut impact on variable book, lower asset yield primarily in credit card and change in asset mix with lower MFI.

The second reason was reduction in investment yield by around 20 to 25 bps in Q1. This drop was driven by lower rate environment and booking of treasury gains. Third was due to effect of higher liquidity including investments in mutual funds carried during the quarter which had an impact of around 10 bps on NIM. This is expected to reverse as the year progresses.

These yield declines were partially offset by decline of 6 basis points in cost of funds from 7.14 in Q4 to 7.08% in Q1. Going forward, while there will be further impact on asset yield in Q2 from repricing of the variable book, this would be partially offset by lower cost of funds and reversal of higher liquidity as the year progresses. Q2 should be the bottom for NIM and we should start seeing gradual improvements in margins from Q3 onwards assuming no further rate cuts.

Other income saw a healthy contribution driven by treasury gains and ongoing strength in core fee income. We also maintained disciplined control over operating expenses. Opex by total assets fell from 4.2% in Q4 to 3.9% in Q1, partly driven by lower disbursement in the quarter. Cost income ratio was 54% which benefited from higher treasury gains in the quarter. Our credit cost remained elevated in Q1, driven primarily by unsecured segments as elaborated earlier. Overall, basis the Q1 performance in MFI and our south-based mortgages portfolio, there is a downside risk to our previous guidance and we increased our full-year credit cost expectation by 10 to 15 bps, taking the expected credit cost to around 1% of average total assets.

To sum up, Q1 was a quarter of steady execution in a transitioning macro environment. We remain confident in our strategy, our customer-centric model, and our ability to deliver consistent performance.

With that, I'll now hand over to Prince for Q&A. Thank you.

Prince Tiwari: Thank you, Gaurav. Dorwin, we can now open the floor for questions.

Moderator: Certainly, sir. Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Renish from ICICI.

Renish: Sir, just two things from my side. One, on the overall profitability from a '26-'27 perspective. So, we have increased our credit card guidance. And when we look at NIM reduction in Q1, and also we are now finding that it will further go down in Q2 and then bottom out. So, how do you expect ROA settling in '26 and '27 considering pressure on NIM and higher credit costs in '26?

Gaurav Jain: So, Renish, we haven't guided for an ROA for FY '26. And we reiterate our guidance of achieving 1.8% ROA for FY '27.

Renish: So, we'll s

tick to our guidance for 27, right?

Gaurav Jain: Yeah.

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Renish: Okay. And secondly, on the vehicle financing piece, you know, so you did mention about some stress in Used SCV/HCV segment. But can you please elaborate further? I mean, is it geographically specific or it is a broad-based largely due to the weak macros?

Vivek Tripathi: Yeah, hi, Renish. This is Vivek. See, first of all, that used SCV & HCV book is a very, very small proportion of our total assets. About 6% of the total wheels asset is in that segment. The trend did not start this year. The trend started last year across the industry because of the delayed carbon capex, there was a heavy rains last year. So, the pressure started building up in that segment.

And we took a lot of corrective measures in Q3, Q4 of last financial year. And the book is performing very well post that, right? So, there is a very, very little impact. It is not geographically specific. It is just specific to one segment which is used small commercial vehicle. And anyway, we don't have much of presence in HCV. So, we are not there in that segment. So, nothing to comment about that.

Sanjay Agarwal: So, Renish, hi. I am Sanjay Agarwal this side. So, just to add on about Gaurav's comment that this year too, you know, of course, we all believe that the quarter 2 NIM will go down. But there is all probability that quarter 3, quarter 4 NIM will be more expanded, right? And in terms of our credit cost, because we guided around 85, 90 bps. So, because of this one quarter going up for MFI, we believe that 90 bps might not be achievable. So, we are just calling out so that the people can figure out in your calculation that there can be 100 bps.

But one thing is sure that this year will remain stronger than the last year. So, last year, we performed around 1.4 (Corrected 1.5%), right, in terms of our ROA. And next year, we want to be at 1.8. So, this year, of course, it has to be on an upward trend. But difficult as of now, because again, lot many variables in the environment, how the Indian economy will happen, what if there can be more rate cut.

And, of course, we haven't guided an absolute amount in terms of growth. We have relatively there. So, if we are going at 6.5 and then the inflation is around, 3%- 3.5%, then overall nominal GDP is around 9, and then we can't grow in the range of 25%, right. So, I think it has such a variable. But next year, why we are sure? Because it will be a sizable balance sheet. The NIM pressure will go away. We have a 70% book as fixed.

So, we are more sure about next year. And, lot much correction will happen in MFI and the credit card too. So, I think, again, I'm reiterating this line from now 3, 4 years that banking franchise requires at least 10 years to get stable, stronger, and scalable, right. So, we are on that path.

Renish: Got it. And just to, I mean, follow up on that, so some of the stress in this segment, which you did mention about south-based mortgage or used SCV/HCV, etcetera, is this because of the excessive growth in this segment by industry or there is nothing too much to read into this?

Sanjay Agarwal: Yes, Vivek, can you answer it?

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Vivek Tripathi: So, Renish, the south-based mortgage was fundamentally different from what we used to do in north and west. It was a very high-yielding book at 18% - 18.5%. The ticket size was smaller, obviously. So, the inherent customer profile and the inherent risk was also different, but the reward was also different.

We had already taken, it's not that now we have taken, we had already taken measures in terms of building that collection infra, having the complete setup in terms of doing the SARFAESI and legal recovery, right, which would yield results now, because it was under a different setup. Fundamentally, we had this recipe to run this business si

nce long. So, we replicated across the geography. We would see results in a couple of quarters, right.

Renish: I mean, fundamentally this...

Moderator: Sorry to interrupt, Renish. We request you to please rejoin the queue if you have further questions. Thank you. Our next question comes from the line of Suraj Das from Sundaram

Mutual Fund. Please go ahead.

Suraj Das: Yes, hi. Thanks for the opportunity. One question, I mean, on this credit cost again, on this unsecured MFI, credit card, personal loan, I can understand. But, Sanjay sir, I mean, structurally, if I see for last 6, 7, 8 years, your retail credit cost has always been 70 basis point or lower, barring the COVID year. Let us say, since FY '18. But for last 3, 4, 5 quarters, it is only running up and high.

so, I mean, the question is structurally, what has changed? I mean, in the face of growth, I mean, have you structurally loosened some risk filter or have done something like that? And would it be fair to assume that probably that 60, 70 basis point credit cost in the secured retail is not possible anymore? Probably, if you are growing at 20% plus, more or less 100 basis point credit cost is a new normal. So, that is my only question.

Sanjay Agarwal: No, no, I appreciate your question. So, I think two things. One, I would strongly advocate that this business goes through cycles, right? And unfortunately, a couple of years, the kind of market segment we deal in, there is some pressure in those markets because economy is not doing well. We have also become pan-India franchise, team needs some time to settle down. So, it mix of all things.

So, but I completely agree that we remain as one of the strongest franchise in terms of collection and asset quality in this segment. But I don't think now, because of our size, scale, and the kind of footprint we have now, because that time we were way too small, things can be managed more macro level, right? But now, at this size, scale, with the pan-India presence, and with this kind of economy trends, we should expect the little bit elevated credit cost, which may be in the range of 75- 80.

But last year, we thought that this year, we might be at 85- 90. But in secured asset, you will see a lot much improvement, maybe next year onwards, not this year, in that range. But because MFI is on higher rate, credit cost is in the middle of whole work in progress. So, I think that is why we are around 1% kind of credit cost. But I believe that in the given circumstances, the team is performing very well.

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Vivek Tripathi: In addition to what Sanjay ji said, there was a complete change in the, even the provisioning norms also. You talk, if you're comparing with FY17, 18, 19, obviously, the PCR on the secured assets was different, right? Because we had a very historical data of the net credit loss. But on a bank platform, obviously, the provisioning norms changes, and we had to change accordingly. So, those are not actually apple-to-apple comparable. Little, if you adjust for it, there is a little gap. Yes, but not that wide.

Suraj Das: Sure. But in terms of underwriting, I mean, nothing has changed over a period of time.

Sanjay Agarwal: Rather, I would say we have become more stringent like, previous days, it was more about NBFC kind of culture. Now, we have actually adopted the whole arm's length kind of working where sales don't have credit powers, credit guys don't have a sales target or anything. So, rather, we are working on our credit team and Vivek Tripathi sitting on this call, has been elevated to Chief Credit Officer to have a credit culture in the bank for the scale sustainability.

Suraj Das: Sure, sir. Got it. Thanks.

Moderator: Our next question comes from the line of Kunal Shah from Citigroup. Please go ahead. Kunal, your line has been unmuted. You may proceed with your question.

Kunal Shah: Yeah, thanks for taking the question

. So, firstly, maybe what changed post maybe the commentary in the last earnings call? Maybe wasn't it very visible with respect to the stress in MFI? Or were there any incremental stress pockets which came in after the last earnings call? And even this entire stress on the Southern book, okay, maybe how big was that element in the overall slippage and the credit cost? And what actually led to that? Maybe because generally like mortgages tend to behave quite well. So, you indicated a bit, but maybe is it maybe what happened between maybe the earnings call of last quarter and maybe the results for this period?

Vivek Tripathi: Yes. So, Kunal, Vivek here. One, we had the collection efficiencies in non-OD in microfinance were trending upward of 97% by March.

Prince Tiwari: 98.7%.

Vivek Tripathi: Yeah, 98.7% in March. And there was some anticipation that this would sustain in Q1. It did not happen. It's not that it's with us, the industry, right? Those collection efficiencies could not hold. But there is a green shoot. If we look at from April, May, June, and July, it's looking upward again. So, it just pushed by one quarter. Point 2, Further, on that portfolio, what we ensured that incremental disbursement are happening with the government guarantee, which is CGFMU. So, in Q1, whatever we did, it's 97% is covered by those guarantees.

So, we would have a cap in terms of the credit cost anyway, right? On the mortgage, Southern Mortgage piece, as I said, fundamentally, it was a very granular book with differentiated yield. It was at 18.5%. There was a transition of team. Obviously, some amount of churn happens when you transition. That would have led to some elevation in terms of the, I would say, decline in

collection efficiency. And plus, this was not a very old business with Fincare
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So, in terms of the learning and building the infrastructure of collection and legal recovery has been done by us now. So, we are very, very confident that we will be able to pull it back in just a couple of quarters because it's not that there is no security, there is no customer. So, everything is there. Just the collection infra was not that strong. The legal mechanism to enforce the securities to do 13.4, 13.2 (Section of SARFAESI), the infra was not there, which we've already built up now.

Kunal Shah: Okay.

Sanjay Agarwal: So, Kunal, Sanjay this side. So, Kunal, if you -- because we are talking more granular in terms of MFI or in terms of southern markets about MBL, right? But overall, we strongly believe, again, that we were expecting around 85 bps or 90 bps on total asset, our credit cost. That we are just saying that it may go up by 10 bps. And the reasons are like this, right? Which is MFI and maybe southern market.

Otherwise, we believe that H2 will be very strong in terms of recovery because a lot much, I would say, the data says or trend says that July onwards, things will look better. That's the way I want to sum up about our credit card, credit cost estimation.

Kunal Shah: Yeah. And after this experience on credit card, this southern-based mortgages, which would again be like AU specific, do you see any other geographies or pockets wherein we need to slightly strengthen the filters, maybe augment the collection capabilities? Would that be the case? Maybe like re-evaluating the portfolio, do we require to do in any of the geographies or in the portfolio?

Sanjay Agarwal: Not really, Kunal to be honest. Not really. And these are also very specifically carved out because we took over Fincare from last year itself. And it requires some, effort. And of course, we need to give some time to the previous leadership. And of course, when we take over from everything with our perspective, it requires some more time to really implement all those things. So, it's very natural. But you know that in this acquisition, we got the southern markets, for ou

r

wheels business, MBL, HL.

So, lot much growth will also happen from these markets in times to come, right? It's a temporary kind of challenge. And as Vivek told you that we have the recipe to solve all those challenges, we have done in past in North and maybe in West markets. We are not telling you that there is large issues, but because the numbers are so miniscule, because going from 90 bps to 100 bps, we thought that let the market know that we are really working right. Yeah.

Kunal Shah: And fair to say this was also a significant portfolio.

Moderator: We request you to please rejoin the queue if you have follow-up questions. Thank you. Our next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi, team. Good evening. Sir, first question is on your loan growth outlook for FY '26. Now that you're seeing some signs of stress in some of these segments, how do you think about your outlook for loan growth in '26?

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Prince Tiwari: Hi Ashlesh, Prince here. So, Ashlesh, I think, when we did the last call, we had guided that, we want to peg our growth given the size to the economic activity in the country. And we had said that we look forward to grow anywhere between 2 to 2.5x of nominal GDP. Some of the stress was expected. I think when we did that (Q4) call, we very clearly articulated that stress on the unsecured side would take a couple of quarters to resolve itself before it kind of picks up the growth pace. And that was factored in.

I don't think fundamentally anything changes there. We will still target anything between 2 to 2.5x of nominal GDP growth. Even on this quarter on a year-on-year basis, we have grown by 18%. And you know Q1 is a seasonally weak quarter. So I think growth will pick up. Most of the impediments to the growth, at least at the economic level as well, in terms of the liquidity, the entire inflation, the CRR cuts have been announced.

Some of those things have reversed. So hopefully, I think at this point we can only hope that the economic activity picks up across the country and the growth goes through. But from our perspective, we are very, very clear that the heavy lifting on the growth from our side will be done by vehicle financing, will be done by commercial banking and gold loans.

All of these portfolios can grow anywhere between 20%- 25%, that's the target that we are doing like vehicles this quarter as well has grown 26% Y-o-Y. As far as mortgages are concerned, which is the other bigger portfolio you know that we have been growing at about 15% for the last three years on a CAGR basis.

Primarily, a lot of competition there. And we have now added to put up a lot of distribution there as we have articulated earlier as well, given the entire franchise that has become available from

the South. There were certain gaps, which Vivek articulated that we have already fulfilled. And we are pretty confident that we'll be able to grow that business. I think immediate target on the mortgages side is to take that business from 15% to 17% - 18% growth this year and maybe 20% plus in the subsequent years. So I think we are there. It's a function of how much economy supports.

I think the only surprise to earlier question as well from and that's a more market-wide surprise has been the microfinance, because our view was that probably it should start growing a bit. But again it has de-grown by 6% this quarter as well. But given the entire action that we have taken, some of the credit filters that we have re-looked at, the risk filters.

We do think that this is the bottom. And even in the microfinance business, I think from this quarter you should see stabilization and maybe some sort of a growth as Gaurav articulated in his opening comments, that about 5% kind of growth that we are expecting for this financial year.

Ashlesh Sonje: Thanks, Prince, for the elabora

te response. Second one is on the credit card book. I see that there is still about INR700 crores, INR720 crores which is sitting in the revolver portfolio. Have you -- do you have a sense of how much of the overall book or out of this revolver book can eventually flow into NPA or have to be written off? That is one. And related to it, I see that you

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have restated the share of revolver in the credit card receivables for the March 25 quarter from 38% to 35%. So can you explain that one, please?

Gaurav Jain: So I think the last year the ~37% that you saw, that was a mistake. So that was just a mistake that got carried. So the correct number for March 25 is 35%. And we had uploaded a revised presentation on that as well. For the rest, I'll hand it over to Vivek. Yeah.

Vivek Tripathi: So, in terms of whatever stress we see in this book, the majority of that puts coming from identified pool where we did some limit decrease function. And that pool is reducing every month. And we've already indicated, as Gaurav also mentioned and called that in absolute term, I don't want to guide in terms of percentage, but in absolute term, the credit cost has peaked. It would start coming down from this month, this quarter onward and we would see substantial decrease. So we know that what pool is performing and plus on the new acquisition side, we have taken a lot of initiative, which obviously is that everything takes its own times becoming with the new scorecard, becoming with new platform to host those scorecards, the new LOS, and that scorecard for ETB, NTB, for and for behavioural, this thing, some of it's already started. The work has already started, but takes a couple of months to implement. And then the degrowth on the book, probably we'll try to arrest in maybe Q3 onward.

Ashlesh Sonje: Understood. And if I could just squeeze in the last one, this mortgages book, slippages that you are seeing in the South portfolio, roughly what proportion of the book do you think is exposed here?

Vivek Tripathi: We have 15% book in Southern market. I think Gaurav has already articulated. And it's only -- it's not that the difference is that large. We just tried to explain that on the retail secured side, from where the slippages has come. So we thought let's call out which segment. It is just a sub-segment of the entire book, which is very, very minuscule. And it's on high yield. Yes, it's a very high yield.

Ashlesh Sonje: Understood, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Hi, thanks for taking my question. First question is on opex growth. So it's at 4% Y-o-Y, which is really a smaller franchise that is growing. So what explains that and other operating expenses, I think, down on a Y-o-Y basis. So what is happening there?

Sanjay Agarwal: Param, what's your question?

Prince Tiwari: The question is other opex is down on Y-o-Y. So, Param, hi, Prince here. So as we have -- if you look at on our last full year commentary as we have articulated multiple calls, there was a lot of internal focus around productivity and efficiency gains.

And we also cut down a lot of cost expenses, rationalized a lot of expenses around our entire digital marketing. The entire marketing above the line marketing and branding was not really

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taken. Also, the fact that the credit card issuances have kind of slowed down. So that also led to some saving. So it has been a very focused and disciplined effort by the entire team for last full year in terms of trying to control the other opex.

As far as Manpower is concerned, you know, overall opex has grown by 10% Y-o-Y. And we have added people. We are adding people wherever it is necessary. But you'll also understand that the franchise has come to a certain scale. Ther

e is also some amount of synergy which came from the merger, right? In terms of people opex. So all of that has led to a very disciplined execution on the overall opex front from our side.

Param Subramanian: Got it. How to think about opex growth going ahead or cost to income, cost to assets, any of those things?

Prince Tiwari: So it's difficult to call out, because again, businesses will pick up like, Q1 is typically a seasonally slower quarter. So as we move further during the year, and if the economy picks up, we do want to grow. We have growth aspirations. We have talked about it earlier, right? So I would like to say or believe, leave it at that, that overall, you will see some amount of efficiency on a year-on-year basis that we are trying to achieve. I don't want to put a number to it.

Gaurav Jain: And also just to add, right, the previous guidance that we had given on cost to income ratio is, you know, that is for that number to stay below 60%, right? And last year, I think we ended at around 57% or so. So I think our endeavour is to stay below 60% on a cost to income basis, and on a cost to opex basis, as you know, Prince mentioned, the target would be to do better than last year, which was I think 4.3% or something.

Param Subramanian: Okay, very helpful, Gaurav and Prince. So on your Slide 11, right, so you're calling out the credit cost across segments, which is very helpful. But so you're showing the retail secured is at 1.2% annualized. So what is it as in is the first quarter seasonally at this level? Or are we seeing more weakness than normal here?

Vivek Tripathi: It's largely a seasonal impact and we already called out the few sub-segments within that, there were some elevated slippages in credit costs, but our franchise, our strength to execute those products and ability to underwrite and understand those segments remains very high. And this is only a seasonality, which obviously had played a role in some amount of weakness within the underlying economy, right? That also you can't take out of the equation, right?

I think and with the good monsoon, the good rural income, a lot of things, we look forward to improve Q2 onward, right? And there's a festive season as the festive season will kick in from by end of Q2 and Q3. Things anyway, changes in our, our customer segments, at least.

Sanjay Agarwal: And Param, in my opinion, the quarter 1 growth and quarter 1 credit cost cannot be analysed.

Param Subramanian: Right. Got it, got it, Sanjay sir...

Moderator: Param, sorry to interrupt, we request you to please rejoin the queue if you have further questions.

Param Subramanian: One last question on the, yes.

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Sanjay Agarwal: Yes, okay, Param.

Param Subramanian: Yes, okay, thank you so much. So, would it be fair to say this increase in credit cost is purely what we are seeing on the unsecured side, right? There is nothing to do with the retail secured business side...

Sanjay Agarwal: And that too, we were very, we were knowing about in last quarter call that quarter 1, quarter 2 will remain elevated. And as Vivek told you that in absolute amount, the credit card cost is already peaked. And we are saying that MFI also, we believe that quarter 2 it should be the quarter where the credit cost will be peaked. And other than that, everything remains absolutely in shape.

Param Subramanian: Okay. Thank you so much, sir. All the best to the team. Thank you.

Sanjay Agarwal: Thanks, Param. Thank you.

Moderator: Thank you. Our next question comes from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: I have a couple of questions. One is around the credit card portfolio only, like while Sanjayji mentioned that the credit cost has peaked, but as I see like the pain that this portfolio has given is like more than MFI, at least in this quarter. And even in the prior quarters, we have seen very high credi

t costs. So how do you in the medium term look at this business? How quickly will we want to rebound from this? And what is the medium term strategy on the credit card now?

Sanjay Agarwal: Yes, hi, Nitin. Good evening. So again, Nitin, as you know, you're absolutely right that credit card credit cost is giving us more pain than MFI credit cost. MFI business remains still profitable for this year after this elevated credit cost, or maybe de-grown of that book. But so a couple of corrections has already happened. There's a leadership change there.

So our product head, Arvind has become the credit card business head. This business has again been folded with Yogesh Jain, who's our now COO. He's based out of Jaipur and he's an old veteran in the bank and he understands this business.

He's understanding this business. So I believe that under his leadership, lot much correction will happen. And already from last one year itself, we have done a lot, many corrections in terms of our acquisition, underwriting standards, collection standards, operative metrics.

So and that is why we all believe that the quarter 1 already we have the credit cost peaked in terms of absolute amount, right? So this year, it will remain like this. The idea is to really understand with a new lens and with a new, fresh approach.

And if you ask me, I will be better off by this year-end that how we are looking towards this

business. As of now, the idea is to remain again to control the whole losses and come on the BEP first and then look for the growth. So I would want time from my investors that they should support us in this journey, and give us some more time to really come and clearly say or articulate our future strategy around it. Yes.

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Nitin Aggarwal: And the second question is -- if you can talk about the credit environment in the vehicle business, like a few other lenders have indicated to some rise in stress in the vehicle financing business.

So how are you seeing that? What kind of growth opportunities are you looking at overall in the environment?

Sanjay Agarwal: So, Nitin, again, the wheel business is the oldest business in AU, and it's now close to 30 years. And it's a well-rounded business for us in terms of diversification, pricing the risk, the credit orientation, the collection orientation remains sharpest in this book. So we are not saying that, we will not grow this business this year. But the environment is tough.

We know that the sale is not happening. But because of the used financing capability, the diversification around product range, be it SCV, LCV, tractors, new cars, taxis, and of course, with Southern market coming up, we are opening up in East also. So I think the growth strategy, it will help us this year.

And that is why in this quarter, we have grown ourselves by 26% and the team remain very, very confident that they will achieve the target for this year too, with the same metrics where we don't blow up our asset quality numbers or anything else around it. So we remain strong in terms of our Wheel franchise.

Overall, in terms of retail asset, as we already commented, our mortgage business is in good shape. Gold business is in good shape. Our mortgage business, we are operating around 14% rate and we already crossed INR40,000 crores now. So I think nobody in the industry has touched this kind of numbers for the mortgages at this rate with this kind of asset quality.

So for us, every time when we go to the market, it's a new environment for us because of the scale, right? So that is why we are going around 15%. But the idea is to really push to this growth rate to 20% in times to come. And again, the Southern market and the Eastern market should help us to achieve that numbers.

Commercial banking remain absolutely in good shape. We will do some kind of re-strategize ourselves in segmenting that business. But our business banking,

agribanking, NBFC, REG,

again, we are looking for a growth of north of 25%. So overall, well-rounded performance. And I know that environment is not that too good till now. But I don't think that will continue and there will be some kind of pull from the markets from maybe policy onwards.

But last year also, we had the same kind of feeling. But in the end, we have grown ourselves well. So barring something which we are in work in progress, will remain very strong in terms of our approach. But of course, market might have some kind of impact if it's not as per our standard or as per our expectation going forward.

Nitin Aggarwal: Right. And lastly, Sanjay, on the margin, we have reported a sharp dip this quarter. But as 70% of our book is fixed rate, so can the recovery be also be as quick from the second half onwards or...?

Sanjay Agarwal: Nitin, your impression is we shocked you, right? What -- in terms of NIM, what?

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Prince Tiwari: Margins.

Sanjay Agarwal: Margins, right?

Nitin Aggarwal: yes.

Sanjay Agarwal: But we were vocal in last call that because when repo rate kicks in, the reduction in repo rate happens, it will have a negative impact on our margins because of immediate transmission happening in our yields. But I strongly believe this year we will partially recover our margins by quarter three, quarter four. But I think the full recovery will happen next year.

Nitin Aggarwal: Okay. Sure.

Moderator: Our next question comes from the line of Pritesh Bumb from DAM Capital Advisors.

Pritesh Bumb: Yeah. Hi. Good evening, team. Just wanted to check when we say our 1.8% ROA for '27, have we also built or have we basically tried to build in a cross-cycle MFI credit cost of 2.5% to 3%, which we had maintained before the cycle as well? And will we also build some on the CC business post risk stabilises?

Sanjay Agarwal: Good. I think largely you are absolutely on our assumption, because by next year, our entire MFI book will be covered under credit guarantee, right? So the maximum credit cost, if the environment remains like this, I'm again repeating, if the environment remains like this, where the MFI is having a cost of 7%, 8%, then our credit cost should not be above 3% to 3.5%. And of course, the credit card business also by that time will be in better shape, right? And so it

depends on these two variables also to achieve 1.8% kind of ROA.

Pritesh Bumb: Got it. And secondly, just on in terms of the credit cost guidance, which we increased the guidance this quarter. So does this credit cost is eventually for bucket movement or fresh stress, which can still be or which is still there in the system? So eventually, I wanted to understand if a PCR will move up from here on?

Vivek Tripathi: No. So it's a mix of both things, right? It's a mix of always, it's a bucket movement, as well as it's coming from the unsecured piece, right? So...

Prince Tiwari: Yes. The credit cost, the collection efficiency dip that you're seeing, Pritesh, in this particular quarter, right? We have given that chart on quarter-on-quarter, how the MFI collection has dipped on the zero bucket. And what happens is that typically comes and hits you in the next particular quarter, right?

So the slippages from MFI, we are expecting to go slightly higher than what we were initially envisaging, let's say a quarter back. And that's partly the reason because of this particular quarter. As that happens, obviously, we'll have to make some provisions. And that's where the credit cost assumptions has been revised, right?

But as we said, as Vivek also said that, incrementally every month has been better. So May has been better than April, June has been better than May. And so far, whatever we have seen in July, it's been much better than June, right? So that gives us confidence that hopefully we are AU Small Finance Bank Limited

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nearing the en

d of the cycle and rather than, further shocks, unless something externally comes up, like what happened with Tamil Nadu in let's say last particular quarter, or this quarter, the impact came in this quarter, to some extent.

Pritesh Bumb: Got it. No. Sir, just -- sorry, just to hop on this a bit. How do you see your PCR shaping from here on, is it more or less going to be at 65% or it moves towards 70%? We attempted in between the quarters that we go to 70%. And so it has been coming down or it's been like slightly volatile. So where do we see that?

Gaurav Jain: So I think PCR is sort of a function of provisioning policy, right? So I think it will continue to be driven by that. And depending on the mix of the GNPA within the asset book, right? Because your secured book carries lower provision than your unsecured, right? So depending on where the NPAs are coming from the PCR could vary.

Pritesh Bumb: Got it. Okay.

Moderator: Our next question is from the line of Bhavik Shah from InCred Capital.

Bhavik Shah: Oh! Hey. Hi. Thanks for the opportunity. Just three questions. So first, have you seen any rate action on the Wheel side, like incrementally?

Sanjay Agarwal: Bhavik, sorry. Bhavik, you're not very audible.

Bhavik Shah: Is it better now?

Sanjay Agarwal: Yes. Comparatively.

Bhavik Shah: Yeah. And then have you seen yield cracking in the Wheel segment in the fixed rate book, given there is too much liquidity in the system and NBFCs would also be competing? Have you seen any rate actions there?

Sanjay Agarwal: Sorry, this is the main pressure on yield. Yes. Yes. I think if there is a liquidity available and no growth happening, then there would be a pressure on yield. You're right.

Bhavik Shah: How much do we think will it come off by a given 100-basis-point of reference?

Sanjay Agarwal: Not. No. No. No. Not. We haven't seen as of now. I'm seeing for this year -- by the end of this year, there might be some pressure on yield, right? In general, I'm saying it.

Bhavik Shah: Okay. Okay. And sir, we have 6% of the book, which is floating rate, but it is in the fixed period. So what would be the exit of this fixed rate period? Like when would it exit? Second half this year or maybe?

Prince Tiwari : No. So this 6% is largely fixed for this financial year, right?

Bhavik Shah: Okay.

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Prince Tiwari : So typically you have a three-year period. Some of the loans come in respective years. For this financial year, largely this 6% is at a fixed rate.

Gaurav Jain: But the duration would be more like 18 months or so, right?

Prince Tiwari: 18 months. Yes.

Gaurav Jain: Yes.

Bhavik Shah: Okay. Okay. And any update on the universal bank license?

Sanjay Agarwal: Yeah. So, again, I would say a work in progress. And I believe that in this current year the decision should be made. I'm not sure what decision and what and how, but I believe it's already 10 months from our application. So I think in this calendar year, we'll find some kind of decision making from regulators.

Bhavik Shah: Okay. Okay.

Moderator: Ladies and gentlemen, we will take that as our last question for today. I would now like to hand the conference over to Mr. Prince Tiwari for closing comments.

Prince Tiwari: Thank you, Dorwin. And thank you everyone for joining the call today evening. I know there have been five or six banks results. It's been a tiring evening for all of you. So I'll allow everyone to go home. But if you have anything residual, do reach out to the IR team. Happy to answer all your questions. Thank you so much.

Moderator: Thank you. This brings the conference call to an end. On behalf of AU Small Finance Bank, we thank you all for joining us. You may now disconnect your lines.

Call: Oct 2025

Ref. No.: AUSFB/SEC/202 5-26/272

Date: October 18 , 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.

NSE Symbol: AUBANK BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001,

Maharashtra.

Scrip Code: 540611, 974093, 974094, 974095,

974914, 974963, 975017, 975038 & 976580

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Half Year ended on September 30, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on October 17 , 2025 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter and Half Year ended on September 30, 2025 .

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.aubank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999
investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Limited
Q2'FY26 Earnings Conference Call "
October 17, 202 5

MANAGEMENT : MR. SANJAY AGARWAL – FOUNDER , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. UTTAM TIBREWAL – EXECUTIVE DIRECTOR AND

DEPUTY CHIEF EXECUTIVE OFFICER
MR. VIVEK TRIPATHI – CHIEF CREDIT OFFICER
MR. GAURAV JAIN – INTERIM CHIEF FINANCIAL
OFFICER
MR. PRINCE TIWARI – HEAD OF INVESTOR RELATIONS
& FIG

Moderator: Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should

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you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone.

I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations. Thank you, and over to you, sir.

Prince Tiwari: Thank you, Rutuja, and good evening, everyone. And welcome to AU Small Finance Bank's earnings call for the second quarter of financial year 2025/26. Thank you all for joining the call this evening.

On today's call, from management side, we have Founder, MD, and CEO, Mr. Sanjay Agarwal; Executive Director and Deputy CEO, Mr. Uttam Tibrewal; Interim CFO, Mr. Gaurav Jain; Chief Credit Officer, Mr. Vivek Tripathi; and the IR team.

We will start today's call with 20, 25 minutes opening remarks by Mr. Gaurav Jain, highlighting the bank's performance, positioning and outlook. We'll follow the opening remarks with another 40 to 45 minutes of Q&A from investors and analysts.

For the benefit of all participants and so that we can take everyone's questions, we would humbly request everyone to keep the number of questions restricted to 2 per participant and join back in the queue in case you have further questions. For any data keeping questions, you may kindly reach out to the IR team at any time post this call.

With that, I'll now request Mr. Gaurav Jain, Interim CFO of the bank, to share his opening remarks. Gaurav, over to you.

Gaurav Jain: Thank you, Prince. Good evening, everyone, and thank you for joining the call. It's a pleasure to welcome you all to AU Small Finance Bank's earnings call for the second quarter.

We begin by expressing our deepest condolence on the untimely demise of Mr. Vimal Jain, CFO of the bank. Over the last 15 years, Vimal ji had become one of the strongest pillars of our institution. His vision, leadership and unwavering commitment played a pivotal role in shaping AU's growth and values. He brought deep financial expertise, clarity of thought and unwavering integrity to every responsibility he undertook.

Humble, approachable and generous with his time, he had an ability to connect with people, and to many of us, more than a leader, he was a mentor, a guide and a friend. He has built a strong team of motivated leaders, each one of them being proficient in their field.

His loss is deeply felt across the organization. And on behalf of the entire AU family, we offer our sincere prayers and condolence to his family and relatives, and hope to honor his legacy by continuing to move forward and complete his AU Forever mission.

Q2 marks completion of 34 quarters of our banking journey and 30 years as a financial franchise.

We have often said, it takes a decade to lay the foundation of a well-run bank. And with 6 quarters to go, we are on track. Our journey has been marked with resilience and steady progress,

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overcoming challenges from macroeconomic cycles, industry crisis, asset quality cycles to once-in-a-century event like pandemic.

Over the last 8.5 years, we have built a pan-India liabilities franchise, scaled core asset businesses, maintained strong asset quality, expanded distribution, launched newer products and focused on talent and succession planning. Strategic moves like relocating to Mumbai and acquiring another bank have strengthened our presence, especially in South India.

We have learned from our mistakes and acted quickly, positioning AU to deliver a sustainable and predictable growth beyond 2027. Notably, on August 7, we received an in-principle approval from the Reserve Bank of India to become a universal bank with an 18-month transition time.

This is a strong endorsement of AU's business model, sound governance and commitment to

financial inclusion. We extend our heartfelt gratitude to all stakeholders for their trust and

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support throughout our 30 plus year journey.

In recent months, global economy has remained volatile with shifting trade flows and a more complex multipolar environment. Domestically, the banking system credit growth has slowed to 10% versus 16% in FY '24. However, the policy environment is turning more supportive with CRR cut, LCR changes, draft circular on reduction in RWAs and a well-staggered ECL implementation plan.

These announcements supplement the earlier announced cuts in policy rates by RBI as well as income tax and GST cuts by the government. Looking ahead, we expect the broader economic environment to improve in the second half of the year, supported by revival in consumer demand led by GST cuts, above-average monsoon supporting rural growth, and government's continued thrust on capex.

In this evolving environment, AU continues to deliver resilient performance with H1 profit after tax growth of 6% on Y-o-Y basis. Our deposit book grew by 21% year-on-year, which was nearly 2x of the system growth rate. Our loan portfolio, excluding unsecured businesses, grew by 22% Y-o-Y.

Including unsecured, loan growth was at 17%, which is 1.7x of the system credit growth.

Margins have started to grow with NIM expanding by 5 bps quarter-on-quarter to 5.5% compared to 5.4% in Q1, led by a sharp decline in cost of funds. Credit cost has also started to decline and is expected to normalize in second half.

In many ways, Q2 marks the bottoming out of the current cycle with growth staying strong in core businesses, unsecured book beginning to stabilize, uptick in margins and commencement of reduction in credit costs. We expect to see tailwinds in second half from the onset of festive season, boost from GST cuts and expected economic recovery. And over the next 2 to 3 years, expansion of distribution in Andhra, Karnataka, Tamil Nadu, Telangana, UP and West Bengal will start contributing to our growth in a meaningful manner.

Moreover, the central and various state governments have instituted a range of credit guarantee schemes and interest subsidy programs to lower the risk exposure of lenders and reduce borrowing costs for targeted groups. The bank has been actively participating in these schemes, AU Small Finance Bank Limited

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ensuring credit delivery and channelization of resources to the end beneficiaries. This, combined with recent reduction in PSL requirements from 75% to 60% for SFBs, would further help in ease of business for our retail and MSME segments.

Now let me give some color on each of our businesses. First, on the deposits business. Our deposit base crossed INR1,32,000 crores, growing by 21% year-on-year and 3.8% quarter-on-quarter, reflecting the growing strength of our branch banking franchise. CASA deposits grew by 9.7% year-on-year and CASA ratio remained stable at 29.4%.

Within CASA, current account deposits grew strongly at 26% and savings deposits grew by 6% Y-o-Y. As highlighted earlier, cost of funds reduced by 25 bps during the quarter to 6.83% from 7.08% in Q1. We have started to deprioritize high interest rate led deposits and focus is on increasing granular SA on the strength of our full suite of products, services, distribution and client relationships, with interest rate not being the only major differentiating factor.

With effect from 3rd of October, we have cut peak SA rate by another 25 bps, taking the total SA rate cut in highest bucket to 75 bps in this financial year. The highest SA rate on offer now is 6.5% versus 7.25% in March '25. And for INR10 lakhs and lower balances, our peak SA rate is now down to 3.5%. Newer acquisition of SA accounts continues to grow at robust pace with 35% year-on-year increase in number of accounts opened and 17% increase in value for new SA accounts acquired in first half.

Universal banking license will significantly enhance trust and brand acceptance among

depositors,

enabling the bank to optimize its cost of funds over time. Cross-selling our full suite of products across cards, payments, insurance, wealth, trade and FX remains a key priority for the bank with a dedicated cross-sell department leading this initiative.

In one of the newer initiatives around cross-selling savings accounts to our retail asset customers, we saw promising results with 95,000 SA accounts opened in the last 6 months, contributing around INR180 crores in value. Our insurance penetration is increasing, and we have now added LIC and SBI Life as our bancassurance partners this year to take total bancassurance partners to more than 15.

Wealth and forex services are also seeing a gradual pickup. In Wealth Solutions, we are now serving 2.4 lakh customers with around INR1,600 crores of AUM. On our AD-1 business, we

are seeing pickup in transaction banking, BG/LCs and remittances with forex income growing 50% year -on-year.

We have also launched a multicurrency forex card in partnership with Mastercard at Global FinTech Festival 2025 to cross -sell forex services to our customers traveling abroad. Enhanced acceptance among prime customers like salaried individuals, senior citizens, NRIs and EXIM clients on the universal banking platform will further help the cross -sell initiative and reduce our customer acquisition costs over time.

Now moving on to our assets franchise. Loan growth was led by core secured segments, which include Retail Secured Assets and Commercial Banking assets. The loan portfolio, excluding unsecured businesses, grew by 22% year -on-year. Unsecured portfolio degrew by 23%. Total

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loan portfolio grew by 17% Y -o-Y and 4.5% quarter -on-quarter to reach around INR1.23 lakh crores. We remain positive on our overall loan growth and continue to target a full year growth in our guided range of 2x to 2.5x of nominal GDP.

Retail Secured Assets is our flagship business, which includes wheels, mortgages and gold loan and has a legacy of more than 2 decades. This book stands at around INR83,000 crores and forms 67% of our total loan portfolio. This segment continues to deliver strong performance with growth of 20% Y -o-Y and 5% quarter -on-quarter.

Our wheels book forms 33% of our total GLP at around INR40,000 crores with 14% plus yield. Wheels grew by 26% year -on-year, which is market -leading in its segment. Credit cost remains in line with our expectations. We have a large runway for growth and expect to gain market share in this business with 20% to 25% annual growth over the medium term, led by our expansion in newer geographies and doubling of distribution from 550 branches in March '24 to around 1,000 branches by March '26.

The second key product is mortgages, which stands at around INR40,000 crores and forms 32% of the total GLP. It includes micro business loan or MBL and home loans. Total mortgage portfolio grew by 14% year -on-year and 3% quarter -on-quarter. Credit costs and slippages improved sequentially in Q2.

As highlighted previously, competitive intensity in MBL has significantly increased over the last few years with small localized and niche players competing in every micro market across regions. We have been cautious in our growth in this segment with growth at mid -teens in the last 3 years. Our endeavor is to increase this growth rate to around 20% by taking advantage of the expanded pan -India distribution post merger.

The third product within Retail Secured Assets is gold loans, which has a GLP of around INR2,300 crores and forms 2% of the total loan portfolio. There is no risk weight for gold loans and portfolio yields around 16% with ROA being north of 3%. We have an opportunity to grow this business multifold and are scaling distribution, sales and operations team. In Q2, the book grew by 19% quarter -on-quarter.

The second key business asset line is Commercial Banking, which is 21% of the total loan portfolio and includes 5 businesses: business banking, agri banking, emerging enterprises and financial institution, real estate and transaction banking.

Commercial Banking has established a good track record with 30% plus CAGR growth in last 5 years, stable asset quality and ROA of about 2%. A significant portion of this book is self -funded, as this book contributes 8% of overall deposit book and 6% of overall CASA book. Total Commercial Banking GLP grew 22% year -on-year and 4% quarter -on-quarter. Asset quality remains in line with expectations.

We have a strong understanding of MSME space, NBFC lending and construction finance, along with a full product suite backed by tech capability, including the AD -1 business, which we started last year. We are working on creating sector specialization and expect this book to further benefit from transition to universal banking platform.

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So far, we have discussed the secured asset portfolios. Now let me walk you through the unsecured segments, which degrew by 23% year -on-year and 2% quarter -on-quarter and form 8% of the total loan portfolio. MFI is the biggest product in this segment with bank having comprehensive micro banking relationship with customers, including micro savings account, insurance, payment solutions and DBT linkages.

It's an important business line for the bank as it contributes substantially to fulfilling a 10% PSL

requirement of lending to small and marginal farmers. MFI book is around INR6,200 crores, which is around 5% of our total GLP. Book has started to stabilize with quarter -on-quarter degrowth moderating to 1%. We expect the portfolio to start growing gradually from this quarter onwards.

On asset quality front, ex bucket collection efficiency improved to 98.95% this quarter, the highest in last 5 quarters, with September collection efficiency being 99.05%. The SMA book reduced from 4.3% in Q1 to 2.9% in Q2. Most of the incremental disbursements are getting covered under the CGFMU guarantee program and the coverage at portfolio level has reached to 69% by the end of Q2.

The other unsecured book is from our Credit Card and Personal Loan business. Total GLP is around INR2,900 crores, which is 2.4% of the total loan portfolio. Of this, credit card book is around INR2,200 crores, which saw a degrowth of 31% year -on-year and 3% quarter -on-quarter. Credit cost has started to normalize with Q2 marking the first quarter of decline in provisions and slippages in credit book in the last 1 year.

We expect the book to start reflecting normalized credit costs by the end of this financial year. Incremental sourcing in credit cards is currently at a controlled pace, and it will take 1 or 2 more quarters for the impact of this new sourcing strategy to reflect in the overall book. Post evaluating the new book, we will accelerate growth in this segment.

In terms of profitability, we delivered profit after tax of INR561 crores for the quarter and INR1,142 crores for the half year, with ROA and ROE, respectively, at 1.4% and 12.4% for Q2, and 1.4% and 12.9% for H1, respectively. Net interest income increased by 5% sequentially on the back of growth in loan portfolio and NIM improvement. NIM increased by 5 bps quarter -on-quarter to 5.5% from 5.4% in Q1.

This uptick was earlier than expected and is primarily driven by decline in cost of funds of 25 bps through targeted actions on high -cost deposits and repricing of F ABU and reversal of excess liquidity seen in Q1. This 25 bps decline more than offset the drop in advances yield of 19 bps from 14.1% to 13.9%. In the absence of any further rate cut, NIM should continue to expand over the next couple of quarters as deposit book continues to reprice.

Core other income saw a healthy growth sequent

ially as disbursements increased 20% quarter -on-quarter, and we witnessed increased traction in distribution of third -party products. Operating expense saw 11% Y -o-Y and 7% quarter -on-quarter increase due to growth in disbursement and investment in manpower as we expand our distribution to pan -India.

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Additionally, as part of our ongoing talent management and succession planning, we increased our ESOP program this year, with ESOP awards increasing by 75% on a year -on-year basis. However, we continue to target disciplined control over operating expenses with opex by total assets falling to 4% in H1 as compared to 4.6% in H1 FY '25.

Cost-income ratio was 56% in H1, which benefited from higher treasury gains. Credit cost declined to INR481 crores in Q2 versus INR533 crores in Q1. With this, credit cost for first half was at 1.28% on an annualized basis.

Lower credit costs were driven by 12% reduction in slippages during the quarter with lower slippages seen in cards, mortgages and commercial banking. We expect to see continued recovery in unsecured and seasonal recovery in secured assets in the second half and expect full year credit cost to be within our guidance of 1% of average total assets.

To sum up, Q2 was a milestone quarter for us as we received an in -principle approval for universal bank license. As we stand at this pivotal juncture, all dominos are aligning for the next phase of our journey. Supportive regulatory policies, accommodative monetary measures, aggressive government reforms are creating a fertile environment for growth. Our transition to universal banking is a once - in-a-lifetime opportunity and will provide us wider acceptance and strengthen our brand, which we are expanding across India.

Our margins have started to improve. Credit cost is on a declining trend and our unsecured portfolio is stabilizing. With robust growth engines in deposits and assets, we are well positioned for sustainable growth and our investment in distribution expansion will continue to provide momentum to gain market share. Backed by a stable and experienced team, strong execution culture and no legacy systems in our technology stack, we are fully prepared to capture emerging opportunities and deliver consistent value to all stakeholders.

With that, I will now hand over to Prince for Q&A. Wish you all a very happy and safe Diwali.

Prince Tiwari: Thank you, Gaurav. Rutuja, we can now open the call for questions.

Moderator: Thank you very much. The first question is from the line of Mahrukh Adajania from Nuvama Wealth. Please go ahead.

Mahrukh Adajania: I just had a couple of questions. Firstly, in fees, usually in the second quarter and even in the

fourth quarter, there's a lot of seasonality. So even in the past if you see, you see a big jump on a sequential basis in second and fourth quarters. Last year, there was no festival either, but we still saw that. So what's the seasonality in these quarters? I'd like to better understand that. And then, are immediate green shoots already visible in October for a significant recovery in credit cost in the second half? That's my second question.

Prince Tiwari: Thanks, Mahrukh. This is Prince here. So I mean, while I'll take the other income, I'll let Vivek answer on the credit cost. So as far as other income is concerned, you're right. I mean, typically, Q1 is generally a relatively slower quarter, immediately after the Q4 buoyancy. But historically, I think in the retail banking industry, if you see the half yearly closing and the annual closing, it

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has always been great, both in terms of business disbursements as well as the third-party product distribution.

So even this quarter, we saw 20% growth in our disbursement numbers on a quarter-on-quarter basis. And th

at does help in the overall other income as well, because you get a lot of fee income from the processing fees as well as the higher accounts that we have opened.

So even on the banking fee, if you see, and I think Gaurav articulated in his call that we have started opening accounts for our asset customers, and we have opened some 95,000 accounts in the last 6 months. So that's an added delta that has come up over and above the branch banking. And to some extent, that also helps with the entire branch banking fees, right? So I think there's no one-off there. It's just seasonal, and hopefully, it should continue. Vivek, do you want to...

Vivek Tripathi: Yes. So Mahrukh, on the credit cost, though our unsecured book contributes about less than 10% of the book, but there is a significant portion of the credit cost was coming from MFI and credit card. Now having said that, in the last quarter, where we called out that our credit cost has peaked in credit card, you would have observed there is a significant reduction in that.

And going by the current performance of microfinance book, where we see that it has peaked in this quarter and would come down substantially in Q3 and Q4. So we are very confident, and there is a seasonality attached to our secured asset as well, where we see a strong pullback in H2. And that has been always a trend for so many years.

And so considering both the factors where we see the significant drop in the unsecured part on the credit cost as well as the pullback in secured asset in H2, we are confident that our credit cost for the full year will be on the guidance of 1%.

Moderator: The next question is from the line of Jayant Kharote from Axis Capital.

Jayant Kharote: Congrats on a good set of numbers. The first question is on opex. For the first half, opex control has been pretty strong, even despite this 20% uptick in disbursement. So how should we now think about opex? So you're averaging around 4% of assets versus your usual past few years run rate of 4.3%, 4.4%. So heading into second half, how should we think of opex?

And broader question, I see in your PPT, you outlined that even after a transition to the universal bank, you don't expect opex to jump in a meaningful way. So if you could help us understand what has changed in the thought process around opex? That is my first question. I'll follow up with the second one.

Gaurav Jain: Yes. So on opex, last year, I think we were at around 4.3% of average assets for the full year, right? This year, we expect to do better than that. And where we exactly land up, we will know more sort of as we progress during the year. But in Q3 and Q4, you will see some increase, which is accompanied or as a result of increase in disbursement during the stronger quarters of the year, right? But in terms of how to think about the opex line over the medium term, there are 2 aspects. One is we will continue to invest in growing the franchise. And you saw some of those investments in increase in headcount as we increase distribution of our retail secured assets in the newer states. So that's one.

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Second point is, for our overall overhead, we are continuing to be very, very disciplined on where we spend money and how we sort of control that line. So it will be a twin-pronged approach of being very disciplined generally, but not shying away from the investments that are sort of crucial for our growth over the medium to long term, right? Overall, our guidance has been that we will be below 60% in terms of cost-income ratio, and we will be below sort of, say, 4.3% in terms of cost-to-opex.

Jayant Kharote: Great, sir. Sir, second question is around the loan mix. I see the commercial mix -- I mean, commercial loan growth has come off even ex-EEFI, sorry, if I see real estate is of course pushing

hard, but I see business banking al

so has not moved meaningfully. So what is the thought process? Is this one-off this quarter? How should we think now? Would you be using commercial book to calibrate your growth and margin mix going ahead? How should we think about this?

Vivek Tripathi: See, the growth in commercial banking book and when we talk about working capital book, business banking growth is largely driven by the underlying economic activity. I think Q1 and, to the extent, the larger part of Q2 was a little muted. Now we see, because of the GST reforms and the consumption picking up, the activity has picked up on the ground.

And we see that the strong demand should continue in Q3 and Q4. So typically, the disbursement in any business, even in retail asset is more skewed towards the H2. So we expect that the momentum will build up from here on.

Jayant Kharote: And the EFI piece, sir, is it the NBFC loans that you have pulled back on right now? NBFC MFI loans, sorry?

Vivek Tripathi: So NBFC MFI loan, that's a function, you do on -lending to MFIs, and if there is a muted credit demand -- the whole credit industry has grown by 10%, right? So you have to understand that if there is no lesser demand, the demand pickup for on - lending will also be lesser. But we are seeing a traction in the festive season where typically all the vehicle financiers, the MSME lending institutions, there is a greater disbursement traction. And we expect that Q3, Q4 should be much better.

Plus, apart from the loan book, there is some part of the lending happens in the form of substitute credit, which is more like NCDs, which sits in the investment book. So it's always the structure which suits the customer and that kind of need which decides. So sometimes it does not reflect here on the advances, but it's a part of credit substitute in the investment book.

Sanjay Agarwal: I'm Sanjay this side. The agenda is not to degrow or grow some book on some basis, right? We are having a very clear agenda that growth has to come back. And the retail asset has done well in the last 2 quarters. So we have grown that book. Of course, commercial banking has their own challenge because of yield pressure. So we haven't gone and underwritten the lower yield assets. We are working on our micro finance book. We are working on our credit card book.

So the growth agenda is back, but we will take the whole thing in place, so that our yield versus returns also get protected, right? So we are not taking only one dimension kind of strategy. It's a wholesome strategy where we'll see our yields and the asset quality, the growth number, and then we'll decide our course.

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But we have so many books, honestly, right from retail asset, wheels, MBL, affordable housing, then we have business banking, agri banking, NBFC, REG, microfinance, PL/BL, credit card, right? So it's a combination of entire product mix now we want to focus on. Nothing being left out, nothing being focused more. We want to build every aspect basis the practicality and, of course, the reality of the market.

Moderator: The next question is from the line of Param Subramanian from Investec.

Param Subramanian: Congratulations on the quarter. Firstly, the question is on the -- so last time, you had called out issues in the South-based LAP segment in terms of asset quality. So how is that portfolio behaving as of now? I can't see that in the presentation.

Vivek Tripathi: Yes, Param, this is Vivek. So when I highlighted -- called out in the last quarter, I would say, it was for 1 state, we said south, it was just 1 state, which is Andhra. Second, as mentioned in the last call that we were building out the collection and legal infra. And that has started playing out. So we saw good recoveries in terms of slippage have reduced and in terms of good recoveries from NPA pool. So the process has already st

arted, right? But it's typically a 6 - to 9-month cycle

when you start doing it because the repossession of assets or the SARFAESI instrument takes some time. And once you have a field collection in place, your slippage automatically get reduced, right?

Param Subramanian: Okay. So it is not a problem anymore as such. Or it is normalized already?

Sanjay Agarwal: Param, it was not a problem last time also. Sanjay, this side. Of course, Vivek was generous enough to very transparently telling everybody that we -- because we as a team has took over the southern market recently in the first quarter itself, right? So 1 market, 1 book were giving us a different color. So we were honest enough to call out and tell you all your people, but nothing to worry.

The entire force is there. And we've been known as the good collection -- we've been known as a good team around our collection or recovery side. So that character and that culture has come back, and we are hopeful that southern markets will not -- will come back to our own numbers and our own standard and will also give us next phase of growth.

Param Subramanian: Sure, sir. That's really helpful. Sir, but if you could call out what was the size of this portfolio? And basically, there has been some corrective action from a collection perspective, right, that is now helping us, right? So what was the size of this Andhra Pradesh portfolio?

Sanjay Agarwal : INR1,000 crores.

Param Subramanian: Okay. Okay. Okay. Fair enough. That's really helpful. Secondly, Sanjay sir and team, if you could help us with how you're seeing demand. So we are now 3 weeks into this post GST cut and festive season. So if you could talk about demand across your portfolios, especially wheels or across products, how it's shaping up and how third quarter and fourth quarter are broadly looking?

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Sanjay Agarwal: Param, we are not concerned, honestly, our size is so small, and our franchise is being built entire -- full country, right? So it's very early days because GST cut happened last week of September, and we are just 2 weeks in October, right? So it's difficult for us to comment because sometimes it's just one-off. So we can't give you some direction that if something happening now, maybe reason of GST, maybe the reason of festivity, right?

So we want to take maybe a little bit more conservative view here that we don't want to comment large there, but the growth is back. I can only say you that because our franchise has gone from a north market or west market, even to east and now in southern markets. So we have enough market to us.

So our growth will happen through market share rather than market growth, right? So -- and that is the way we are focusing ourselves. So our focus is more on that let's reduce our cost of money. We have enough diversified asset classes, pick your asset classes depending on the state requirement and then build on. So we are in 21 states, 4 union territory. And so I believe that AU you will see in a different avatar from here onwards because our approach has changed from the growth to capturing the market share in that way, right? Yes.

Param Subramanian: Sure. I really appreciate that, Sanjay, sir. I was just trying to understand. I appreciate you are a market share gaining entity. But broadly, if demand is, say, better than what you would have expected post the GST cuts or in line or some sort of directional comment, if you would think...

Sanjay Agarwal: Difficult honestly, because this...

Sanjay Agarwal: Param, difficult as of now because last year also at the time of festivity, there was a growth. So I don't want to color the market because for me, if the growth demand remains same level in November and December, that would be the right kind of direction, right? Because October is full of festivity, right? So the vehicle demand is there, home loan

and demand is there. Business

banking is picking up. So NBFC demand is there. Credit card demand is there, personal loan demand is there. But I don't know that whether it will sustain after the festival, right? So that's why -- but in our case, it's not about demand. It's about our market share in the existing pie, right? So that's why I'm saying that we will grow.

Param Subramanian: Sure. Sure. Really appreciate it, Sanjay, sir. And one last question, if I may. Margins, how to think about margins going into the second half and next year because of what is happening with the mix along with what you're doing on the funding cost? Yes, that's it from me.

Prince Tiwari: Yes, Param. So again, as we said -- as Gaurav said in his commentary earlier that the margin uptick kind of began a bit earlier than what we would have initially envisaged. And again, the deposit repricing, especially on the entire SA piece that we have taken. I think that has been one of the biggest beneficiaries. Also lower slippages has helped, right, given that last quarter, there was a relatively larger slippage.

This time, we had a lesser slippage, 12% reduction. So that has also helped in terms of reversals of some of the incomes. But having said that, to answer your question, I think the impact of repo rate cut on the yields is done, right? We don't think that any more residual impact is left over, which is material or meaningful to call out.

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So assuming no more rate cuts, right, assuming no more rate cuts, you would see deposit price continuing to fall for a couple of quarters because we had said earlier as well that it takes about 12 to 15 months for the entire rate transmission to happen. And we are just about 4 to 6 months into the cycle depending on where you start from, right? So we do expect some amount of deposit repricing.

But at the same time, as you rightly said, the asset mix is also shifting, right? The unsecured, while they will stop degrowing from this quarter onwards, but still the growth will not be more

than enough to take care of the asset mix change. So because on the core assets also, we are growing pretty well, right?

As you saw, 22% we grew year-on-year in our core assets. So I think some bit of adjustment for asset mix and some positive benefit on the cost of fund side should help the NIM to continue improving for next couple of quarters, at least.

Param Subramanian: Fair enough. And come back to more or less Q4 of last year or somewhere close to that?

Prince Tiwari: I mean we'll see, right? We don't want to call it out right now. We don't really know because as Sanjay said, there are too many variables. But let's just wait it out and watch it.

Moderator: The next question is from the line of Renish from ICICI.

Renish: Congrats on a good set of numbers. Just 2 pieces. One on the strategy side. So once we get the universal banking license, we have got a few things...

Prince Tiwari: Renish, sorry, the voice is not very clear.

Renish: Yes. So the first thing on the AU mix side. So obviously, once we convert into universal banking and the minimum ticket size gap of 25 lac goes away, the inclination will be more towards a growing commercial banking fees, from a branch banking perspective. And once that happens, given this book is yielding 11 % much lower than the retail asset book.

So how do you see the AUM mix changing over the next 2 to 3 years? So I get it the next 2 quarters NIM expansion will continue. But getting into '27, '28 and once you start getting more businesses from your branch, which will be more from a commercial banking part, how do you see NIM settling in medium term?

Sanjay Agarwal: So Renish, Sanjay, this side. So there is no plan to go above a level in commercial banking. Our comfort zone where we feel comfortable is more around retail asset. Our wheel book is only

around INR40,000 crores. I don't think that AU should even look any other book than that because we can still build that book around INR2 lakh crores, honestly.

You can see our competition level, right? They're around INR1.5 lakh to INR2 lakh crores book.

Our mortgage book is just INR40,000 crores. We can take it up to INR1 lakh crores. Our gold loan book is just INR4,000 crores (Correction: Gold loan book is INR 2,300+ Crores) and you know how that book is shaping up. So I don't think that there is any kind of strategy in place where if we get to universal license, which we will, we want to change our mix or we want to AU Small Finance Bank Limited

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have a different strategy on a Universal Bank. We love this space so much. We like this -- we are working in this space for the last 30 years, and we are the market leaders, right?

So the idea is to become universal to lower the cost, not to change the asset mix. Our business banking also gives a yield of around 10% plus. We are not at 8%, 9% as of now also, right? Our NBFC is also 10 -plus. Agri banking is around 9 plus. So we don't play to the galleries, right?

We have built our own niche, our own market.

And we play on our product innovations, on our tech, on our speed, execution, our distribution, right? And we believe that in next 5 to 10 years, once AU will become pan-India franchise in terms of distribution placement, you will see our growth in a very different level, right, because we know that what made us till now will take it us forward also, right? So there is no plan to become a wholesale lender or be into a corporate finance unless until we have a low cost of money.

Renish: Got it. No, sir, because also in PPT, you did mention about getting into renewable energy infrastructure and all. So I thought are we thinking expanding commercial banking or something like that? But thanks for the clarification.

Vivek Tripathi: Yes. So Renish, Vivek, here. Just to clarify, what we are saying that the focused approach helps us to grow more sustainably and it also is better to manage risk because we are a very focused team. So when we started commercial banking, we started focusing on segment, right? That is why we created a different book for NBFC, we created a different book for real estate.

Similarly, within the businesses, we have a sectoral approach, people who understand that sector can manage it better and can also grow it better, right? That's a reason we want to focus sectorally, right? So renewable energy is one area where we've already started, but others, we will slowly build. We'll see that how we get the sectoral insights and how we get the expertise to underwrite and to source those kind of customers.

Sanjay Agarwal: And if you become the subject expert in terms of lending, then your TAT improves. And if your TAT improves, you are in better position to bargain. So like we are the leader in NBFC, right?

People give us 100 basis more than the other people, right? Because once our name is on the lender list, people value it, right? So I think we are playing on our strength. So sectoral focus will make us more strengthen in our whole positioning in terms of borrower side, right?

Renish: Got it. Got it.

Vivek Tripathi: And also we are not saying that we will change our ticket size. So that focus will remain on the

same small and medium enterprise. That is what is our core area.

Renish: Yes. Got it. And just the last thing on this ECL framework, which is sort of likely to be implemented. So any cost order if I can really say, would you like to share? Once that gets implemented?

Prince Tiwari: On the tariff?

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Renish: No, no, ECL framework on the universal bank

Prince Tiwari: ECL, Renish, honestly, it's too early to comment, right? It's on draft basis. And there are so many nuance

s. But we do prepare proforma. I think historically, we have done it. And we have -- I mean, in our view, it should be neutral to positive, right? But I mean, it's too early to give you any kind of directional comment right now, but definitely neutral to positive.

Moderator: The next question is from the line of Kunal Shah from Citi Group.

Kunal Shah: So again, just harping on the growth part. So when we say like 2x, 2.5x of the nominal GDP average, today, if you look at it, like we are closer to like 17% AUM growth. So maybe how quickly can we get towards that? Are we good enough in terms of the asset quality stabilization, NIM stabilization to get it quicker?

And second is on the overall on balance sheet. So I think overall AUM growth has been lower. So I believe the reliance on downsell is not so high. But as we get to the growth part, again, we would get to the downselling or maybe the overall on-balance sheet growth will still continue to be higher than the AUM growth. So what would be the stance on the downsell after we reach that 2x, 2.5x GDP growth?

Prince Tiwari: So, thanks for that, Kunal. And so see, even if you see today, our growth has been 22% Y-o-Y, right, on the secured side. The 8% book, which is unsecured, which is MFI and credit card has been going through its own reset cycle. And as we said on the early opening remarks that, that is also coming to an end now, right?

We should start seeing microfinance growing from this quarter onwards as well as credit card will start growing probably in a couple of quarters, right? So on secured assets, we are already doing 22% plus, right? We don't really see -- Honestly, when we track, we track AUM growth of GLP, right? Because from our perspective, whether the asset is sitting outside the balance sheet or in the balance sheet, it's the same thing, right?

But having said that, we used to securitize in a period when the growth was really, really strong. I don't think that at 2 to 2.5x, we are really looking to do an off-book built out, right? So you should look at a GLP level, which is the gross loan portfolio, we should continue to grow between 2x to 2.5x, and we are reasonably confident because second half is always stronger as compared to first half, right, both for secured assets. And of course, as I said, unsecured assets will now start contributing positively rather than negatively.

Kunal Shah: Got it. So sequential momentum will definitely accelerate given the unsecured is now almost done.

Prince Tiwari: Absolutely.

Kunal Shah: Got it. And maybe with respect to ECL, so what would be the positive like it's maybe neutral, I could still understand, but you confidently have even indicated in the presentation that ECL impact could be positive as well. So what are the positive levers which are coming from the ECL and not much of the provisioning risk, maybe even, like say, on the vehicles and all, you would

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have a relatively higher Stage 2, but it is good enough to even offset that. So I just wanted to understand that, yes.

Prince Tiwari: So Kunal, I mean, as I said, it's too early to actually comment on how it will play out on the exact numbers. But the reason why we say neutral to positive is we do prepare pro forma, which we submit to regulators and whatever we did last basis that I was talking about it. And the primary reason is that our LGDs has always been lower, right?

So if you go back and see our NBFC days and you compare our credit cost, right, on each of the books independently, you'll realize that the loss given default for us has been historically very, very low. I mean in vehicle, I think we have publicly called out in the previous occasion, it has been anything between 35 to 40 basis points, right, whereas our coverage ratios would be much higher. Plus there also will be an interest impact that will flow

back to us. So I'm saying there

are nuances to that, and we need to figure that out. But on an overall basis, we are not really worried.

Kunal Shah: Got it. And one last question in terms of the data point. So what is the cost of SA? And how much of it has already got repriced? And in the coming quarters, would it be only another 25 basis points, which is left now?

Prince Tiwari: So I think with the latest rate cut, we are looking at going below 5.

Kunal Shah: Going below 5 in terms of cost of SA.

Prince Tiwari: Cost of SA, right? We were at ~5.1ish if I remember correctly. And we should hopefully try and see if we can reach there.

Moderator: The next question is from the line of Akshay Jain from Autonomous.

Akshay Jain: Yes, sir, I have a question on capital. So can you please help quantify the impact on your capital ratios post conversion to the Universal Bank? Because now you don't consider a market and operational RWAs in your base. And second, on the draft credit risk circular, have you done any estimates on how it will impact the capital ratios for the bank?

Gaurav Jain: Yes. So 2 things, right, on the capital structure. The first one is you're right that we will need to take into account operational risk RWAs and market risk RWAs. Of these 2 market risk RWAs are not meaningful, right? So it's the operational risk RWAs, which will increase. But on the flip side, the capital requirements would come down from 15%, right, minimum capital requirement to eventually 11.5%.

So this will be sort of -- broadly, it should be neutral to positive for the bank. The Board will decide what capital ratios we want to run on the Universal Banking platform, and we'll come back to you on that. But overall, I think on the capital as a whole, it will be neutral to positive for the bank. So that's one.

Second thing, on your questions around RWAs on the draft guidelines, -- so you will see a benefit coming from the collateral -- from the loans which are collateralized by residential properties, AU Small Finance Bank Limited

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right, where the risk weights would probably come down by 40 to 50 percentage, and that will give us a significant benefit on some of our loan books there. Other than that, there are some benefits and some negatives which broadly cancel out, right?

So the biggest in the ultimate analysis is residential mortgage collateral, it will give us the most uptick. In the rest of the stuff, there are some positives in credit cards, some positives in the MSME, some positives in the ratings-based investment book, etc., which gets offset by increase in the risk weight of the unutilized sanction limits.

Akshay Jain: So what will be the proportion of this collateralized -- that is collateral against residential property? Any indicative number? Like your MBL book is close to 25% of your overall loans. So like is it safe to assume that 25%?

Gaurav Jain: So we have -- so you can just look at our loan mix, right? So INR40,000 crores is the mortgage book. And then you have another INR25,000 crores of commercial banking book, which is a mix of MSME, NBFC and real estate, right? So that will give you an indication of a portion of that would be backed by this collateral.

Prince Tiwari: Yes. And on the mortgage book, most of it will be residential housing, majority of it.

Akshay Jain: Okay. Is it safe to assume that because the 40% -- INR40,000 crores of your book is mortgages. And if I just do some reverse calculate, like 40%, if I assume on that book, it comes to INR16,000 odd crores and your total loan portfolio is around INR115 crores, INR120 crores. So should it be safe to assume that a double-digit reduction in RWAs is what we should see for AU Bank?

Gaurav Jain: I don't want to give out specific numbers. But what I would say is you also need to take into account the business banking and the agri banking books, some

of that will be back, right? So

your starting point is not INR40,000 crores, it's probably higher.

Akshay Jain: So that increases the benefit?

Gaurav Jain: Yes.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Sanjay ji and team, congrats on a good quarter. A few questions like first on the credit cost, now that we have reported a 64 basis points in the 1H based on total assets and maintaining 100 basis point guidance. So is this credit cost that you see in 2H will be a reflection of the trends in FY '27? And do you think that will improve further or is this 2H number slightly boosted by the recoveries that may be they are from the NPAs that we had in 1H? So can we expect an improvement further continuing FY '27 on the second half number?

Sanjay Agarwal: So Nitin, we are confident about this year, right, because we can visualize the entire ecosystem we can see quarter 3, quarter 4, right? So we believe that 100 basis point credit cost, we all are working hard to be in that number, right? And we strongly believe that we should get that number. 64 basis points H1 is a great set of numbers because H2 generally helps us to reduce

the overall credit cost for the year. So we are absolutely on track for this year. But next year, again, too many variables, too many things, which comes from nowhere, right? So if you ask me that if things remain in a similar kind of zone, which we are seeing as of now, the credit cost still can come down because I don't think that credit card or microfinance business, which is giving us the 50% of credit cost, i.e. 50% credit cost is coming from that book, right, which should not give us that kind of challenge next year.

So our idea is to be around 85 to 90 bps kind of benchmark. but I don't want to give you any number there because it's difficult to predict for entire next year. But I think this year is one of the best years for us from last maybe 18 months or maybe 2 years. So we are quite hopeful that from here onwards, the credit cost should remain in one zone or in one number..

Nitin Aggarwal: Right. And second question, Sanjay ji, is on the Universal Bank transition. While we know that the discussions and like this is still underway, but by when do you like tentatively think that the transition to Universal Bank should get completed? And do you see a material rise in opex towards branding and advertising as you undertake this transition?

Sanjay Agarwal: So we actually have already commented that our idea is to start our 11th year as Universal Bank. So still we have 6 quarters to complete that. RBI has given us 18-month period, and we believe that we should become in that time line. But I would say, the advantage of getting in principle license has already been now on our balance sheet. People have recognized us very credible or a very forward-looking kind of institution.

So from 7th August, we are getting enough, I would say, acceptance in the market as a whole, which is great for any financial institution that people are actually treating us like Universal Bank only nowadays. So that positive impact already started coming in. I would say that there will be some time before we really become Universal, but we are working with RBI, with regulator to achieve that.

And what was the other question? But there won't be any opex or anything which may cost us on our balance sheet. Rather this whole staggered transitioning from SFB to Universal in the next 18 months will allow us to do really a market expense also, the marketing expense also on a long-term basis than a one-off kind of basis, right? So as of now, Nitin, difficult to comment on one-off on a marketing expense. But other than that, everything is business as usual.

Nitin Aggarwal: Right. And the last question is on the number of employees,

and there is a sharp rise at around 4,500-odd employees that we have added this quarter. So how are we looking at that? I mean this is a very, very like sharp number to look at the increase that we have had in the last 2 quarters, in fact. And so how do you see the opex? Any implications of this on the cost ratios? Will it again start to grow at a faster clip? How do you see that?

Sanjay Agarwal: Nitin, the agenda of growth is back. We are seeing a lot much business opportunity in our newer geographies, like southern markets, East markets. The entire growth, which you are seeing in workforce, is our largely in sales force or largely in underwriting space. We haven't added much more force in backend.

So idea is to make them productive in coming time and bring the growth back. So we are now focusing ourselves more and more on the -- taking the market share from the newer geographies. So there will be some little bit higher opex, but it will eventually will help us to bring back growth on our business numbers.

Nitin Aggarwal: Right. And Sanjay ji, one last question, if I may squeeze in, is also on the credit card portfolio because that is giving us quite an addition to the total credit cost, irrespective of the size of the portfolio, which has come down meaningfully. But it still contributes meaningfully in respect to the total credit cost. So what is the like outstanding revolver and the transactor mix now that we have in this digital portfolio?

Sanjay Agarwal: Sorry, vivek...

Prince Tiwari: That's given on Slide Number 36, Nitin, the revolver to transactor mix. So transactors are 48%, revolvers are 26%, and 27% is EMI or loan. And as we had highlighted earlier that the entire credit card book, I mean, we had taken a lot of corrective actions over the last 8 to 12 months. And we had identified a certain book where most of the risk basis our analytical tools, where the risk could emanate from.

And that's the book which is now slowly winding down. And that's why you see this quarter, there's a substantial reduction, I mean, almost 50% in terms of the credit cost that's coming from

that book. And that's why Vivek was saying that we'll continue to see positive benefits in the coming quarters.

Vivek Tripathi: The credit cost would eventually come from the slippages, right? So slippages are a leading indicator that -- so in this book, my slippages has come down substantially from Q1 to Q2, and we would continue to see that momentum going forward. Maybe in the stand-alone basis, Q4 should be more similar to what industry benchmarks are, right? That's what we think.

Nitin Aggarwal: And how much would this revolver would have been at the peak now that it has come down to 25%?

Gaurav Jain: So this would be around 35, 36.

Moderator: Next question is from the line of Pranuj from 3P Investment Managers.

Pranuj: So just a couple of questions, both on the deposit front. So you have been pretty active in trimming your SA and TD rates. So from here on, what would be the key hope that you would have to gain share amongst the -- gain SA share amongst the customers? Previously, I think credit card and PL used to be one of the propositions which you used to cross-sell, but now what would be that hope?

Second is you mentioned on your retail asset base, you are cross-selling SA. So if you could give some color, what is the self-funding ratio on your retail asset base? And what would be the pitch to move customers or to cross-sell the SA accounts to the customers?

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Prince Tiwari: Yes. So Pranuj, thanks for that question. See, I think the entire focus on build-out of SA has been to build granular SA, right? So that has to be on the basis of the engagement with the customer and the various products that we can try and cross-sell to the customer so that the engagement and the hook kind of increases.

And that's why over the last 3 or 4 years or 5 years rather, we have been investing heavily in building out various hooks, which we can try and cross-sell. So you mentioned credit cards and PL. These are 2.

And as we said in the earlier comment as well that we are looking to grow these businesses back. It's not that we are going to wind down these businesses, right? There has been some underwriting tweaks that we were doing. And having got some confidence, as I said, in a couple of quarters, we'll start growing that back, right?

So that obviously remains one of the biggest hook. But apart from that, we have now got the insurance penetrations. We have now built out insurance partnership with more than 15 insurers, right, including LICs and SBI Life, right?

Then we also have the entire wealth management that we have built out, right? And that is showing a good traction, right? Of course, SFB brand doesn't really help from a wealth perspective. But as we migrate to Universal, the team is ready. And incrementally, we are seeing traction, and we published those numbers.

As I said, currently, the AUM is about INR1,600 crores, right? Then there is the entire AD1 license where the FX and remittances piece is coming through. And I think in Gaurav's earlier commentary, he highlighted that the FX income is now growing almost 50%, of course, from a low base, right? But that also tells you that there is a lot of adoption in terms of remittances and in terms of customer forex requirements.

We just launched the FX travel card as well. So I think the idea will be to try and reach out to a customer with a full basket of products, not necessarily only talk about interest rates. Of course, interest rates is important. But as we build the brand, probably we start putting interest rate in the rearview mirror and talk more about the bank, the products, the services, right?

And maybe at some point in time, probably near future, I can also offer a very, let's say, a specialized rate on the saving -- on the car loans and housing loans to my liability customers. If somebody is maintaining good balances with me, I'm not going to incur a cost of acquisition, right? And there's bound to be lower credit cost on that business.

So I don't really mind going to a customer with a complete bouquet of products rather than only talking about interest rates, right? So that's going to be the strategy and the team will need to work on.

Distribution is definitely helping, right? Universal is definitely helping. As Sanjay ji said, just by getting the license itself, the number of conversations that we are now having with customers or the quality of customer conversations we are having with customers is very different than when we were probably SFB or early stages of our SFB life cycle.

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Just last point, I think to your question, most of our asset customers are self-employed. I mean I know probably more than 90% plus maybe, but at least on the retail side, they're all self-employed. So as of yet, because our cost of funds don't really allow us to reach out to a salaried customers like yourself, right?

And that is where I need to bring you in with a liability and product and services and then try and cross-sell you on the asset with a specialized teaser rate. Hope that answers your question.

Pranuj: Right. So is it fair to say the self-funding ratio would be quite low amongst the retail asset customers as of now?

Prince Tiwari: Sorry, what was the question?

Gaurav Jain: Yes, yes. So that's correct, right? Self-funding in the retail secured assets would be low.

Sanjay Agarwal: But that is with every bank because the retail asset we are building on is with the customer who lives in semi-urban and rural areas, right? That's why you

get a yield of around 14% to 15%,

right? You can't expect those customers having enough money to keep in the bank account,

right? But our commercial banking self-funding as Vi vek is around what 40%.

Prince Tiwari: Which (commercial banking) contributes to 6% of the (CASA) and in fact, even on the retail side, we have made a beginning. As you said, I think we have opened 95,000 accounts from (retail)

Sanjay Agarwal: That is close to 10% only, right? So if you have INR80,000 crores of book of retail assets, and it's just INR8,000, INR10,000 kind of deposit, right? So -- and we don't expect, honestly, to get a deposit from our retail customers. Rather, we want to cross-sell them insurance, we want to cross-sell them maybe the PL or BL in case they need it, right? So we earn decent ROA from our asset customer. That's our business model.

Moderator: The next question is from the line of Piran Engineer from CLSA.

Piran Engineer: Congrats on the quarter. Just firstly, 1 clarification. Prince, you mentioned LGD in vehicle is -- I didn't hear it correctly, but did you say 35% to 40%?

Prince Tiwari: Bps. I mean, 35 -40 bps.

Sanjay Agarwal : We have PCR of around 70% on wheel book, then 50% is only the real LGD, right? So he mean t that.

Vivek Tripathi: Yes. So basically, when loss given default is very different than the accounting entry in terms of the provisioning, right? So when we repossess the asset and sell it, eventually, what is my principal loss, right? That is what Prince has mentioned, somewhere around 40 bps, right, 35 to 40 bps. That's the actual number.

Sanjay Agarwal: Overall basis. Of course, some book would be giving you more, some be giving you less. But overall, it's not more than 50% of our provisioning.

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Piran Engineer: Okay. Understood. Fair enough. Okay. Just coming from my questions. Firstly, given that your mix of loans has changed in the last 1.5, 2 years, first, you got the MFI book, now you've run it down, and we've seen this whole cycle play out. At what level would your gross slippage ratio sort of stabilize? Because obviously, currently also while it's improved, I don't think this is a steady-state number, INR900 crores a quarter. So what should we assume as a steady-state number?

Vivek Tripathi: It's not something which we are targeting something. But yes, obviously, as these 2 assets, right, credit card and microfinance would stabilize, eventually, it's about 2.5% kind of a slippage ratio we would have, right?

Prince Tiwari: Yes.

Piran Engineer: Okay. 2.5%.

Prince Tiwari: Yes, 2.5% to 3%. I mean, that will be the range that we'll work with or historically, we have worked with because even on the retail businesses, typically, there is a tendency of the customers slipping into NPA and then recovering back, right? So I think anything around 2.5% to 3% annualized slippage rate is where we should stabilize finally. But that's just a ballpark. I mean it's not a number that we target or we have a defined target around that number. We track credit costs more importantly.

Piran Engineer: Okay. Fair enough. Fair enough. And just secondly, now I know you're not explicitly calling out how much NIMs will finally recover to over the next 3, 4, 5 quarters. But would you be still targeting erstwhile NIMs of 6%, 6.1% as in -- okay, or my question really is, let's say, your TDs reprice downwards, but you still hit a NIM of only 5.7%, 5.8%. Will you resort to, say, further SA rate cuts or actions on the asset side to get back to that 6% NIM?

Gaurav Jain: So look, we don't want to guide specifically on NIM. I think we have talked about all the components of NIM, right? So the deposit rates will continue to come down. We are through almost all of the repricing from the repo rate cuts. Prince has spoken about asset mix changes,

right?

So effectively, your NIM would

be a function of asset mix, right? And your current yields on the other books, which may be subject to competitive or market pressures, right, and would depend on your cost of funds and reversal of excess liquidity, right, especially in the lower quarter, right?.

Prince Tiwari : when it came to 6, the Leverage was low

Gaurav Jain: Yes. And then there are 2 components to look out for is you have very high slippages in your unsecured assets, which have been detracting from NIM through interest income reversals, right?

So once my credit quality sort of stabilizes in those 2 books, that will not be detracting and they will be adding to the positive asset mix as well, right?

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So there are a lot of moving parts. And then the other thing is sort of the capital structure that the Board decides to run on the Universal Banking platform, right? So a lot of moving points. What I can tell you is we will get better from here.

Moderator: The next question is from the line of Ashlesh Sonje from Kotak Securities.

Ashlesh Sonje: Just one question from my side. If I look at your mortgages business, including both LAP -- including both housing loans and MBL, if you look at some of your core states, let's say, if you pick up Rajasthan and MP, do you see any elevation in the delinquency level, let's say, over the last 1, 1.5 years?

Vivek Tripathi: Ashlesh, Vivek here. See, both markets are different impact. When you're clubbing them, both behave differently. Rajasthan has a very different credit culture. MP has a very different -- it's more of an agri economy. So agriculture cycles will impact. Having said that, there is no significant difference in what it was there last year and what we are seeing this year.

Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sun Life Asset Management.

Himanshu Taluja: Congratulations on a good set of the numbers. Just a few small questions as most of the questions have been answered. Sir, given your opex, you have partly -- on the opex strategy, partly you already answered in the Nitin question that you don't want any opex to be on a front-loaded and will be on a more long-term basis.

But anything from a -- given you wanted to transition in the next 5 quarters as a Universal Bank, any further investments which may be required towards the operational or on the digital journeys before you wanted to transition this?

Second is, are you working towards an internal strategy where you wanted to keep the opex as a threshold -- cost-to-income ratio around the 60% level? And lastly, any gaps which have you identified before you wanted to successfully move this transition? Yes, that's it.

Gaurav Jain: So on your first question, right, around expenses for transition, there is nothing specifically that we need to invest. As we have spoken multiple times, we have invested in the platform ahead of the time, right, in each of its aspects, whether it's product development, whether it's tech, whether it's team, whether it's governance, right?

So the bank is fully ready to transition to a universal platform without having to incur any additional expense, right? So any expense that we choose to incur is discretionary, and that will be around the marketing expense that Sanjay ji spoke about, right? So that's the first point. The second point on expenses -- on your cost-income ratios, right? I think the way to think about it is we have guided to a 60% cost income as sort of as the maximum, and we want to stay below that. Now 2 things, right? So we think we can grow our balance sheet sustainably at between 20% to 25% on a multiyear basis, right? And my growth in opex would be lower than that because of operating leverage and because of tech-driven efficiencies, right?

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Now as

a result of these efficiencies, we will have capacity to invest for our growth as well, right? And that's a calibration that we do sort of on an annual basis, on a semiannual basis, depending on the trajectory of the business. So net-net, we would be better -- we would try and target sort of a cost-income ratio, which is better than 60%, and we would be better than 4.3% on an opex to asset basis.

Himanshu Taluja: Sure.

Gaurav Jain: Okay. Did you have a third question as well? Or was that it?

Himanshu Taluja: Yes, that's it. Broadly, I think you have already answered on the third question.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Prince Tiwari for closing comments.

Prince Tiwari: Thank you, Rutuja, and thank you, everyone, for joining the call and for your questions and for all your support. In case you have any further questions, kindly reach out to the IR team. Good evening and good night. Happy Diwali to all of you.

Sanjay Agarwal: Thank you. Happy Diwali.

Moderator: Thank you very much. On behalf of AU Small Finance Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

Ref. No.: AUSFB/SEC/202 5-26/400

Date: January 22, 202 6

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.

NSE Symbol: AUBANK BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001,

Maharashtra.

Scrip Code: 540611, 974093, 974094,
974095, 974914, 974963, 975017, 975038 &
976580

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Nine months ended on December 31, 2025

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Tuesday , January 20, 202 6 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter and Nine months ended on December 31, 202 5.

In compliance of Regulation 46 of the Listing Regulations , the transcript is also made available on the Bank's website at <https://www.au.bank.in/investors/quarterly-reports> .

This is for your information and records.

Thanking You,

Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami

Company Secretary and Compliance Officer

Membership No.: F9999

investorrelations@aubank.in

Encl: As above

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"AU Small Finance Bank Q3'FY26 Earnings
Conference Call "

January 20, 2026

MANAGEMENT : MR. SANJAY AGARWAL - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , AU SMALL FINANCE
BANK

MR. UTTAM TIBREWAL - EXECUTIVE DIRECTOR AND
DEPUTY CHIEF EXECUTIVE OFFICER , AU SMALL
FINANCE BANK

MR. GAURAV JAIN - INTERIM CHIEF FINANCIAL
OFFICER , AU SMALL FINANCE BANK

MR. VIVEK TRIPATHI - CHIEF CREDIT OFFICER , AU
SMALL FINANCE BANK

MR. PRINCE TIWARI - HEAD OF INVESTOR
RELATIONS & FIG, AU SMALL FINANCE BANK

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Moderator : Ladies and gentlemen, good day and welcome to AU Small Finance Bank Q3 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari – Head of Investor Relations. Thank you and over to you, sir.

Prince Tiwari: Thank you, Sagar. And good evening , everyone and welcome to AU Small Finance Bank's earnings call for the 3rd Quarter of Financial Year 2025-2026. We thank you all for joining the call this evening.

On today's call from the management, we have our founder, MD and CEO – Mr. Sanjay Agarwal; our Executive Director and Deputy CEO – Mr. Uttam Tiwari; our Interim CFO – Mr. Gaurav Jain ; our Chief Credit Officer – Vivek Tripathi and the IR team.

We will start today's call with a 15 - to 20 -minute opening remarks by Gaurav Jain, highlighting the Bank 's performance, positioning, and outlook. And we will follow the opening remarks with a 40 to 45 -minute question and answers from the participating analysts and investors.

For the benefit of all participants and so that we can take everyone's questions, we would humbly request everyone to keep the number of questions restricted to two per participant and join back in the queue in case you have further questions. For any data -keeping questions, you may kindly reach out to the IR team any time post -conclusion of this call.

So, with this, I now request Gaurav Jain – our CFO, to share his opening remarks. Gaurav, over to you.

Gaurav Jain: Thanks, Prince. Good evening, everyone, and thank you for joining the call. It's a pleasure to welcome you all to our Earnings Call for the 3rd Quarter of FY'26. Q3 marks completion of 35 quarters of our banking journey.

As we near the completion of our first decade as a Bank , the foundation we have built gives us strong conviction about the road ahead. With our core growth engines firmly in place and the once -in-a-lifetime opportunity of transitioning to a universal banking platform, we enter the next phase with confidence. Backed by an execution -led culture, stable leadership team, tech -driven approach, and with robust governance, we are fully prepared to scale responsibly and sustainably. India enters 2026 on a stronger footing than a year ago, supported by a normal monsoon, accommodative regulatory environment, prudent fiscal discipline, and policies stimulus through GST cuts, labor reforms, and monetary easing. This favorable macro setup

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combined with low inflation augurs well for credit demand despite global uncertainties. System - level credit growth has strengthened to 14.4% year -on-year, driven by robust auto sales, healthy MSME demand, and a pickup in commercial and corporate activity. The deposit environment, however, remains intensely competitive with tight liquidity conditions and systems deposits growing at 12.7% year -on-year.

Amidst this environment, AU continues to deliver strong and resilient performance. Deposits growth remains strong at 23% year -on-year, among the highest in the sector and 1.8x of the system growth. Loan portfolio grew by 19.3% year -on-year, 1.3 x of the system growth and

nearly 2.5x of the nominal GDP growth. Secured assets grew by 23% year -on-year and unsecured businesses have also started to turn around with a 1% positive growth this quarter led by MFI.

Margins expanded by 25 basis points quarter -on-quarter to 5.7% from 5.5% in Q2, led by a sharp decline of 22 basis points in cost of funds and benefit from CRR cuts.

Asset qual

ity saw continued improvement, led by ongoing recovery in unsecured and seasonal strengthening in secured assets. Slippages declined by 13% quarter -on-quarter, GNPA ratio declined by 11 bps to 2.3 0%, and annualized credit costs for Q3 declined by 41 bps to reach 78 basis points of average assets, with 9 -month credit costs at 1.1% of average assets. Profitability expanded on quarter -on-quarter basis, with PAT growing by 26% and ROA expanding to 1.6% for Q3.

On our strategic initiatives, we continue to make strong progress across products, distribution, marketing and technology.

On the product side, we launched two new innovative offerings :

- The first is an exclusive banking program for chartered accountants in partnership with the Institute of Chartered Accountants of India to offer customized solutions for CAs focusing on their business needs, personal banking and lifestyle.
- The second is M Circle, a tailored proposition for women customers offering curated financial solutions and lifestyle experiences.

On the marketing side, we onboarded Ranbir Kapoor and Rashmika Mandanna as our new brand ambassadors and unveiled our campaign “Soch Badlo aur Bank Bhi”. During the quarter, we expanded our distribution by 100 physical touchpoints, including 27 new deposit branches, to take our total touchpoints to 2,726.

We have further strengthened our governance framework by including three new independent directors, Mr. N. S. Venkatesh, Mr. Satyajit Dwivedi and Mr. Phani Shankar.

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During the quarter, the Bank received approval from the Ministry of Finance, Government of India for an increase in the foreign investment limit in the Bank from 49% to a maximum permissible limit of 74%.

On the technology front, we are building a Bank engineered for scale, intelligence and long -term sustainability. Over the past 8 years, we have consistently and strategically invested 8 %-10% of our OPEX in our technology backbone. Our tech stack today delivers 99.9% uptime, automated disaster recovery, multi -cloud resilience while seamlessly processing 3.5 million plus UPI transactions and 10 million plus API calls daily. We have modernized AU 0101 and AU 0101 Business into auto -scalable, future -ready platforms while Customer 360 is evolving into a powerful AI -driven engine.

Now, we are accelerating AI implementation to embed it across the Bank , reshaping acquisition, underwriting, risk, operations and customer engagement as we transition into a multilingual, non-sequential AI -native architecture. Our enterprise -wide agentic AI roadmap is progressing well. We are reshaping our go -to-market strategy with digital STP journeys across assets and deposits.

Vehicle partners' onboarding for Wheels loans is live and additional integrations that deepen STP journeys and partner -led distribution are underway. Our AI -powered Gold Loan LOS will go live in Q1 FY '27 and native AI functionalities across Wheels, PL and credit card segments are being built to enable faster decisions with higher accuracy and scalable execution. A cloud -native real -time data lake forms the base layer of our AI -led decision -making architecture, enabling real -time insights generation directly by business teams, accelerated decision -making. AI-based fraud systems now auto -decision over 60% of alerts and transaction monitoring, and voice bots handle nearly 25% of inbound calls.

Bank is also adopting functional and HR training through AI -led platform, where employees learn continuously and dynamically, improving productivity and capability. We will update more on these initiatives in the coming quarters.

As part of long -term succession planning and roadmap for increasing leadership depth in the Bank , we also announced two critical changes to our executive leadership. Our Executive Director and Deputy CEO – Mr. Uttam Tibrewal, on completion

of his current tenure as Whole -

Time Director on April 18, 2026, will continue in his capacity as Deputy CEO and remain responsible for leading our key business verticals, including retail assets and liability. Alongside these responsibilities, he will devote increased time to on -ground engagement to drive growth, strengthen customer relationships, and expand the Bank 's presence across newer geographies. Mr. Vivek Tripathi – Chief Credit Officer of the Bank , will be appointed as Executive Director,

subject to required regulatory approvals. Vivek has been with us since 2014, contributing across business, credit, and risk in various leadership roles. As Executive Director and Chief Credit Officer, he will continue to provide enterprise stewardship of AU's credit architecture, unifying AU Small Finance Bank
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credit policy and underwriting, portfolio management, collections, legal recovery and vigilance, and fraud control under a single governance framework.

Now, let me give some color on each of our businesses :

First, on the deposit business :

Our deposit base crossed Rs. 1,38,000 crores, growing by 23% year -on-year and 4.5% quarter -on-quarter, reflecting the growing strength of our branch banking franchise. CASA deposits grew by 16% year -on-year and CASA ratio remained broadly stable at 29%. We have added 66 new fully -fledged liability branches this year and are on track to take new branch addition tally to 80 branches for the year, mostly in urban areas.

With robust acquisition models, distribution expansion, segment -led approach, and a keen focus on productivity and efficiency, we are now seeing a sustainable increase in our low -cost granular deposit franchise, which has in turn helped us to reduce our cost of funds. New CASA account acquisitions grew by 30% year -on-year for a 9 -month period and crossed a milestone of 1 lakh monthly account acquisitions in December.

Cost of funds declined by 22 basis points quarter -on-quarter to 6.61% vs. 6.83% in Q2, led by repricing of term deposits and benefits from savings account rate cuts taken in October.

Cumulatively, we have seen a 53-bps reduction in our cost of funds in FY '26 so far. With effects from 12th January, we have further optimized our savings deposit rates in certain buckets and will continue to monitor the competitive landscape for further transmission of rate cuts. On

cross -sell, the Bank continues to drive holistic integration across our full product suite, covering cards, payments, insurance, wealth management, trade, and FOREX , through a specialized vertical focused on deepening customer engagement. We are seeing encouraging progress, including 90,000 new CASA accounts opened from our retail asset base in Q3, with balances of Rs. 160 crores and a Rs. 2,500 crores liability -to-asset cross -sell portfolio by end of the quarter. Wealth and FOREX services are also gaining traction, with our wealth franchise now serving 2.5 lakh customers and managing Rs. 1,900 crores of AUM. Our AD1 business continues to scale well, with steady growth in volumes and transactions and cross -border trade in FOREX revenues growing nearly 50% year -on-year.

Now moving on to our asset franchise :

Overall loan portfolio stands at Rs. 1,30,000 crores and grew by 19% year -on-year. Our secured businesses grew by 23% year -on-year and 6% quarter -on-quarter. Unsecured businesses registered a degrowth of 17% year -on-year but have started to turn around and grew by 1% in the quarter led by MFI. Retail secured assets, which include wheels, mortgages, and gold loans, formed 68% of our portfolio and grew robustly at 21% year -on-year.

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Wheels business saw a strong growth momentum aided by GST cuts and buoyancy in new car sales, leading to growth of 27% year -on-year to reach Rs. 43,700 crore s.

Gold loan business grew st

rongly by 52% year -on-year from a low base to reach Rs. 3,000

crores . Our mortgages business comprising microbusiness loan and affordable housing grew by 13% year -on-year to Rs. 41,000 crores in a highly competitive market warranting disciplined underwriting. We are working to increase the growth rate in this segment through distribution expansion and improvement in productivity in the southern market. Overall, the retail secured segment will be the main beneficiary of our expanded distribution in the southern market.

Moving on to commercial banking, which forms 21% of our lending business :

It has strong segmental understanding across business banking, renewable energy, emerging enterprises, NBFCs, real estate, and transaction banking. This segment saw a broad -based growth with overall book growing by 25% year -on-year to reach Rs. 27,700 crores and non -fund-based book of approximately Rs. 10,000 crores . A significant part of the commercial banking business is self -funded as this book contributes 8% of overall deposit book and 7% of overall CASA book.

Now moving on to the unsecured business :

Our two unsecured businesses of Inclusive Finance and Digital Lending are nearing the end of the credit cycle. Our inclusive banking franchise comprising MFI and lending to small and marginal farmers has started to turn around with the portfolio growing 2% quarter -on-quarter to reach Rs. 6,600 crores .

Non-overdue collection efficiency in MFI improved to near -normal levels at 99.3% for the quarter and 99.5% for the month of December, the highest in six quarters. The SMA pool reduced to 1.9% from 2.9% in Q2. 83% of the MFI book is now covered under the C GFMU Guarantee Scheme, providing protection against any potential credit losses in the future. Our digital unsecured portfolio comprising credit cards and personal loans declined 27% year -on-year and 4% quarter -on-quarter. However, we remain optimistic as credit costs continue to normalize. New card issuance strengthened to 48 k cards in Q3 versus 27 k. in Q2 and we expect the book to return to growth in the next financial year.

In terms of profitability :

We delivered profit after tax of Rs. 668 crores for the quarter with ROA of 1.6%. This included a one -time provision of Rs. 20 crores due to impact of the new labor code. Excluding this impact, PAT for the quarter was Rs. 682 crores up 29% year -on-year.

Net interest income increased by 9% sequentially on the back of strong growth in loan portfolio and expansion in margins. NIM expanded by 25 basis points quarter -on-quarter to 5.7% from 5.5% in Q2, benefiting from 22 bps decline in cost of funds, reduction in CRR and lower surplus liquidity during the quarter.

Our other incomes saw a healthy growth of 10% sequentially driven by higher business volume and increased traction in distribution of third -party products . Operating expenses excluding impact of labor code increased by 14% quarter -on-quarter driven by higher disbursement and ongoing investment in power and touch points as we expand our distribution.

We continue to target disciplined control over operating expenses with OPEX by average assets falling to 4.1% year -to-date as compared to 4.4% in comparable period last year. Cost -income ratio was 57% year -to-date. Credit costs reduced from Rs. 481 crores in Q2 to Rs. 331 crores driven by ongoing normalization in unsecured businesses, seasonal strengthening in secured assets and enhanced CGFMU coverage in MFI.

To sum up :

Q3 marks another quarter of disciplined execution and progress towards our forever Bank vision. As we head into the closing months of FY '26, our priorities are clear and we continue to focus on growing our deposits franchise, optimizing cost of funds, pushing growth in secured assets and driving cost efficiency and fee momentum. I take this opportunity to thank our

teams for their commitment and to our stakeholders for their trust.

With that, I will now hand over to Prince for Q&A.

Prince Tiwari: Thank you , Gaurav. Sagar, we can now open the call for question -and-answers.

Moderator: Thank you very much. We will now begin with the question -and-answer session . Our first question comes from the line of Akshay Jain from Autonomous. Please go ahead.

Akshay Jain: Hello, sir. My first question is on margins. So, can you explain the different moving parts on your margins? You explained that your cost of funds improved by 22 basis points while yields were down 10 basis points. So, this gives us broadly 10 basis points margin improvement. So, what's driving the balance, 10 basis points? Is it the LD ratio increase? And your LD ratio is already 89% on. So, how should it move incrementally? And any medium -term guidance on margins? My second question is on funding mix. So, this time on a large part of your deposit growth has come from non -callable bulk deposits. So, how should we look at this? Are we facing some intense competition from peers and hence, are you relying on other sources? How should we look at it incrementally? And lastly, on credit costs. So, credit costs came in surprisingly well this quarter. MFI and credit card both saw an improvement. So, any further color on what has improved? Should we expect normalization from next quarter onwards and credit cost guidance for the next year? So, these are my three questions. Thank you.

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Gaurav Jain: So, Akshay, I will start off with the first question on margins, right? So, there are three broad parts. The first is the improvement in cost of funds, which we have mentioned in our presentation. The second is the benefit from CRR cut. And the third is your lower surplus liquidity during the quarter due to strong loan growth, right? Now, within this, your asset yields have come down, right? So, the balance is what is reflecting in the margin growth. And in terms of your margin outlook for the future, we don't want to give specific guidelines, but I will talk about the key moving parts, right? So, the first one is the continued ongoing repricing of our deposits book. So, we think there are still two more quarters to go for repricing of our term deposit book. Because the tenor we were maintaining prior to rate cuts was in the 12 to 18 -month bucket where the peak FD rate was. So, we should continue to see repricing going well into Q1

of next year. Second is not all of the recent rate cut transmission has reflected in this. So, as we see improvement in liquidity and the competitive landscape around both TD and savings account pricing, we will take actions accordingly. And then the third moving part is your asset yield. So, you'll have the latest repo cut impacting the variable book, which is around, slightly less than 30%. That impact will come in Q4. Thereafter, your asset yield will largely reflect the mix. And, if we are able to improve the MFI and credit card mix, then that should help on the margin side. So, I think that's the one on the margin side. On the bulk side, on the funding mix side, look, one of the ratios that we track is our stable deposit ratio, which is, a sum of your CASA and your retail TD and your bulk non-callable. And if you look at this as a ratio of our total deposits, that has largely remained stable around 80%, right? So, I don't think there is any increased reliance on bulk callable deposits. Having said that, liquidity remains tight in the market. And we look at various funding sources and optimize across, multiple metrics, including deposit growth, including cost of funds, including liquidity, etc. And see what is the best way to optimize across these matrices. The third question, Vivek, do you want to take ...

Vivek Tripathi: Yes. So, hi Akshay, this is Vivek. On the credit

cost, for secured retail assets, seasonally, we always have this improvement in H2. Q3 is a festive season. So, always there is an improvement in collection efficiencies and in the reversal of NPA. So, that's factored in there. And we continue to see that improvement to continue in Q4 as well. On unsecured piece, which is credit card and MFI. So, credit card, we have called out in Q2 as well that it had peaked and it started declining. So, it is now near normalization level. If you see it's standalone basis, my slippages as well as credit cost is near normalization level and which we would continue to expect to remain in that stable zone for coming quarters as well. For microfinance, there are two components to it. One, the collection efficiencies continue to improve. Exit collection efficiency for the month of December was 99.5% upward. And because of that, my SMA pool has reduced significantly from 2.9% to 1.9%. Plus, since we started taking a coverage of CGFMU, which is credit guarantee scheme, that coverage is improving month-on-month. On a quarter-end basis, it is now covering almost 83% of assets. So, naturally, that gives us the cover. So, we remain confident that we are on track of what we guided. For FY'26, our credit cost should be in the range of 1%. We continue to basically look forward to achieve those numbers.

Akshay Jain: The credit cost for FY '26 should be 1%, is it?

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Gaurav Jain: Yes. So, the full year credit cost guidance that we had given out earlier was 100 basis points on average assets, on balance sheet assets.

Akshay Jain: Okay, on average assets. Just one point, I guess, based on the CD ratios that you are using up your liquidity. So, which has increased your CD ratio to around 89% odd. So, how should we see it moving incrementally?

Sanjay Agarwal: But, if you see the CD ratio excluding the refinance, then we are 80%, right? Which is the way the regulators and the entire system is looking into it, right? So, I don't think we are somehow, seeing this data very seriously in the sense that it won't be against any growth aspiration of us, so, quite comfortable in that sense.

Akshay Jain: Understood, sir. Thank you. And just any comments on credit cost for next year?

Moderator: Thank you. Our next question comes from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hi. Good evening, everyone. Congrats on a good quarter. A couple of questions. One is, on the mix of unsecured loans now, how should we look at that now that the portfolios are seeing some stability on both? Cards also have started to grow MFI as well. So, how should we look at the mix of unsecured loans from here while the overall loan growth continues to be healthy? Will unsecured lead that or how will it move from there?

Sanjay Agarwal: Hi. Thanks, Nitin. Again, we are working in all directions for MFI or credit card or, of course, the personal loan. But we are seeing green shoots in MFI business. So, this was the first month (quarter) that the book has not de-grown. So, rather, it gets stabilized and has grown marginally. And the data says that an entire ecosystem says that this is becoming normalized. So, you will see some sort of growth in MFI business for next year. But difficult to quantify in this call. We would be ready to do this kind of decision-making by April, that how much we really want to grow MFI. But the entire system has been stitched well in terms of guarantee, in terms of branches, the recovery, the energy on the ground is back. So, I hope MFI should do better than this year, in coming year. Credit card, I think we want to take one more year to really stabilize it to the core, because we don't want to make mistake again. So, credit card business will go for another one year for the readjustment and settling down. And personal loan, of course, we

are

banking big on the whole STP journeys, NTB journeys, existing customer, cross-sell and all

those things. But the base is so low. So, it won't affect us in some sense of our growth. But of course, in the long run, I strongly believe our PL book will become substantial in terms of overall asset mix.

Nitin Aggarwal: Okay. Sure, Sanjay ji. And the other question is around cost. While you mentioned that Bank has been undertaking all the expenses to ensure sustainable growth and building a robust Bank, but how should we look at the cost-income ratio now? Because we have seen a fairly strong pickup in cost growth this quarter. So, how should we look at the ratio over the coming years?

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Sanjay Agarwal: I think we want to be around the original guidance that it should be below 60%, Nitin. And if you see our nine-month data is around 57%. And we should not overly read our Quarter 3 data.

We are building the retail franchise. So, in southern markets or new product range, require addition of people. But we are relying big on our tech ability to reduce the cost of operations.

And I think AI-led, the entire environment in coming years, eventually will allow us to operate on a lower cost-to-income. But I would say that we should read out the original (commentary) where we say we say that it won't be crossing 60%. And ideally, we should be in the range of 56%-57%, next year too.

Nitin Aggarwal: Okay. And Sanjay, lastly on the RWA growth, which looks a little sharper this quarter. So, anything to read into this, what has driven this kind of RWA growth?

Prince Tiwari: Nitin, hi, Prince here. So, if you see, on the capital adequacy side, there were certain changes in regulations this time, where a regulator has now allowed interim profits to be added to the capital adequacy. But on the other side, there were certain capital reductions, which have now been risk-weighted. And because of that, while we have got the capital benefit, the risk weights have gone up on some of the securitization transactions that we used to do. So, it's purely, most of it actually is only a technical adjustment. Nothing to read into it.

Gaurav Jain: Nitin, it's on the DTAs and the credit enhancement on securitization.

Nitin Aggarwal: Okay, got it. Thank you so much and wish you all the best.

Prince Tiwari: Thanks, Nitin. Thank you.

Moderator: Thank you. Your next question comes from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thanks for the opportunity and congratulations on a great set of numbers. So, my first question is on the loan growth outlook for the next 1 to 2 years.

Sanjay Agarwal: Loan growth outlook for the next one or two years. Okay. And the second one?

Jayant Kharote: And within that, specifically microbusiness loans, that piece is still not catching up to the overall book. So, how do we read that?

Sanjay Agarwal: So, again, two things. You know, we want to be around 2.25 to 2.5 times to the nominal GDP.

This year, we are expecting around maybe 8% or 8.5% nominal GDP, right? So, I think anything around 20%, 22% growth overall, we are targeting, right? And that should continue for next year too, because scale will be there, all those things. So, and if anything happens above that, it will be the outcome of, the whole ecosystem, right? And in that sense, as I already commented that MFI business is now turning around, we are seeing some green shoots, the entire system is being now coming in one direction that, growth will come back. So, I think it's so difficult to predict a

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next two-year story for MFI. And but overall, we have already said that it won't be above 10% of our overall asset and we want to be in that direction. We have bought that book because we need to complete our obligation around SM

F. So, that the whole, the reason of MFI was not only to build an unsecured asset, it was also around to do your certain obligations, right? So, you have to read in this only that how much you will grow, but specific guidance is difficult to give as of now.

Jayant Kharote: MBL.

Sanjay Agarwal: Okay. So, I think MBL is a mortgage business. So, we are doing micro business loans, affordable housing space, we really want to focus more and more. But somehow, it's not easy to build at this scale, at the same pace, we will be growing maybe this year around 15%-16%, idea is to be really in the range of 17%-18% next year and it will be supported by our southern branches, southern markets, the present markets, and building up some new product lines. So, overall, in my opinion, next year, if you perform around 17%-18%, in a longer run, it may be around 20%, but difficult for next year.

Jayant Kharote: And sir, on the Fincare branches disbursal run rates, you have been telling us it can ramp up meaningfully. Is there any progress on that front?

Sanjay Agarwal: So, we are building up there. So, the southern markets are overcrowded, the competition is next

level. So, it's not easy to ramp up, in a quarter or two quarters, it will take some time. We being a Bank, we have an advantageous position, we know how those markets operate now, how those customer want. So, we have those ingredients, but it will take some time. And maybe in next 12–18-month period, we will use that space, in terms of growth aspirations.

Jayant Kharote: And sir, if I could squeeze one last question on OPEX, we did see a sharp move in this quarter. We are back to that 4.3% of assets kind of run rate. How do we see again from here? Do we try to, in the last two quarters, we were able to do much better?

Sanjay Agarwal: I already commented that if you want to build a retail franchise, there would be some quarters where you will have additional manpower or you want to push for the growth, right? I think one quarter, two quarters should not be read in sense of permanent cost to income going up. We already told you that our cost-to-income ratio should be less than 60% and this 9-month is also we are around 57%. So, ideally, we should be here only for next 12–18-month period. But we are putting a lot much effort to reduce the cost through tech adoption, AI is enabling us a lot and we want to give you more color on this by April or maybe by July in our next quarter calls, how we really want to use these tools to have an impact of on the cost.

Jayant Kharote: Great. Thank you, sir, and all the best.

Sanjay Agarwal: Thanks, Jayant.

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Moderator: Thank you. Your next question comes from the line of Kunal Shah from Citi Group. Please go ahead.

Kunal Shah: So, the first question is on MFI credit cost in particular. So, a sharp drop coming in. And obviously, the overall GNP A and SMA book is further down. So, was there any benefit of recoveries, and it should be managed at this level of 1.3 % odd, or the steady state MFI credit cost should be relatively higher?

Vivek Tripathi: Kunal Vivek here. So, there are, as I said, that there are three components to it. Obviously, our collection efficiency has improved sharply. Our, the overall book coverage of, CGFMU has gone up to almost 83%, which incrementally, if you look at in the last two quarters, almost 100% of the disbursement is 100% covered. So, incrementally, it's going up, right? So, including SMA book coverage is going up. And so, the large reduction of credit cost happened on account of lower slippages and higher coverage of guarantee. Third, there was a marginal amount of the previous provisioning, which was there on this portfolio that has been utilized, because things are normalizing there.

Kunal Shah: Okay, got it. And secondly, with respect to ROA, so we are again at almost like 1.6 % odd now.

And there are levers available, maybe OPEX, so we could see it coming down. Plus, maybe some cost of deposits advantage can continue. So, how are we looking at the overall ROA trajectory? What are the further levers available in the near term? And on cost of deposits, maybe on the bulk side, how much has actually got repriced? And was that the major benefit in the cost of deposits, or it was to do with savings cut?

Prince Tiwari: So, Kunal, I think on the deposit, Gaurav already answered that. So, basically, it's a function of both. Definitely, savings account cut did play a large role, because we had taken some cuts on the 3rd of October. And TD continues to reprice. I think in the beginning also, when the interest rate cycle started reversing, we had said that it takes about 14 months to 15 months, or 12 months to 18 months for the entire deposit book to reprice. And I think that's what Gaurav articulated, that we probably expect 2 more quarters of term deposit repricing to continue.

Kunal Shah: So, I get that. The only thing was maybe since the bulk proportion is high, so was that the element of bulk repricing in the quarter? Or it was pure like even supported by retail?

Prince Tiwari: I think it will be in line with the composition of the book. I don't think there is anything specific to read there.

On the overall ROA, I think we have been pretty clear for quite some time that as a Bank, we do believe that we have the potential to deliver a 1.8% kind of ROA on a very sustainable basis. But obviously, we had also said that it takes about a decade for a Bank to come up, and we are already 35 quarters down. So, give us, I think, 4-5 more quarters for us to just get our initial investments done, just get the franchise up and running. And then from there on, operating leverage will play a role. As you rightly said, margins, there is some more room to go. So, I think

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for FY'27, we had earlier guided that our endeavor will be to try and reach 1.8. We continue to maintain that.

Kunal Shah: Okay. Thanks. That's helpful.

Moderator: Thank you. Your next question comes from the line of Gaurav Toshni wal from ICICI Securities.

Please go ahead.

Renish: Hi. This is Renish here from ICICI. Just one thing, again, on the NI M side, so obviously, the post-merger immediately, we were at 6% and now we are at 5.7. So, in a normalized scenario, I think NI M should settle at 6%. But with Universal Bank conversion, naturally, we will be tapping more credit-tested, quality customers, especially in MSME business banking and the other automated products. So, net-net where do you see NI M settling over next couple of years? And also, the reason for asking this question is that to understand how are we placed on the asset yield side, right? I mean, we might continue to benefit from the falling deposit rates for next 2 to 3 quarters. But if asset yield drop is not arrested, let's say in some quarters, it will start hitting -

-. So, I just wanted to understand from a medium to long-term perspective on NI M trajectory. Prince Tiwari: Yes, thanks, Renish. Maybe I will try and answer and then Gaurav can chip in. And see, on the interest rates, as well as on the margins, I think we have commented earlier as well, that it's basically an outcome. I think we look at business by business. And most of our businesses continue to hold on, because of the 70% being fixed rate book, we continue to hold on to the yields. Of course, you can't really compare post-merger Fin care margins because at that time, MFI was almost 8% of the overall mix and the unsecured was much higher. I think since then, the mix has changed. So, taking cognizance of that, I think we are now at about 13.8%. As Gaurav said, some bit of 25 bps December rate cut, repo rate cut, repricing is still to come into the next quarter. B

ut apart from that, we don't really see yields going down very significantly, barring some mix change. I think we are holding on to yields on the vehicle side. We are holding on to yields on the gold loans. We are holding on to yields on some of the other businesses. MFI will start to grow. Commercial banking is okay. So, I think it's more a function of mix from here on, I mean, post Q4 than anything else.

In the longer run, yes, you are right that probably, if the Bank decides to move into, I don't think we have fundamentally anything changing on our business model for the next 3 to 5 years. I think we have been vocal enough on our calls that despite universal, we will continue to build same segments. I think the idea is to scale up in each of the segments. There's a lot of opportunity. From a half a country, we want to go into a pan India to expand in vehicle financing, expand around the entire mortgage business. The gold loans can grow multifold. The commercial banking can continue to grow. So, I don't really see any concerted effort on the Bank's part (to drop lending yields). But yes, if we are going up to a better credit quality customer and there is some amount of yield sacrifice like in the commercial banking, that will also be reflected in the credit costs in OPEX. So, you will see a commensurate benefit. I am not really sure if there will be a compromise on ROA per se, because of the margins, if anything at all.

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Renish: Got it. This is very helpful. The last thing, earlier we used to give segment wise ROA breakup. Now, obviously, we have stopped that. But at least in terms of, let's say, the product level profitability, is there any product which is still loss making? I don't know. Credit cards might be one. But any other product which is still having a drag on the overall productivity level and hence cost to income, maybe cost to asset is still elevated. I am sure it is still lower than the guidances, but compared to, let's say, other banks, it is still elevated. Hence, I am asking this.

Prince Tiwari: So, I think we haven't discontinued anything. We used to give a product level profitability or ROA tree every annually, right? There's no point because there are so many moving parts. We give it every with the annual results. I think you will again see that with the March financials coming up. So, I am sure you'll have a chance to go through the asset wise profitability.

Renish: Okay. But would you like to highlight any loss-making product?

Prince Tiwari: Renish. Obviously, digital banking still continues to be loss-making or haven't really broken even and that's what Sanjayji indicated that we will take about one more year to stabilize that business.

Renish: Thank you.

Moderator: Thank you. Our next question comes from the line of Pritesh Bumb from DAM Capital. Please go ahead.

Pritesh Bumb: Hi, good evening. Just two questions. One is data keeping. Are we 100% provisioned on MFI today? The provision coverage?

Vivek Tripathi: Yes, Pritesh, Vivek here. Since we as I said, that my guaranteed portion is increasing. So, we provide for only on an uncovered portion, right? So, let us say on Rs. 100 loan, if the guarantee cover is about 72.5%, let us say, about 27.5% is uncovered. So, you provide on that. It works that way, it doesn't, the provisioning policy, right, governed by the provisioning policy.

Pritesh Bumb: Sure, got that. So, basically, before the CGFMU portfolio that will be 100% and the CGFMU portfolio, whatever goes into NPA will be according to the formula which is applicable?

Prince Tiwari: Pritesh, so as Vivek said, it is primarily driven by the provisioning policy always, right? So, for MFI at 90 DPD, we provide 50% and then every month, we provide another 15% so that by 180

day, we are 100% provided. So, anything which is 100% on the open

exposure, PCR will be a

function of where exactly the book is or what is the vintage of the NPA book. And the second part, as Vivek said, is what percentage is already covered by CGFMU, I will not be making any provision on that. On the open exposure, we will provide as per the provisioning policy.

Pritesh Bumb : Got it. The second question is on this Slide #30. So, basically, you have given growing distribution footprint and given color on how things can move in FY '26. Given that there is

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some penetration left in wheels and MBL, is it safe to say that growth will be driven by these 2 segments in next year, given that the ticket size is higher?

Prince Tiwari : Yes. So, I think that is what we have been saying like, wheels even today has grown about 27% year-on-year. So, we do believe that 25% growth in wheels is something that we should be able to do. And I think in mortgages as well, as Sanjayji said, while we are the largest player in that segment at that ticket size, but we do hope that, we are taking a lot of effort with the Southern franchise coming in, the current growth rate of 13 %-15%, we can scale it up to at least 17 %-18% over the next 2-3 years. So, yes, they will be the drivers. But apart from that, there will be gold loan.

Pritesh Bumb : Sir, what I was trying to make sense is that if growth is driven by wheels and MBL, the relatively yields will be lower in the segments compared to what we have done in some parts. Of course, you are growing gold and MFI next year, but the ticket sizes are smaller. So, just wanted to check your combination of how things can be in yield versus growth perspective ?

Gaurav Jain : I think the asset mix will largely remain the same, right? So, if you look at the composition of it today, about 67% is retail secured. And then you have wheels, which is about 34% of that, which is we disclosed is growing at 27%, right? So, wheels will continue to grow at that clip over the next 12 -18 months. And gold, obviously, from a very low base, there are the opportunities to multiply that book multifold, and that is what we are driving for, right? And there the yields are around the 16% range. And then the rest of the book if MFI picks up, then that will sort of, the degrowth of MFI mix will stop. And whether or not it can contribute positively on the mix we will see, but the degrowth that is coming from adverse mix of MFI will become lower going forward. But overall, I think the way to think is your asset mix will continue to be the same and as Prince articulated in one of the earlier questions over the next 2-3 years, our business model remains the same, right? The same segment, same customers, similar geographies, et c.

Pritesh Bumb : Sure. Thank you so much. Thanks for this.

Moderator : Thank you. Our next question comes from the line of Ankit Bihani from Nomura. Please go ahead.

Ankit Bihani : Yes, hi. Good evening and congratulations on a good quarter. So, my question is on MFI asset quality. So, we have seen sharp rise in gold prices. Is the recent improvement in repayment behavior broad based across the MFI book, or is it largely driven by borrowers with access to products, secure products such as gold loans? The reason I ask is our gold loan book has grown by around about Rs. 700 crores on a Q-o-Q basis while the book accounts for just 2.5% of our overall loan book, it has contributed 12% of the incremental growth in this quarter. So, is there any overlap between gold loan and MFI book customers?

Vivek Tripathi : Ankit, the MFI recovery is a very broad based recovery. And it is not in the one lender's book. If you look at the MFIN data, it would reveal that it is across the industry. The overlap between

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the gold loan and MFI book would be very minimal. And it is an independent asset

class, right?

So, the correlation of that, somebody borrowing from gold loan and repaying an unsecured loan, very low chances of doing that. And the credit environment, right, because of the MFIN guardrails have changed. So, the borrower at a village level have understood that until and unless there is a disciplined repayment, getting a further loan and getting the bigger loan would be challenging. And there is an improvement in the credit culture itself so far. And as you know, that industry is driven by a lot of events. So, we hope that no event take place in the future, which derails the credit cycle.

Prince Tiwari : Yes, it is across states. The recovery is across states, across districts. And as we have given month-on-month data as well in terms of collection efficiencies. So, I don't think there is anything one-off there.

Ankit Bihani : So, there is minimal overlap between both the segments, right?

Prince Tiwari : Yes. Because gold loan, see, our base was very minimal, right? AU historically never used to do

the gold loan business, or we used to do very limited just as a cross-sell in the branch banking. It was primarily an asset class that we acquired from Fincare. And once the acquisition happened and we saw the opportunity and the process and the systems that they had, I think we just are trying to ensure that we start doing or start implementing those over a larger set of branches and build that business from a very low base, right? So, if you are seeing a sharp growth, sharp growth is from a just Rs. 2,000 crore s book in a Rs. 1,30,000 crore s loan book.

Ankit Bihani : Yes, but if you look at the incremental growth, just 2 %-2.5% of your open book is contributing north of 12% of the incremental growth. So, I was just asking on that.

Prince Tiwari : Yes, maybe.

Gaurav Jain : So, that is clear, right? Because the book has grown by 50% year-on-year. So, it will contribute oversized in terms of incremental growth.

Prince Tiwari : That is what we are saying.

Sanjay Agarwal : But yes. And we are actually serious about our gold loan book. We want to grow that book.

Vivek Tripathi: Gold loan industry has grown by north of 100% on Y-on-Y basis, right? And banks are the most beneficial.

Ankit Bihani : Agreed. And the second question is on the C GFMU part. Could you shed more color on the kind of premium that we pay and recovery, is it slightly delayed? As far as I know, it takes a year or so for the money to get recovered. Can you shed some more light on the operational part of the CGFMU?

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Vivek Tripathi : Ankit, I think we can take it offline because that is a very operational procedure. But as far as the guarantee piece is concerned and the repayment is concerned, that is very well defined. If you are well, your processes are well defined and if you file properly, it comes automatically.

So, we have a very different experience as far as our guaranteed portion, as far as the guarantee book is concerned not only from C GFMU, across in terms of claim, right .

Ankit Bihani : Thank you.

Moderator : Thank you. The next question comes from the line of Jignesh Shial from Ambit. Please go ahead.

Jignesh Shial : Hi, sir. Thank you for the opportunity. Just one thing I wanted to clarify on the margin side. So, previous 25 bps has been passed on and the impact will be visible in 4Q or that has already been sorted? I just got a little confused out there.

Prince Tiwari : The December rate cut?

Jignesh Shial : Yes.

Prince Tiwari : The December rate cut will get passed on over a period of 4 months, right? So, I think December was the first month and when we said Q4, the impact will be there because the 3 of the months are following next quarter.

Jignesh Shial : Understood. But that is only 30% of the rough cut your book gets impacted at. The rest is all fixed ?

Prince Tiwari : About 30%.

Ji

Jignesh Shial : Understood. And second, just wanted to understand more on the growth part. So, just correct me if I am wrong. So, MFI is seeing a stability and we are seeing a growth coming back in next year. And on credit card front, we still want to wait for one more year before getting more aggressive into that particular segment. Is my understanding correct? So, the growth has to be coming up from the secured segments, rolling out of the secured segment ?

Prince Tiwari : Yes.

Jignesh Shial : That strategy remains the same, correct?

Sanjay Agarwal : Yes. So, if you ask me in overall perspective, we believe we are stronger in our retail asset strategy where wheels, mortgages, gold loan will take the front seat. We want to push our system engine there as much as possible. Commercial banking is more or less settled. Depends on how the Indian economy behaves. But the way we have performed this year, we strongly believe that will continue. MFI has come back, but we don't want to give you any guidance because still only one quarter has passed away with seeing that whole green shoot. So, we want to take more time ,

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but my overall belief is that this industry can grow 10 %-15% next year. How much we will grow, we will decide on the course. And credit card, it will take some more time because we are seeing some, I would say, encouraging results of our action taken over the period. But we want to be really patient enough so that we don't make mistakes again. And PL, yes, again, a lot much has happened through analytics, CPL, credit engines and all those things. We want to focus more on ETB. The NTB journey has also been unveiled. So, I believe PL will see different numbers next year.

Jignesh Shial : Understood. So, just adding up to this one. So, PL is for us a separate product. It is not that credit card link PL, right?

Sanjay Agarwal : No. PL and BL. It comes under the same team, but it is a different product line.

Jignesh Shial : And we are confident to grow PL book incrementally next year.

Sanjay Agarwal : Yes. Look, there was not any issue around PL, BL. It is just a small book. So, we have re-engineered an entire team, processes, approach. And Quarter 4 also should see some better numbers around that book. So, PL, BL, we are focusing as a normal business in course.

Jignesh Shial : Perfect. That was my understanding. Thank you. Thank you so much and all the best. Thank you.

Sanjay Agarwal : Thank you, Jignesh.

Moderator : Thank you. Your next question comes from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian : Yes, hi. Thanks for taking my question and congrats on the quarter. First question is on the OPEX movement quarter-on-quarter. Could you give some broad color on the various segments that are driving this so that we can understand this a little better? Because I can see both employee OPEX and non-employee both are up significantly quarter-on-quarter?

Gaurav Jain : So, I will give you the drivers, right? So, there are two drivers. One is the 20% quarter-on-quarter increase in disbursement, business volumes, credit card issuances, et c., right? And that also comes at certain variable cost, right? So, one of the components is that business volumes related component. The second component is your headcount and touch points, wherein we have been very clear over the past few quarters that we are growing our distribution for especially leveraging the footprint that we got through Fin care. So, for example, we are doubling our wheels penetration. So, we have hired sales, credit, collections people there. We are opening 80 new branches this year. So, we have hired people for that. We have also increased the intensity of sales people in existing branches. So, we have hired people, right? So, that is the second component. The third, and maybe not so significant

for the quarter, was some typical promotion expenses, which come with your Diwali and all of that in your debit card, credit cards. And

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finally, we started the marketing campaign "Soch Badlo Aur Bank Bhi", right? So, that also contributed to some uptick in expenses. So, those were the main parts.

Param Subramanian : Thanks, Gaurav. Very clear. So, maybe apart from the promotional one, the others are more or less BAU, right? Because we are talking about more growth from here on.

Gaurav Jain : Yes. So, look, growth comes with as we say some of it is directly related and the headcount costs, you should look at that as a down payment on future growth, right? So, we will not need as many people going forward because we are building capacity for next year, this year.

Param Subramanian : Fair enough. And if I heard you correctly, 56 %-57% cost to income, broadly for next year is where we --

Gaurav Jain : So, look we are not giving you specific guidance beyond calling out two things. We will be lower than 60% and we will be lower than 4.3% cost to OPEX, which we were last year, right?

So, this year, we expect to do better. And every year, incrementally, the operational leverage from scale and all the tech initiatives and other overhead control measures that we are taking will continue to improve our both cost-to-income ratio and the cost by OPEX, right? So, I will leave it at that.

Param Subramanian : Fair enough. And just one last question, a little maybe for Sanjay, sir. Sir, a lot of your peers, NBFCs and midsize banks have raised a lot of capital recently. And everyone is pretty positive on growth picking up next year. Sir, from a competitive landscape, how are you looking at things? Do you see any pressure that can develop, say, because we are largely talking about increasing our margins and growth, etc., so is there any risk from that?

Sanjay Agarwal : you have a right question in my sense. But we are 30-year-old now franchise, right? And we have seen all the competitive landscape over the period. So, of course, if fresh capital is coming in banks or NBFCs they will also push for the growth. But I think it is not about their capabilities and their positioning. It is more about our capabilities in terms of building up the product, distribution, people, understanding the risk around it. So, I think what we are expecting that for next maybe 4-5 years, AU growth rate in terms of 2.25-2.5 to normal GDP should be there because of the product range we have. We have retail assets, we have commercial banking, we have digital assets, we have cross-sell ability. So, if you ask me, the overall packaging of a franchise is so strong that there would be competition, but we should lead in that competition space. And I believe that team has the capacity, potential, purpose, energy to do this. And we are doing honestly, it is not that there is no competition as such, as of now also, but still we are growing in the north of 20%. So, I think we have already built a very strong foundation, and we have a very, I would say, a very tight, very sharp kind of execution mindset. So, it is not only about growth, it is also how you grow. So, the quality of OPEX, the quality of asset, the quality

of team if you have to judge, you have to judge AU in a holistic way.

Param Subramanian : Thank you, sir. Fantastic. All the best. Thank you so much.

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Gaurav Jain : Thank s, Param .

Moderator : Thank you. The next question comes from the line of Bhavik Shah from In Cred Capital. Please go ahead.

Bhavik Shah : Hi, sir. Thanks for the opportunity and congrats on good quarter . Sir, two questions. One, so what will be the proportion of book below Rs. 1 lakh? I und erstand we have cut like 25 bps of SA rate . And related to that, do we plan to further take

S A rate cuts because our close competitor has gone down to 6% for more than Rs. 1 million?

Sanjay Agarwal : No. So, again, below Rs. 1 lakh is a very small amount , But it does not affect only a below Rs. 1 lakh depositor, it is a full stack, right? And you know that we have taken one position that we want to build our deposit franchise on the product and the whole service levels rather than marketing or higher rate. And it is just what now 6-9 period. I am very happy that the competition is following us because that is the right way to build our deposit franchise. And we have other means to really manage this transitional requirement. So, further rate cut, I can't comment as of now because it depends on entire liquidity position, how the repo rate works in times to come, in overall our requirement. But I am very happy the way we have really managed our entire matrices of deposit franchise where we have a very solid quality book. Then w e have a CD ratio of around 80%. We have a cost of money around 6.84 and the 24% growth. So, if you ask me in the overall growth metrics , I would say I really want to say thank you to my team that in spite of such an intense competition and tight liquidity, they are able to perform with these numbers.

Bhavik Shah : And sir, I just want to check on your cards portfolios. We had Zenith, we had Zenith Plus. I understand you have massively cut rewards on Zenith. Do you plan to do so for Zenith Plus also given that we are not?

Sanjay Agarwal : My friend, I think the team is not there and it is too operational questions. But overall, we want to build this. Overall, we want to build a credit card book. It will take some time. Team is taking a lot many decisions so that we get the right matrix or right product in right way. So, give us some more time to really comment more in detail about our credit card business.

Bhavik Shah : Thank you, sir.

Moderator : Thank you. The next question comes from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer : Yes, hi team. Congrats on the quarter. S ir, firstly, just getting back to the MFI thing, if collection efficiency is stable from here on, credit cost will be at this 30 bps or so level or below because incrementally everything is moving to CGF MU. Is my understanding correct?

Vivek Tripathi : See, I think, Bhavik , we can't benchmark in one quarter. There are, in fact, I explained that through the cycle, it would be, sorry, Piran, my apologies. So, it i s a game of improvement in

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collection efficiency, how much coverage you have from credit guarantee, and also from the recovery point of view from your existing return of book . So, if it continues to improve, my recovery has improved, let us say , in Q3 and continued to improve in Q4, it should remain in a zone. But pointing out to, and plus, as I said, that there is a marginal utilization of some previous provision, which was done on this specific book, because the environment now looks very different. And so in the more benign way, t hrough the cycle, it should hold what we guided earlier.

Prince Tiwari : 83% book is covered under guarantee. I think, Piran, the way you should look at it, I think we have been saying that all along, that 83% book is now covered under guarantee, and we have paid a guarantee fee for that, right? And by the end of March, hopeful ly, we will have almost 90%-95% of the book covered under guarantee, right? So, with the improving asset quality, or even stable asset quality, I think one of the lines that we have said in that slide, Slide #18, is that if you look at the portfolio, which has been originated from this last calendar year, which is January 25 onwards, that form 75% of the book, and the collection efficiency there is 99.7%, right, in the zero DPD. So, if it is 99.7% kind of collection efficiency and 90% plus book covered und

er CGFMU, then it is logical to assume that the credit cost should be range bound, unless something dramatically goes wrong.

Piran Engineer : Correct. So, yes, current level is kind of net-net here to stay as long as ?

Prince Tiwari : Yes, plus or minus here or there, right? So, broad range, you can say, right? A more exact

number, it will be difficult for us to say. But as Vivek said, yes.

Piran Engineer : Got it. And this next question for Sanjayji, sir, you mentioned that the regulator looks at CD ratio X refinance. So, just wanted to understand, is the CD ratio now even a focal point anymore for RBI or are we seeing ?

Sanjay Agarwal : Not really, but okay, fine. So, I think it is about how prudent we want to run our Bank , right?

Let us not bring regulator in every discussion, right? CD ratio is an important one, right, to really run a very sustainable and prudent banking franchise. What I want to say that because I get a refinance and refinance is a very structured loan, which we get a definitive time period and which we create some assets. So, in those assets, we don't have a risk of deposit, right? So, the risk of deposit is 80% of the book, which is the CD ratio of 80%, right? So, I think the idea is to tell you that how solid we are in terms of our approach is not about the regulator pushing us or they are talking about us, it is about how we want to really build ourselves on a self-governance basis.

Piran Engineer : No, I get that. I am just asking, has the regulator also taken a more benign approach to the CD ratio?

Sanjay Agarwal : I don't want to comment on that. Again, I am saying you, I don't want to comment on that. I want to say that it is a self-governance than a regulator-led governance because we believe at a Bank that it is about us to really build a Bank rather than looking towards a regulator to say us good

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or bad about our ratios because we run a Bank , right? And we know about what ratios are good for us and we should be around those ratios.

Piran Engineer : Got it. And this borrowing book has also increased by Rs. 2,000 crores quarter-on-quarter . That is mostly refinance?

Sanjay Agarwal : Yes.

Piran Engineer : Got it. Yes. That is it from my end. Thank you and all the best.

Prince Tiwari : Thanks, Piran.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Prince Tiwari for closing comments.

Prince Tiwari : Yes. Thank you. Thank you, Sagar. And thank you all the participants, investors, analysts for taking time out on this call. And in case you have residual questions, you can always reach out to the Investor Relations team. Thank you so much. Good night.

Moderator : Thank you, members of the management. On behalf of AU Small Finance Bank, that concludes the conference call. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2026

investorrelations@aubank.in Ref. No.: AUSFB/SEC/2026 -27/53
Date: April 29, 2026

To,

National Stock Exchange of India Ltd.
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (East), Mumbai 400051,
Maharashtra.
NSE Symbol: AUBANK BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400001,
Maharashtra.
Scrip Code: 540611, 974093, 974094, 974095,
974914, 974963, 975017, 975038 & 976580

Dear Sir/Madam,

Sub: Transcript of Conference Call for Financial Result for the Quarter and Financial Year ended on March 31, 2026

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")

We submit herewith the transcript of the conference call held on Monday , April 27 , 2026 for the Financial Results of AU Small Finance Bank Limited ("the Bank") for the Quarter and Financial Year ended on March 31, 2026 .

In compliance of Regulation 46 of the Listing Regulations, the transcript is also made available on the Bank's website at <https://www.au.bank.in/investors/quarterly-reports>

This is for your information and records.

Thanking You,
Yours faithfully,

For AU SMALL FINANCE BANK LIMITED

Manmohan Parnami
Company Secretary and Compliance Officer
Membership No.: F9999

Encl: As Above

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"AU Small Finance Bank Q4'FY26 Earnings Conference Call "

April 27, 2026

MANAGEMENT : Mr. Sanjay Agarwal - Managing Director and Chief Executive Officer
Mr. Uttam Tibrewal - Deputy Chief Executive Officer
Mr. Vivek Tripathi – Executive Director and Chief Credit Officer

MR. Yogesh Jain – Chief Operating Officer
Mr. Gaurav Jain - Chief Financial Officer
Mr. Ankur Tripathi - Chief Information Officer
Mr. Prince Tiwari - Head of Investor Relations & FIG

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Moderator: Ladies and gentlemen, good day, and welcome to the AU Small Finance Bank Q4 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prince Tiwari, Head of Investor Relations.

Thank you, and over to you, sir.

Prince Tiwari: Thank you, Sagar and Good evening everyone and a warm welcome to AU Small Finance Bank's earnings call for the fourth quarter of financial year 2025 -26. We thank you all for joining us this evening. On today's call, from the management, we have our Founder, MD and CEO Mr. Sanjay Agarwal , Deputy CEO Mr. Uttam Tibrewal , Executive Director and Chief Credit Officer Mr. Vivek Tripathi , our COO Mr. Yogesh Jain, our CIO Mr. Ankur Tripathi and our newly appointed CFO Mr. Gaurav Jain and the IR team. As we announce d today, Mr. Gaurav Jain has been appointed as the CFO of the Bank and I take this opportunity to congratulate Gaurav on his appointment. We will start today's call with a 15 to 20 -minute opening remarks from Gaurav, highlighting the Bank's performance, positioning and outlook. We will then follow it up with a Q&A of 40 to 45 minutes from the participating analysts and investors. For the benefit of all participants and so that we can take everyone's question, we would humbly request eve ryone to keep the number of questions restricted to two per participant and join back in the queue in case you have any further questions. With that, I now request Gaurav to kindly take us through his opening remarks.

Gaurav Jain: Thank you, Prince. Good evening, everyone, and thank you for joining the call. It's a pleasure to welcome you all to our earnings call for the fourth quarter of FY26.

On 19th April, we completed 9 years of our banking journey and I would like to take this opportunity to thank all of our stakeholders for their continued trust and support. As we enter the decadal year of our operations, we continue to focus on our core philosophy of sustainable growth and achieve our long -term objective of building a forever bank.

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Coming to the operational highlights for the quarter, let me start with the operating environment. Geopolitical tensions in West Asia continue to weigh on global energy prices, currency markets, and supply chain, elevating overall risk sentiment. Indian macroeconomic environment, whilst relatively on a better footing, did see volatility across currency, yields, and business sentiment towards the latter half of March. As a retail -focused bank, we have no meaningful exposure to borrowers directly impacted by trade or supply chain disruptions. However, we remain watchful of the second -order effects, particularly fuel prices pass -through into inflation, consumption, and cr edit.

Amidst this environment, we delivered a strong quarterly performance helping us to finish the year on a high note. Deposits growth remained strong at 10% quarter -on-quarter and 23% Y -o-Y versus estimated private sector banking growth of 13%. Loan portfolio grew by 8% Q -o-Q and 21% Y -o-Y versus estimated private sector banking growth of 13%. Secured assets grew by 7% quarter -on-quarter and 23% year -on-year. Unsecured businesses also turned around with a 7% quarter -on-quarter growth, led by MFI and personal l oans.

On a Y -o-Y basis, unsecured portfolio declined by 1%. Margins expanded by 24 basis points quarter -on-quarter to 5.96%, led by a decline of 12 basis points in cost of funds, 6 basis points benefit from lower gross slippages and higher NPA

resolutions, and

around 7 basis points seasonal benefit from lower day count in February.

Cost to assets ratio continues to improve despite ongoing investments in manpower, distribution, branding, and technology. Excluding CGFMU premium, cost to assets

ratio for full year declined by 19 basis points to 4.1% from 4.3% in FY25. Including CGFMU premium, cost to assets ratio was lower by 16 basis points to 4.2%. Asset quality saw continued improvement led by normalization in unsecured portfolio and seasonal improvement in secured assets. Slippages declined by 17% quarter-on-quarter to ₹659 crores, leading to GNPA ratio declining by 27 basis points to 2.03%. Credit cost for Q4 declined to 0.6%, whereas credit cost for full year came at 96 basis points of average assets. Credit cost inclusive of CGFMU premium was around 1% of average assets for the full year.

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Profit for the quarter grew by 25% quarter-on-quarter and 65% year-on-year to ₹832 crores with ROA improving to 1.8% for the quarter. Profit after tax for the full year grew by 25% to ₹2,641 crores with ROA improving to 1.6% and ROE at 14.2%.

Now let me briefly update you on some of our strategic initiatives. First, on the universal banking license. Pursuant to the Bank's request, the RBI has amended the NOFHC requirement, which will now apply to the transition, universal bank only if the Bank or its promoter group proposes to establish any group entity in the future. Following this amendment, we filed the final license application in March '26 and await regulatory approvals.

Second, on the succession planning. The Board and Executive Management continue to invest in increasing the leadership depth and we had made certain announcements during last quarter in this regard. To further update, RBI has approved the extension of our MD and CEO Sanjay Ji's tenure for three years till April 2029. Our Deputy CEO Uttam Ji completed his term as Whole-Time Director in April. He will continue in his capacity as Deputy CEO leading the bank's retail business vertical and increase his focus on on-ground engagement to drive growth, strengthen customer relationships. And expand the bank's presence across newer geographies. Our Chief Credit Officer, Mr. Vivek Tripathi, has assumed the role of Executive Director for a term of three years following RBI approval.

Third, on operating efficiency. There is a great degree of focus on driving operating efficiency over the medium term through multiple structural interventions. One of the key levers is Agentic AI, which provides an opportunity for us to completely reimagine our customer and employee-facing journeys. And we are systematically integrating Agentic AI capabilities into our core operations to make it exciting and easier for our customers to bank with us and faster for us to service them. We are also realigning our organizational structure by consolidating businesses, eliminating parallel hierarchies, and reducing redundancy. For example, agri business is now merged with business banking. And home loans and MBL businesses have started sharing back-end teams. We are also working to flatten our sales hierarchy, expand managerial span of control, enabled by real-time data visibility.

Whilst striving these interventions, we continue to invest in scaling our franchise by adding to the sales team, expanding our distribution, and investing in our brand.

Fourth, on our tech initiatives. We are embedding AI decisively into our core

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operating model. This is not an incremental adoption. It requires us to fundamentally reimagine how we operate, scale and serve our customers by delivering superior customer experience, higher productivity and scalable growth, without proportional increase in cost or headcount.

Our tech roadmap focuses on adopting an enterprise-wide Age

ntic AI platform,

developing AI use cases on our data platform, and driving process automation. And lastly keeping our core architecture modern. First, on the Agentic AI platform. We have implemented a deterministic, rule-driven Agentic AI platform built for high speed, personalized customer engagement with full end-to-end traceability and auditability.

By removing the friction of fixed digital workflows, this platform empowers our team to serve our customers' needs more effectively and expand product reach at lower cost. Our first AI-native loan origination system built on this platform went live last week for our gold loan business. We are now actively expanding this Agentic platform to mortgages, commercial banking, wheels, personal loan, and credit card LOS journeys.

In parallel, we are building a model -agnostic multilingual platform for customer service enabling deeper customer understanding, end -to-end lead management, and enhanced cross -sell efficiency. To sustain and scale this transformation, we are establishing a center of excellence bringing together internal talent, global partners and cutting -edge capabilities to identify and implement AI use cases across the bank. Second key initiative on the tech side is around data engineering and AI -based analytics use cases. The Bank has built a unified data platform wherein most MIS and dashboards have migrated to this automated platform and our internal meetings are increasingly being conducted leveraging this platform, improving timelines and decision making.

Building on this foundation, we are deploying AI and ML across credit underwriting, fraud decisioning, collections, and customer service. Multiple credit underwriting scorecards for new -to-bank and existing -to-bank customers are live for credit cards and personal loans enabling rapid decisioning.

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Scorecards for personal cars, taxi, small CV, and vehicle refinance are under development. On AML monitoring, approximately 60% of alerts are reviewed and resolved through AI -based models with the majority identified as false positives within acceptable risk thresholds. Beyond dashboards and analytical models, a customer 360 view and customer -level profitability model covering both retail and commercial customers has been built to facilitate cross -sell and faster decisioning. Now we are adding AI layer on top of this data platform which can be used for querying any business KPI dynamically by just writing prompts in plain English. Our AI-driven collections bot is live, improving engagement and resolution speed. On customer service, inbound calling was launched as the bank's first AI initiative across multiple languages. Outbound AI -led campaigns are underway across businesses with a target to scale up to 25% of total calls over the next 2 quarters.

The third area of focus is technology transformation and automation. On the customer -facing side, our 0101 retail app has been revamped with a more intuitive, customizable interface. Our website has also been refreshed this quarter. On the asset side, our wheels business runs entirely on Salesforce LOS, personal loans are now live on the same platform, and credit cards will follow shortly.

On liabilities, our branch banking account opening journeys are now fully STP with cross -sell embedded natively within onboarding process. On HR, we have migrated to Darwinbox consolidating our HRMS, employee helpdesk, and internal communications on a single platform. Across back -office functions, we are migrating to a workflow -based operating model with over 10 workflows being built across audit, risk, IT, compliance, and secretarial functions, reducing email dependency and strengthening audit trail.

Lastly, to update on our core architecture. Migration of Fincare's core banking system was completed in April. With this, the integration of Fincare

into AU is complete. Now

let me give some color on each of our businesses. Our deposit base now stands at **■1.52 crores**, growing by 10% quarter -on-quarter and 23% Y -o-Y.

CASA deposits grew by 9% quarter -on-quarter and 20% year -on-year with CASA ratio broadly stable at 28%. Our deposit strategy is anchored on three pillars: granularity, stability, and cost of funds. On granularity, we continue to grow our branch banking deposit book which constitutes around 60% of the overall deposits.

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New CASA account acquisition for FY '26 grew by 62% year -on-year, crossing the milestone of 1 lakh monthly acquisitions in December, a run rate which we have since maintained. Strengthening and scaling our deposit franchise remains one of our top focus areas. We are opening 80 to 100 newer branches every year, investing in our brand, and expect significant benefits to accrue over time from the anticipated transition to universal banking license.

On stability, our focus within wholesale deposits has been on non -callable deposits in order to strengthen our resilience. Total stable deposits, which includes CASA, retail, and non -callable wholesale term deposits, was stable at 79%. On cost of funds, we saw meaningful improvement. Full year cost of funds declined by 32 basis points year -on-year to 6.75% versus 7.07% in FY25. Q4 cost of funds was at 6.49%, down by 12

basis points during the quarter. Our average LCR for the quarter was stable at 119% versus 118% last quarter. Also, the bank carried 15% additional liquidity in the form of non-LCR investments.

Now moving on to our assets franchise. Retail secured assets, which includes wheels, mortgages, and gold loan, forms 66% of our portfolio and grew robustly at 21% year-on-year. Within retail, our wheels book grew by 27% year-on-year to reach approximately ₹46,400 crores, driven by improving affordability across segments. Gold loan business has doubled this year from a low base to reach approximately Rs. 4,000 crores. Our mortgages business comprising micro business loan and affordable housing grew by 11% year-on-year to approximately ₹42,400 crores in a highly competitive market warranting disciplined pricing and underwriting.

Increasing growth rate in this business remains a key focus area and we are working to increase our productivity in newer geographies like Andhra, Karnataka, Telangana, Tamil Nadu, and UP. It's important to note that in the last two years, we have nearly doubled our retail asset distribution to about 900 to 1,000 branches for each of our retail secured businesses. This expanded distribution is expected to support growth over the next few years.

Moving on to commercial banking. Commercial banking forms 22% of our lending business and grew by 29% year-on-year and 12% quarter-on-quarter to reach around ₹31,000 crores with an additional non-fund based book of approximately ₹11,000

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crores. We have carved out renewable energy as a dedicated segment within commercial banking, reflecting opportunity in this space.

A strategic priority for commercial banking is self-sufficiency on funding. Currently, commercial banking sources approximately 56% of their funding requirements. Combined with transaction banking and CMS, our intent is to progressively run this as a fully self-funded business, a model that strengthens both margin resilience and customer stickiness.

Now moving on to unsecured businesses. Our inclusive banking franchise, which primarily includes MFI, saw a strong sequential growth of 8%. Non-overdue collection efficiency in MFI has normalized to 99.7% for the current quarter compared to 99.3% for the previous quarter. 92% of the MFI book is now covered under the CGFMU guarantee scheme.

Our digital unsecured portfolio comprising credit cards and personal loans grew by 4% quarter-on-quarter.

Personal loans portfolio witnessed a resumption in growth this quarter with a healthy 19% sequential increase from a low base. Credit card business broadly stabilized this quarter after nearly five quarters of decline and should start seeing gradual growth going forward.

Moving on to P&L. Our profit after tax for Q4 grew by 25% quarter-on-quarter and 65% year-on-year to ₹832 crores with ROA of 1.8%. For the full year, profit after tax increased by 25% year-on-year to ₹2,641 crores with ROA of 1.6%. Net interest income increased by 10% quarter-on-quarter on the back of strong growth in loan portfolio, lower cost of funds, and seasonally strong margins in the quarter.

Full year NII growth was at 14%. Core other income saw 7% quarter-on-quarter growth driven by higher business volumes. Full year core other income growth was at 13%. Operating expenses for Q4 increased by 6% quarter-on-quarter, primarily reflecting higher business volumes.

Provisions were down 19% quarter-on-quarter on account of normalization in unsecured businesses and seasonal recovery in secured assets. Full year provisions were also down 10%. The Board of Directors has recommended a dividend of ₹1 per share for FY26, subject to requisite approvals.

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To conclude, FY26 has been a year of disciplined, consistent execution true to our long-term vision of building a forever bank. Our priorities remain unchanged, growing our core asset franchises, scaling liabilities franchise, and driving structural efficiency through AI and technology.

We enter the next phase as a stronger, more diversified, and more efficient institution with products, technology, distribution, and people all firmly in place. We are inducting AI in our core operating model, which can lead to a complete reimagination

of our customer journeys and provide a sustainable operating leverage over the coming years. We believe our franchise is capable of sustainably compounding at 2 to 2.5 x of India's nominal GDP growth rate, delivering consistent, predictable and long-term value to our shareholders. I thank our teams for their dedication and all our stakeholders for their continued trust.

With that, I will now hand over to Prince for Q&A.

Prince Tiwari: Thanks Gaurav. Sagar, we can open the call for Q&A.

Moderator: Perfect. Thank you. We will now begin with the question and answer session. Anyone who wishes to ask a question may press star and then one on their telephone phone.

If you wish to remove yourself from the question you may press star and then two.

Participants are requested to use handsets, while asking questions. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Again, to register for a question, please press star and then one.

Our first question comes from the line of Renish from ICICI. Please go ahead.

Renish: Yes, hi sir. Congrats on a good set of numbers. Just two things. One, on this contingency provision creation of Rs. 21 crs during Q4. So you have mentioned that we have built this towards some specific accounts. Can you share some more details around these accounts, like it pertains to which segment -NBFC, real estate, Commercial Banking or maybe what is the aggregate exposure at Bank's level? That's my first question.

Vivek Tripathi: Renish, Vivek here. See, these are normal, these are not some high-value specific cases. These are normal business banking, working capital cases. We made a risk assessment of what amount is covered through our security and other things and AU Small Finance Bank

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there was a recommendation (from risk), hence we provided it. So, there is nothing specific to it.

Renish: Okay because in PPT we have mentioned that.

Vivek Tripathi: This is the internal risk assessment.

Renish: Okay, I mean there will be

like number of accounts, not maybe two, three accounts, something like this?

Vivek Tripathi: Yes, these are standard accounts basis the risk assessment, we just provided an additional provision, that's it.

Renish: Got it. And my second question is on the rationale behind hiking interest rate in savings account and TD much ahead of the industry. So are we experiencing some challenges in raising incremental deposit or is it that we anticipate better growth going ahead and to maintain CD ratio maybe we are hiking just rates to remain competitive?

Sanjay Agarwal: Yes Renish, hi, Sanjay this side. So in terms of liabilities, we are not focusing on one data point or one way of building it up. It is a combination of three-four variables, like how much you want to raise, the cost of money, how you want to play [position] your CASA, how you want to play your retail versus wholesale liabilities, the overall CD ratio. But if you see our whole last year's performance, our CASA ratio remained stable at around 28% - 29%. Our stable money is around 80%. Our cost of money, which we anticipated that it may drop by only 15 bps to 20 bps, but it actually dropped it by around 32 bps. Our ALM is perfect match.

So if you ask me, I think we want to play it in this manner this year too and it's a periodic, month-on-month working. You can't predict, you can't have one specific rule for the entire year. There is ALCO every month and there is RBI's monetary policy committee meeting every two months. So, we need to play with the environment. But focus will remain on two to three things. One, we want to build a very stable liability franchise. The focus of the Bank is entirely on that, be it the quantity, the quality and I'm very happy that being an SFB, where we don't have a right to win much, but still the team is doing a phenomenally good job. They are building quality, AU Small Finance Bank

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quantity, [managing] overall cost of money. So, we are not playing a perfect game, right? We need to build it somehow, from somewhere.

Renish: Got it.

Sanjay Agarwal: I think I would say that our 9-year journey has taught us that liabilities is a day-to-day business and we need to play every day.

Renish: Got it. Okay. So , there is no, let us say, a structural trend one should assume, based on this. It is maybe on quarterly basis...

Sanjay Agarwal: No, no Renish. I believe we need to play every day. We need to build it every day and the deeper we are going into a banking franchise, the more stable and more predictable we are now.

Renish: Got it. Okay, that's it Sir. Thank you and best of luck.

Sanjay Agarwal: Yes, thank you.

Moderator: Thank you. Our next question comes from the line of Kunal Shah from Citigroup.

Please go ahead.

Kunal Shah: Yes, thanks and congratulations on a good set of numbers. So firstly, with respect to ROA, we are almost at 1.8% now on exit level. So , what would be the focus, maybe we would still try to drive it up further or sustenance of that will be critical? And what would be the levers available to drive it? No doubt there would be some levers on opex, but would it get offset by other measures and we will just try to sustain it at 1.8%?

Gaurav Jain: So Kunal, obviously, we know that Q4 is always seasonally strong. So the ROA at 1.8% reflects that strong seasonality. Our goal would be to maintain this ROA or achieve this ROA on a full -year basis for next year. And, the levers on that clearly, as we mentioned earlier as well, we are doing a lot of work on our operating efficiency, so we should see continued improvements year -on-year on the opex to assets ratio. So that's one. Second is, we are coming out of some of a...

Kunal Shah: Any targeted level?

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Gaurav Jain: Sorry , no, so there's no target. I'm just giving you

, directionally what we are working

on. It's difficult to guide you on a line -by-line basis on the ROA tree. And second is on the credit cost front , as we are coming out of somewhat of a crisis in MFI and the credit cost has normalized. Similarly in the credit card business as well, the credit cost is normalizing. So we expect on a full -year basis next year these two things in particular to drive our credit cost lower than the full year in the current year. So I think these are the two levers to watch out for next year and we'll see how we perform against these two.

Kunal Shah: Sure. And on margins, you've indicated some break -up with respect to, say 6 bps benefit because of the lower slippages and 7 bps due to lower day count. So is there an element of IT refund as well, as some recoveries which is indicated in that paragraph. So how much if you can quantify that because there would be some pressure on yields as well?

Gaurav Jain: So, I think on this there was some IT refund. I would not say that it was material to the overall movement. It helped by a tiny bit but nothing specific to call out there.

But in terms of, overall outlook on the margin, we've seen sort of strong improvement in our cost of funds continuing for the last two quarters.

But with this rate increase that we've taken, we think cost of funds may have bottomed. And some of the seasonal factors which I spoke about , which were there in this quarter , won't be there for the next quarter or two. So , I think to that extent, there'll be an impact on margin.

Kunal Shah: Got it. Perfect. Yes, thanks and all the best. Yes.

PT: Thanks, Kunal, thank you.

Moderator: Thank you. Our next question comes from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.

Nitin Aggarwal: Hello, Yes hi, good evening. Congratulations on strong performance. So , I have two questions. One is on technology, like we have spent a good time on technological prowess that the Bank is building including the investments in Gen AI, Agentic AI. How do you see this translating into our business volumes and what kind of cost ratios will

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you now target over the next two -three years as the Bank transitions to Universal Bank?

Sanjay Agarwal: Yes, so Nitin, second question?

Nitin Aggarwal: No, second is more on similar lines like because as a n SFB, the range on cost ratios is generally very tight and it's very narrow across the banks. Most SFBs are like operating around late 50s to somewhere in 60s. And but as a Universal Bank, the

range is very vast. There are banks below 40 s also and so where like AU, which generally has been best -in-class on many parameters as an SFB, how will you want to position yourself on cost ratios now, as you undertake this transition

Sanjay Agarwal: No Nitin, so let me answer first. So I think why we have given you an elaborate, description in our presentation and of course by our CFO, Gaurav, is because we are investing a lot in our tech. And you know that we have around 7 -8 asset classes, we need to build our liabilities franchise, we want to build it pan -India and there is lot of challenge in terms of language, in terms of making everybody understand product, process and align everybody to one goal. When you want to become a pan -India franchise, something needs to be stitching everybody, right? And we believe at AU tech is that medium that can connect, you know, all our 60,000 people with all the diversity on the ground be it product, be it distribution, channel, processes, policy; there is a lot of friction honestly. You might want to do lot many things from top, but you can't do it on the ground because there is high friction at every level. So I think now tech is actually solving it, much has been solved over the years, but I think now AI is really helping us lot into it. And we are not saying that AI only

will help

us in back -end automation or back -end processes or back -end policies, we want to take it to the front -end as well. And I'm so happy to say to all that we have launched our first AI -led LOS in Gold loans and we actually have given two -three loans on Saturday, today also, which is a 5 -10 minute journey, frictionless.

We believe that AI will allow us to connect with people internally and externally seamlessly, in their own comfort, language. So in my opinion, even if there is a 10th pass employee, they can also be given job and with the help of AI tools in their hand, they can be as productive as anybody else on the ground because AI will be doing lot much, as the main I would say communicator with the customer and the boy will be only doing the necessary things.

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So we want to invest a lot on those things and I'm not able to imagine what kind of cost reduction AI will do because it's in a very early stage. But, if you ask me, being a retail physical -oriented franchise where the cost would always be high, I think AI will help us in two ways. One, our productivity will go up, our channel distribution can go up. Our scale management will be lesser in terms of risk and all those things. So eventually the cost will get addressed, right? But to get to some number is difficult Nitin on this call. Maybe down the line, one year, we will be able to figure out that, how much it will help us. But there is a clear -cut advantage to the franchise when we do AI -led acquisition or AI -led assistance, in many cases I'm seeing a clear -cut differentiation in times to come.

And I don't want to say that AU will be the first AI -native bank, but we want to be in that category and we'll put lot of focus, money, people to achieve that. But I'm sorry, I am not able to build it around cost. But overall, the focus on cost is huge, if you ask me. You know, we have gone from 4.3 % to 4.1 % in this year itself. I believe next year, this current financial year, we should be lower than 4%. So this will be done organically, right? But if you want to disrupt it, I think it has to be tech -driven. And for that we are on the course and I believe, because once you talk about the universal bank and other things, the scale is very different. So I can't compare myself to the level of 2-2.5% kind of the expense on asset, you know. Rather I would say that the first benchmark should be that can I do around 3.5? And that too in three to four, three to five years, right?

But I think, it's so difficult to reduce our cost somehow. But I think the tech is able to give us that hope that if you start building it more on tech and allow people to work on tech, this can be achievable, faster than what we are projecting on this call also.

Gaurav, do you want to add something?

Gaurav Jain: No, I think you've captured it all, right?

Nitin Aggarwal: Right, right. Thank you Sanjay ji for such a detailed answer and very good clarity provided on it. And one more question that I have is around asset quality. It's very heartening to see that the Bank has delivered 1.8 % ROA what it guided for FY27 right in the fourth quarter itself. But from here on, how are you looking at the asset quality is shaping up, as this quarter was particularly very strong.

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Should we benchmark our estimates around credit cost basis this quarter number because if I look back, we used to like have much lower credit cost versus what we have seen in this year. And now we are approaching closer to that number in Q 4 now. So should this be sustainable ?

Sanjay Agarwal: Nitin, two -three disclosures I want to say. I think Gaurav very well articulated that this is a seasonal quarter. Always Q4 remains very strong in every sense. I wouldn't advise anybody that you should build our this quarter 's cred

it cost as an overall cost for next

year. And if you ask me, we should build it around 90 bps or maybe in that range so that it allows franchise to have some kind of risk -taking capability . I don't want to drive too tight in terms of credit cost estimation and in the market which we operate, it is not good for the organization, right? Because we need to take risk in our market, in our business, I would say, build it around 0.90 %. If we save something, it's all of us to share. And I don't think that 1.8 % this quarter ROA should be seen as our the permanent ROA because there are external challenges which we all know about. But I think at AU, Nitin, we are building it as foundation where we can build a long - term very solid franchise, be it people, be it distribution, channel, geographies, products, we are investing in every side of the business. And you have seen how we are building our tech stack also. But I can say that AU will be very sustainable in their results, because we are working on a lot of inputs.

And I think this year is our 10th year of our working and I already mentioned maybe a couple of years back that it takes around 10 years to build a very strong foundation and lot of learnings, from last maybe couple of years. So we are taking every learning to really build AU in a sustainable franchise.

And I'm very happy that the way the team is, taking the ownership, team is learning and building it up so beautifully. So I believe that, people should not judge us from our this quarter 's number. I think if you see the whole year number and last two years ' number, I think we remain very strong in our performance .

Nitin Aggarwal: Right, right. Got it. Got it Sanjayji. Thank you so much and wish you all the best.

Sanjay Agarwal: Yes, thank you. Thanks Nitin.

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Moderator: Thank you. Our next question comes from the line of Jayant Kharote from Axis Capital. Please go ahead.

Jayant Kharote: Thank you for the opportunity. First of all, congratulations on a great set of numbers. First was on credit cost , we also have RBI ECL norms coming through as we speak. So any impact on steady -state credit cost for us given the Fincare book experience in recent years and since we are growing that book again? So in regard to that, the 90 bps guidance, how should that look with the new ECL guidelines?

Sanjay Agarwal: ECL guidelines have just come in, right? And we haven't...

Jayant Kharote: It's exactly the same. It's exactly the same as draft.

Sanjay Agarwal: And I'm so sorry to not give any guidance around it. You have to give us some time. And I've been told that we as an SFB is not covered under that ECL program. Is it right?

Jayant Kharote : Yes, I know, I was talking after you transition to a universal...

Sanjay Agarwal: Let us become that. But I don't think, of course Vivek is on the call, Vivek can you comment on that.

Vivek Tripathi: No, so Jayant, it's too early to comment on it. Let us understand that, right? You need to understand just one underlying factor that 90% is our retail secured asset plus I would say secured commercial banking book. So it has a very different connotation to it. Any guideline or any credit cost calculation would eventually work on the loss given default and, probability of default, right? So for us, loss given default in retail asset has always been low. I just want to give that guidance . And in MFI, 100% of my incremental book is covered under CGFMU and 90% , as we speak, close to 92% [of the overall] book is covered, you know. So to that extent, any guideline, even the draft guideline had this provision that any government coverage would continue to be get benefited out of it, right?

Jayant Kharote: Yes, thank you. Second question was regards to the geographical liability expansion so to say. Next two years as you transition to Universal Bank, I do understa

nd on the

asset side you have some focus areas in the south. If you can help us understand what would be your strategy on liabilities geographically? I do see some higher contributions from markets like UP, Karnataka. So why would their asset side not match up equally , I mean just trying to understand the strategy overall .

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Sanjay Agarwal: No, so I think if you ask me, the most important strategy which we work on a daily basis or in execution or in any meeting or any review is around liabilities franchise.

And I think you would have seen that at this level also without having any right to win in those markets, we are able to grow our liability franchise this year too by 23% .

And if you ask me, we have all the facets there. The retail bank which is around 60% of overall deposit franchise, then we have a government business and the corporate bank, then we have commercial-led deposits, then we have a FIG, then we have CDs - that is the treasury-led deposits.

If you ask me internally, we know that all are building up very nicely. And the focus remains to build all four-five facets for the liability franchise so that, we don't miss anything, right? In the retail franchise also, there is sub-sector like NR, TASC, special markets [Salary markets] . And we are building all product lines, all channels and nowadays we are also focusing to cross-sell more as the franchise is becoming more mature and mature. As of now, our liability franchise is not talking to the asset franchise largely. So we want that to happen from this year onwards so that when we acquire a liability customer, it's not only a single transaction, it is more relationship, right? And we want to become a pan-India franchise. We want to open around 80 - 100 branches every year. We want to build a brand around it. Once we become universal, then the whole value of franchise will go up , people will understand us more and more. Our visibility will go up more and more. So I think this year or maybe the next year, we'll have a double-down approach on where we want to build it, more faster, more granular, more impactful.

And I can assure everybody here that we became a bank to build a liabilities franchise, right? We know that our strength lies in our assets, but our core expertise or core leadership or core acceptance of us as an individual [Bank] is around our leadership , our liabilities franchise. So you will see us more and more visible in times to come , pan-India and I'm sure that by being so successful on SFB platform, if we will be on a better platform, our performance will be far -far better.

Jayant Kharote: And safely to assume sir, since we are building this franchise, we shouldn't be building in rate cut on the SA TD side at least in near term?

Sanjay Agarwal: Sorry, sorry?

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Jayant Kharote: Rate cut on the pricing of deposits. Since we are in the build-out phase, we should assume that we are comfortable here or are there any more opportunities on the SA/TD cuts that you see in the next two -three quarters?

Sanjay Agarwal: I can't tell you , any guidance around it as I already commented in my earlier answer that liabilities franchise , at our level, at our franchise is a daily business. We have to take the cognizance of market, of reality on a day-to-day basis. We have ALCO every month and there we take decision about how much we can go up, how much we can go down, which sector we want to build, how much we want to build it. So it's very operational in my opinion. But if you see the overall result this year too, our cost of money has gone down by 32 bps. Our CASA is around 28-29%. Our retail and stable money is around 70% (correct number is 80%) . Our LCR is around 118% (correct number is 119%) . So we remain so well in all matrices, right? And ide

a is to not to

have one side or two side, to remain very holistic in our liability build-up.

Jayant Kharote: Definitely sir. Congrats once again on a great set of numbers and all the best.

Prince Tiwari : Thank you. Thanks Jayant.

Moderator: Thank you. The next question comes from the line of Pritesh Bumb from DAM Capital Advisors. Please go ahead.

Pritesh Bumb: Hi, Good evening team. Congrats on a great set of numbers. Few questions. One is on the asset quality side. So , we have now come out from the asset quality cycle. How are we looking to strengthen the residual asset quality metrics like PCR, contingency provisions and ECL as we go along?

Vivek Tripathi: Pritesh, I think, if you look at our Q4 numbers, it will tell you the exact story. We've - we've always been very -very strong on retail secured assets, commercial assets have been range-bound , large part of that was coming from our unsecured piece which was credit card and MFI. Now both businesses are settling down, right? And there was a seasonality impact, but overall, things look very different, right, from the days

when these two portfolios had a bit of stress. And PCR is not a defined number. It goes by the provisioning policy and there is no change in the provisioning policy, right? And the ECL guideline as it would come and we need to follow from 1st April 2027, obviously some of it will have an impact on Stage 1, Stage 2, but then your accelerated provisioning at Stage 3 might get released. So that working is yet to be
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done, I'm saying that the precise, what is the final guideline, the underlying, that's very difficult to comment at this point in time. We need to go through it, we need to put it in our model and we need to perfect our model first, right? And then only we will be able to comment on it.

Sanjay Agarwal: But to add on to Vivek, we have the provision policy, but every quarter, the Risk Committee meets and assesses if anymore provisioning requirement that might be there. So this time also if you really see our PCR, if you take the credit guarantee book out of it, then we are around 70%, right? So I believe you should see us there only and I can assure everybody on the call that our focus always remains to secure any kind of probable loss through this PCR. So that is there.

Pritesh Bumb: The second question was Sanjay, just wanted to understand the philosophy for the approach on home loans from here. It's been mostly flat for some time now. Will we focus on asset duration than yields in the next few years? Anything on that?

Sanjay Agarwal: So home loan, honestly we are doing more affordable housing, right? And there I would say again, I think in last call also or a call before, I highlighted that that market has become too competitive and every new NBFC or HFC is coming and building their book there only and I don't think that now there is a risk-reward left there, right? So we are not going irrationally, and we don't want to just do it to build our growth there, because we have lot on table to really grow. So let's not look at one data point, because we have actually said that we want to grow around 2x or maybe 2.25x or 2.5x to the nominal GDP, and which we really delivered, right?

So, it will always be like this, some book will be growing, some book won't but overall, we know that we have diversified ourselves in asset classes. And we want to play a risk-reward game every year. And wherever we feel that it's better to grow that book, we want to double down there. And if we feel that this is not the right time to push this book, we don't want to do that, right? So I think you have to see that overall our growth is protected, which we are promising, right? But we'll play around wherever the risk-reward is there.

Pritesh Bumb: Sure, that was clear. And the last question...

Moderator: Sorry to interrupt

errupt Pritesh, may we request you return to the queue for follow-up questions please. Thank you.

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Pritesh Bumb: Sure, thanks.

Moderator: Your next question comes from the line of Param Subramanian from Investec. Please go ahead.

Param Subramanian: Yes hi, good evening. Thanks for taking my question and congrats on a great quarter. Firstly, I just wanted to understand again how we should think about margins going into next year. So, I heard you call out that there is a day count benefit this quarter and benefit of lower reversals, but the benefit of lower reversals should stay, right, because slippages are say moderating year-on-year. So basically how to think about that going ahead?

Gaurav Jain: So I think on this specific thing, right, I'll repeat what I said earlier. On cost of funds, I think we've said that this quarter cost of funds may have bottomed out with the rate increases we have taken, right? Then on your point around the seasonality in Q4, that is 6 bps for lower slippages, so that had two elements. One is your lower gross slippages so that's a quarter-on-quarter improvement from Q3 to Q4. And second is your higher NPA reversals, right within that number. Now to the extent that Q4 is strong seasonally and Q1 is weaker, you won't see this benefit in the next quarter.

Param Subramanian: Okay, okay. So basically these one-offs will not be there and cost of funds have more or less bottomed out and should increase from here?

Gaurav Jain: Yes, Yes. And your asset yield will reflect whatever the asset mix is, right? That is a bit difficult to call out. It depends on what is the mix of growth within the asset verticals, right? Where your unsecured portfolio, even with the recovery, will probably grow at

a pace slower than the rest of the book . So on a net -net basis, you may have some asset mix related pressure on yield.

Param Subramanian: Got it, got it. Thanks Gaurav. Secondly on fees, right? So generally in fourth quarter there is a sharper seasonal uptick, I think it's in the loan assets and in the general banking fees that you call out in your slide. So is there something that is not there this time that was generally there?

Gaurav Jain: No, I think there's nothing specific to call out there on that line.

Param Subramanian: Okay, it is normal is it? Okay.

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Gaurav Jain: Yes, Yes.

Param Subramanian: Okay, okay. And lastly if you could just call out , your provision coverage is up. I think in the last call you had talked something about how you provide for CGFMU which is that you assume the recoveries will come through on the covered portfolio. But this quarter we are seeing PCR go ing up again , has anything changed there or we are completely status quo and this PCR is...?

Gaurav Jain: So Param, as Vivek mentioned, right, PCR is a function of accounting policy, right? So that and where is your NPA coming from, which asset class and what is the provisioning policy for that particular asset class determines what your PCR is. So it's an outcome rather than an input , if you will.

Param Subramanian: Perfect, perfect. Thank you so much. Congrats on the great quarter again. Thank you.

Gaurav Jain: Thanks Param.

Moderator: Thank you. Our next question comes from the line of Akshay Jain from Autonomous. Please go ahead.

Akshay Jain: Thank you sir, thank you for the opportunity. So I have one question on loan mix in Southern geography. How should we look at incremental growth coming from southern geographies and what proportion of the total AUM should come from southern geography in say next three to five years? And which segments...

Vivek Tripathi : Your voice is little muffled. I think your voice is not very clear. If you could just speak clearly...

Akshay Jain: Is it better now?

Vivek Tripathi: Bit better

r. Yes.

Akshay Jain: So my question was how should we look at AUM growth from the southern geography , what proportion of your incremental growth should come from south in say three to five years. And which segments will be driving this growth. And second related question is that in two years since the merger, the performance of the non - MFI segments often gets clouded due to the MFI weakness. So how has the early - AU Small Finance Bank

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stage delinquency trends been in the non -MFI segment in the southern geographies now that we have two years of growth data there?

Sanjay Agarwal: So I would say that it's too operational now. We have become one Bank and it's not about Southern market or North ern market. Certain branches perform, certain branches don't perform. That is why our overall growth estimation is linked to our nominal GDP growth rate , which is 2x or 2.25 or somewhere in th at range. We want to be on that guidance.

In that, some product will work, some won't, some geographies will work, some geographies won't, that's the reality of the situation. But I think the way we have built ourselves overall as a franchise , we have built 10 -12 product s in asset classes , around 2,500 touch points (correct number: 2, 790 touchpoints) , we want to grow our distribution, we want to grow our team, we want to grow more and more into the market. And there would also be a change in our customer segment once we cross - sell more to our existing customer base. So I think it's not relevant because you want to judge our overall growth rather than growth in some market. So I think I would say that from here onwards, we really want to focus on overall growth matrix, overall NIM, other income , credit cost so that we remain solid in terms of overall performance because if we start picking one market, one product, then I think on an overall basis, I would say the fragrance of the franchise get s lost. But as I already communicated that I'm so happy in the way we are building ourselves as the next big thing in the banking franchise , where we want to become a pan -India franchise with lots of product offering s in liabilit ies and asset s, with physical distribution and tech -

led capabilities , with one data matrices which overall looks very good. So I think that's our approach and I think there is no perfect world honestly. And we have learned that in the last 9 years that there won't be a ny perfect day.

You have to go every day and build yourself in this whole imperfection. But the way we have understood the market is that in the end, it all becomes good. So I would rather say that this year again remain s as one of the learning year s for us and let's see how the next year goes into it. But I think after 10 years I would say that we'll become more predictable in every sense.

Akshay Jain: Understood sir. And just on the ROA target of 1.8% from what I can get the call is that your margins might stay flat to maybe slightly down because of mix shift, credit cost you are asking us to build around 90 basis points versus 60 basis points in the current

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quarter. So should we assume that large portion of the 1.8% ROA should come from cost?

Sanjay Agarwal : Akshay , I think Gaurav mentioned that we want to work on our cost. We really want to work on our credit cost. One is your own model where we want to project us 0.90 %, but our performance should be better than that, but it's an outcome. So again , difficult to comment in this kind of time; where last year it was s uch a difficult environment , but in the end we have performed well. So I believe that once the external environment becomes , I would say more predicable or th e vulnerability goes out, I think internally India looks very bright, internally India looks very sharp and we believe that we are building this bank

for India and we will perform.

Akshay Jain: Understood, sir. Thank you. Thank you for the answers.

Prince Tiwari : Yes, thank you. Thanks Akshay.

Moderator: Thank you. Our next question comes from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Hi team, Good evening. First question is on deposits. So there is good progress on CASA deposits , especially on CA in FY26. The question is on cost of funds. I understand that there will be intermittent pushes and pulls from the rate cycle and competition. But through the cycle, do you have an internal target of where this cost of funds should be, let's say relative to the banks with the lowest cost of funds after you get the universal bank ing license? That is one. Along with that, if you can also share the amount of retail deposits on the balance sheet as on March 26?

Sanjay Agarwal: So I think the long -term target , I would say the way we are pushing internally that the cost of money should be around the repo rate prevalent at that time. So , if you ask me, at this time the repo rate is 5.25 % and my cost is around 6.75 %. And if you see any mid-sized bank, they are around 6.25 % and the old three -four banks are around 5.25 %, right . So ideally, once we become very mature in our universal banking avatar, then my cost of funds should be around the repo rate prevailing at that time. That's a long -term dream and target, but difficult to comment on the timing. because you're asking me, so that why I'm giving you that the view of us internally. Second question you asked around is retail – retail TD? Sorry , what's your second question?

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Ashlesh Sonje: Amount of retail term deposit as on March?

Gaurav Jain: So Ashlesh, I think we've covered that in our commentary in terms of how we are looking at deposits with in branch banking, maybe I'll just add a bit more color around this. So we have created four focused segments for our deposits business. One of them is branch banking, which is primarily targeting retail deposits. Branch banking's contribution to the overall deposit is abo ut 60%, So that's one. And then the other segments are Wholesale Liabilities , Government Banking and F inancial Institutions . Second data point we've disclosed is the stability of our deposit base , where if you look at CASA, retail TD and the non-callable wholesale deposits , that ratio we've disclosed is 79%, the ratio is sort of stable versus last year. So those are the two data points we've disclosed in our presentation.

Ashlesh Sonje: And secondly on the growth outlook, given the uncertainty on the macro, when do you expect to take any action on let's say curtailing risk or pulling back credit? Or do you intend to do that?

Sanjay Agarwal: Yes, it will happen automatically , we want to remain very risk -averse and wherever we find the indicators, which as of now are not there, and we already have said in our

opening remarks that we never find that this market, or product, or a customer base might get affected because of this challenge [or the macro challenges], we don't onboard them. So it will happen automatically because we have built our credit underwriting model around this.

Ashlesh Sonje: Understood sir. Thank you.

Sanjay Agarwal: Yes.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Prince Tiwari for closing comments.

Prince Tiwari: Thank you Sagar and thank you everyone for joining the call and your questions and for all your support. In case you have any further questions, kindly do reach out to the IR team. Good evening and good night.

Sanjay Agarwal: Yes, thank you so much. Have a good time.

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Moderator: Thank you. On behalf of AU Small Finance Bank, that concludes

this conference. Thank

you for joining us and you may now disconnect your lines. Thank you.